2020

MASTER TRADER PROGRAM

SUPERPERFORMANCE WORKSHOP

MARK MINERVINI

with 3-time U.S. Investing Champion David Ryan

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PRIVATE ACCESS

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SEPA® – Specific Entry Point Analysis®

1. Take Minimal Risk
2. Capture Large Gains
3. Maximize Compounding

a. Selection Process
b. Trade Execution
c. Position Management

5 Key Areas

1. Categories and Catalysts
2. Study of Price & Volume
3. Company Fundamentals
4. Entry Points
5. Exit Points

Company Categories

1. The Market Leader
2. Top Competitors
3. Institutional Favorites
4. Turnaround Situations
5. Cyclicals
6. Laggards

Company Categories

1. The Market Leader
2. Top Competitors
3. Institutional Favorites
4. Turnaround Situations

1. THE MARKET LEADER

- First to emerge in a new bull market
- “Expensive” high P/E, near 52-week high
- Leader: RS, EPS, Sales & Margins
- Many are small and mid-cap names

2. TOP COMPETITORS

- #2 and #3 companies
- Can on occasion leapfrog Market Leader
- Move together in strong group
- Lag leader in performance and fundamentals

3. INSTITUTIONAL FAVORITES

- “Quality” Leader - Official “Growth Stock”
- Liquid; generally mid to large-cap names
- More widely followed
- Bear markets can provide opportunities

4. TURNAROUND SITUATIONS

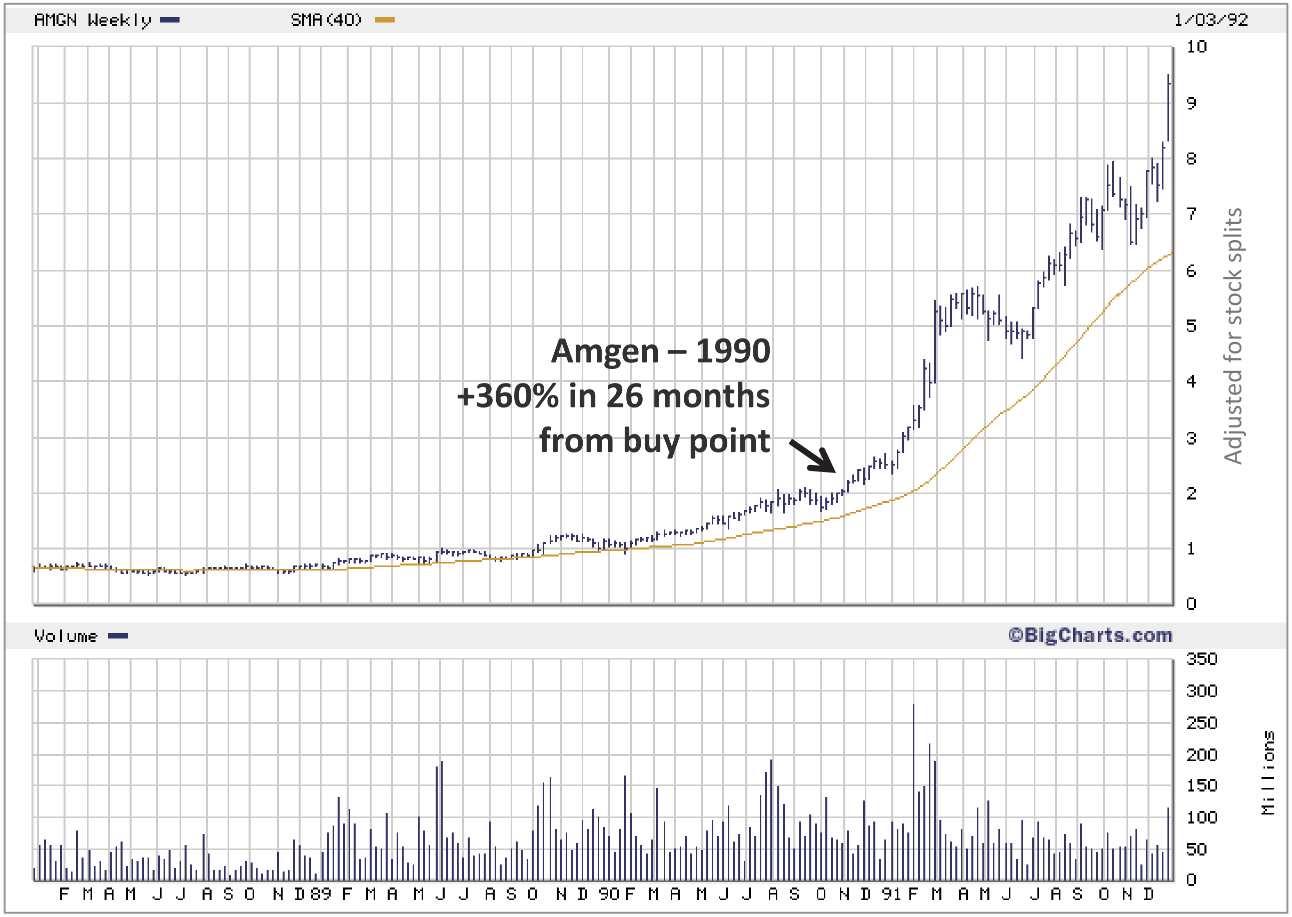
- New CEO
- Recovering fundamentals
- Refocused business strategy
- Easy “Comps”
- Margin improvement

The Market Leader

Stock up 175%

Market down 35%

Amgen – 1988-1992



Lumber Liquidators – 2013

Docusign Inc. – 2020

The Top Competitor

Netflix

vs.

Blockbuster

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Michael Kors
vs.
Coach

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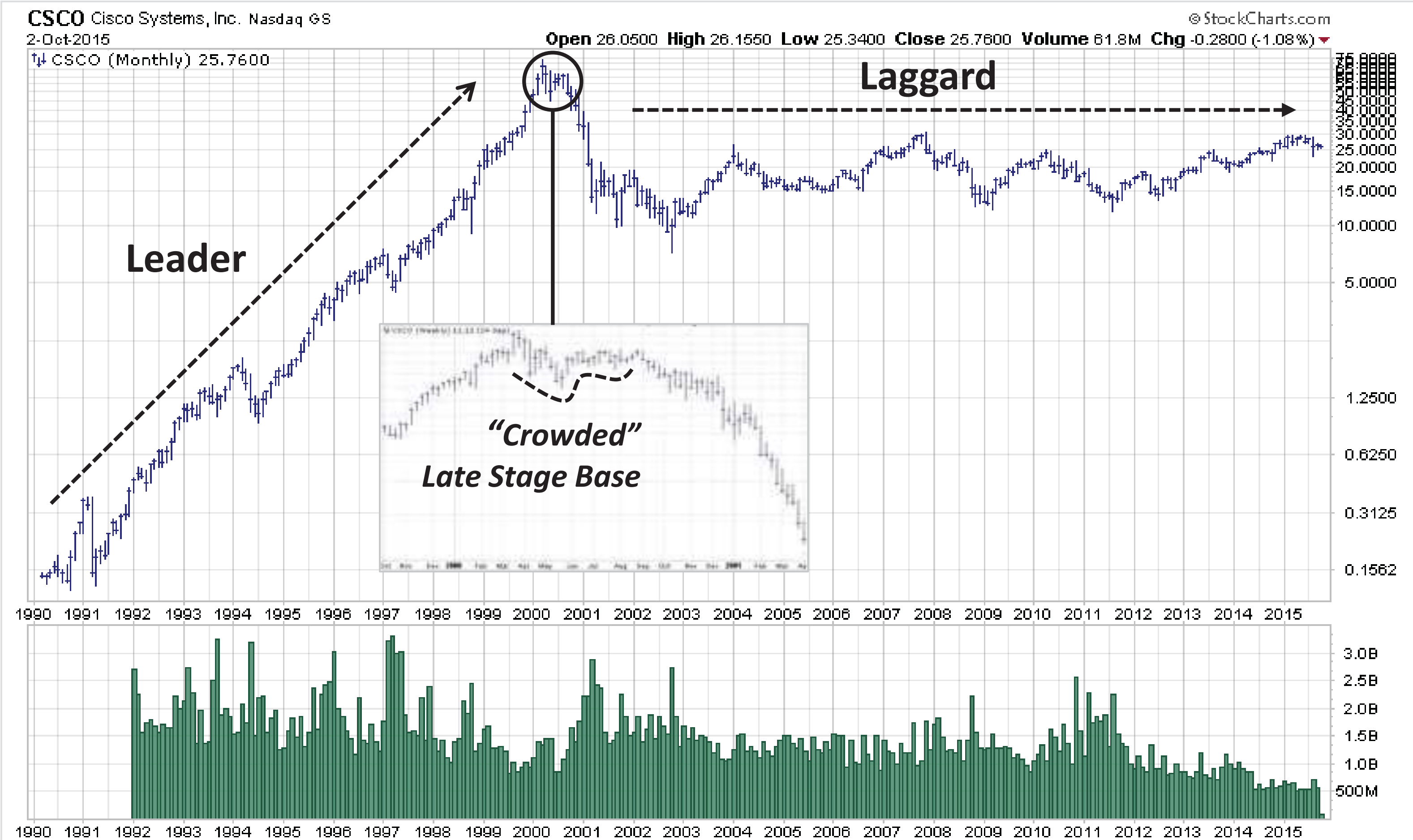
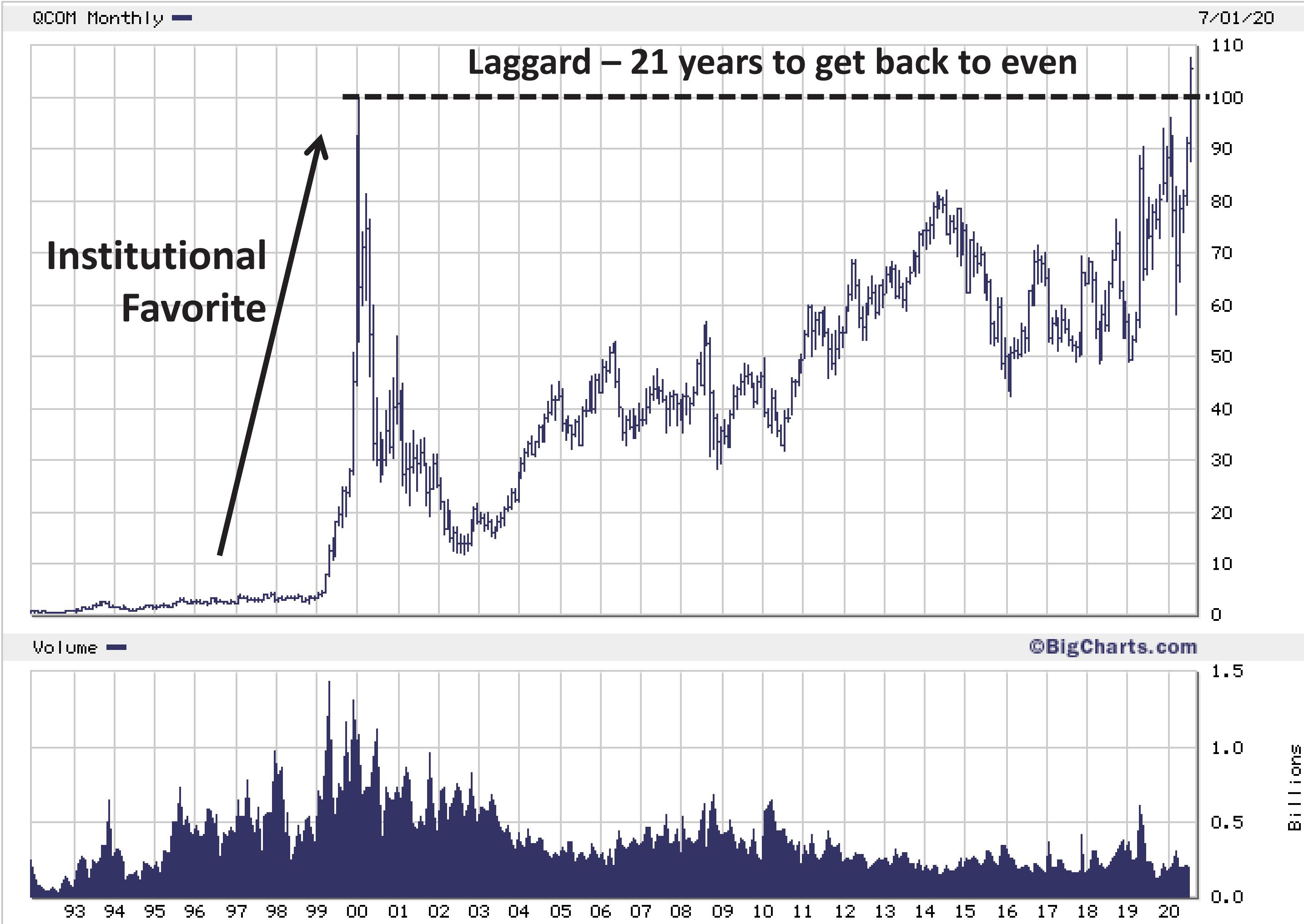
AMZN Amazon.com, Inc. Nasdaq GS
@StockCharts.com
24-Sep-2018
Open 1903.79 High 1936.88 Low 1865.00 Close 1934.36 Volume 4.2M Chg +19.35 (+1.01%)
AMZN (Daily) 98677.52%
BKS -10.69%
Total Return since Amazon.com IPO on May 15, 1997
Amazon.com (AMZN)
Barnes & Noble (BKS)
98677.52%
-10.69%

Disruption!

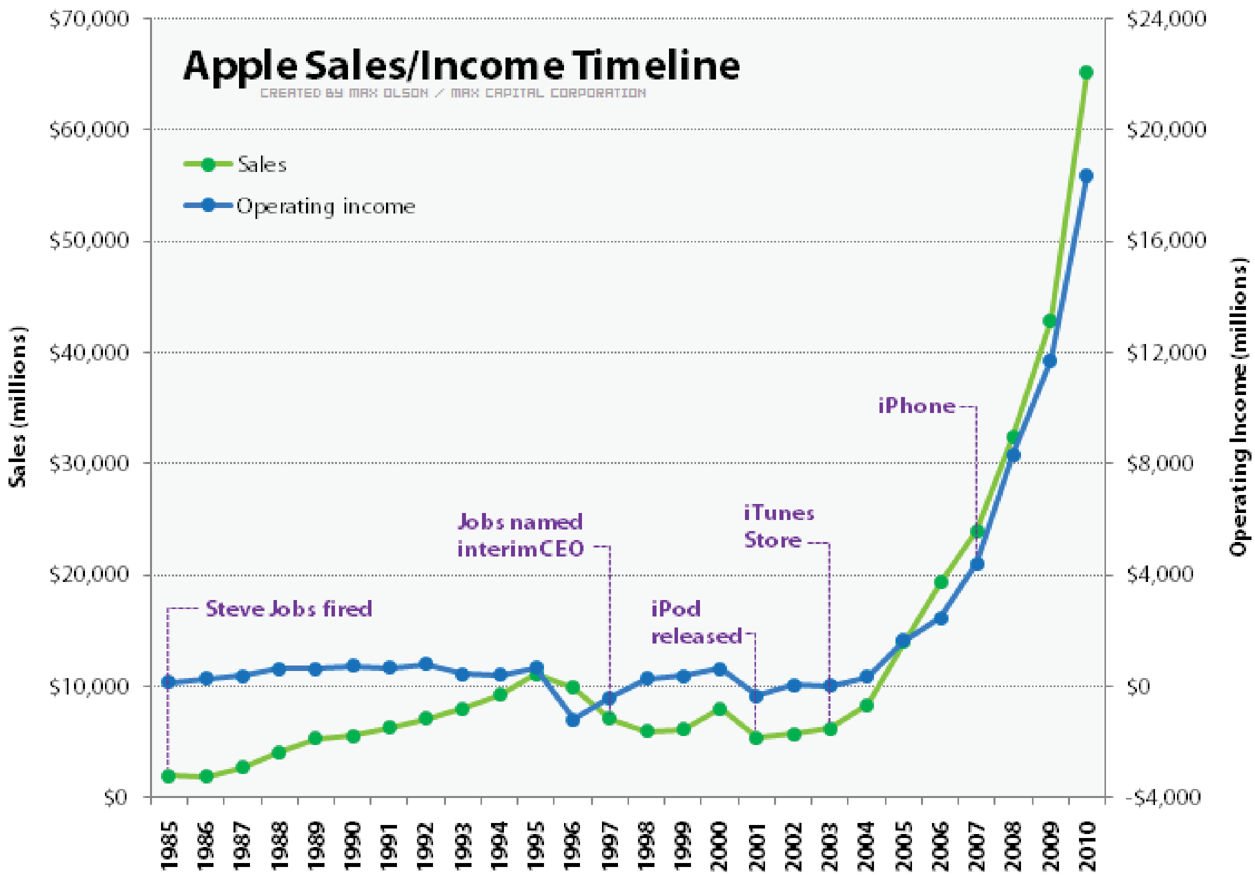

AMZN Amazon.com, Inc. Nasdaq GS + BATS
@StockCharts.com
15-Aug-2018 11:56am
Open 1909.55 High 1916.21 Low 1869.79 Last 1885.01 Volume 4.4M Chg -34.64 (-1.80%)
AMZN (Daily) 6090.51%
SHLD -82.69%
Total Return since Sears Holdings IPO on May 9, 2003...
Amazon.com (AMZN)
Sears Holdings (SHLD)
6090.51%
-82.69%

The Institutional Favorite




QCOM Monthly
7/01/20
Laggard – 21 years to get back to even
Institutional Favorite
110
100
90
80
70
60
50
40
30
20
10
0
Volume
©BigCharts.com
1.5
1.0
0.5
0.0
Billions
93 94 95 96 97 98 99 00 01 02 03 04 05 06 07 08 09 10 11 12 13 14 15 16 17 18 19 20

The Turnaround Situation



Cyclical Stocks Inverse Cycle

Affected by ups and downs in the overall economy, cyclical stocks typically relate to companies that sell discretionary items that consumers can afford to buy more of in a booming economy and will cut back on during a recession.

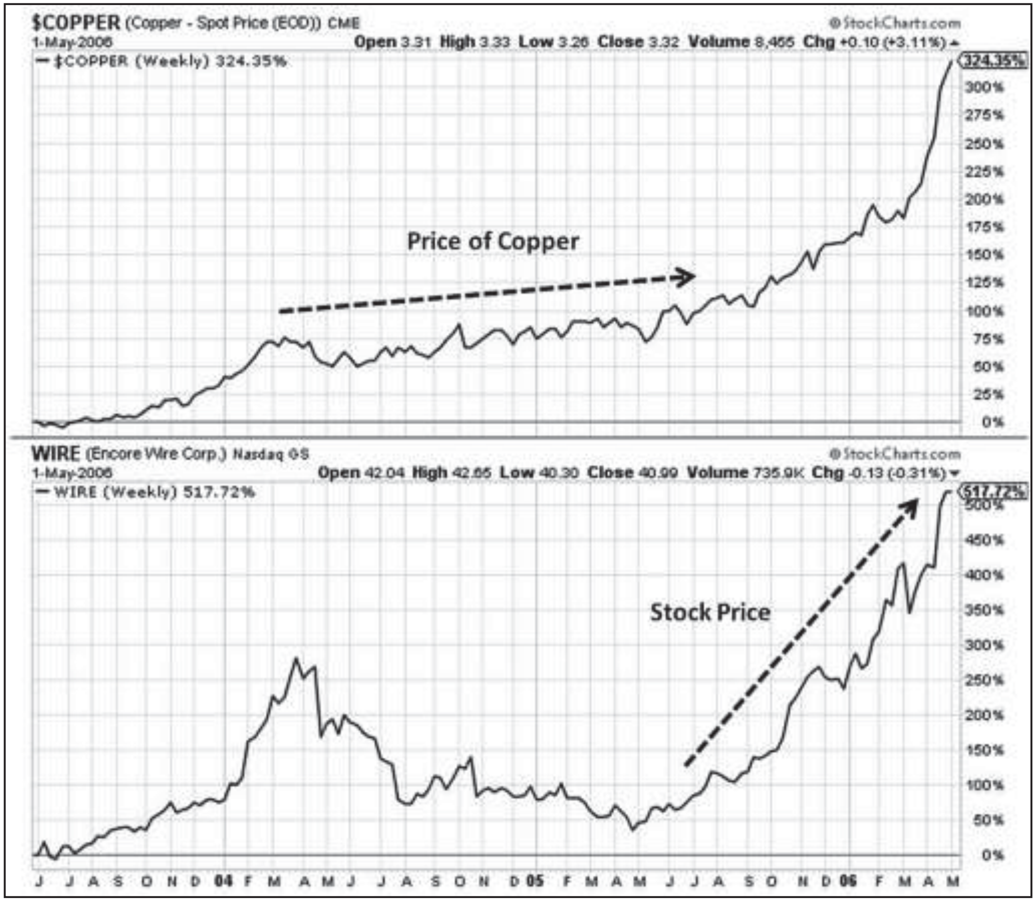
At the bottom of a cyclical swing

a. Earnings are falling
b. Dividends may be cut or omitted
c. The P/E ratio is high
d. News is generally bad

At the top of a cyclical swing

a. Earning are moving up
b. Dividends are being raised
c. The P/E ratio is low
d. News is generally good

The Commodity Play



- Rapidly rising commodity prices
- Stock piled inventory at lower prices = **MARGIN EXPANSION**

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The "95% Club" – Biggest Winning Stocks

- ✓ 99% above 200-day moving average
- ✓ 96% above 50-day moving average
- ✓ 95% had a relatively small float – under 30 million shares outstanding
- ✓ 95% showed earnings acceleration
- ✓ 96% began off correction or consolidation periods
- ✓ 95% had a catalyst such as a new product, service or some positive company or industry change; a growth driver

- ❑ 70% reported earnings +20% in the most recent quarter
- ❑ 80% were IPOs within the previous 10 years

Groups that produced the greatest number of big winners:

- Consumer/Retail
- Technology/Computer Related
- Drugs/Medical/Biotech
- Leisure/Entertainment

1. **Totally New Category**
2. **Breakthroughs & Disruptive Technologies**
3. **New Industry Conditions**
4. **Industry Spin-Off Effect**
5. **Superior Solutions**

I. Mainframe Computer
II. Desktop Computer
III. Laptop Computer
IV. Tablet
V. Smartphone
VI. ?

Main Frame Computing	IBM
Local Area Networking (LAN)	NOVL
Computer Software	MSFT
Routers – Internet Infrastructure	CSCO
Data Storage – Management	EMC ORCL
Personal Computer (PCs)	DELL
Online Services	AOL
High Speed Bandwidth	BRCM
Internet Search	GOOG
Software Security	VRSN SYMC
Cloud Computing	CRM FFIV
Social Media / Networking	FB LNKD TWTR
Artificial Intelligence (AI)	?

Best Candidates

- Growth
- Accelerating EPS and Revenues
- Explosive Market Position
- Sustainable Trends
- Scalable Business Models

Worst Candidates

- Capital Intensive
- Limited Pricing Power
- Heavily Regulated
- Margin Pressure
- Eroding Industry Position

✓ Categories

Valuation and Superperformance

What’s high?
What’s low?

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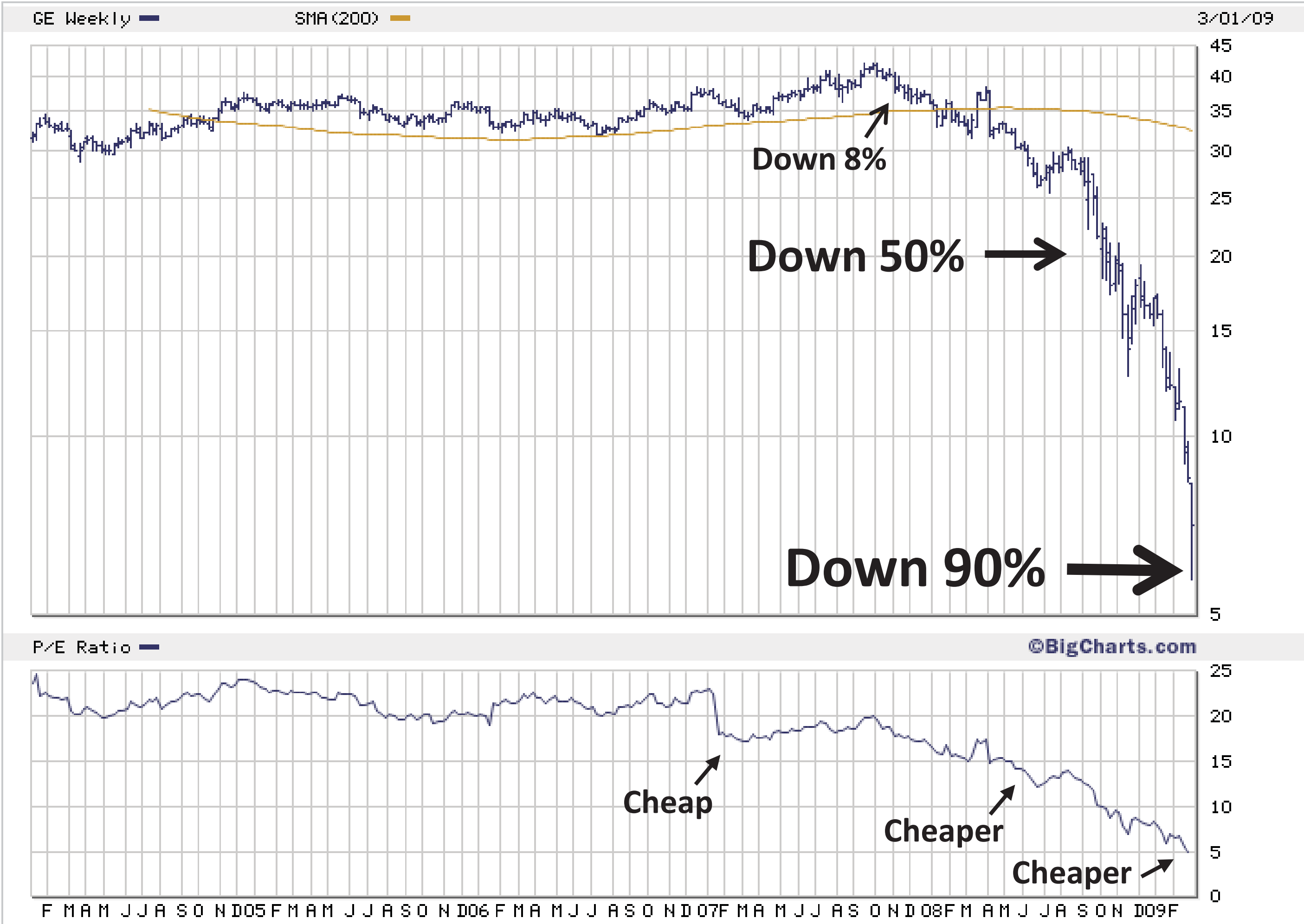
Ya Who?

YHOO Weekly
12/31/99
NASDAQ
PE 1700x
PE 938x
+8,000%
+7,000%
+6,000%
+5,000%
+4,000%
+3,000%
+2,000%
+1,000%
+0%
Volume
©BigCharts.com
1.5
1
0.5
0
Billions
A S O N D 98 F M A M J J A S O N D 99 F M A M J J A S O N D

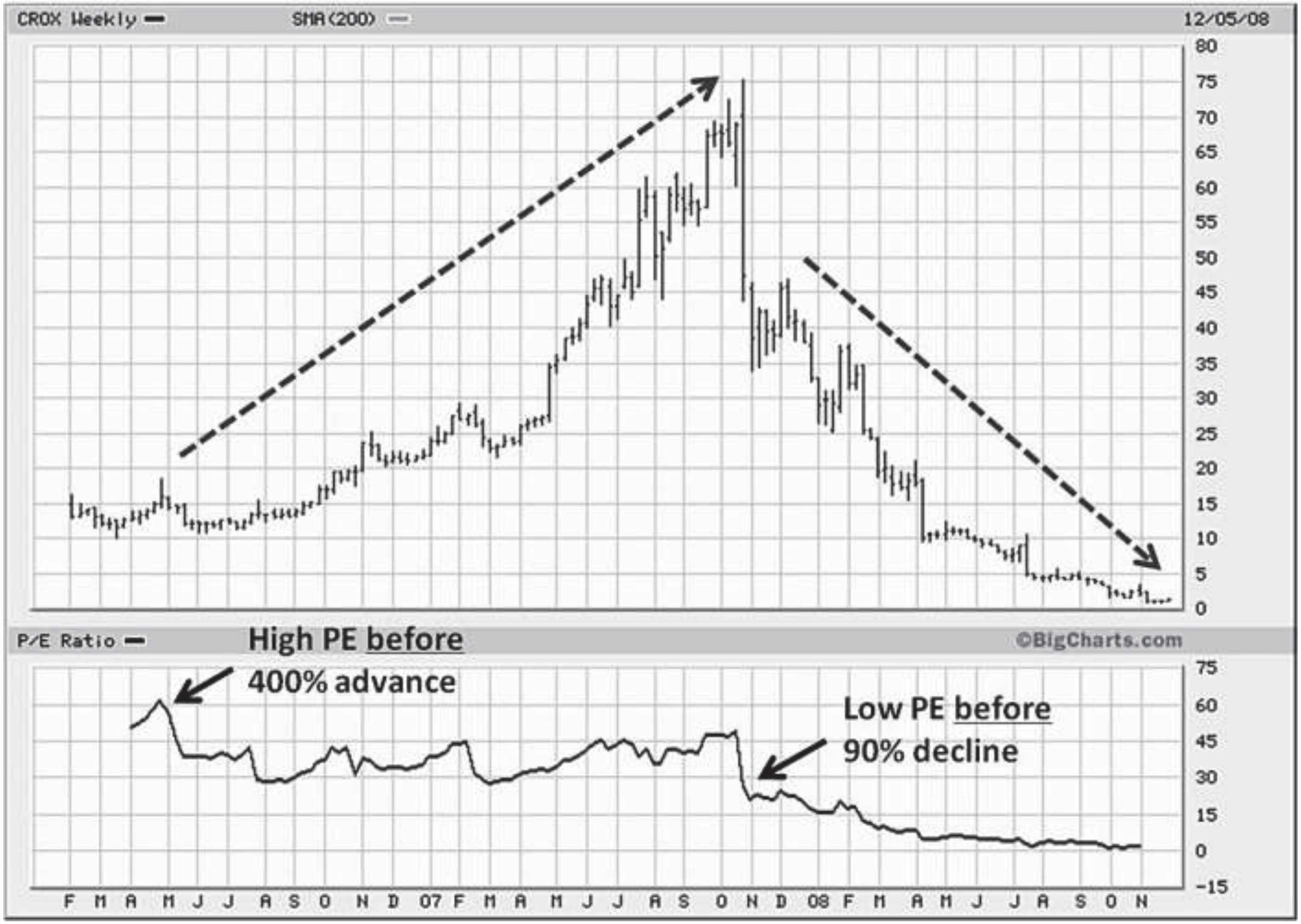
The "Cheap Trap"

Every Major Correction Starts as a Minor Reaction



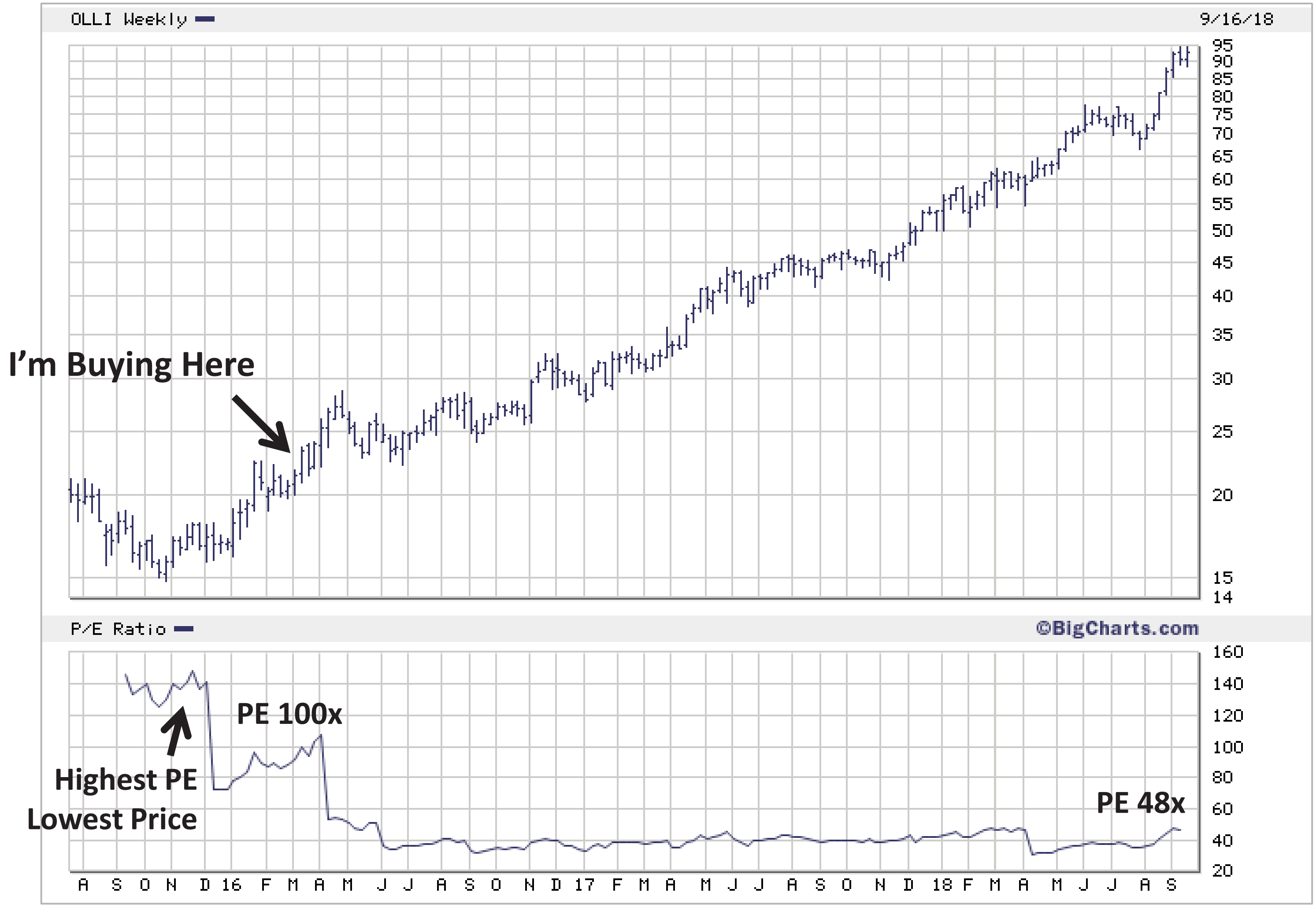
How Much Lower Can it Go?

Crocs, Inc. 2006 – 2008



Ollie's Bargain Outlet

+313% in 30 months



T A S E R Intl. Inc. – 2003

T A S E R Intl. Inc. 2003 – 2004 +490% in 23 weeks

Apollo Group (APOL)

- Stock Price 200% Higher
- Earnings 200% Higher
- Market Unchanged
- PE Unchanged

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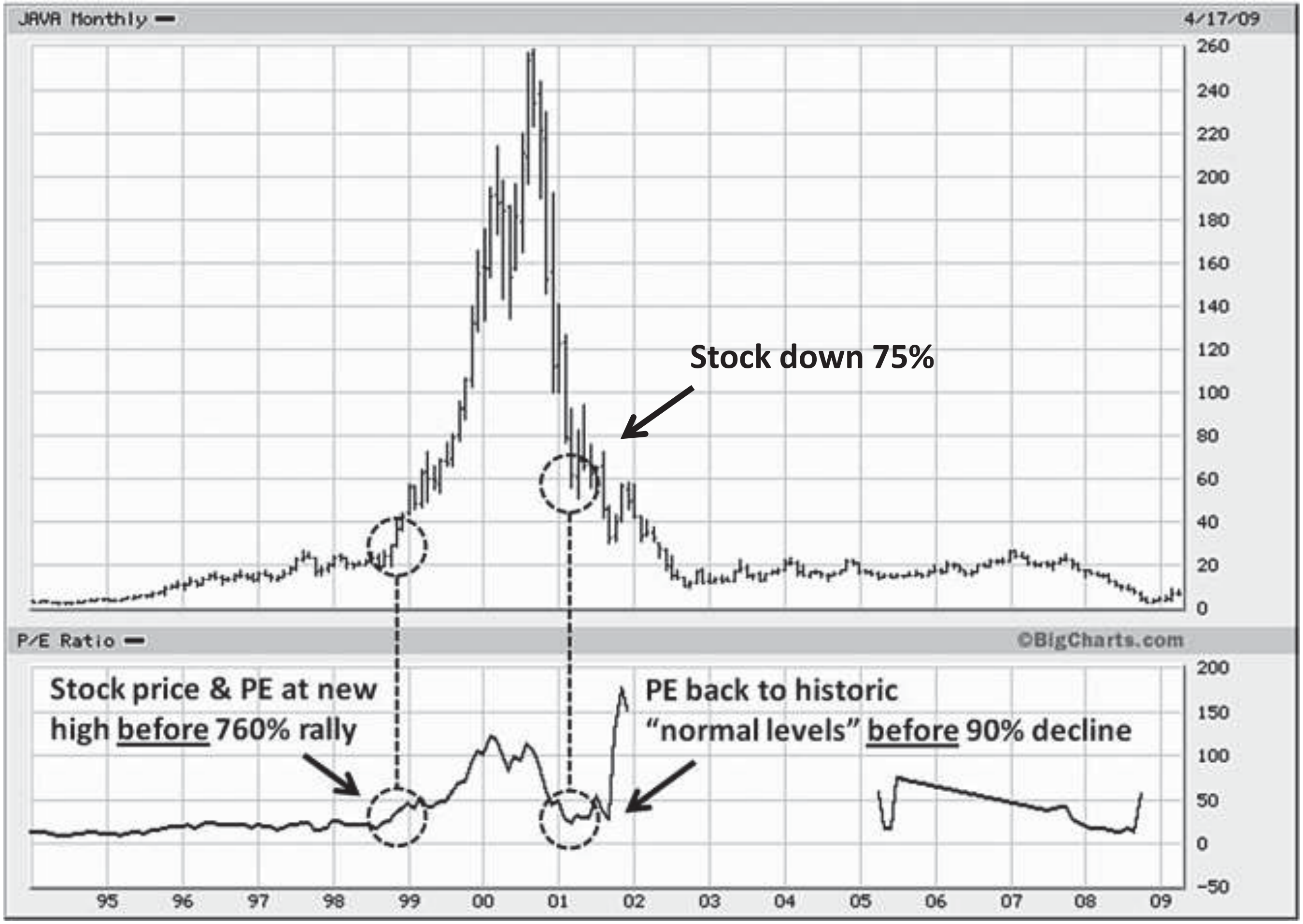
Beware the "Broken Leader"



LL Weekly
4/24/16
120
110
100
90
80
70
60
50
40
30
20
10
Expensive
Cheap
P/E Ratio
©BigCharts.com
Much more expensive with stock 90% lower
125
100
75
50
25
0
-25
-50
J J A S O N D12 F M A M J J A S O N D 13F M A M J J A S O N D 14F M A M J J A S O N D15F M A M J J A S O N D16 F M A

✓ Categories
✓ Valuation

The Primary Trend

Non-Negotiable Criteria

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Stock Price Maturation Cycle

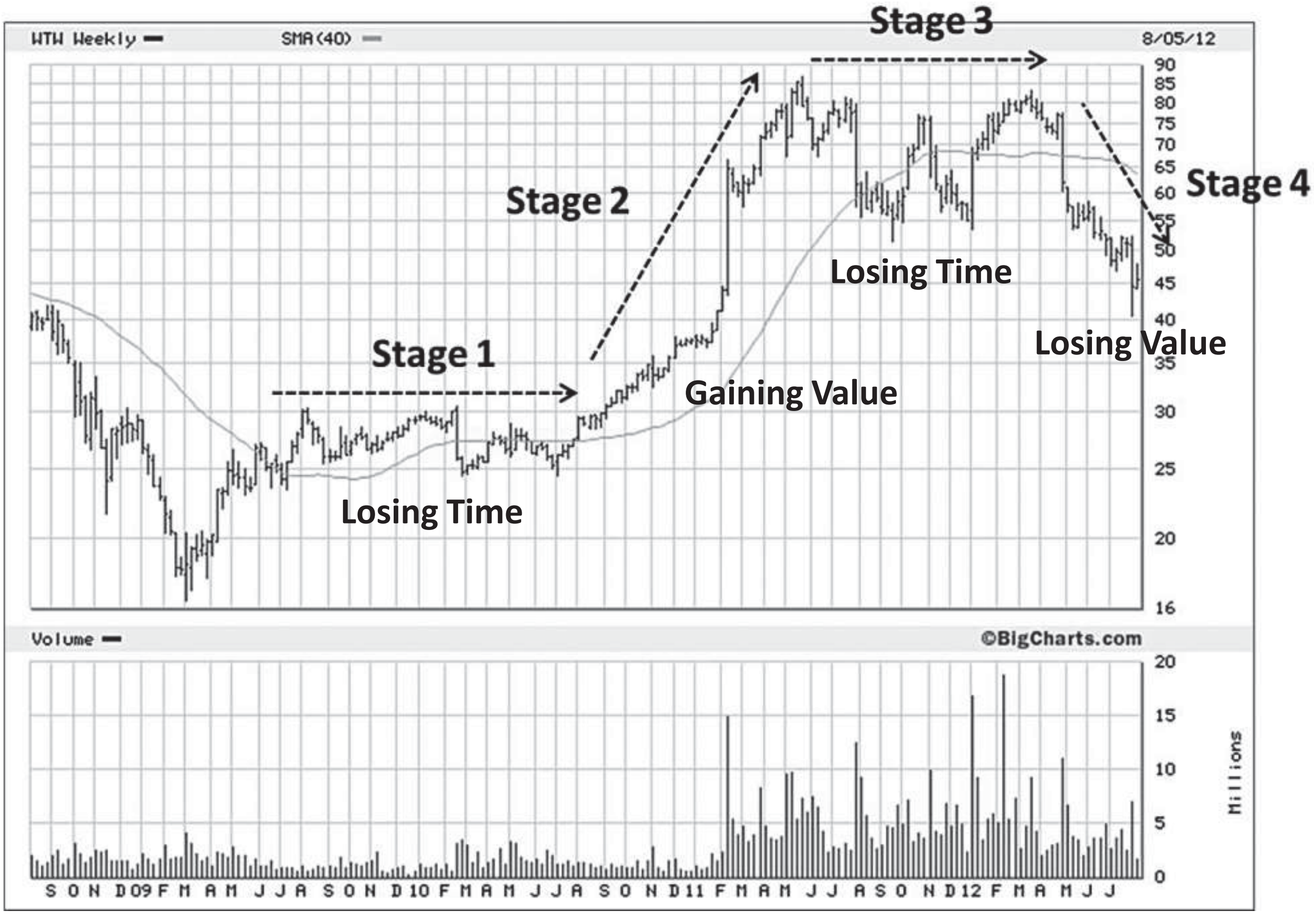
Stage One – Neglect Phase – **Consolidation**

Stage Two – Advancing Phase – **Accumulation**

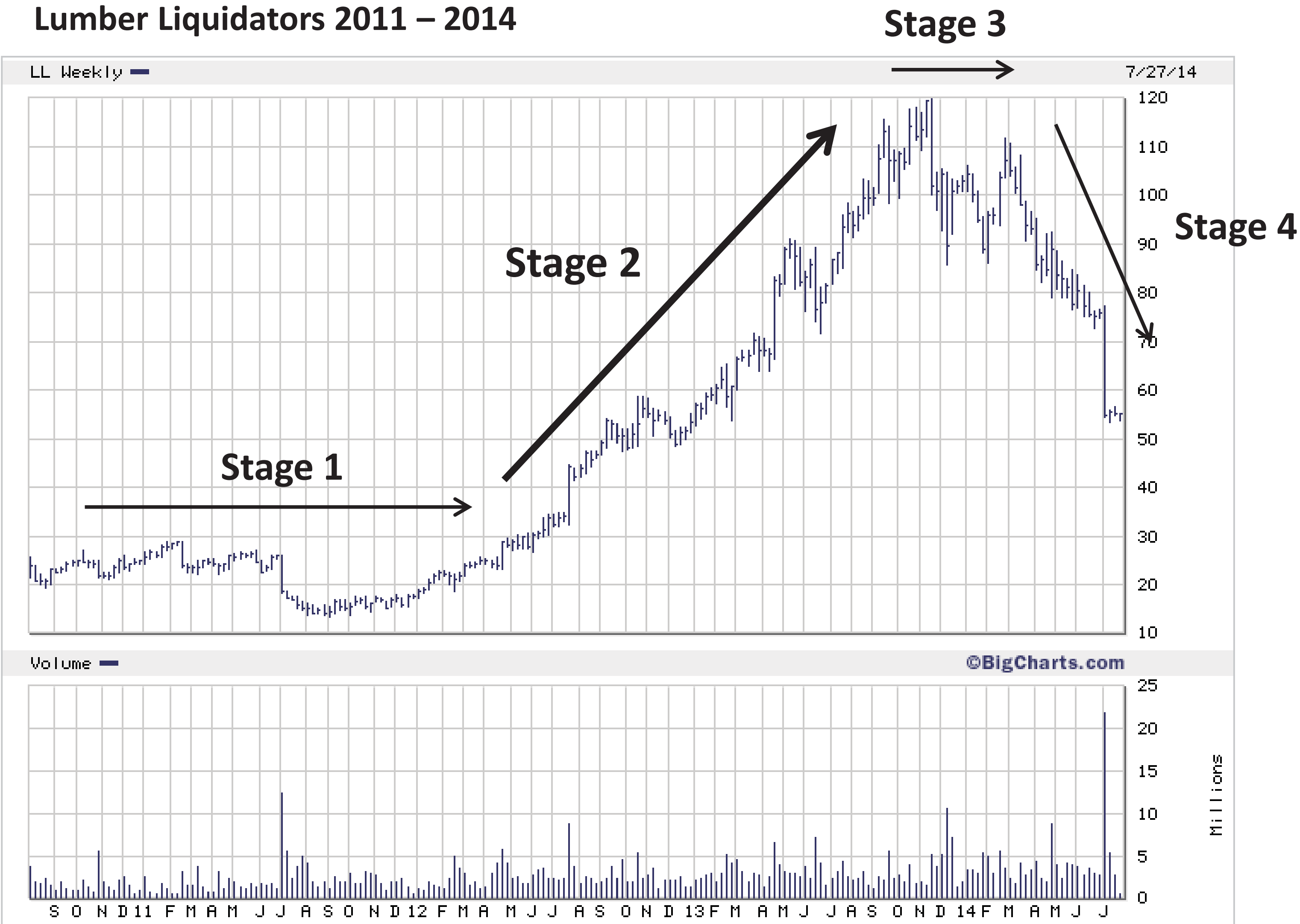
Stage Three – Topping Phase – **Distribution**

Stage Four – Declining Phase – **Capitulation**

Weight Watchers 2008 – 2012

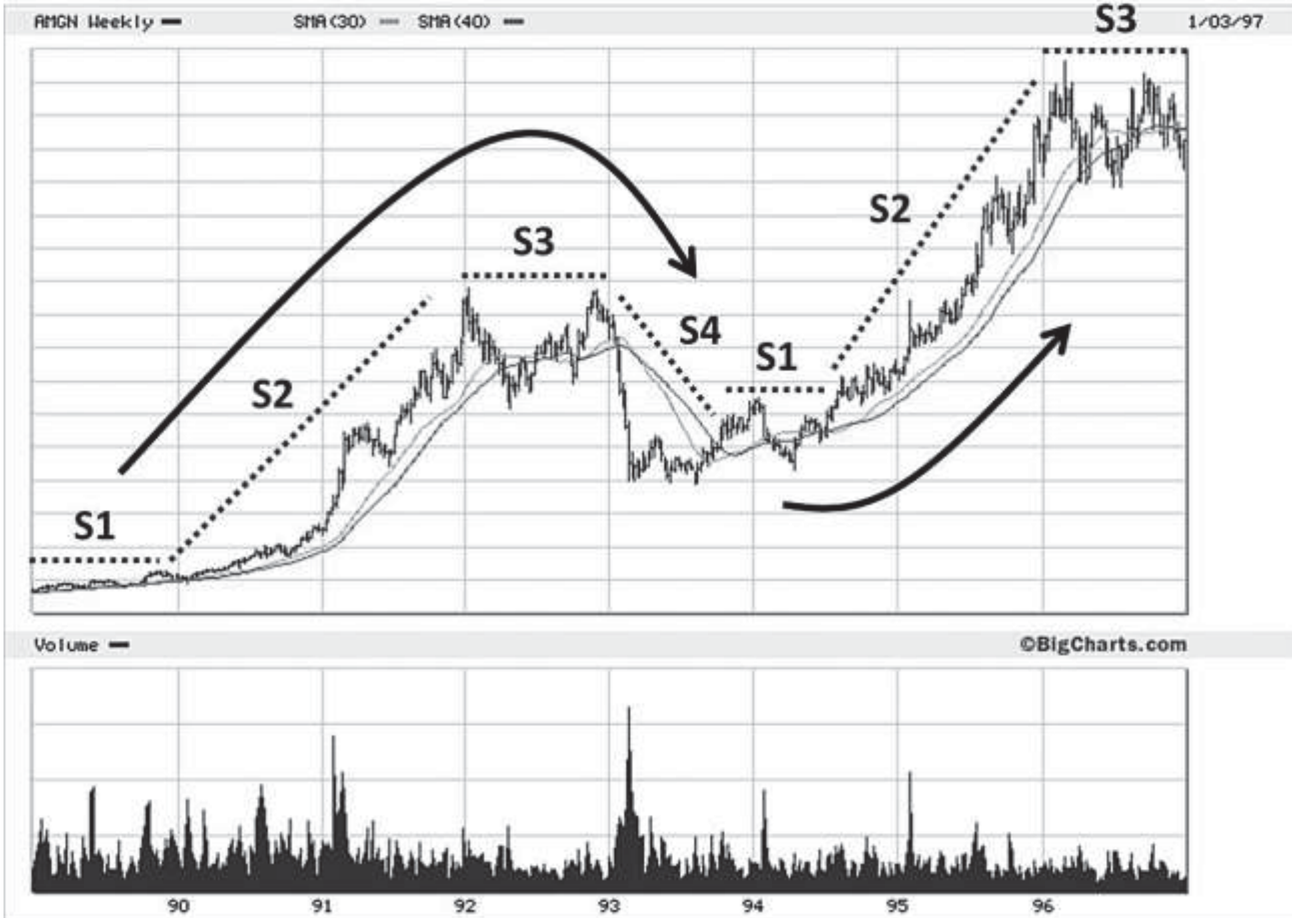


Lumber Liquidators 2011 – 2014

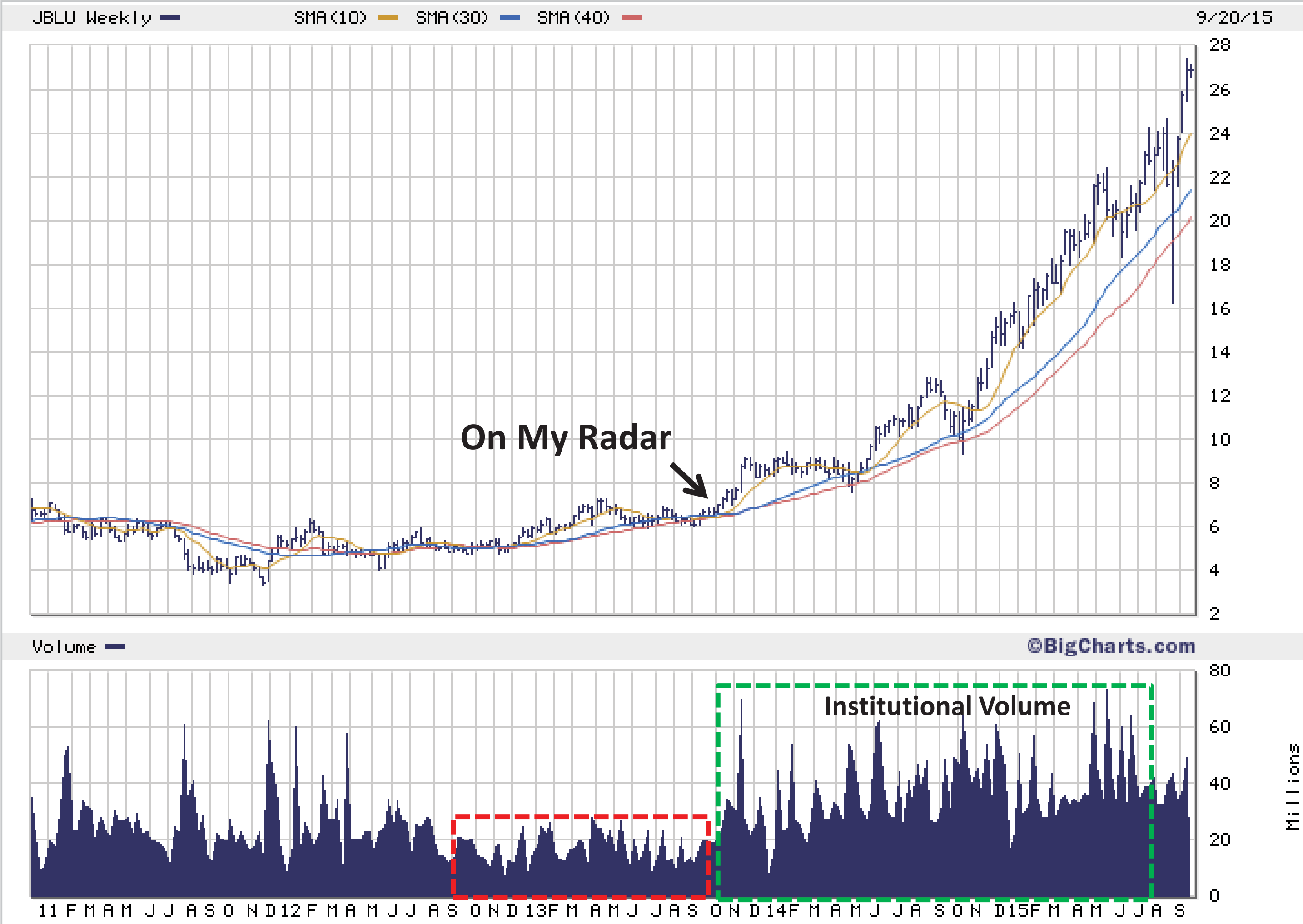


Crocs, Inc. 2006 – 2009

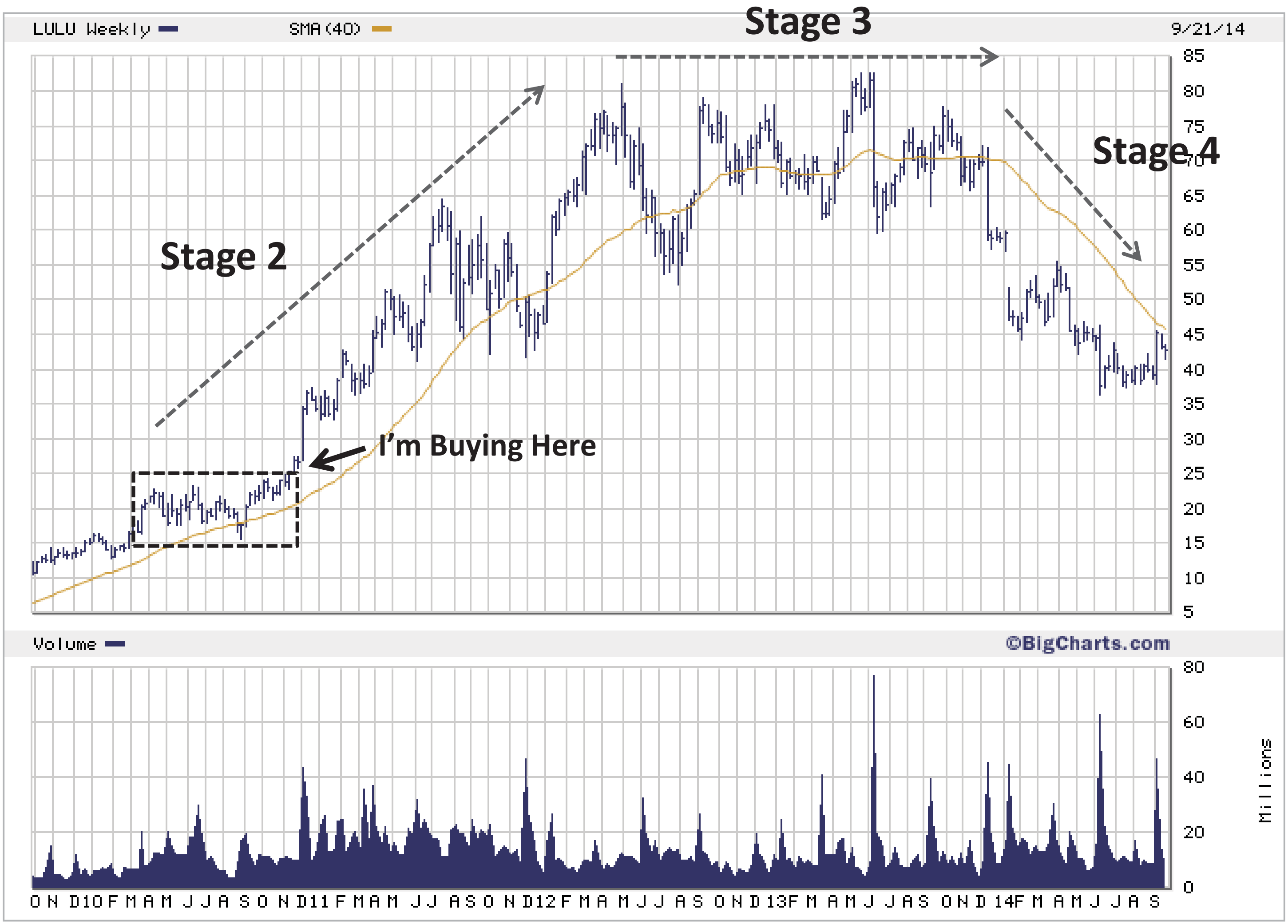
Amgen 1989 – 1997



JetBlue Airways



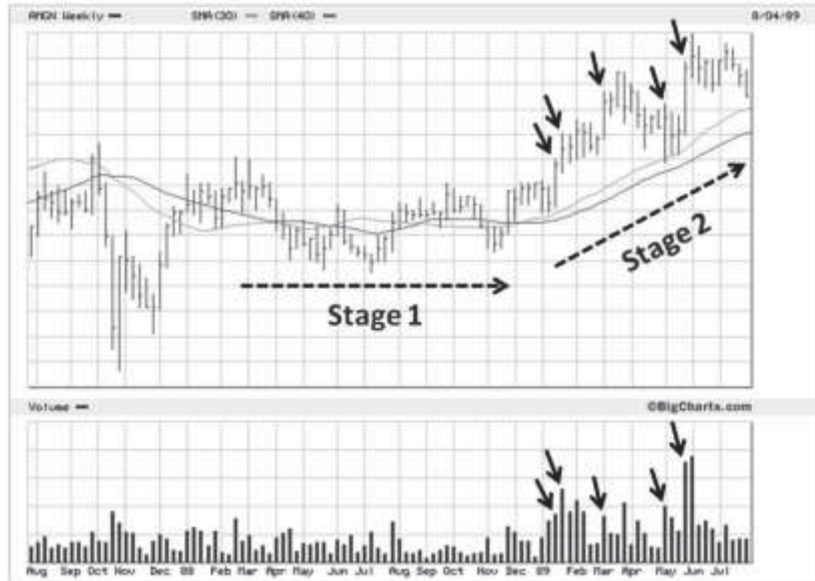
Lululemon 2010 – 2014



Valeant Pharmaceutical Intl. Inc. -93% in 15 months

Transition (daily)

Transition (weekly)



Transition Criteria

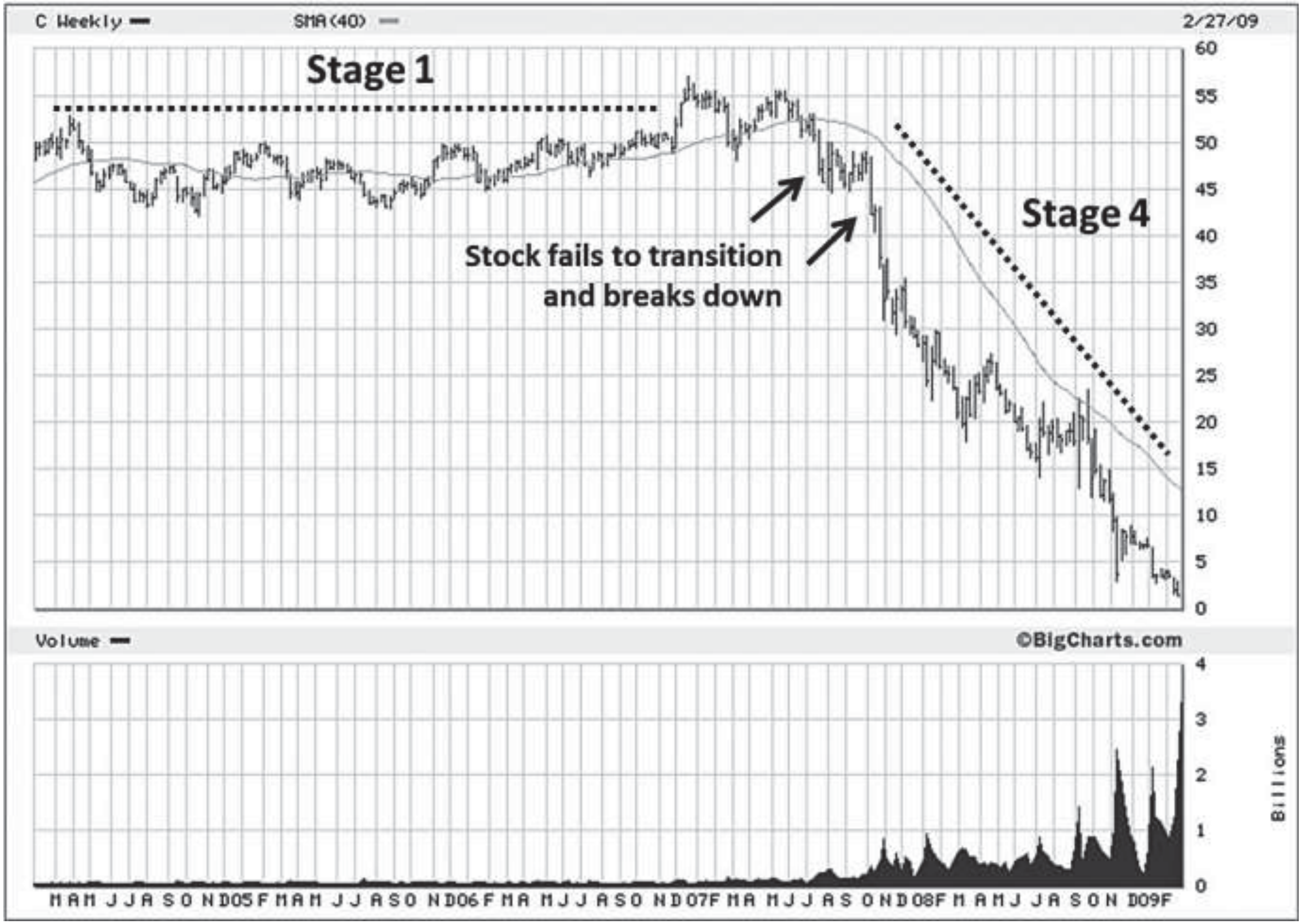
1. Stock price is above both the 150-day and 200-day moving averages
2. 150-day moving average is above the 200-day
3. The 200-day moving average has turned up
4. Stock price has made higher highs and a higher low

a. Large up weeks on volume spikes contrasted by low volume pullback weeks

b. More up weeks on increased volume than down weeks on volume

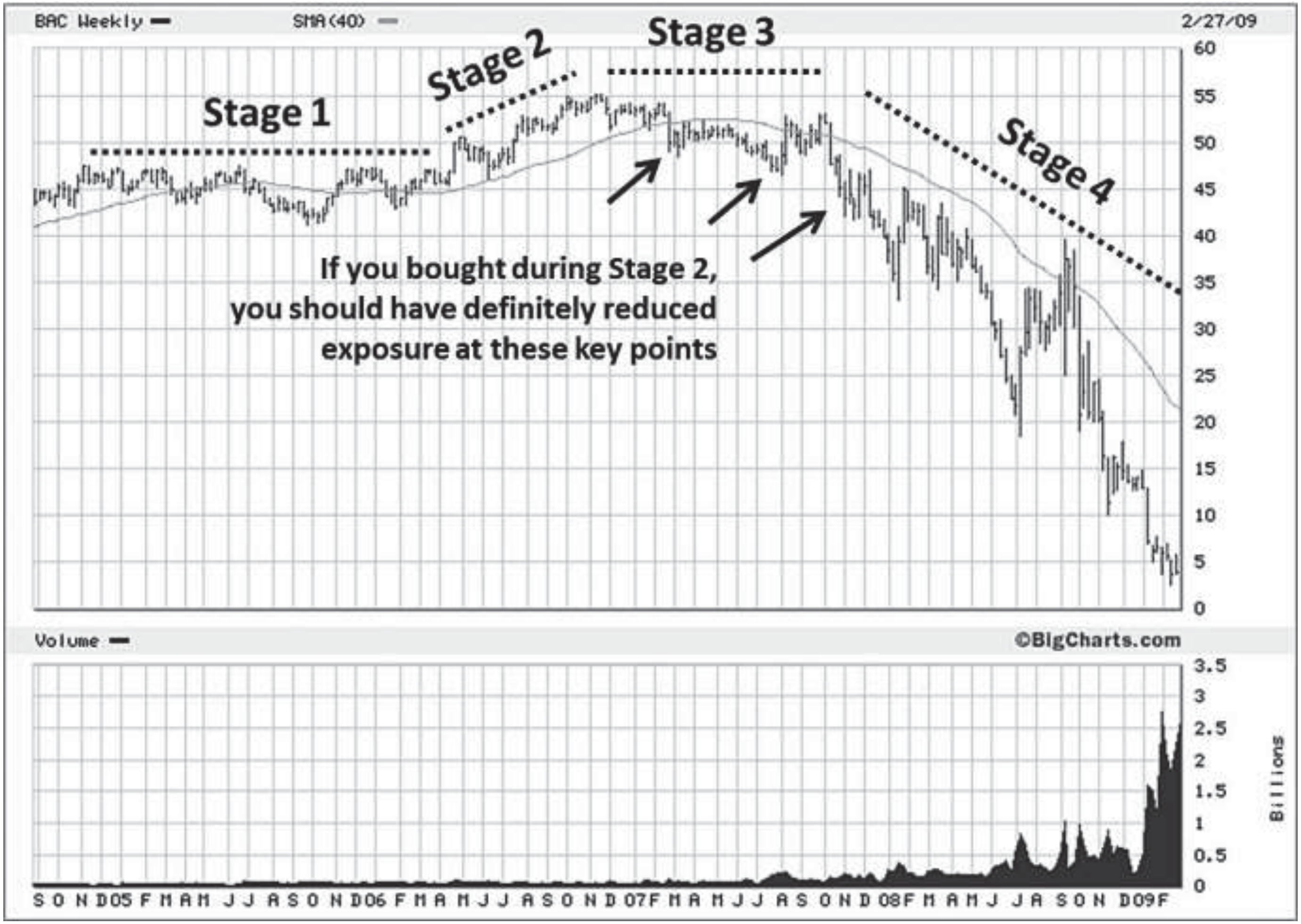
c. Supportive action on pullbacks – quick recoveries on increased volume

Citigroup



C Weekly
SMA(40)
2/27/09
Stage 1
Stage 4
Stock fails to transition
and breaks down
60
55
50
45
40
35
30
25
20
15
10
5
0
Volume
©BigCharts.com
4
3
2
1
0
Billions
M A M J J A S O N D 05 F M A M J J A S O N D 06 F M A M J J A S O N D 07 F M A M J J A S O N D 08 F M A M J J A S O N D 09 F

Bank of America



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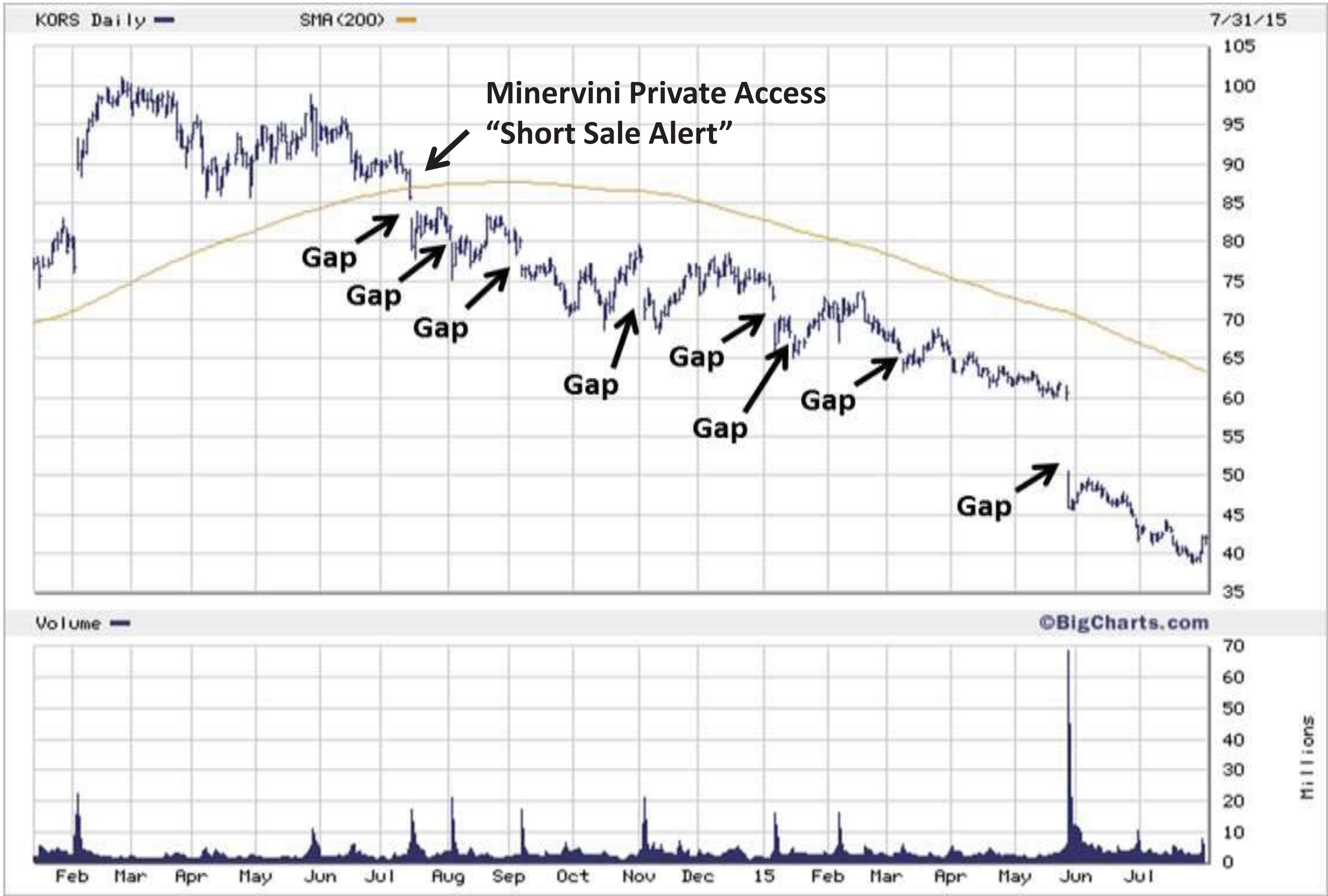
Beware the "Serial Gapper"



WHY TRADE WITH THE TREND?

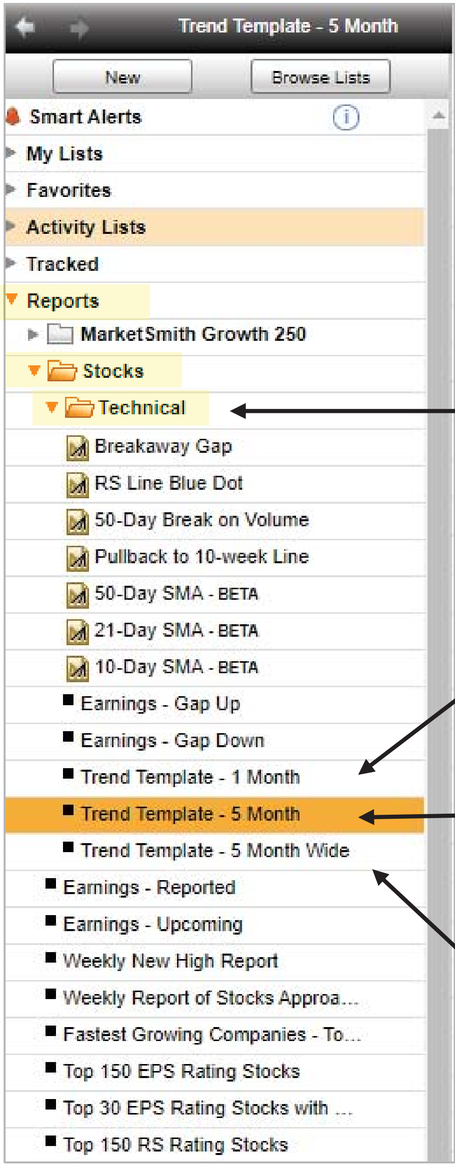
- 98% of big winning stock made the largest portion in their gain in a Stage 2 uptrend
- Evidence that institutions are buying
- Increase probability of success
- Know what to expect under specific conditions – point of reference

Your goal is not to buy at the lowest price – It’s to buy at the right price

Trend Template to Confirm STAGE 2 Uptrend

1. Stock price is above both the 150-day (30-week) and the 200-day (40-week) moving average price lines.
2. The 150-day moving average is above the 200-day moving average.
3. The 200-day moving average line is trending up for at least 1-month (preferably 4-5 months minimum).
4. The 50-day (10-week moving average) is above both the 150-day and the 200-day moving averages.
5. The current stock price is at least 25% above its 52-week low. (Many of the best selections will be 100%, 300% or even greater above their 52-week low before they emerge from a sound consolidation period and mount a large-scale advance).
6. The current stock price is within at least 25% of its 52-week high (the closer to a new high the better).
7. The relative strength ranking (as reported in Investor's Business Daily) is no less than 70, but preferably in the 90s, which will generally be the case with the better selections.
8. Current price is trading above the 50-day moving average (exception "Low Cheat" setups).

Note: the Relative Strength (RS) line should *not* be in a strong downtrend – I like to see the RS line in an uptrend for at least 6 weeks, preferably 13 weeks or more.



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BY INVESTOR'S BUSINESS DAILY

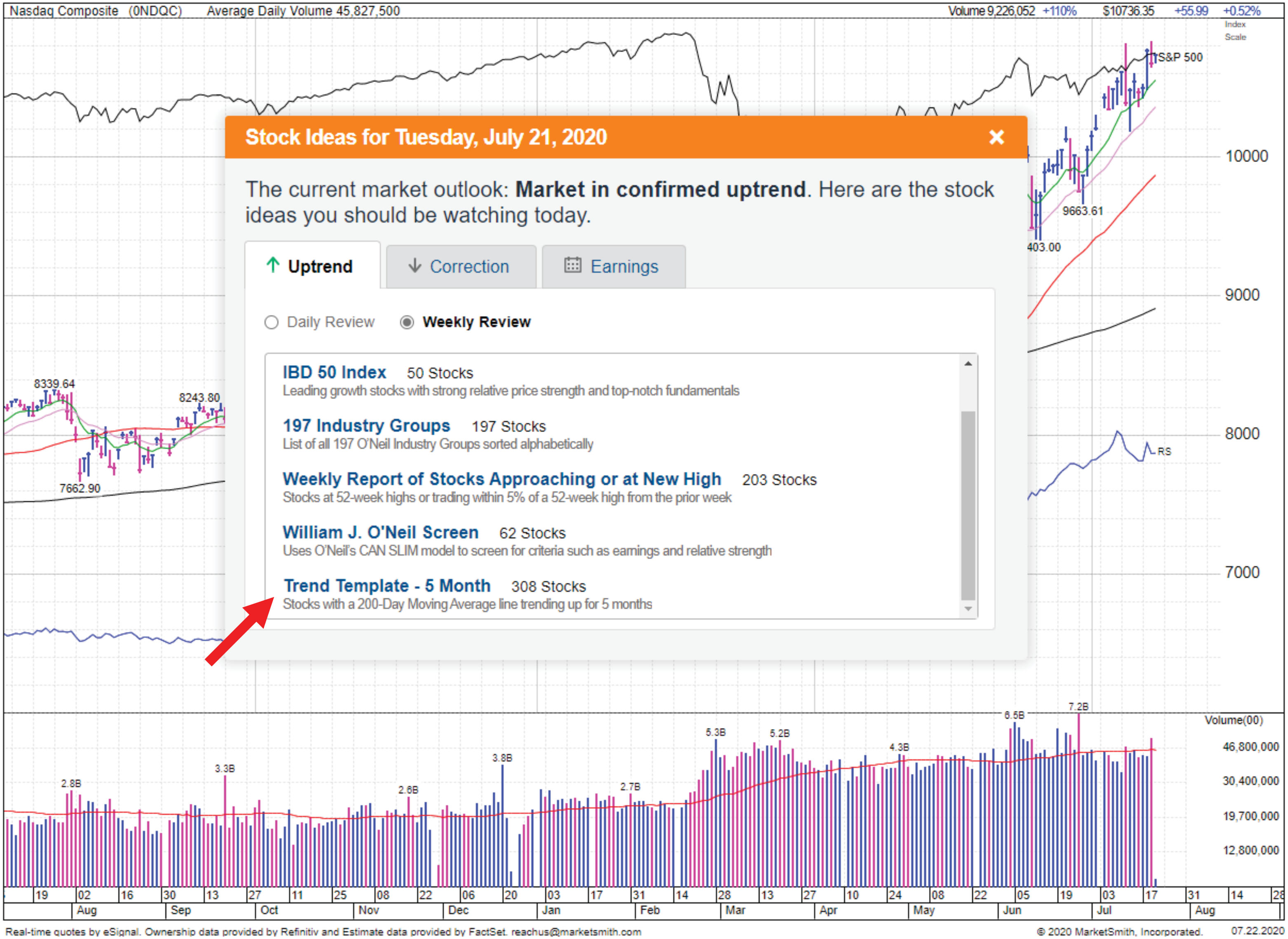
3 Trend Templates are located in the Reports -> Stocks -> Technical Folder

Use “Trend Template – 1 Month” for Power Play setups and early turns

Use “Trend Template – 5 Month” for stocks in clear uptrends

“Trend Template – 5 Month Wide” removes RS Rating and 50 Day Moving Average requirement to find stocks just below their 50 Day Moving Average for low cheat areas

Nasdaq Composite
Shortcut


Nasdaq Composite (0NDQC) Average Daily Volume 45,827,500
Volume 9,226,052 +110% $10736.35 +55.99 +0.52%
Index Scale
S&P 500
10000
9000
8000
7000
9663.61
403.00
8339.64
8243.80
7662.90
RS
Stock Ideas for Tuesday, July 21, 2020
The current market outlook: **Market in confirmed uptrend**. Here are the stock ideas you should be watching today.
Uptrend
Correction
Earnings
Daily Review
Weekly Review
IBD 50 Index 50 Stocks
Leading growth stocks with strong relative price strength and top-notch fundamentals
197 Industry Groups 197 Stocks
List of all 197 O'Neil Industry Groups sorted alphabetically
Weekly Report of Stocks Approaching or at New High 203 Stocks
Stocks at 52-week highs or trading within 5% of a 52-week high from the prior week
William J. O'Neil Screen 62 Stocks
Uses O'Neil's CAN SLIM model to screen for criteria such as earnings and relative strength
Trend Template - 5 Month 308 Stocks
Stocks with a 200-Day Moving Average line trending up for 5 months
Volume(00)
46,800,000
30,400,000
19,700,000
12,800,000
2.8B
3.3B
2.6B
3.8B
2.7B
5.3B
5.2B
4.3B
6.5B
7.2B
Aug
Sep
Oct
Nov
Dec
Jan
Feb
Mar
Apr
May
Jun
Jul
Aug
Real-time quotes by eSignal. Ownership data provided by Refinitiv and Estimate data provided by FactSet. reachus@marketsmith.com
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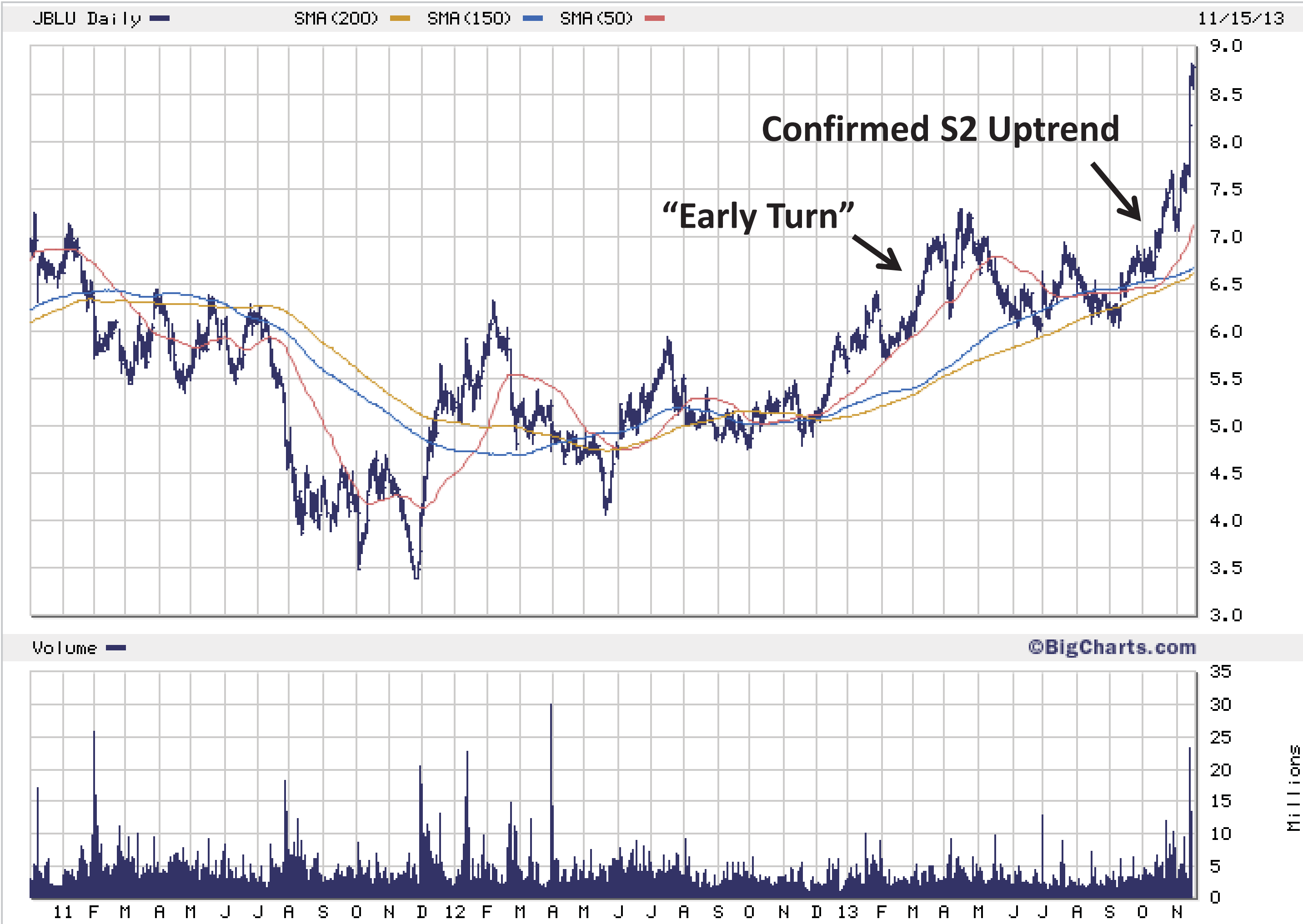
JetBlue Airways




Large Base
Large Base

- ✓ Categories
- ✓ Valuation
- ✓ The Trend

Fundamentals to Focus On

What Attracts Institutional Sponsorship

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Three Ways a Company Can Grow Earnings

Higher Sales

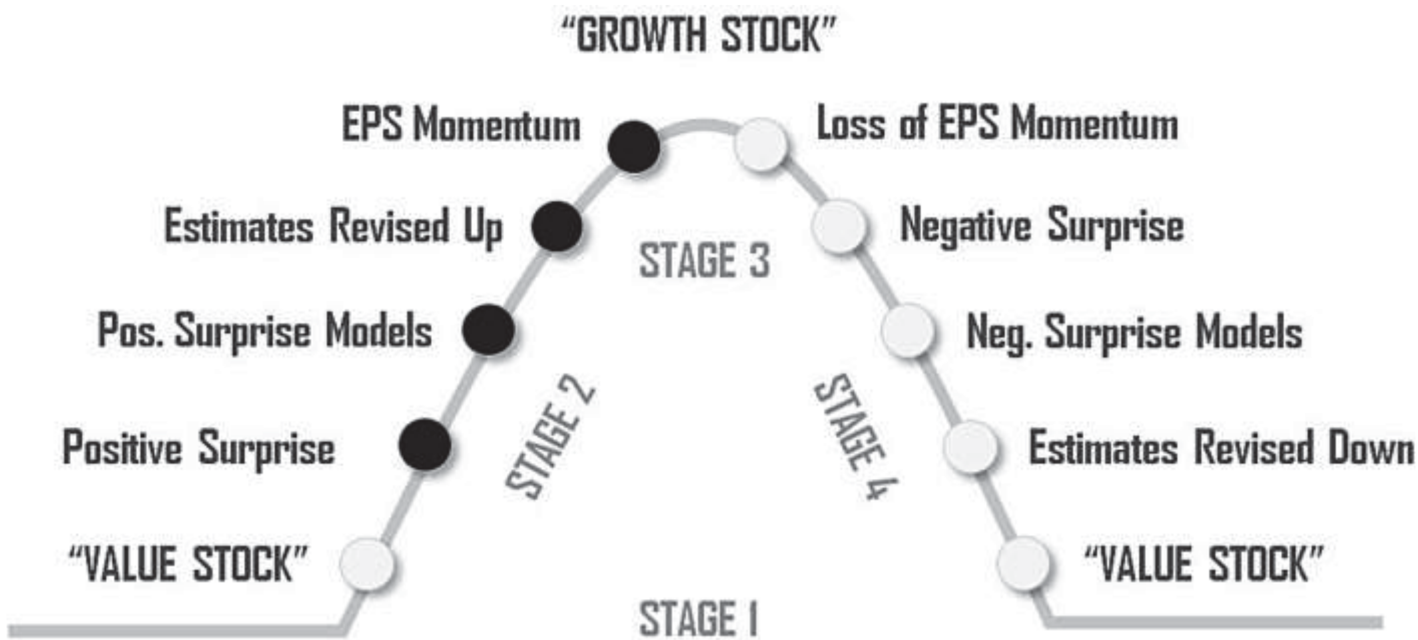
- Raise prices
- Sell more existing product
- Sell a new product

Higher Margins

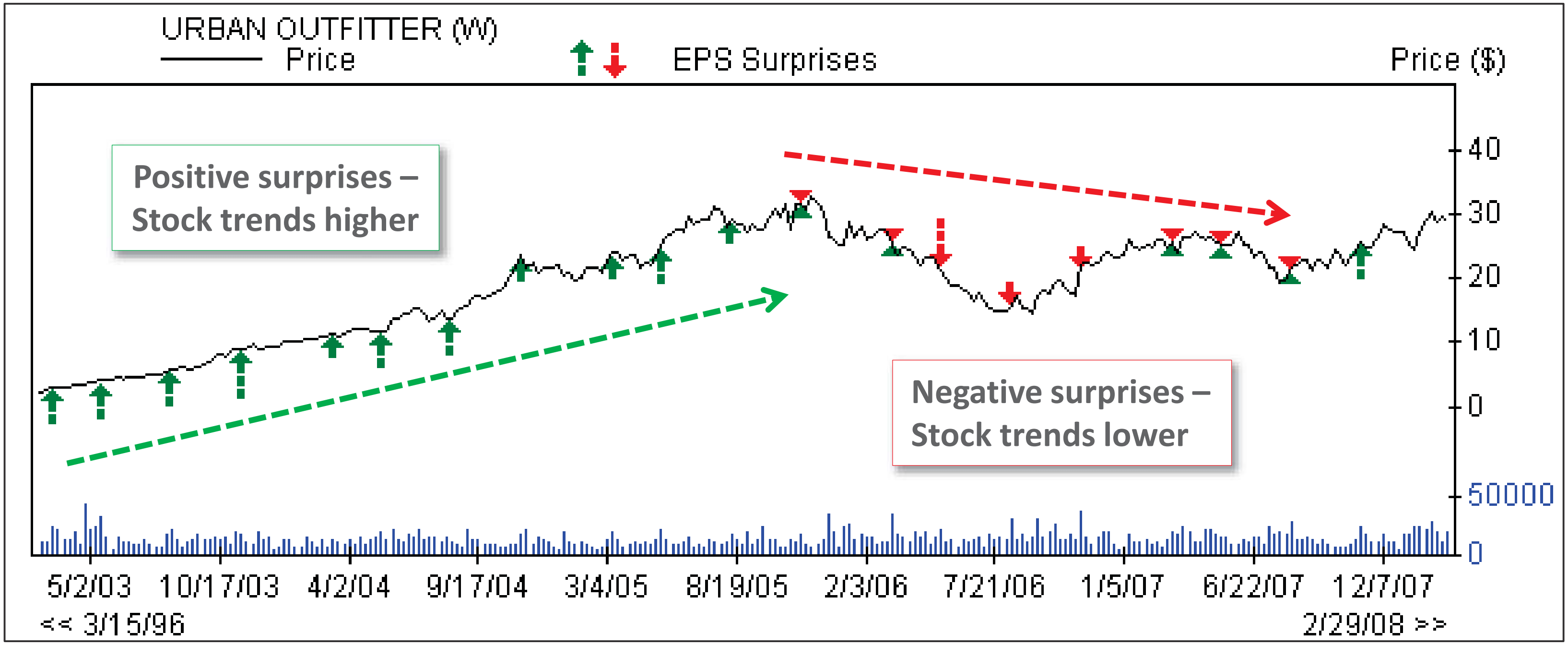
- Raise prices
- Cut costs
- Improve productivity
- Rid losing operations

✓ Higher EPS
✓ Multiple Expansion

The Earnings Maturation Cycle



Earnings Surprise



Earnings Estimate Revisions

Consensus EPS Earnings Trends
Estimates Trending Higher 30-Days Earlier

	This Quarter	Next Quarter	This Year	Next Year
Current	**0.34**	0.66	**1.32**	1.94
7 Days Ago	0.32	0.65	1.28	1.94
30 Days Ago	**0.29**	0.65	**1.18**	1.92
60 Days Ago	0.29	0.65	1.18	1.92
90 Days Ago	0.29	0.63	1.09	1.88

EPS Trends	Current Qtr. Oct 13	Next Qtr. Jan 14	Current Year Apr 14	Next Year Apr 15
Current Estimate	0.39	0.38	1.43	1.64
7 Days Ago	0.39	0.38	1.43	1.64
30 Days Ago	0.31	0.32	1.23	1.44
60 Days Ago	0.25	0.27	1.02	1.26
90 Days Ago	0.26	0.27	1.03	1.26

EPS Revisions	Current Qtr. Oct 13	Next Qtr. Jan 14	Current Year Apr 14	Next Year Apr 15
Up Last 7 Days	0	0	0	0
Up Last 30 Days	14	14	14	13
Down Last 30 Days	0	0	0	0
Down Last 90 Days	N/A	N/A	N/A	N/A

Estimates Revised

1. Slowly
2. Conservatively
3. Limited Visibility

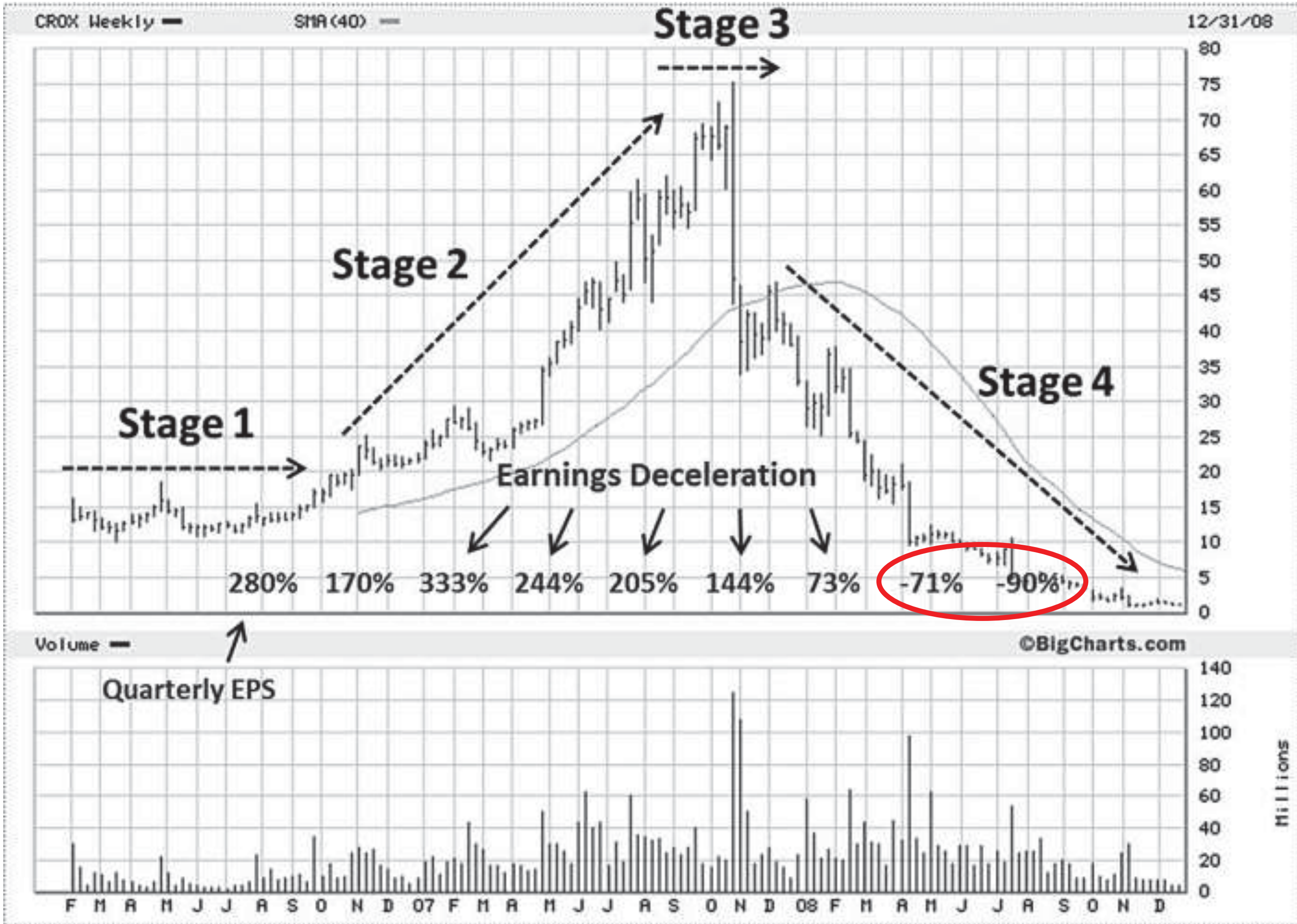
Creates Opportunity!

Post-Earnings Drift

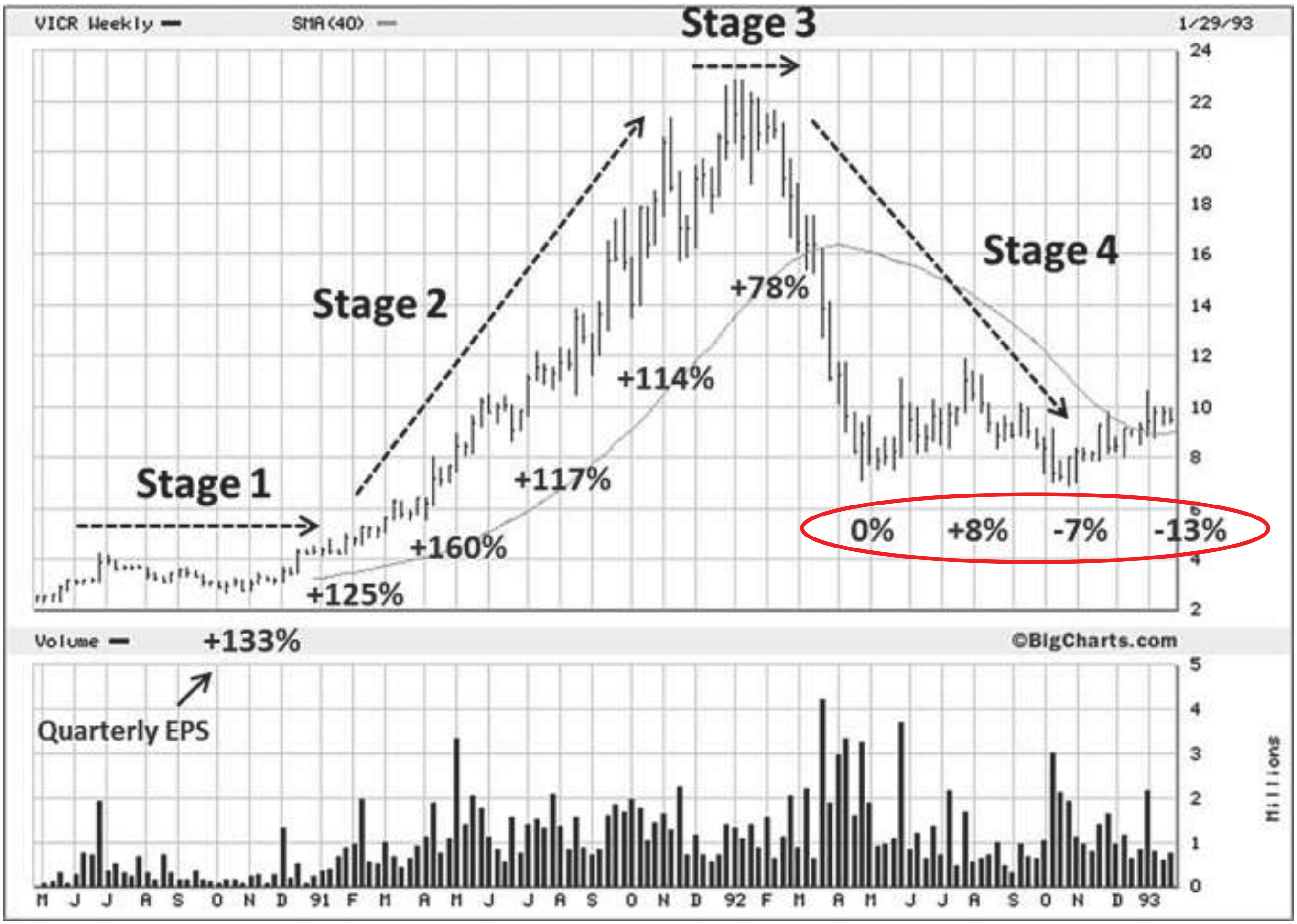
!!! IMPORTANT KEY RULE !!!

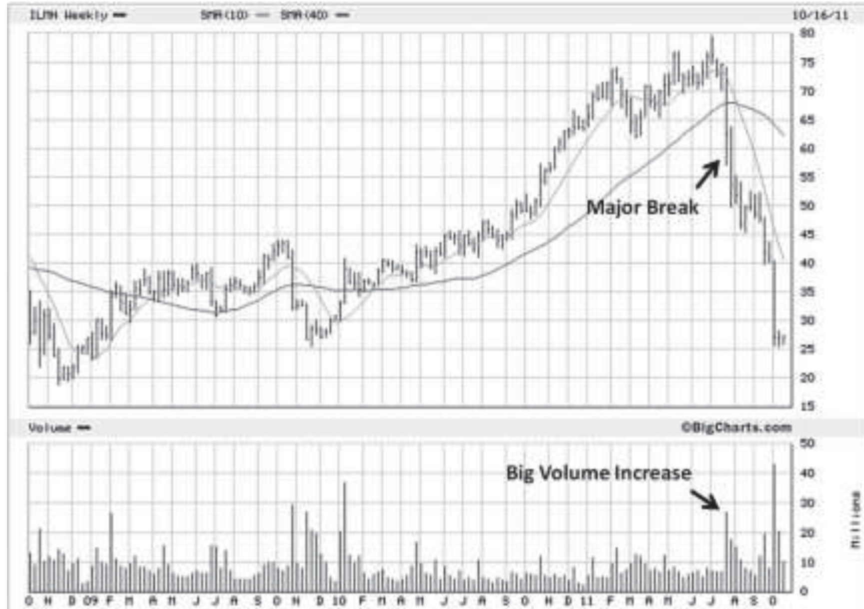
- Never trust the story
- Never trust the numbers
- Unless confirmed by price action

“Differential Disclosure”



CROX Weekly
SMA(40)
12/31/08
Stage 3
Stage 2
Stage 1
Stage 4
Earnings Deceleration
280%
170%
333%
244%
205%
144%
73%
-71%
-90%
Quarterly EPS
Volume
©BigCharts.com
Millions
80
75
70
65
60
55
50
45
40
35
30
25
20
15
10
5
0
140
120
100
80
60
40
20
0
F M A M J J A S O N D 07 F M A M J J A S O N D 08 F M A M J J A S O N D


VICR Weekly
SMA(40)
Stage 3
1/29/93
Stage 2
Stage 4
Stage 1
+78%
+114%
+117%
+160%
+125%
0%
+8%
-7%
-13%
24
22
20
18
16
14
12
10
8
6
4
2
Volume
+133%
©BigCharts.com
Quarterly EPS
5
4
3
2
1
0
Millions
M J J A S O N D 91 F M A M J J A S O N D 92 F M A M J J A S O N D 93

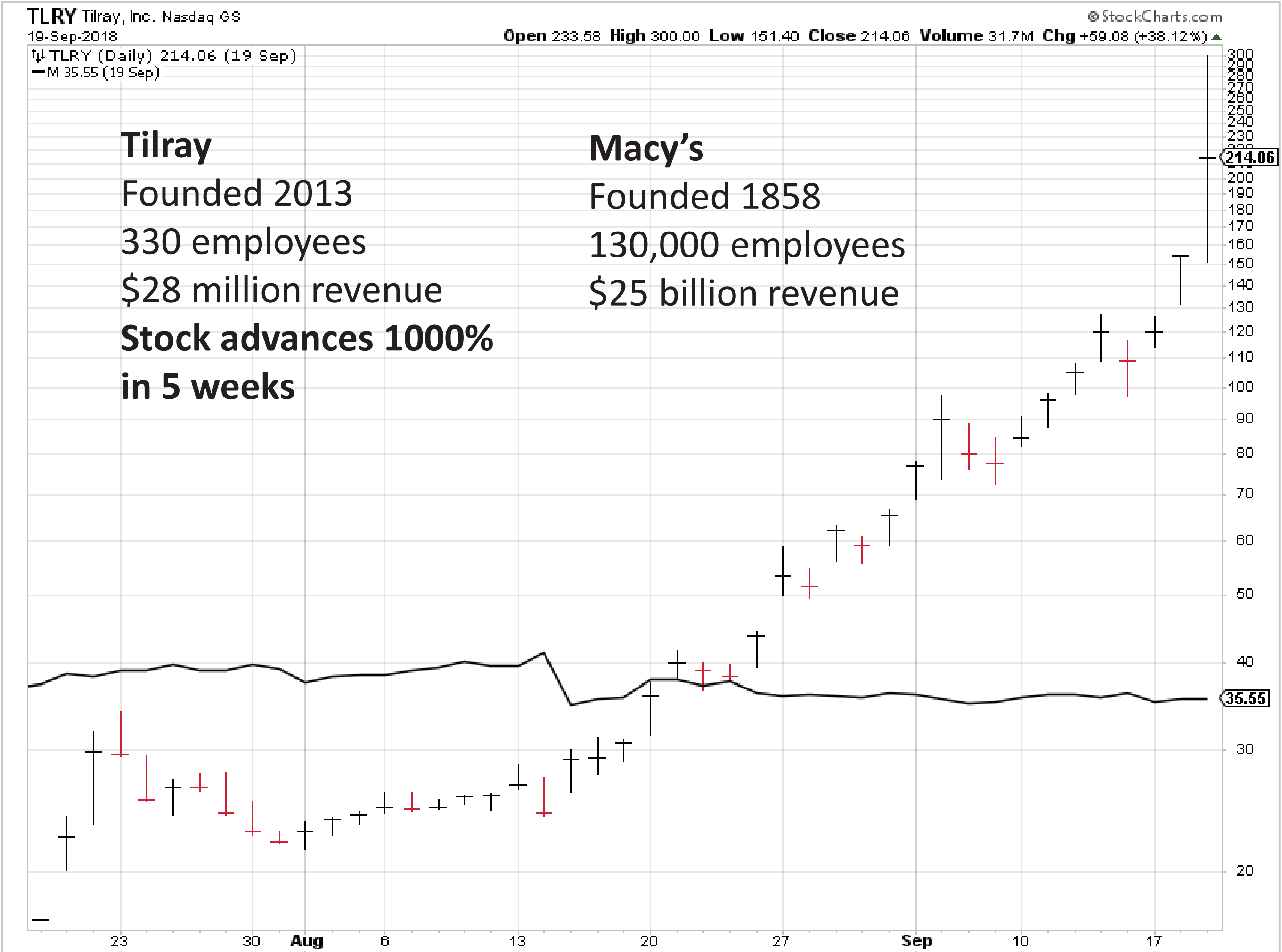


Telegram
@librosselectosdetrading
@cursos_trading_rank
@ranking_trading_courses
@Libros_Trading_Algoritmico

Company Issued Guidance


Great Earnings Near the Top
EPS +133%
Beat estimates by 0.14;
company guides higher
EPS +96%
Earnings still look good;
stock gets slammed
EPS +233%
Big quarter rallies stock back
into position for short sale
EPS+33%
Slowing growth starts to shows up
EPS +6%
Growth is gone
GMCR Green Mountain Coffee, Inc. Nasdaq GS
15-Nov-2012
Open 23.76 High 25.25 Low
GMCR (Weekly)
D 10 F M A M J J A S O N D 11 F M A M J J A S O N D 12 F M A M J J A S O N
150M
125M
100M
75M
50M
25M

Does a Good Company Make a Good Stock?



Quarterly Earnings Acceleration

	Q4	Q1	Q2	Q3	Q4 (EST.)
EPS	-34%	+12%	+44%	+83%	+244%
EPS ($)	0.14	0.29	0.39	0.50	
ESTIMATE	0.16	0.23	0.30	0.36	0.48
+/-	-0.02	0.06	0.09	0.14	

- **Check the most recent 3 quarters**
- **Check estimates for upcoming 1 – 2 quarters**


Gilead Sciences Inc
Add to List: Indices
Gilead Sciences Inc (GILD) NASDAQ Medical-Biomed/Biotech Average Daily Volume 13,783,700
DEVELOPS THERAPEUTICS TO TREAT VIRAL, FUNGAL, RESPIRATORY AN D CARDIOVASCULAR DISEASES.
Volume 14,344,000
$104.42 -0.34
www.gilead.com
Year (Dec) EPS ($) Price($) High Low
2007 0.91 23 15
2008 1.10 28 17
2009 1.53 26 20
2010 1.85 24 15
2011 1.93 21 17
2012 1.95 38 20
2013 2.04 76 35
2014 8.01 est. 293%
2015 9.36 est. 17%
EPS Rating 96
Group RS Rating A
SMR Rating A
Acc/Dis Rating B-
Composite Rating 99
Timeliness Rating A
Growth Rate 14%
P/E 21 (1.2 X SP)
Mkt Cap $157.85 Bil
Shares 1511.7 Mil
Funds 56%
I'm Buying Here
S&P 500
RS Rating
97
Price Scale
Volume
Quarter Ended September 30, 2013
0.52 vs 0.50 +4%
2782.8 vs 2426.6 +15%
N/A 25 – 32
Quarter Ended December 31, 2013
0.55 vs 0.50 +10%
3119.8 vs 2588.3 +21%
N/A 28 – 37
Quarter Ended March 31, 2014
1.48 vs 0.48 +208%
4999.0 vs 2531.6 +97%
N/A 22 – 27
Quarter Ended June 30, 2014
2.36 vs 0.50 +372%
6534.9 vs 2767.4 +136%
N/A 12 – 17
EPS Due 10/27
Earnings ($)
Sales ($Mil)
Div--P/E Range
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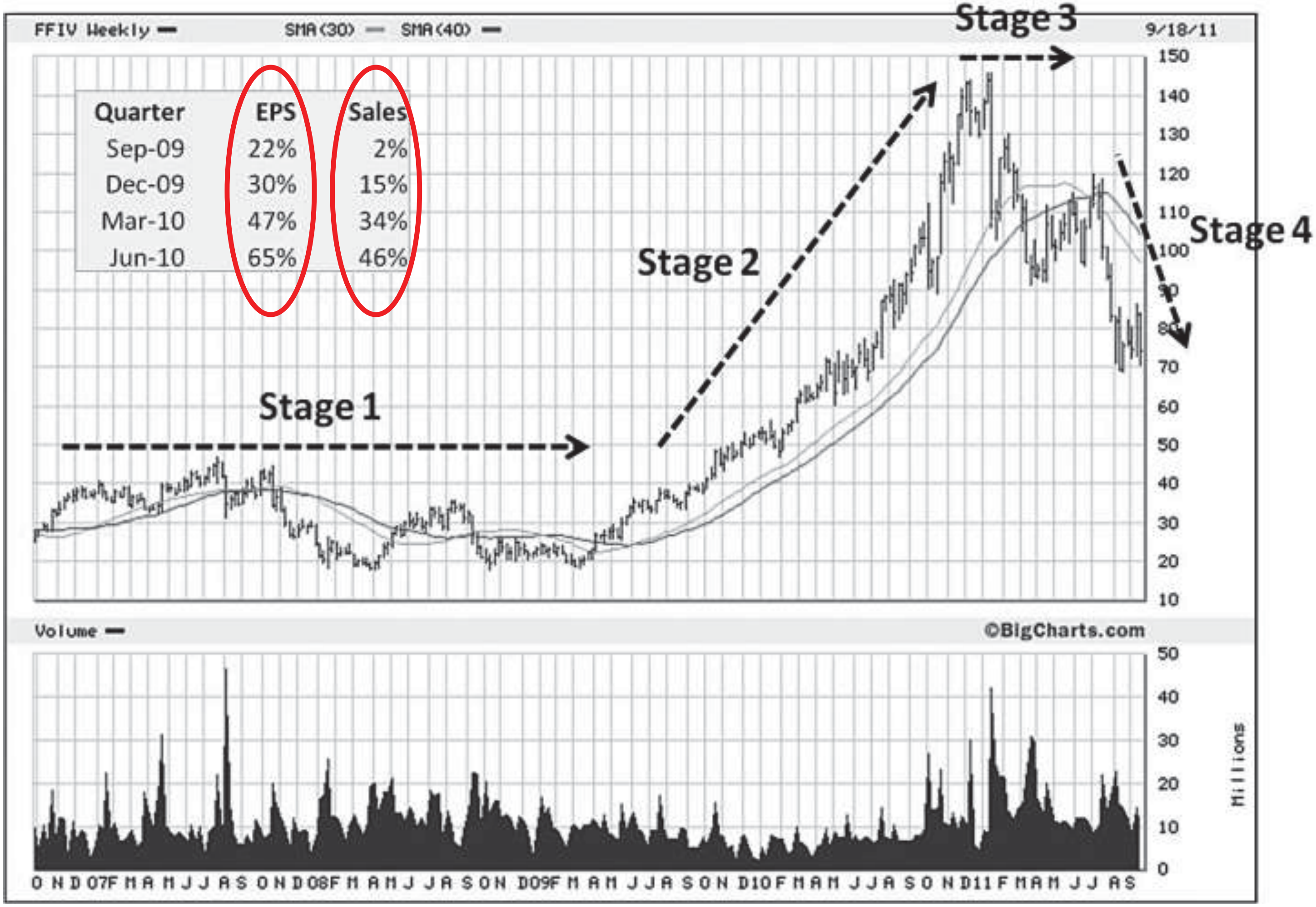
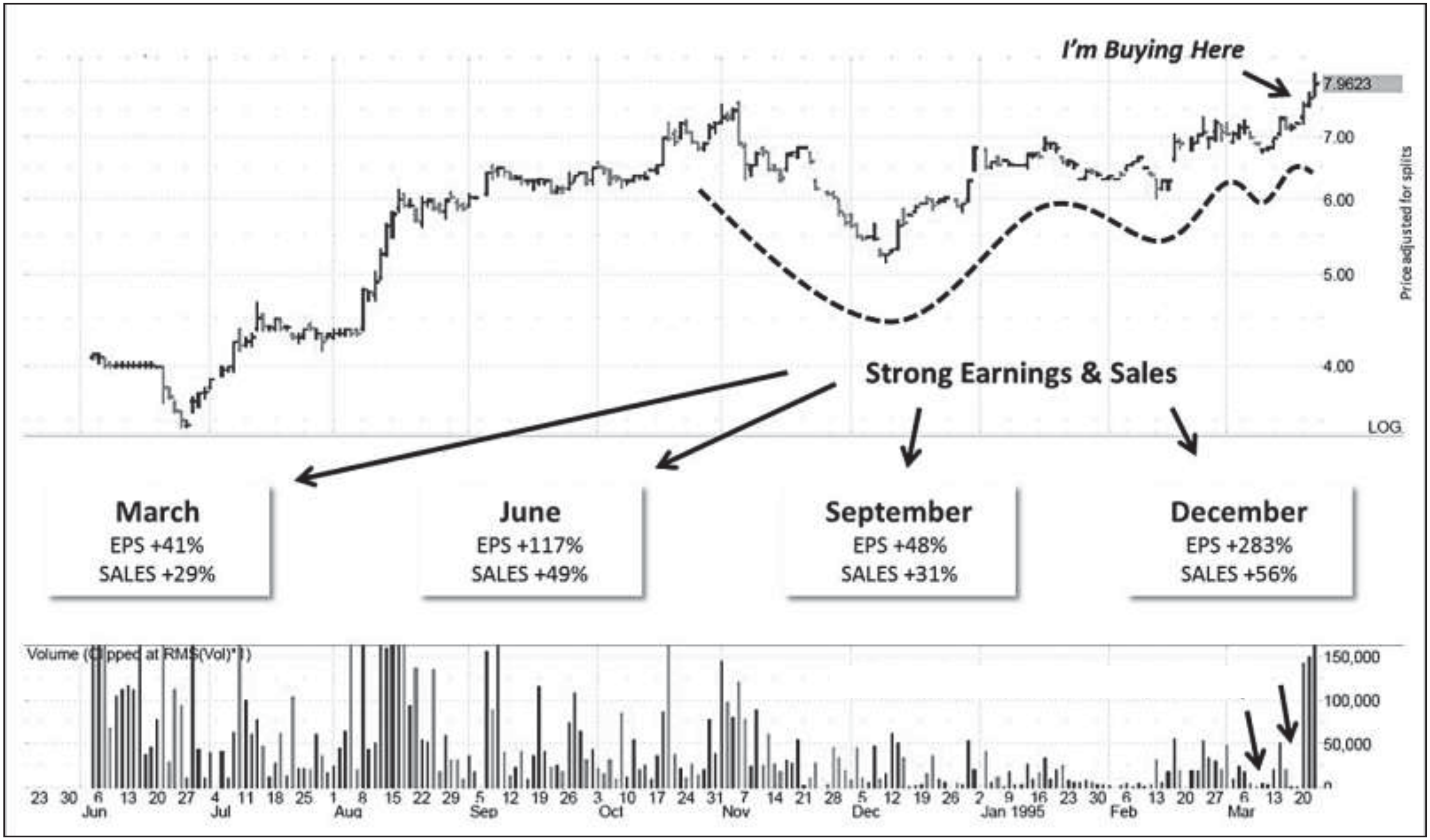
09.17.2014

F-5 Networks 2007 – 2011

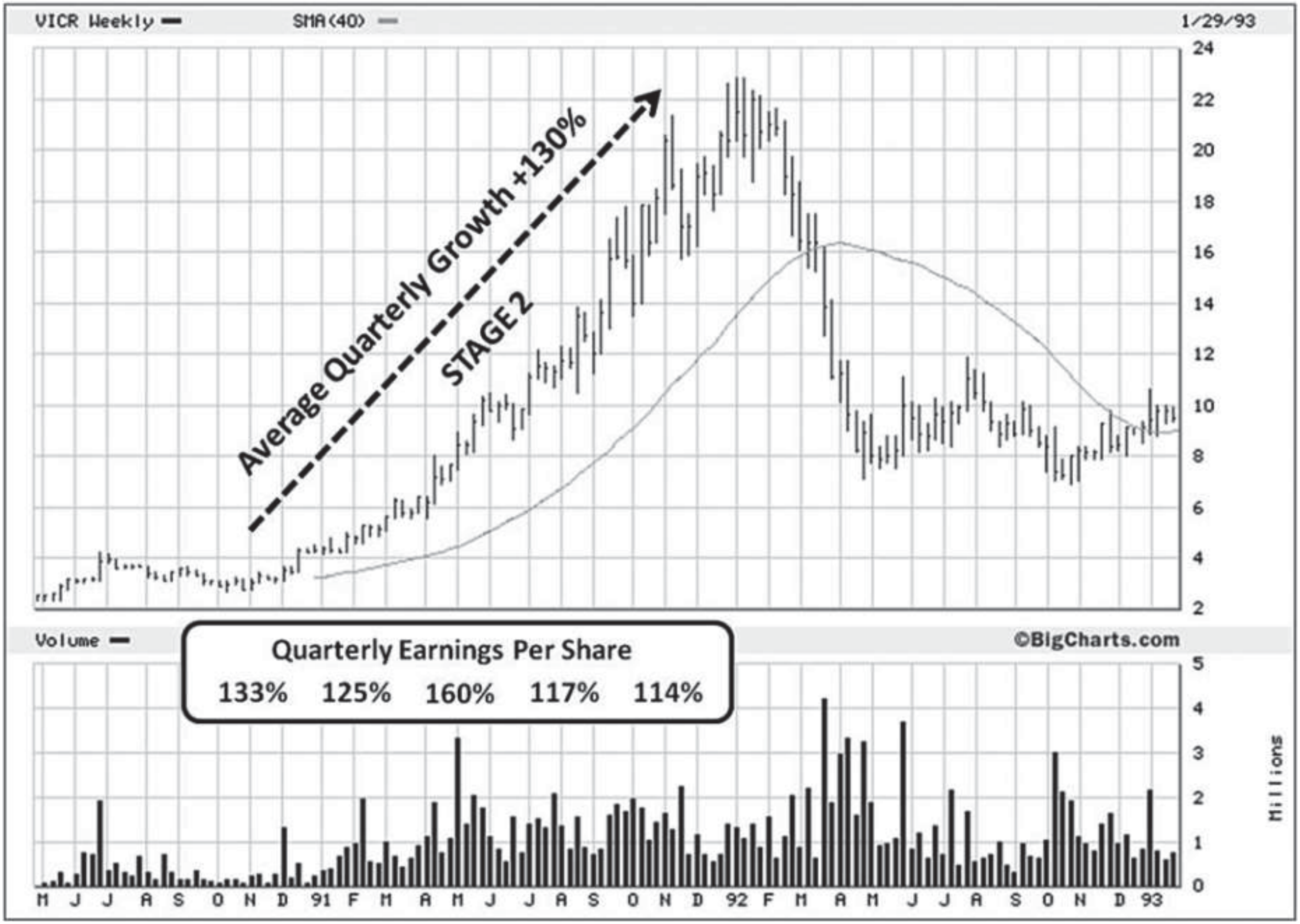


Kenneth Cole Productions



Facebook 2012 – 2013

Big Earnings Produce Big Stock Moves



Triple-Digit EPS is Good Enough

Annual Earnings

NASDAQ Composite Index

vs.

Apollo Group

Home Depot 1992 – 2007

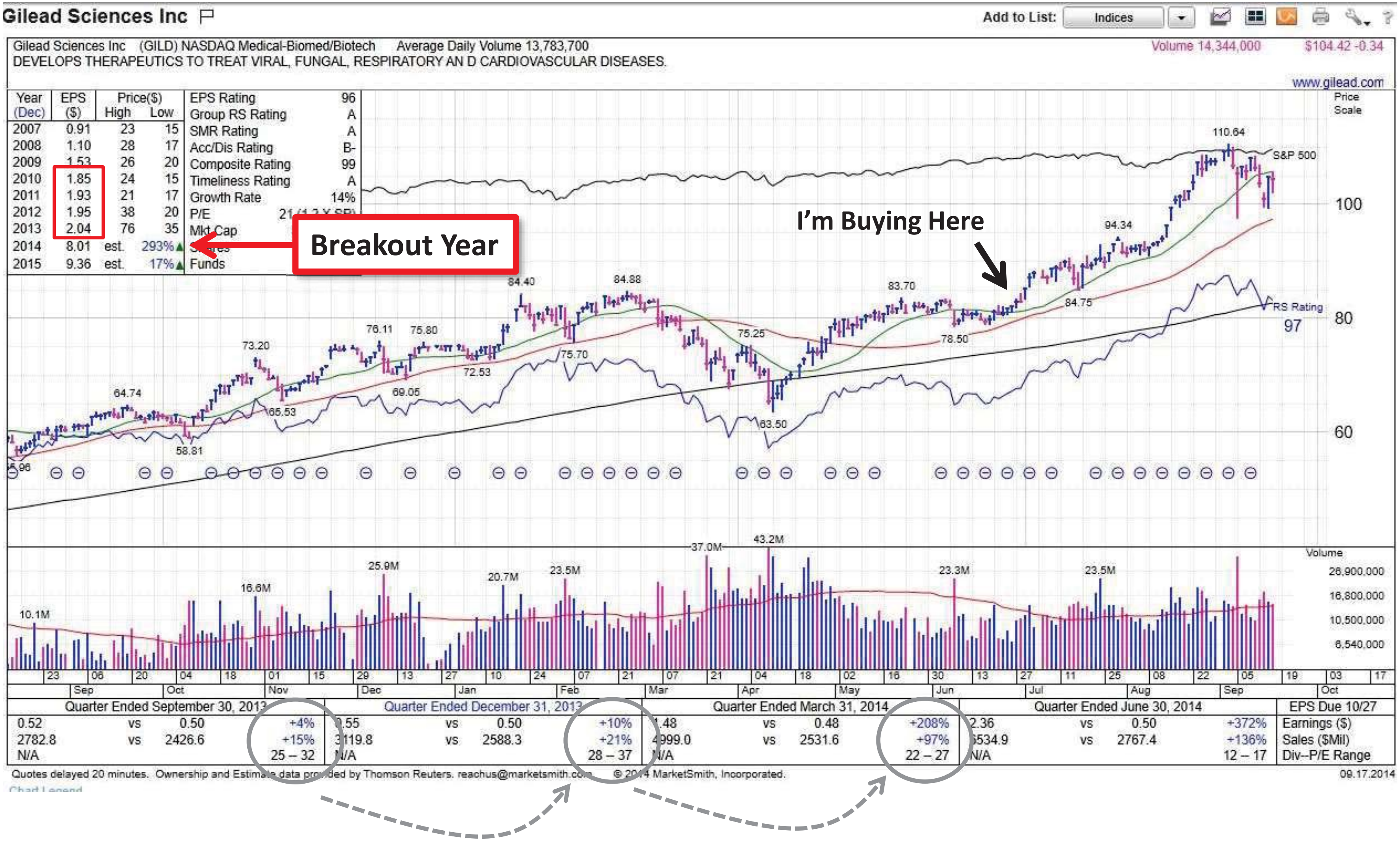
Look for a “Breakout Year”

- Watch current EPS
- Watch estimates

YEAR	EPS ($)	% CNG
2003	1.13	
2004	1.02	
2005	0.83	
2006	0.23	
2007	0.26	
2008	0.18	
2009	0.32	
2010	1.32	+312%
2011 (est.)	1.94	+47%

4 Years Range Bound

Breakout



MASTER TRADER PROGRAM
with Mark Minervini

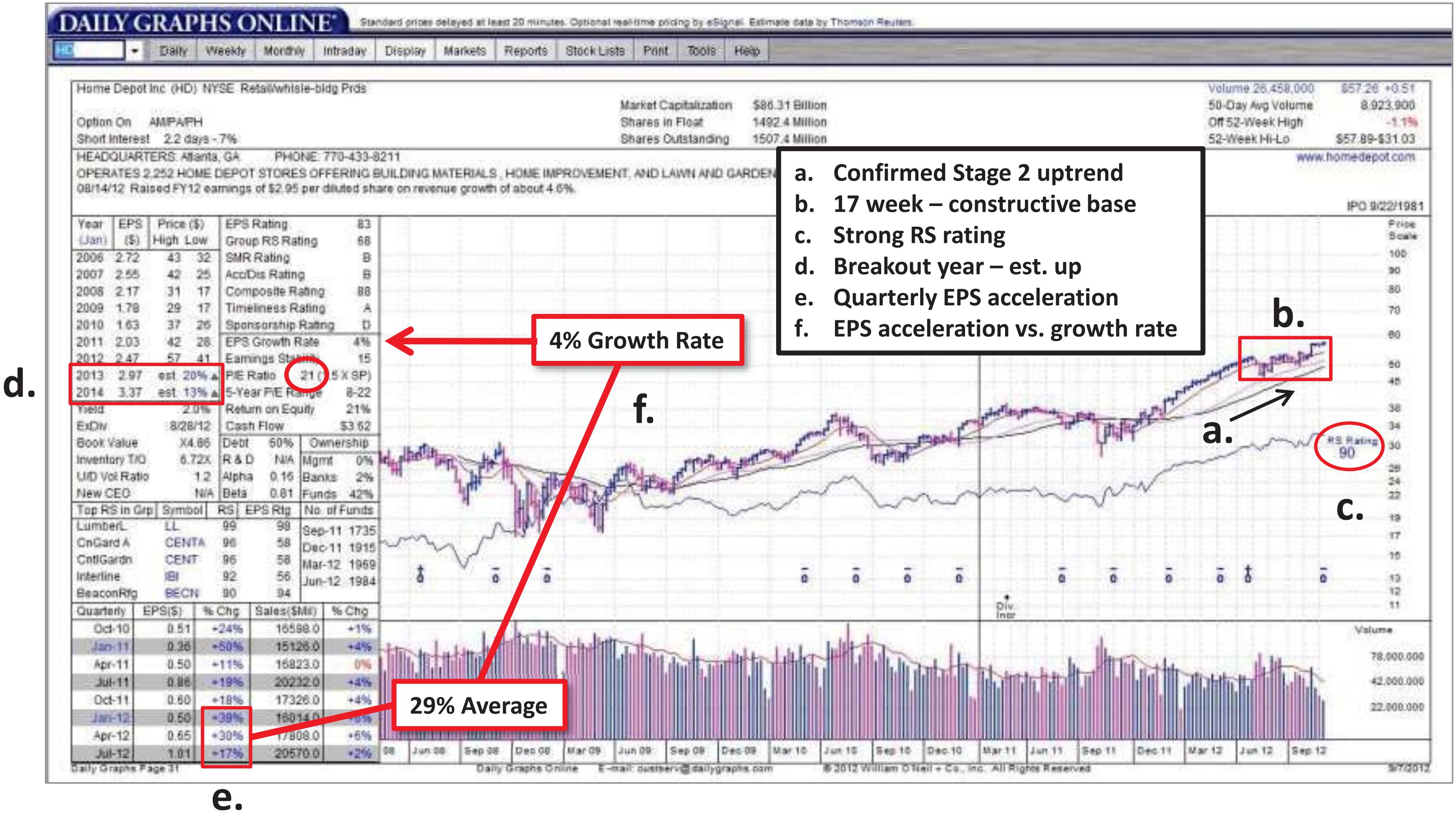
Acceleration vs. Growth Rate

- *Turnaround situations*
  Easy "comps"
- *Demand big EPS in the most recent 2 quarters*

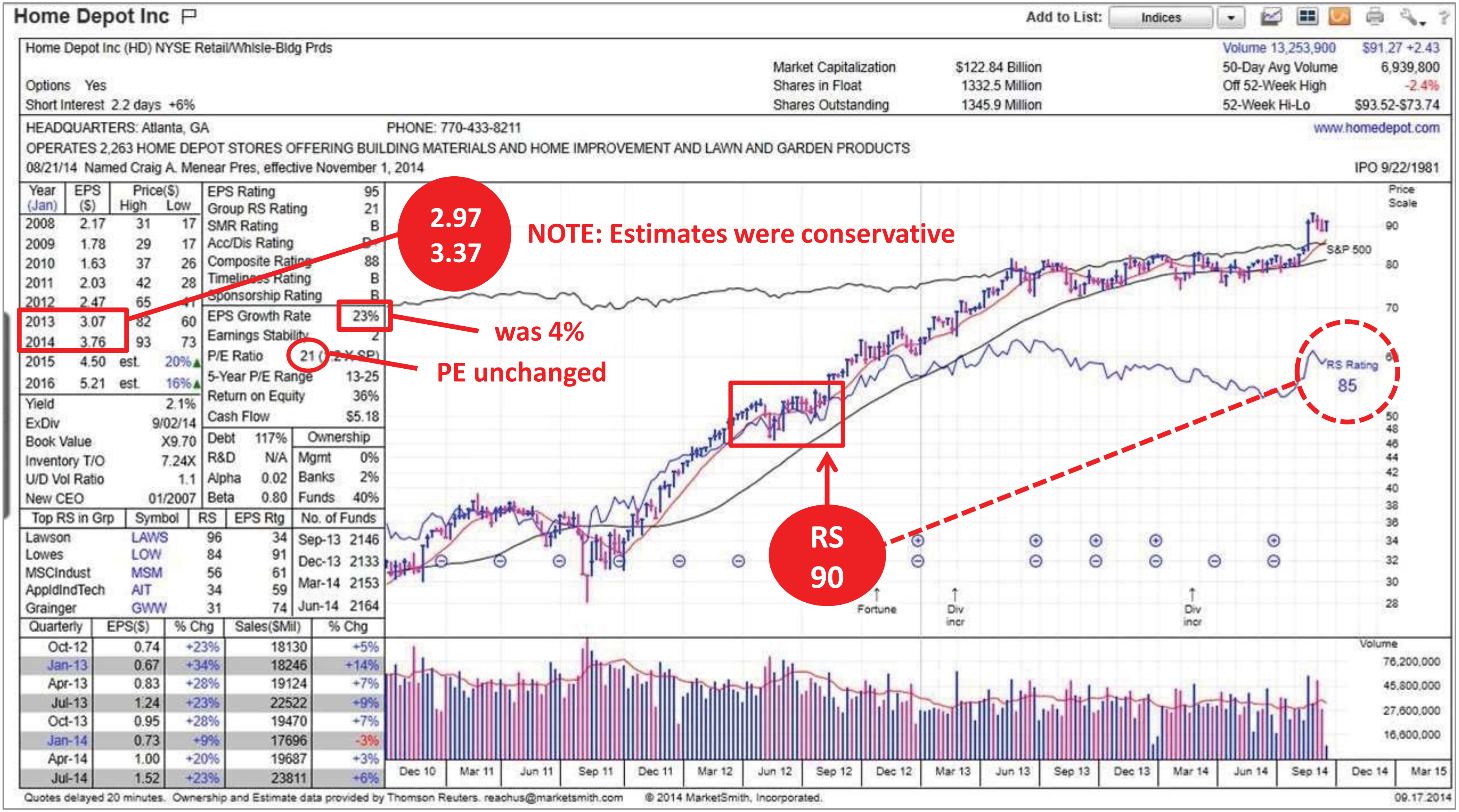
3-YR GR	+12%
5-YR GR	-7%

	Q4	Q1	Q2	Q3	Q4 (EST.)
EPS	-88%	-7%	+44%	+183%	+900%
EPS ($)	0.01	0.10	0.39	0.50	
ESTIMATE	0.03	0.09	0.30	0.36	0.10
+/-	-0.02	0.01	0.09	0.14	

From 2013 Master Trader Program Workbook



1-Year Later



Home Depot Inc
Add to List: Indices
Home Depot Inc (HD) NYSE Retail/Whlsle-Bldg Prds
Volume 13,253,900 $91.27 +2.43
Market Capitalization $122.84 Billion
Shares in Float 1332.5 Million
Shares Outstanding 1345.9 Million
50-Day Avg Volume 6,939,800
Off 52-Week High -2.4%
52-Week Hi-Lo $93.52-$73.74
Options Yes
Short Interest 2.2 days +6%
HEADQUARTERS: Atlanta, GA
PHONE: 770-433-8211
www.homedepot.com
OPERATES 2,263 HOME DEPOT STORES OFFERING BUILDING MATERIALS AND HOME IMPROVEMENT AND LAWN AND GARDEN PRODUCTS
08/21/14 Named Craig A. Menear Pres, effective November 1, 2014
IPO 9/22/1981
Year (Jan) | EPS ($) | Price($) High | Low
2008 2.17 31 17
2009 1.78 29 17
2010 1.63 37 26
2011 2.03 42 28
2012 2.47 65 41
2013 3.07 82 60
2014 3.76 93 73
2015 4.50 est. 20%
2016 5.21 est. 16%
Yield 2.1%
ExDiv 9/02/14
Book Value X9.70
Inventory T/O 7.24X
U/D Vol Ratio 1.1
New CEO 01/2007
EPS Rating 95
Group RS Rating 21
SMR Rating B
Acc/Dis Rating D
Composite Rating 88
Timeliness Rating B
Sponsorship Rating B
EPS Growth Rate 23%
Earnings Stability 2
P/E Ratio 21 (1.2 X SP)
5-Year P/E Range 13-25
Return on Equity 36%
Cash Flow $5.18
Debt 117%
R&D N/A
Alpha 0.02
Beta 0.80
Ownership
Mgmt 0%
Banks 2%
Funds 40%
Top RS in Grp | Symbol | RS | EPS Rtg
Lawson LAWS 96 34
Lowes LOW 84 91
MSCIndust MSM 56 61
AppldIndTech AIT 34 59
Grainger GWW 31 74
No. of Funds
Sep-13 2146
Dec-13 2133
Mar-14 2153
Jun-14 2164
Quarterly | EPS($) | % Chg | Sales($Mil) | % Chg
Oct-12 0.74 +23% 18130 +5%
Jan-13 0.67 +34% 18246 +14%
Apr-13 0.83 +28% 19124 +7%
Jul-13 1.24 +23% 22522 +9%
Oct-13 0.95 +28% 19470 +7%
Jan-14 0.73 +9% 17696 -3%
Apr-14 1.00 +20% 19687 +3%
Jul-14 1.52 +23% 23811 +6%
2.97
3.37
NOTE: Estimates were conservative
was 4%
PE unchanged
RS 90
S&P 500
RS Rating
85
Price Scale
Fortune
Div incr
Volume
76,200,000
45,800,000
27,600,000
16,600,000
Dec 10 Mar 11 Jun 11 Sep 11 Dec 11 Mar 12 Jun 12 Sep 12 Dec 12 Mar 13 Jun 13 Sep 13 Dec 13 Mar 14 Jun 14 Sep 14 Dec 14 Mar 15
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09.17.2014

From 2014 Master Trader Program Workbook

1-Year Later

Lumber Liquidators Hldgs | Test drive our new HTML5 platform and screener >> | Add to List: mm select

Lumber Liquidators Hldgs (LL) NYSE Retail/Whlsle-Bldg Prds

Market Capitalization	$420.1 Million	Volume 508,500	$15.51 -0.01
Options Yes		50-Day Avg Volume	2,079,100
Shares in Float	26.0 Million	Off 52-Week High	-77.8%
Short Interest 5.4 days N/A%			
Shares Outstanding	27.1 Million	52-Week Hi-Lo	$69.99-$11.62

HEADQUARTERS: Toano, VA PHONE: 757-259-4280 www.lumberliquidators.com

OPERATES 354 FLOORING STORES IN 46 STATES AND ONTARIO, CANAD A.

08/05/15 Expects 2015 capital expenditure of $20 mil to $25 mil IPO 11/09/2007

Year (Dec)	EPS ($)	Price($) High	Low
2008	0.75	18	5
2009	0.97	28	7
2010	0.93▲	33	19
2011	0.94	28	13
2012	1.68	58	17
2013	2.77	119	51
2014	2.31▲	111	47
2015	-1.20 est.	N/A▼	
2016	0.29 est.	N/A▼	

Yield	NONE
ExDiv	N/A
Book Value	X1.27
Inventory T/O	3.70X
U/D Vol Ratio	0.9
New CEO	01/2012

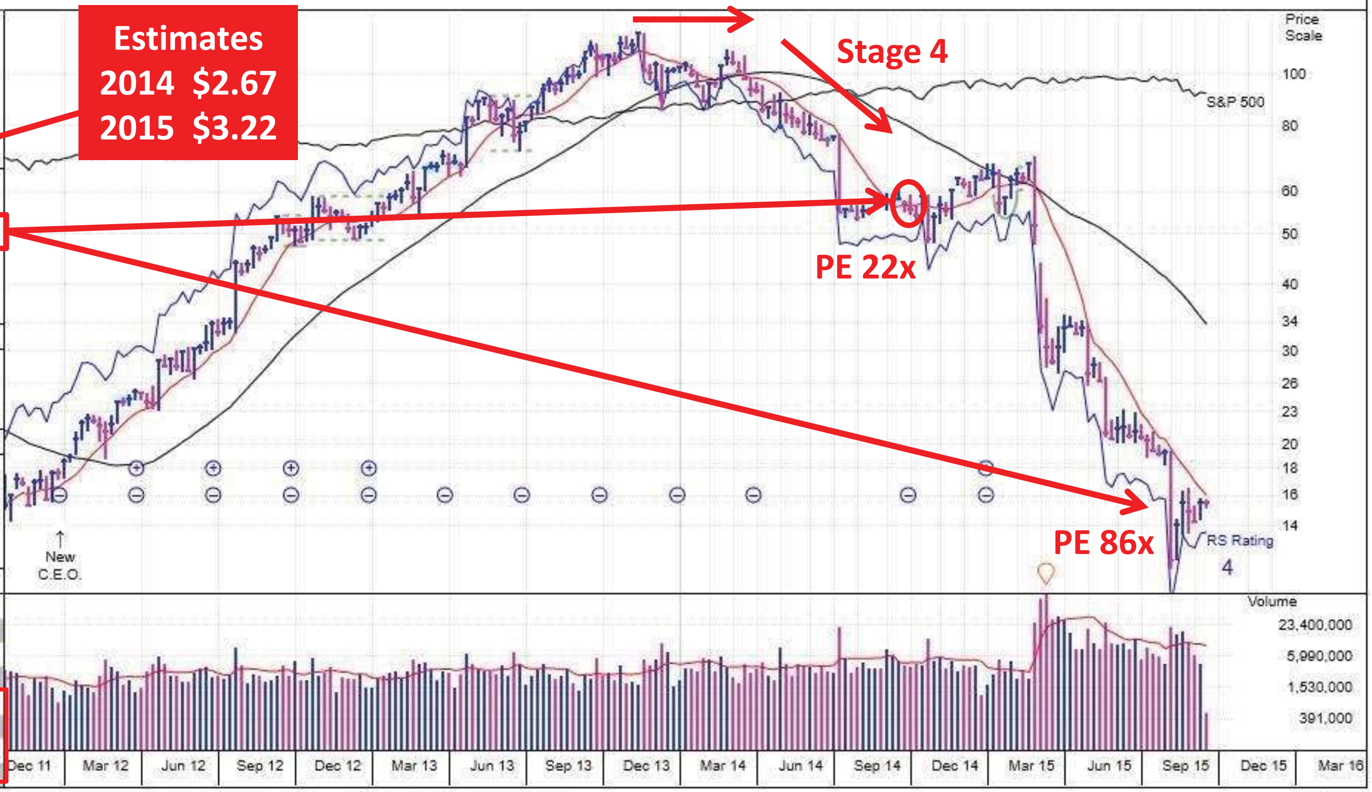
EPS Rating	45
Group RS Rating	63
SMR Rating	C
Acc/Dis Rating	A-
Composite Rating	23
Timeliness Rating	D
Sponsorship Rating	C
EPS Growth Rate	12%
Earnings Stability	82
P/E Ratio	86 (5.4 X SP)
5-Year P/E Range	15-195
Return on Equity	20%
Cash Flow	$2.88

		Ownership	
Debt	0%	Mgmt	4%
R&D	N/A	Banks	0%
Alpha	-0.38	Funds	59%
Beta	0.64		

Top RS in Grp	Symbol	RS	EPS Rtg
CntrlGarden	CENTA	98	58
CntlGardn	CENT	98	58
BeacnRoof	BECN	94	55
TractorSply	TSCO	87	94
HmDepot	HD	87	92

No. of Funds	
Sep-14	297
Dec-14	326
Mar-15	306
Jun-15	279

Quarterly		EPS($)	% Chg	Sales($Mil)	% Chg
Sep-13		0.73	+59%	254.3	+24%
Dec-13		0.74	+48%	258.4	+23%
Mar-14	▲	0.49	-14%	246.3	+7%
Jun-14		0.60	-18%	263.1	+2%
Sep-14		0.58	-21%	266.1	+5%
Dec-14		0.64	-14%	272	+5%
Mar-15	▲	-0.29	N/A	260	+6%
Jun-15	▲	-0.75	N/A	247.9	-6%



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with Mark Minervini

How Do You Know if an Earnings Report is Really Great?

1. Results are better than the consensus of analysts' estimates or, even better, earnings come in above the highest analyst estimate.
2. The company raises its guidance for the upcoming quarter and the fiscal year significantly.
3. The stock price reacts positively to the earnings report and/or company issued guidance and resists meaningful profit taking over a number of days or weeks.
4. Analysts promptly raise estimates. (More than a 5% change from 30-days earlier is meaningful).
5. Revenue is reported above the consensus estimate (preferably above the highest estimate) and is also revised upward.
6. Earnings are "quality" – profit improvement comes from increased sales as opposed to a one-time gain or non-operating/non-recurring income. Keep in mind, cost cutting or "productivity enhancements" have a limited life span.
7. You can check Return on Equity to get an idea how good management is doing. You should compare this number to other companies in the same industry. 15-17% is a good cutoff for most stocks.

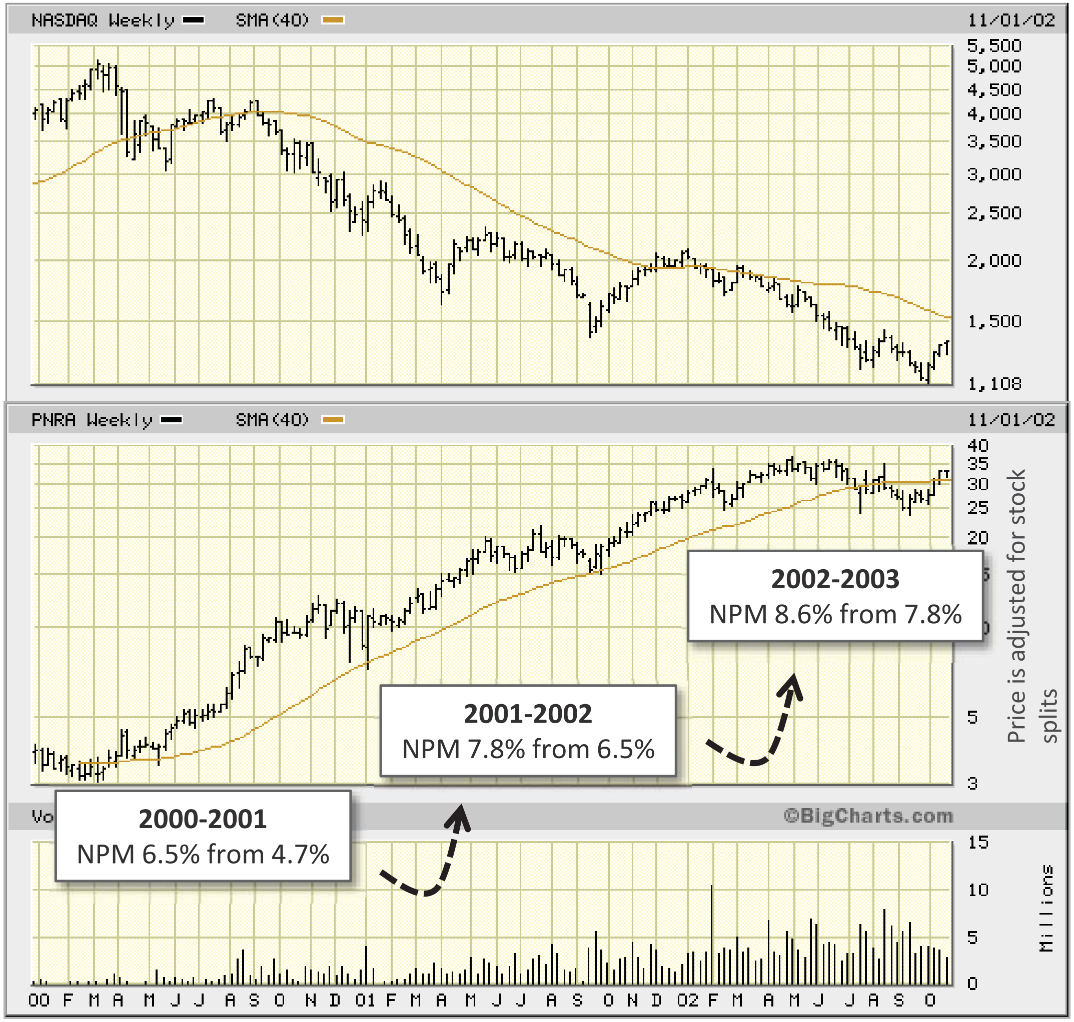
When is an Earnings Surprise a "Surprise"

1. **The Initial Response** – Did the stock rally or sell-off? If it sold off, does it resume its slide after a "dead cat bounce"? Or, does it coming roaring back – is it a tennis ball or an egg?
2. **Subsequent Strength** – How well does the stock holds its gain and resist profit taking?
3. **Resilience** – Does the stock recover quickly and powerfully after profit taking? Or, did it fail to rally after a pullback?

Profit Margins


APOL Weekly
6/04/04
Stock Up +850%
Net Profit Margin
11.7%
14.0%
16.0%
18.4%
100
90
80
70
60
50
40
30
20
10
0
NASDAQ Weekly
6/04/04
NASDAQ -60%
5,500
5,000
4,500
4,000
3,500
3,000
2,500
2,000
1,500
1,000
Volume
©BigCharts.com
15
10
5
0
Billions
99
00
01
02
03
04

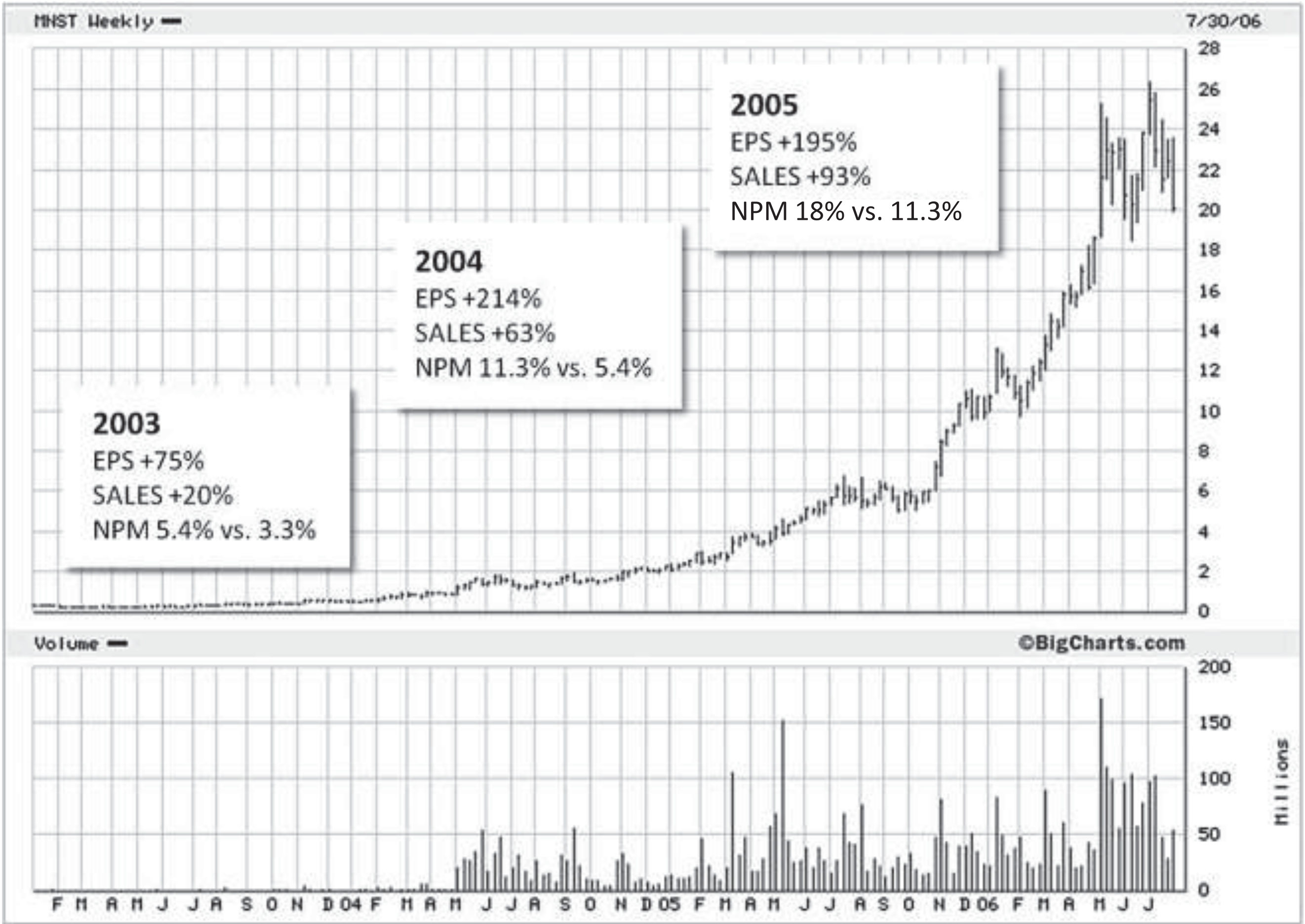
Panera Bread 2000 – 2002



NASDAQ -80%

PNRA +1,100%

Monster Beverage 2003 – 2006



Company Profile: Grocery Store
Revenue: $1,000,000
Profit Margin: 1%
Market Cap: 100,000 Shares

$1,000,000 x 1% = $10,000 / 100,000 = 0.10 per share

Revenue +25%
NPM: Unchanged

Scenario A
Revenue: $1,250,000
Profit Margin: 1%
100,000 Shares Capitalization
$1,250,000 x 1% = $12,500 / 100,000 = 0.125 per share
Earnings up 25%

Revenue +25%
NPM: +1%

Scenario B
Revenue: $1,250,000
Profit Margin: 2%
100,000 Shares Capitalization
$1,250,000 x 2% = $25,000 / 100,000 = 0.25 per share
Earnings up 150%

OLLIE'S BARGAIN NDQ-OLLI

RECENT PRICE 44.20 | P/E RATIO 38.4 (Trailing: 41.7 / Median: NMF) | RELATIVE P/E RATIO 1.94 | DIV'D YLD Nil | VALUE LINE

TIMELINESS – [E]
SAFETY 3 New 1/27/17
TECHNICAL – [E]
BETA 1.35 (1.00 = Market)

2020-22 PROJECTIONS

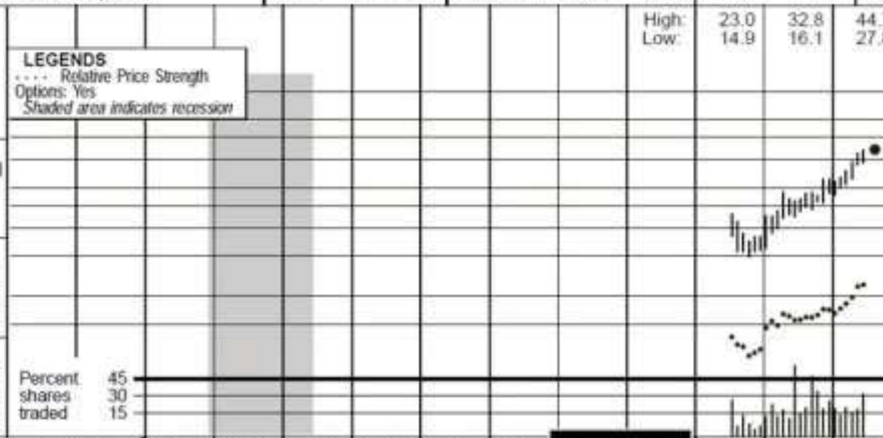
	Price	Gain	Ann'l Total Return
High	55	(+25%)	6%
Low	35	(-20%)	-6%

Insider Decisions

	S	O	N	D	J	F	M	A	M
to Buy	0	0	0	0	0	0	0	0	0
Options	3	0	2	3	1	0	8	1	0
to Sell	4	0	2	2	1	0	4	1	0

Institutional Decisions

	3Q2016	4Q2016	1Q2017
to Buy	115	118	132
to Sell	50	79	76
Hld's(000)	89477	57015	64767



Ollie's Bargain Outlet Holdings completed its initial public offering on July 15, 2015. At that time, 10.26 million shares were sold to the public at an average price of $16.00 per share. Additional offerings were held on February 18, 2016 (9.05 million shares $19.75 per share) and on June 6, 2016 (13.98 million shares $25.00 per share). The underwriting syndicates included JPMorgan Chase, Bank of America Merrill Lynch, Credit Suisse, and Jefferies & Co.

CAPITAL STRUCTURE as of 4/29/17
Total Debt $128.2 mill. Due in 5 Yrs $128.2 mill.
LT Debt $121.9 mill. LT Interest $5.1 mill.
(Total interest coverage: 20.2x)
(15% of Cap'l)
Leases, Uncapitalized Annual rentals $37.0 mill.

No Defined Benefit Pension Plan

2007	2008	2009	2010	2011	2012			2015	2016	2017	2018	© VALUE LINE PUB. LLC	20-22
--	--	--	--	--	--			12.96	14.65	16.70	18.65	Sales per sh [A]	24.60
--	--	--	--	--	--			.73	1.12	1.40	1.60	"Cash Flow" per sh	2.45
--	--	--	--	--	--	--	--	.64	.96	1.15	1.35	Earnings per sh [AB]	2.00
--	--	--	--	--	--	--	--	--	--	Nil	Nil	Div'ds Decl'd per sh	Nil
--	--	--	--	--	--	--	--	9.56	10.72	12.10	13.50	Book Value per sh [C]	18.85
--	--	--	--	--	--			58.81	60.76	62.00	63.00	Common Shs Outst'g [D]	65.00
--	--	--	--	--	--			27.5	27.1	*Bold figures are*		Avg Ann'l P/E Ratio	22.0
--	--	--	--	--	--			1.38	1.44	*Value Line*		Relative P/E Ratio	1.40
--	--	--	--	--	--			--	--	*estimates*		Avg Ann'l Div'd Yield	Nil
--	--	--	--	--	--	--	638.0	762.4	890.3	1035	1175	Sales ($mill)	1600
--	--	--	--	--	--	--	40.0%	39.7%	40.5%	41.0%	41.0%	Gross Margin	41.5%
--	--	--	--	--	--			12.2%	12.4%	13.5%	14.0%	Operating Margin	15.0%
--	--	--	--	--	--			203	234	270	295	Number of Stores	375
--	--	--	--	--	--			35.8	59.8	75.0	87.0	Net Profit ($mill)	140
--	--	--	--	--	--			37.6%	37.0%	36.0%	37.5%	Income Tax Rate	38.0%
--	--	--	--	--	--	--	4.2%	4.7%	6.7%	7.2%	7.4%	Net Profit Margin	8.9%
--	--	--	--	--	--	--	107.7	127.0	208.0	195	300	Working Cap'l ($mill)	750

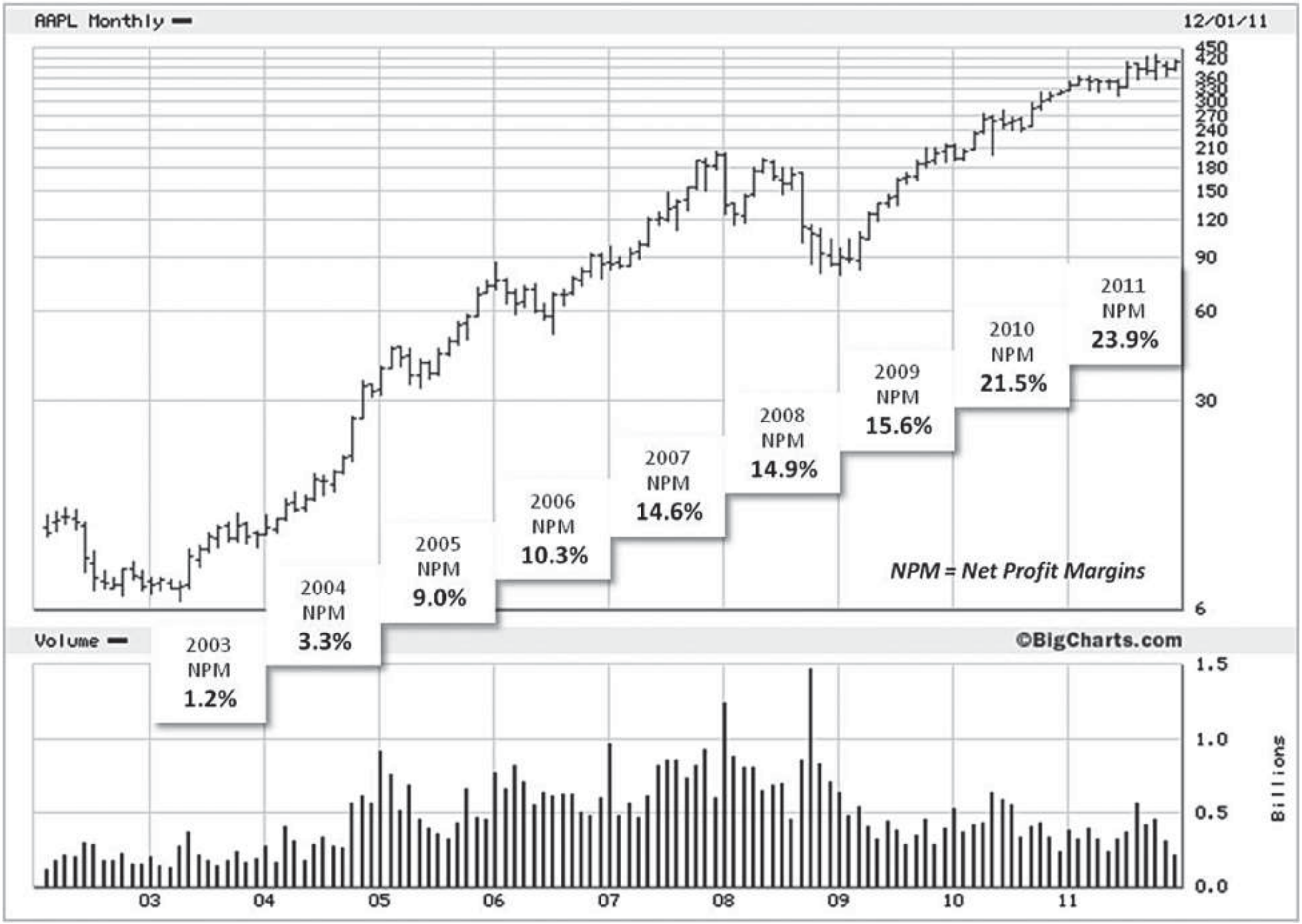
Earnings +50.0%

Revenue +16.8%

Margins +42.6%

Without Margin Expansion
890.3 mil. (Rev.)
X **4.7%** (NPM) *Unchanged*
= 41.84 mil. (NP)
/ 60.76 (SO)
= 0.69 (EPS)
/ 0.64 (2015 EPS)
7.81% (EPS Growth)

The "Great Turnaround"



The “Code 3” Matrix

	1	2	3	
	Q4	**Q1**	**Q2**	**Q3**	
EPS	**-34%**	**+12%**	**+44%**	**+83%**	**1**
REVENUE	-22%	+3%	+16%	+38%	**2**
NET PROFIT MARGINS	4.5%	4.9%	5.8%	6.6%	**3**

1 1	**2 1**	**3 1**
1 2	**2 2**	**3 2**
1 3	**2 3**	**3 3**

3 Key Fundamentals to Watch – Earnings, Sales and Margins

- ✓ Earnings in most recent 2-3 quarters +20% or more – the bigger the better
- ✓ Sales increasing in most recent 2-3 quarters
- ✓ Look for earnings and sales acceleration – quarter to quarter sequential – look at a 2 quarter average (up 20%)
- ✓ Gauge current growth versus 3-5 year growth rate (look for acceleration)
- ✓ Look for a breakout year
- ✓ Strong annual earnings
- ✓ Check profit margins – are they expanding or contracting?
- ✓ Look for Code 3 stocks

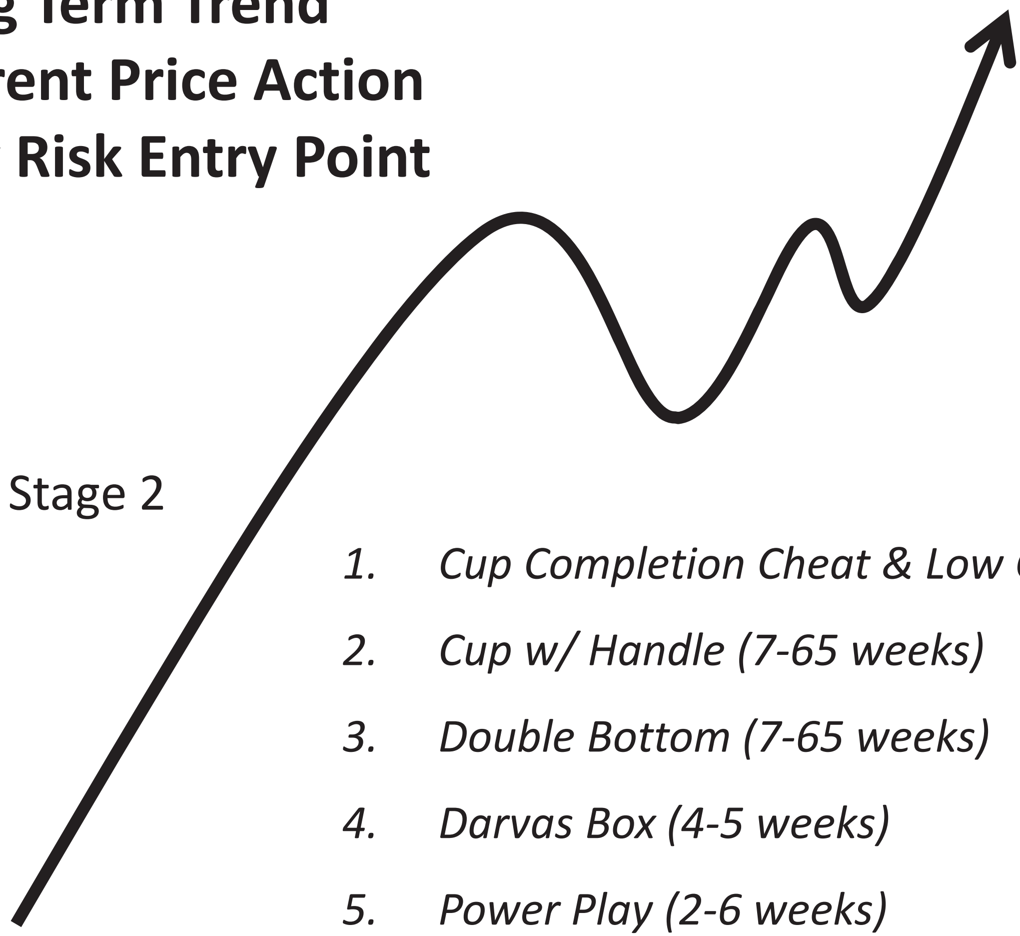
- Material earnings deceleration is a warning
- Eroding margins is a warning
- Positive earnings with negative sales – limited life span
- A company showing strong earnings but not paying much in taxes is a red flag

- ✓ Categories
- ✓ Valuation
- ✓ The Trend
- ✓ Fundamentals

A Picture is Worth a Million Dollars

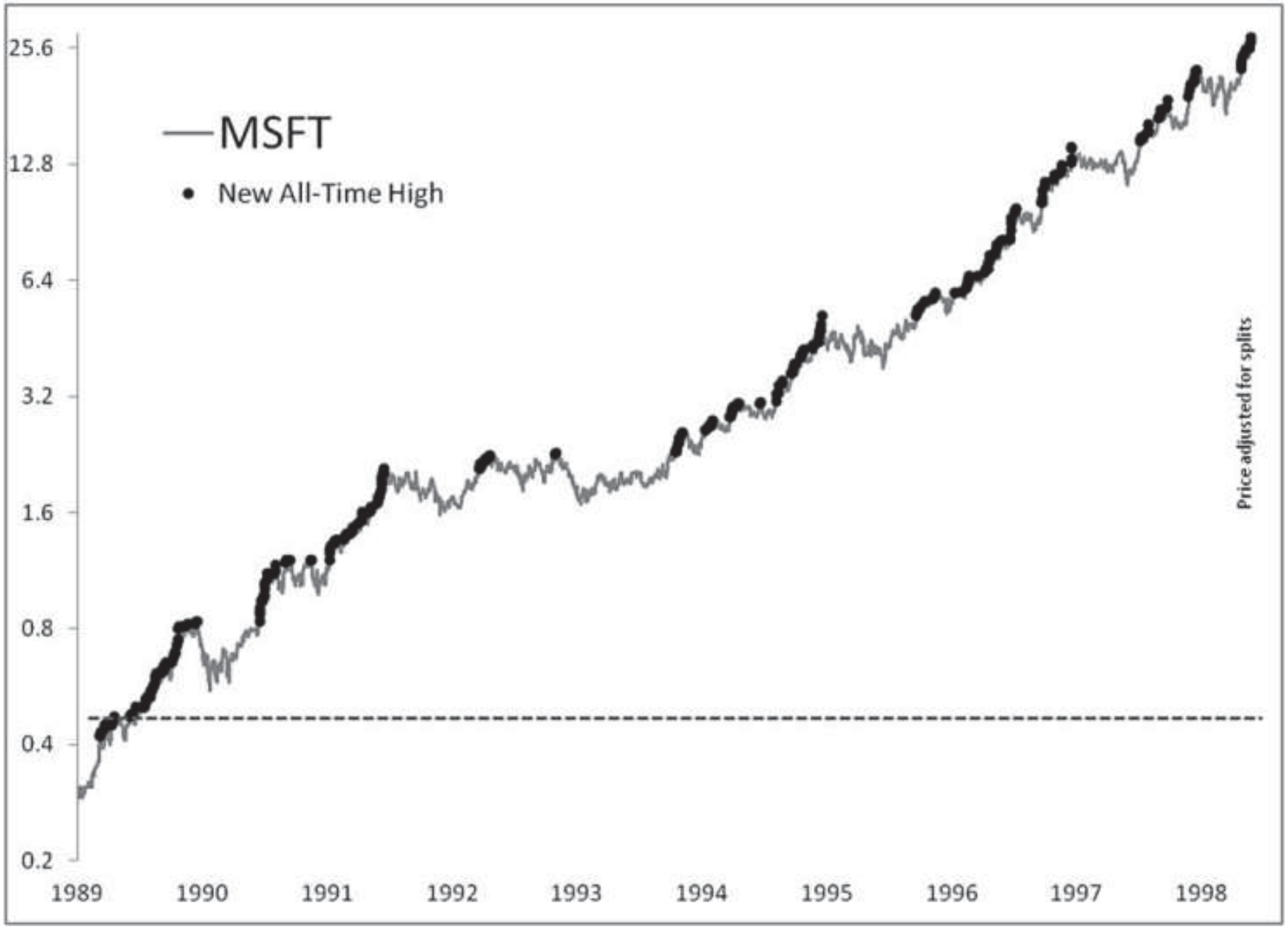
How to Identify Important Institutional Footprints

1. Long Term Trend
2. Current Price Action
3. Low Risk Entry Point

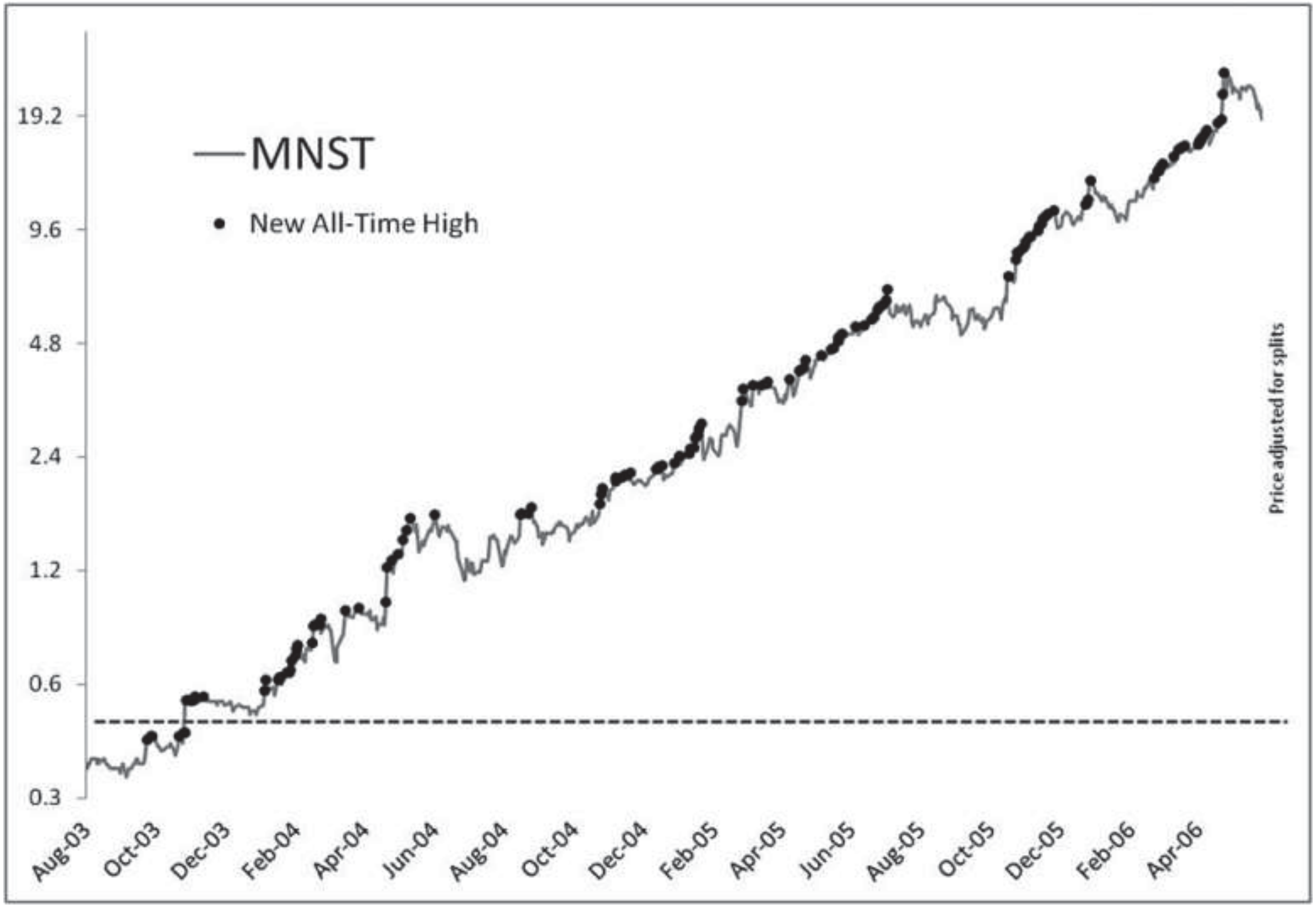


1. *Cup Completion Cheat & Low Cheat (6-52 weeks)*
2. *Cup w/ Handle (7-65 weeks)*
3. *Double Bottom (7-65 weeks)*
4. *Darvas Box (4-5 weeks)*
5. *Power Play (2-6 weeks)*

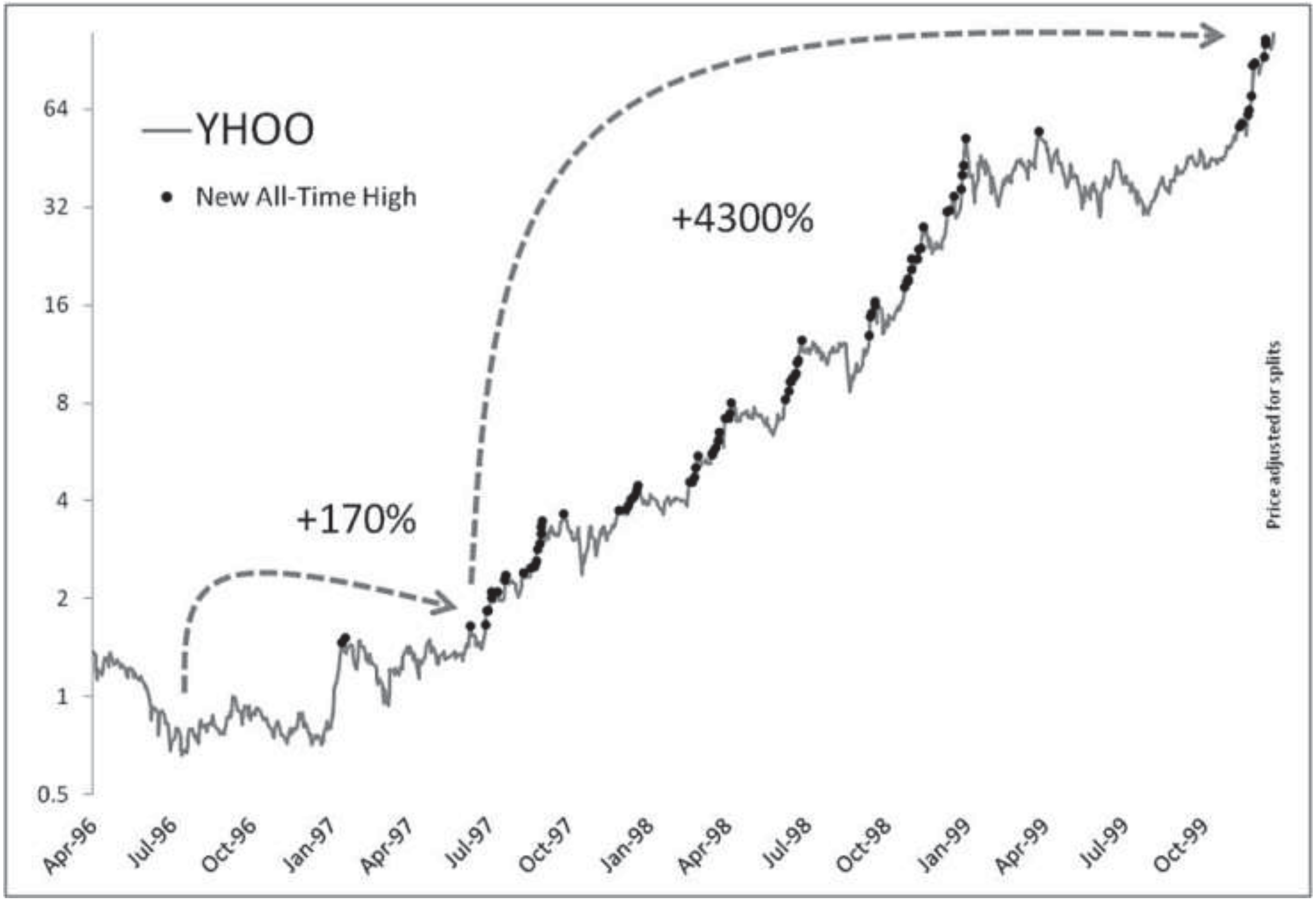
Why Buy Near a New High?

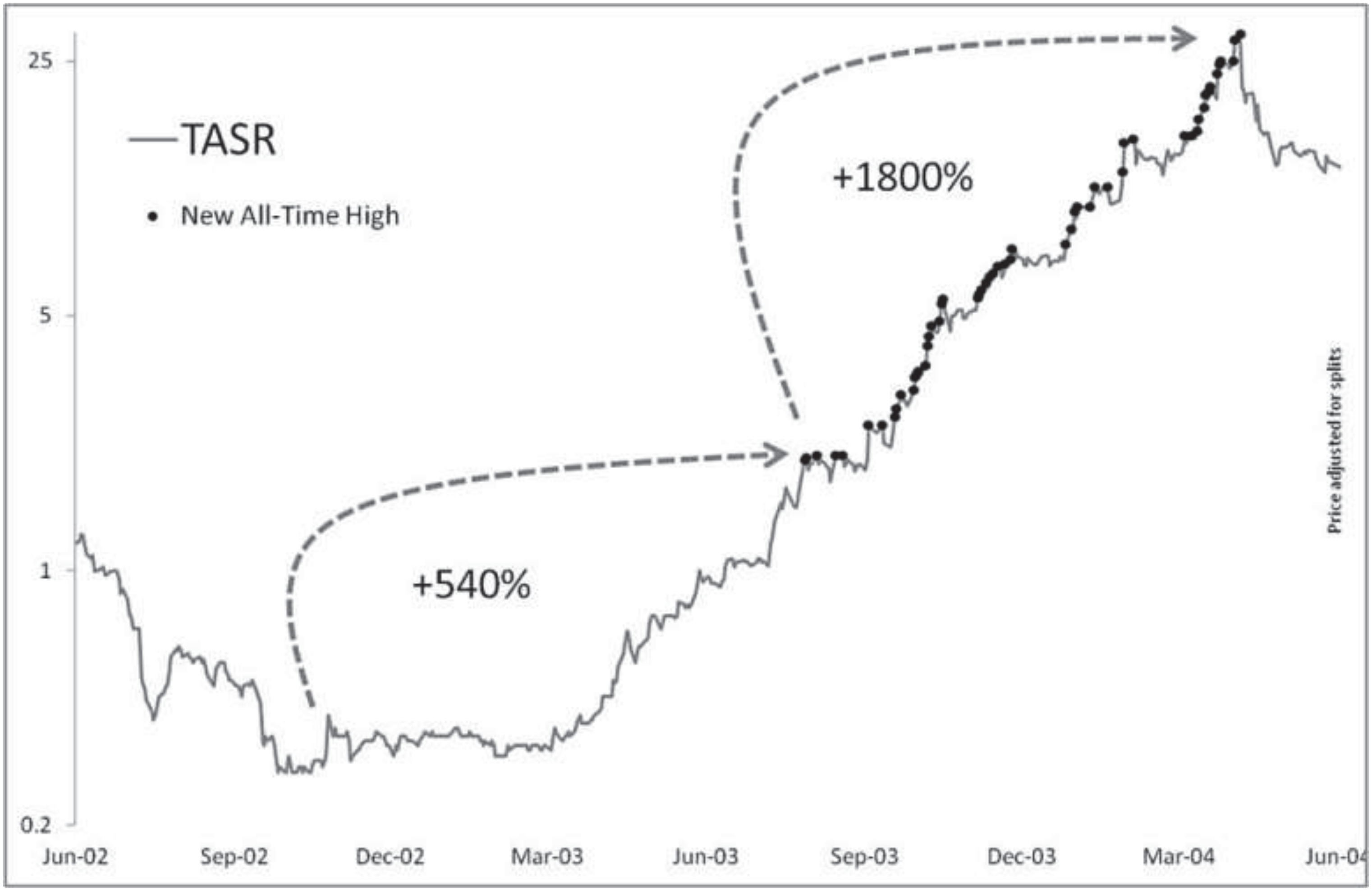


Can’t Make a Huge Move Without Making New Highs



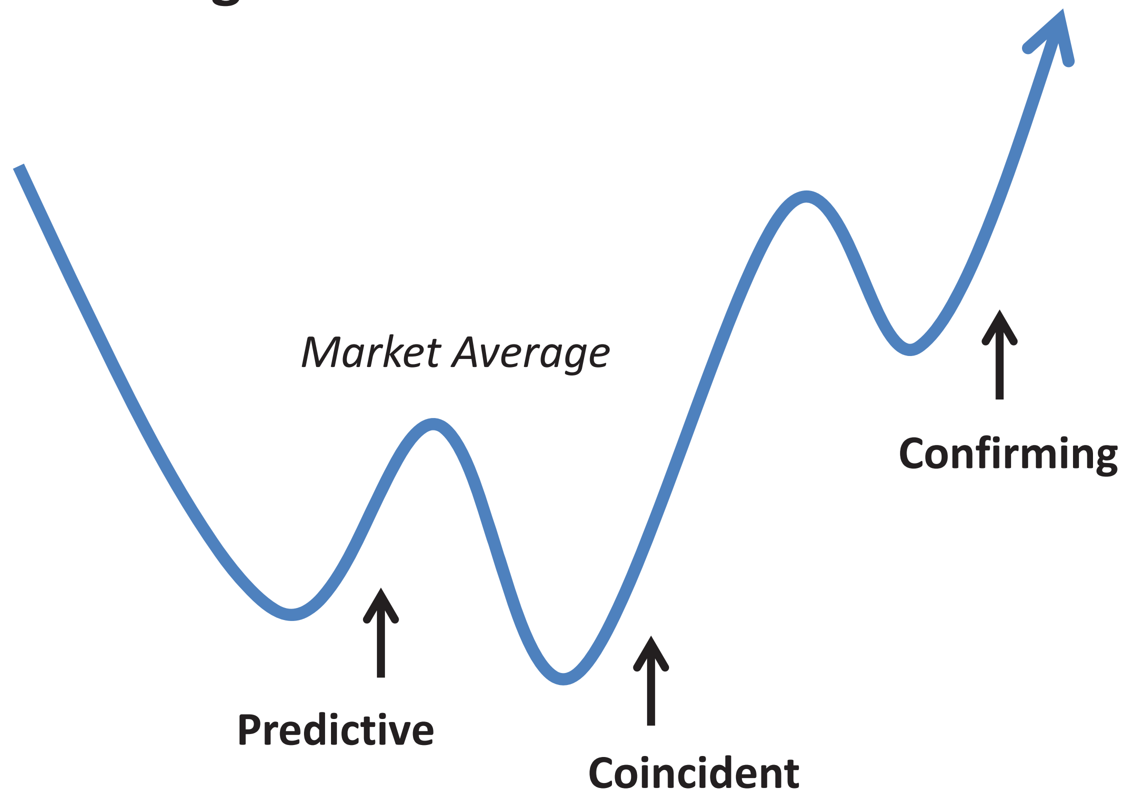
A Stock's Future is in New High Ground




—TASR
• New All-Time High
+1800%
+540%
25
5
1
0.2
Jun-02
Sep-02
Dec-02
Mar-03
Jun-03
Sep-03
Dec-03
Mar-04
Jun-04
Price adjusted for splits

Where to Look for Emerging Leadership During a Market Bottoming Phase

96% of big winners emerge from market corrections



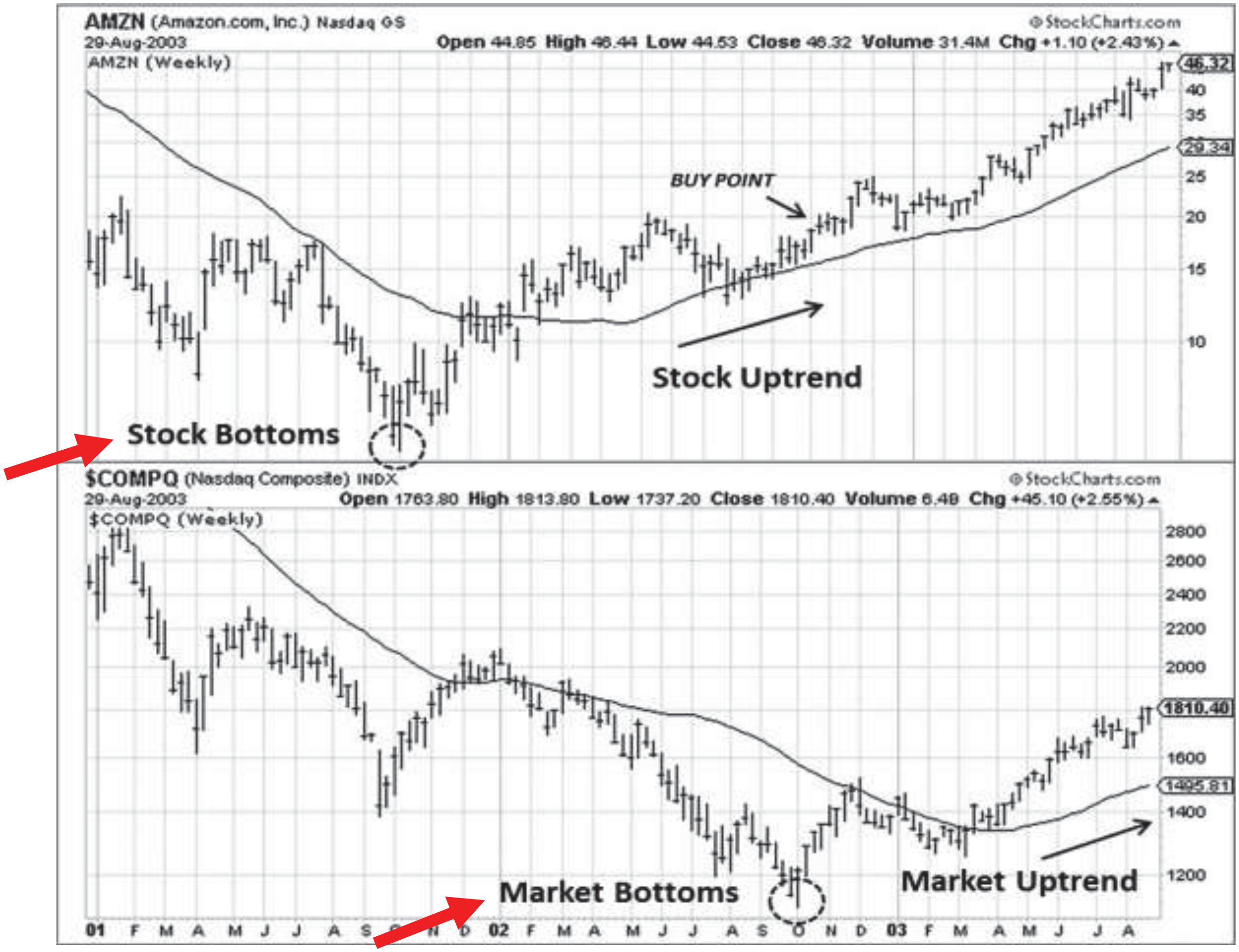
The best stocks make their lows *before* the market bottoms

Apple Computer – 2004 **+125% in 6 months**

- **Learn to spot strong stocks**
- **Chart stocks against the market**
- **Buy on the way up**

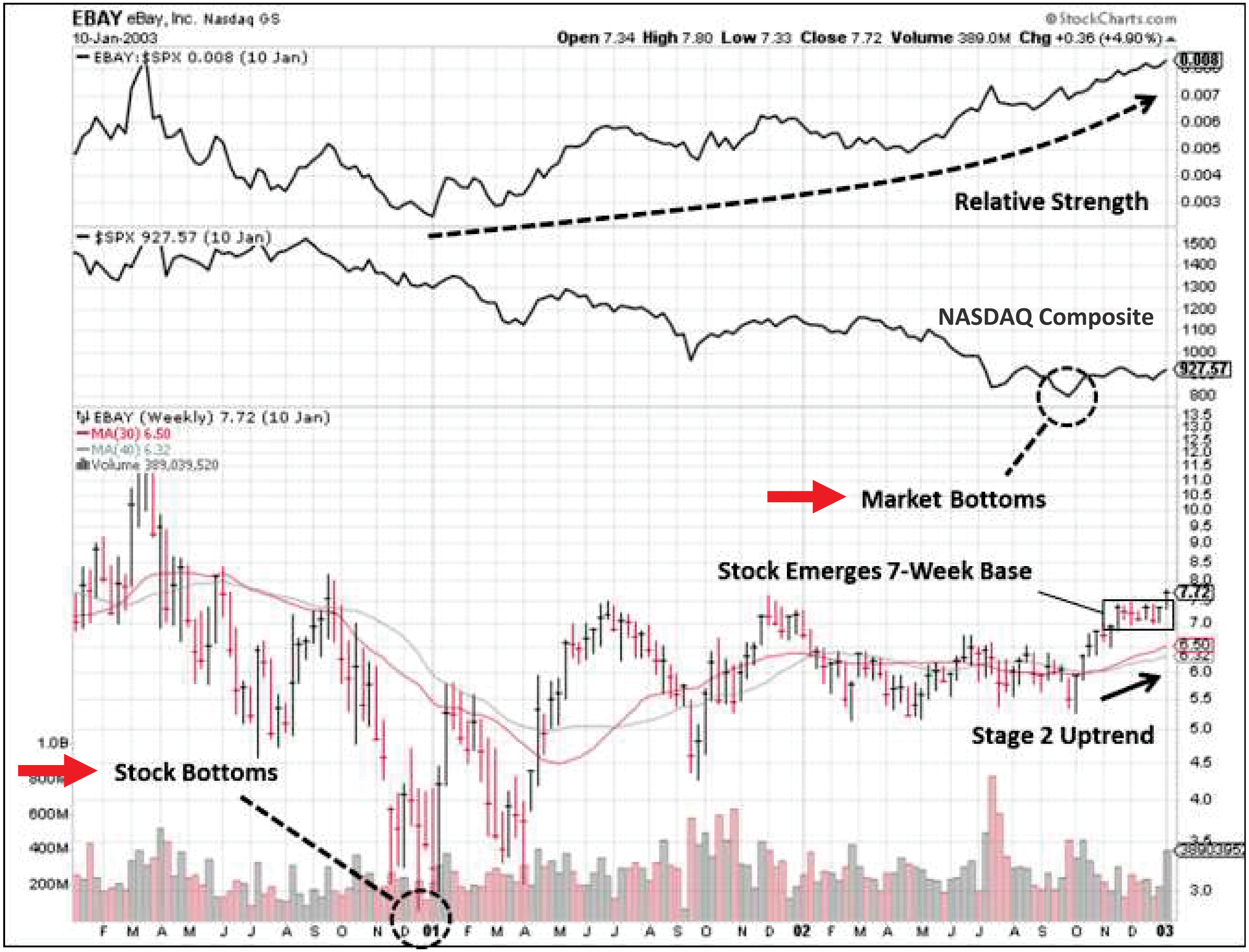
Leaders Lead

Amazon **+240% in 12 months**



Ebay

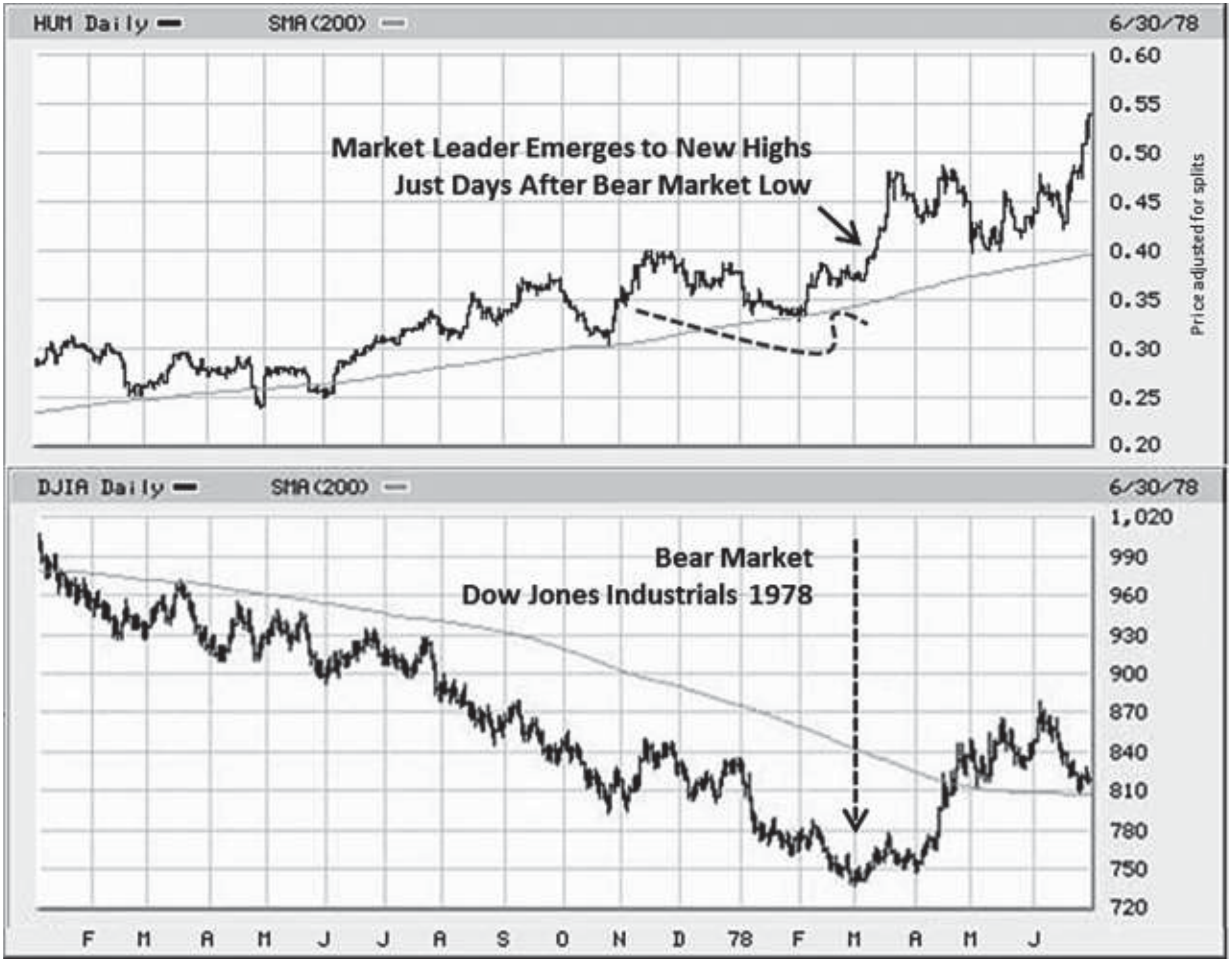
+225% in 23 months



Lumber Liquidators **+220% in 14 months**

In 2012, Lumber Liquidators was one of the first stocks to emerge into new high ground off the market low

Humana **+1000% in 38 months**



Pharmacyclics, Inc.

+2,500% in 42 month

a. **Build your watch list while the market is in correction**

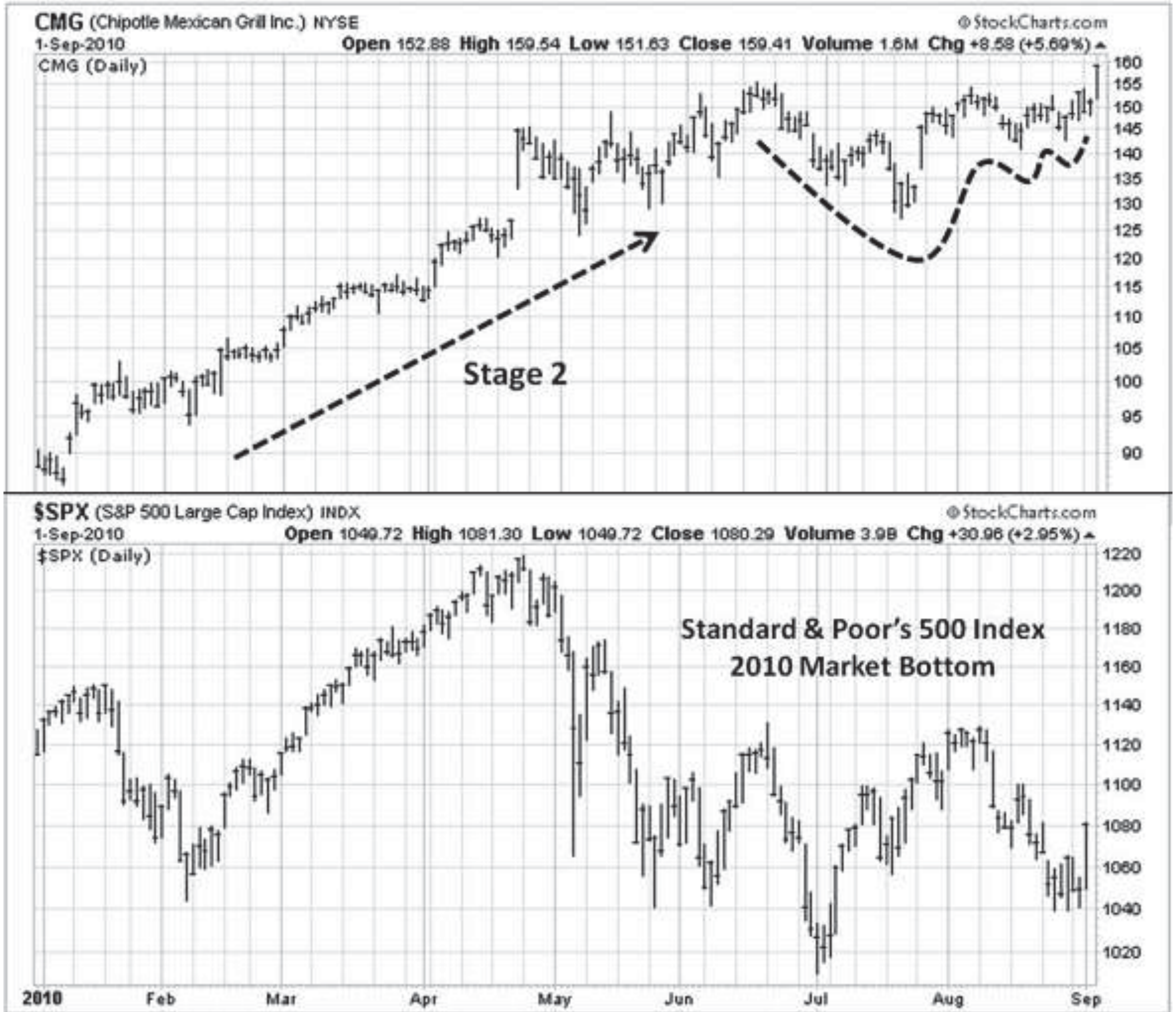
b. **Look for stocks performing better than the market**

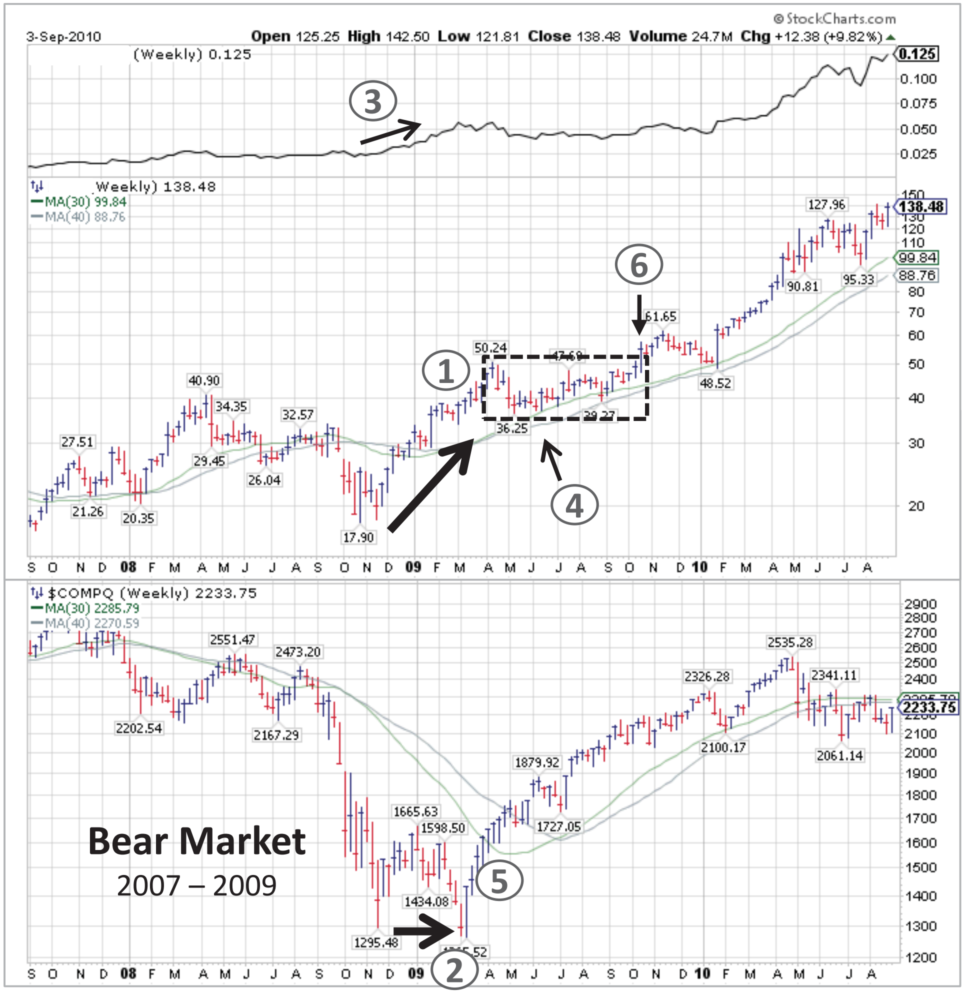
c. **Buy stocks that emerge first from sound bases**

WR Grace & Co.

+147% in 55 days
vs.
S&P 500 +9%

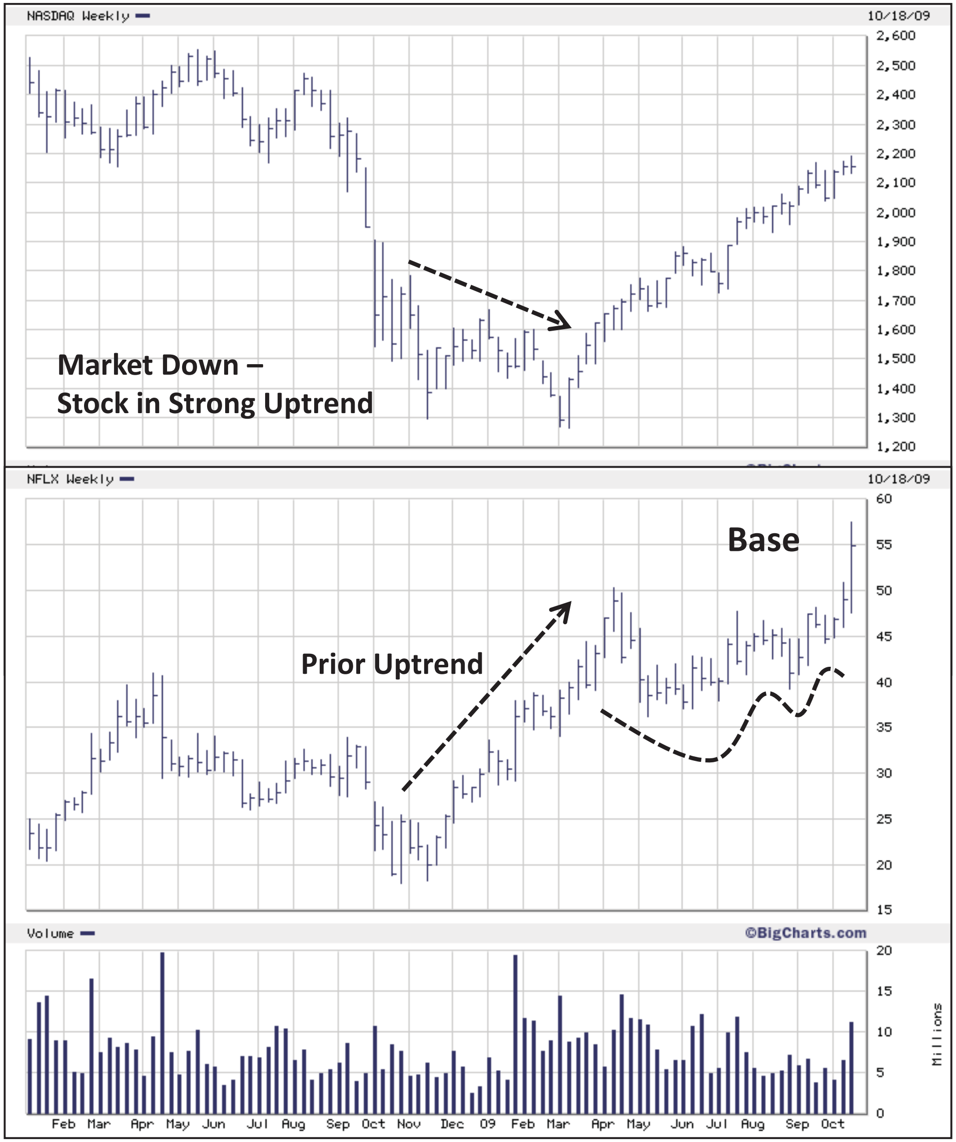
Chipotle Mexican Grill +186% in 20 months





1. Stock price is up 125%
2. NASDAQ hits new low
3. RS line hits new high
4. Trend template criteria met
5. General market turns up
6. Stock sets first buyable base in Stage 2 uptrend – new all-time high – BUY!

Stock price advances 500% from all-time high


NASDAQ Weekly
10/18/09
Market Down –
Stock in Strong Uptrend
NFLX Weekly
10/18/09
Base
Prior Uptrend
Volume
©BigCharts.com
Millions
Feb Mar Apr May Jun Jul Aug Sep Oct Nov Dec 09 Feb Mar Apr May Jun Jul Aug Sep Oct

Docusign Inc. – 2020

WHAT TO LOOK FOR DURING A CORRECTION

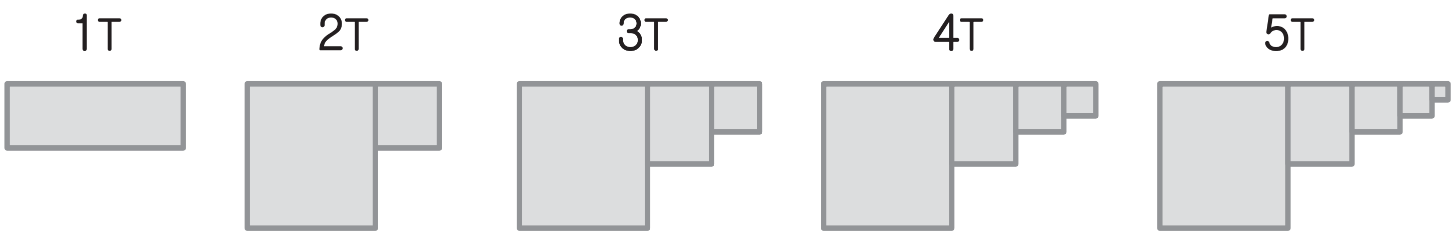
History shows that more than **96% of superperformance stocks emerge from bear markets or general market corrections.** Do your homework while the market is down and you will be prepared to make big profits when it turns up.

Off the general market low, look for the following:

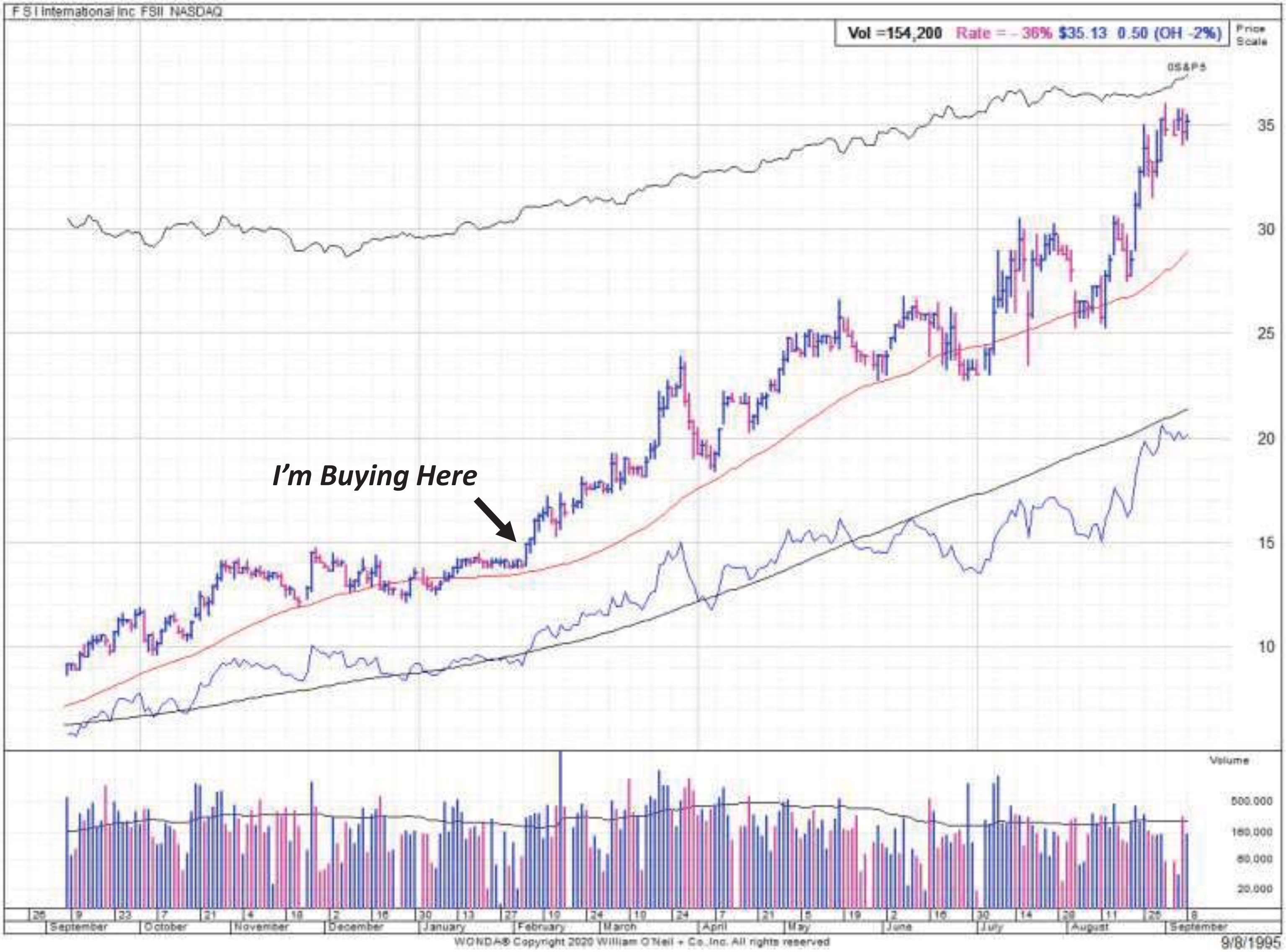
1. Stocks hitting the 52-week high list.
2. Stocks that corrected the least amount during the market's declining period trading within 25% of a 52-week high (the closer to a new high the better).
3. Stocks that surged in price off the market lows (the largest percentage movers).
4. Stocks that are base-building and consolidating within the context of a long-term uptrend.
5. A proliferation of stocks setting up and emerging through proper buy points out of bases.
6. Accumulation in the major averages at or around the time the leaders start breaking out.

Timing a Low Risk Entry Point

The Volatility Contraction Pattern (VCP) ™



FSI International **+130% in 7 months**

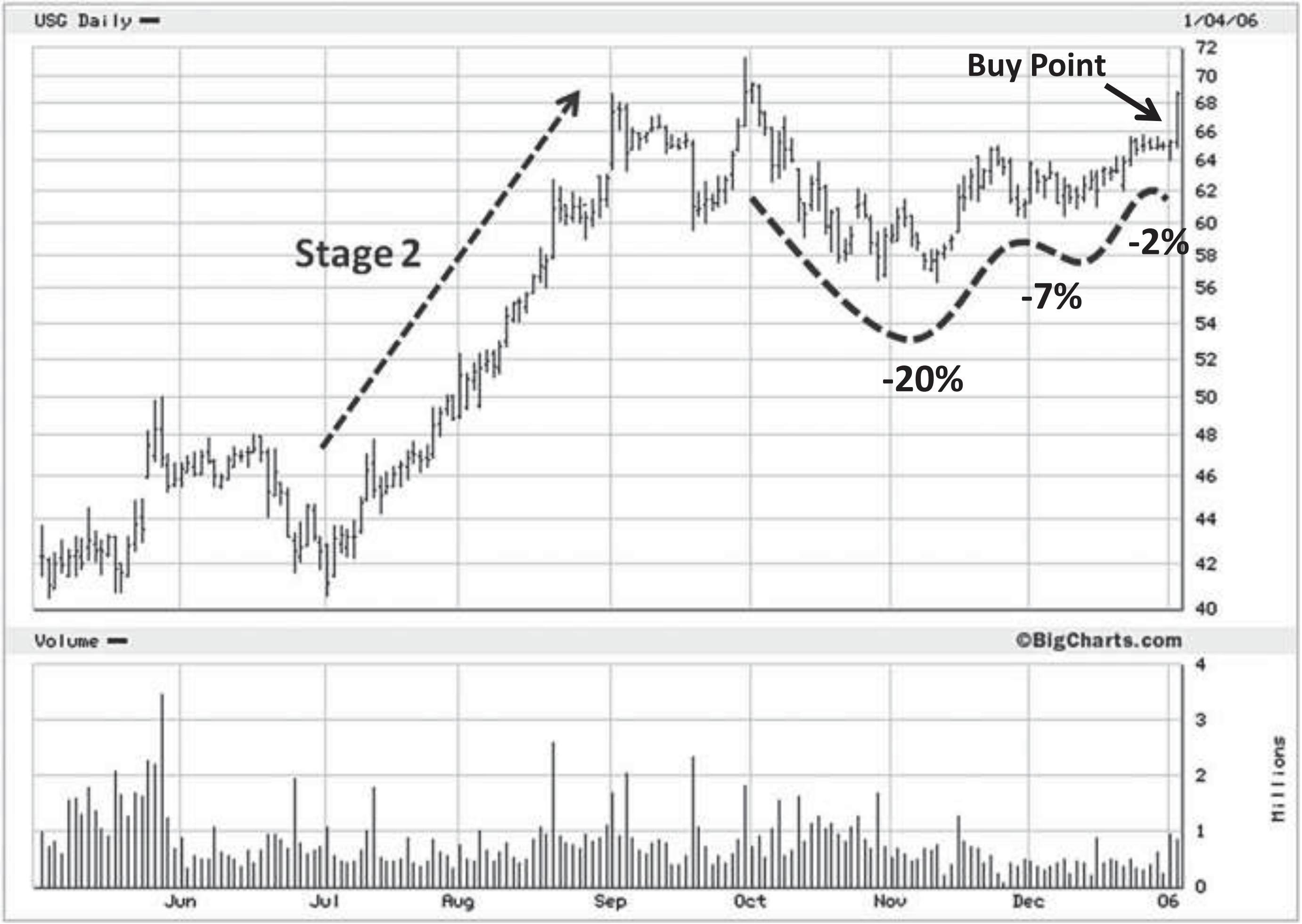

F S I International Inc FSII NASDAQ
Vol =154,200 Rate = -36% $35.13 0.50 (OH -2%)
Price Scale
0S&P5
35
30
25
20
15
10
I'm Buying Here
Volume
500,000
160,000
60,000
20,000
September
October
November
December
January
February
March
April
May
June
July
August
September
WONDA® Copyright 2020 William O'Neil + Co.,Inc. All rights reserved
9/8/1995

The Contraction Count™

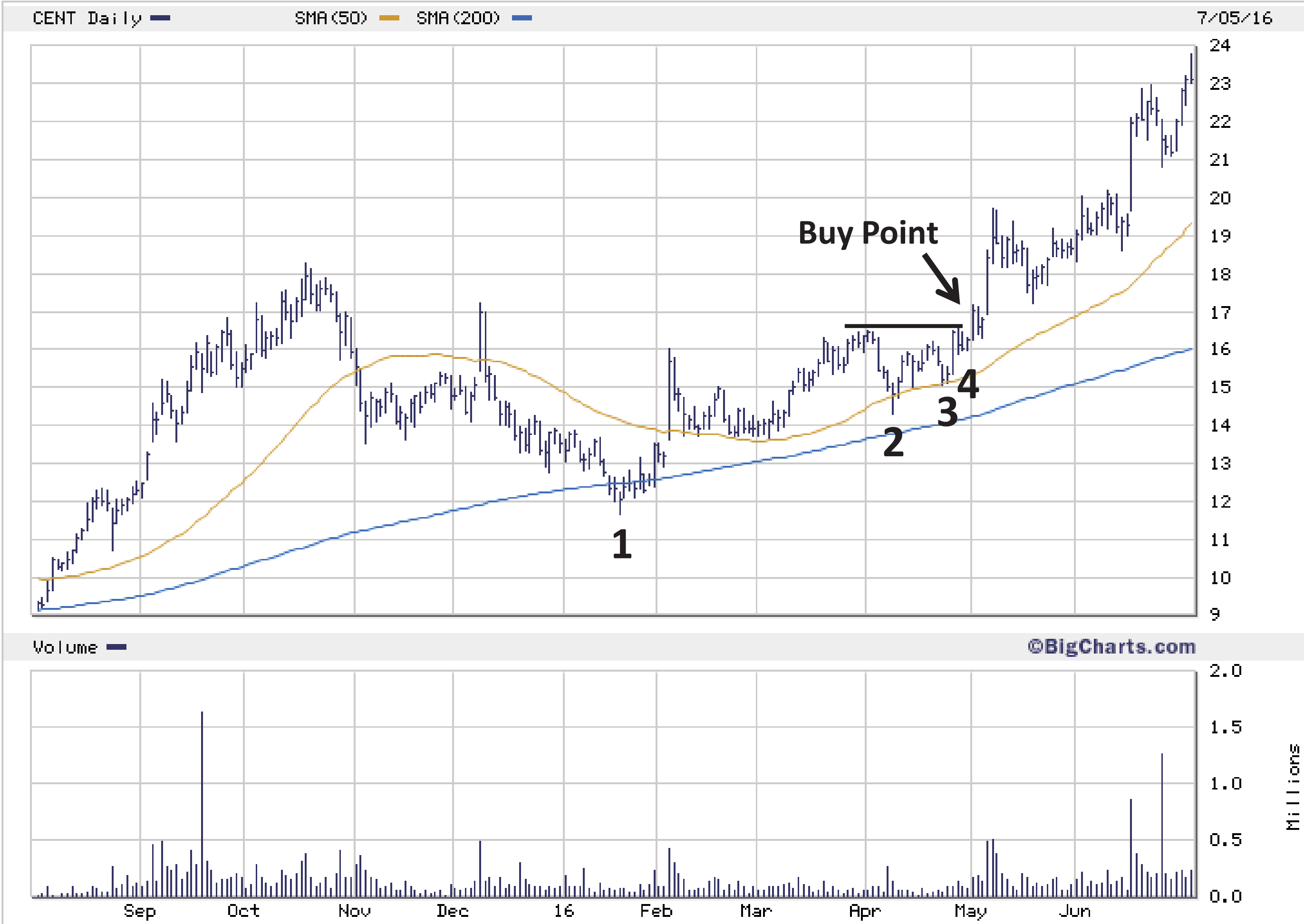
Grace W R & Co.

+147% in 55 days

USG Corp. +85% in 4 months

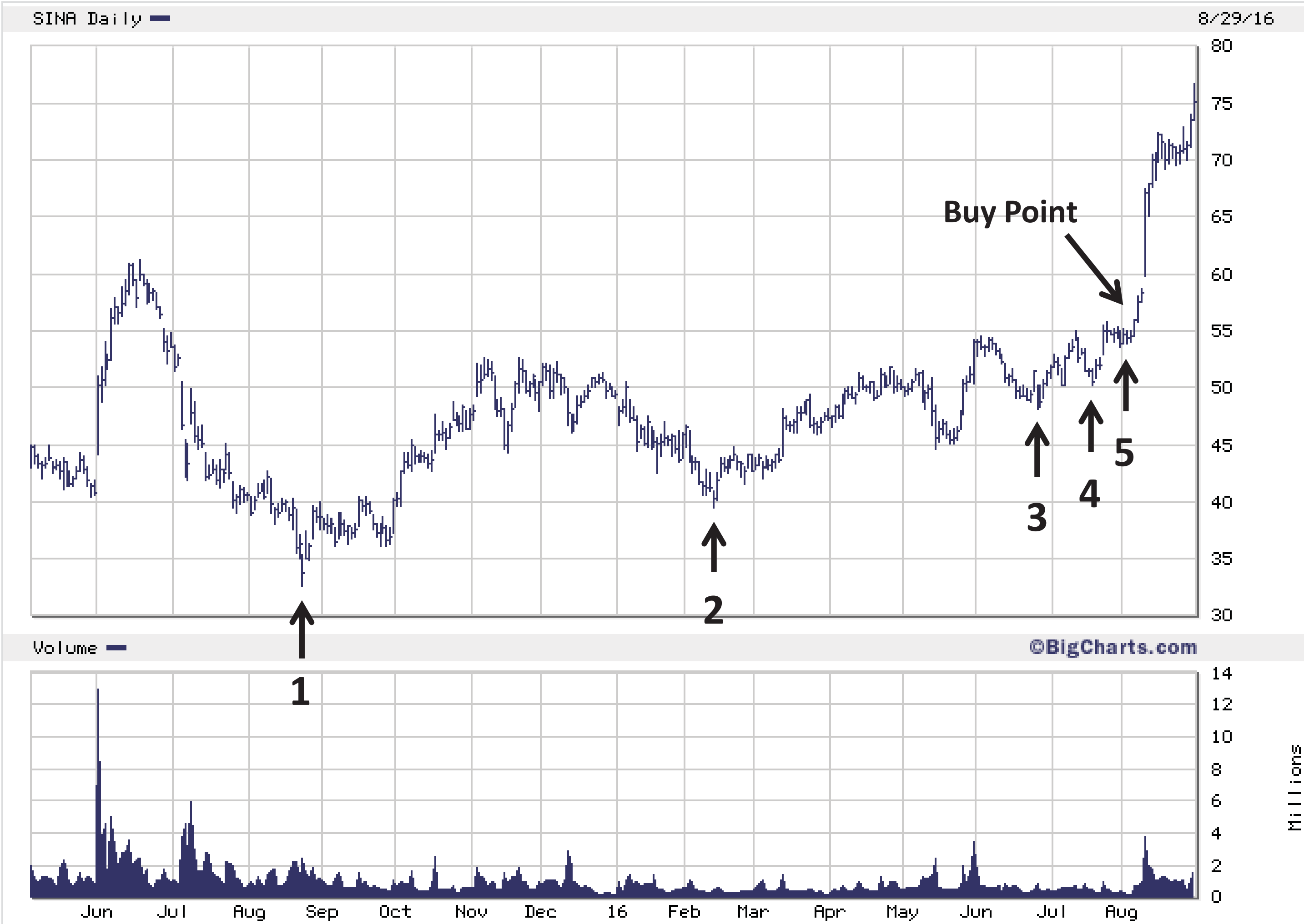


Central Garden & Pet Co. +134% in 10 months

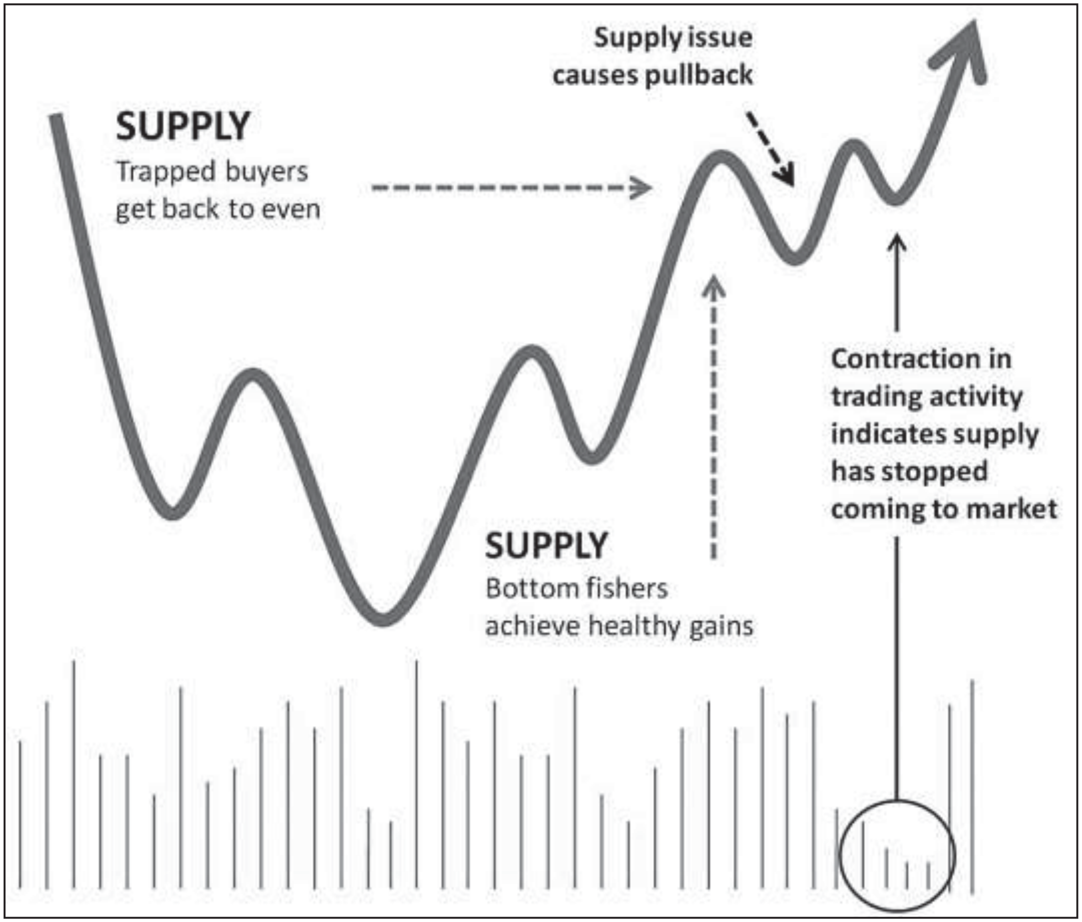


Sina Corporation

+52% in 23 days



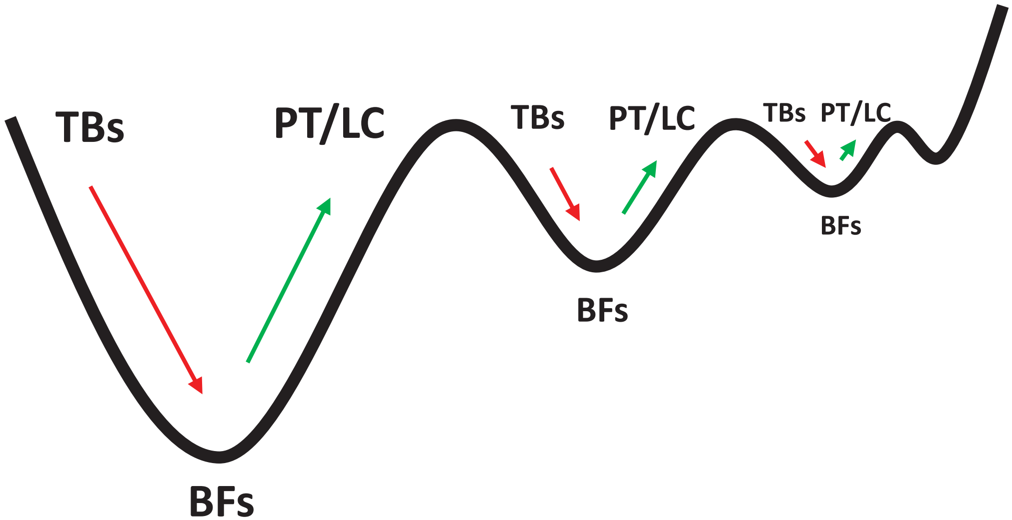
Supply Demand Dynamics – The Effect Not The Cause



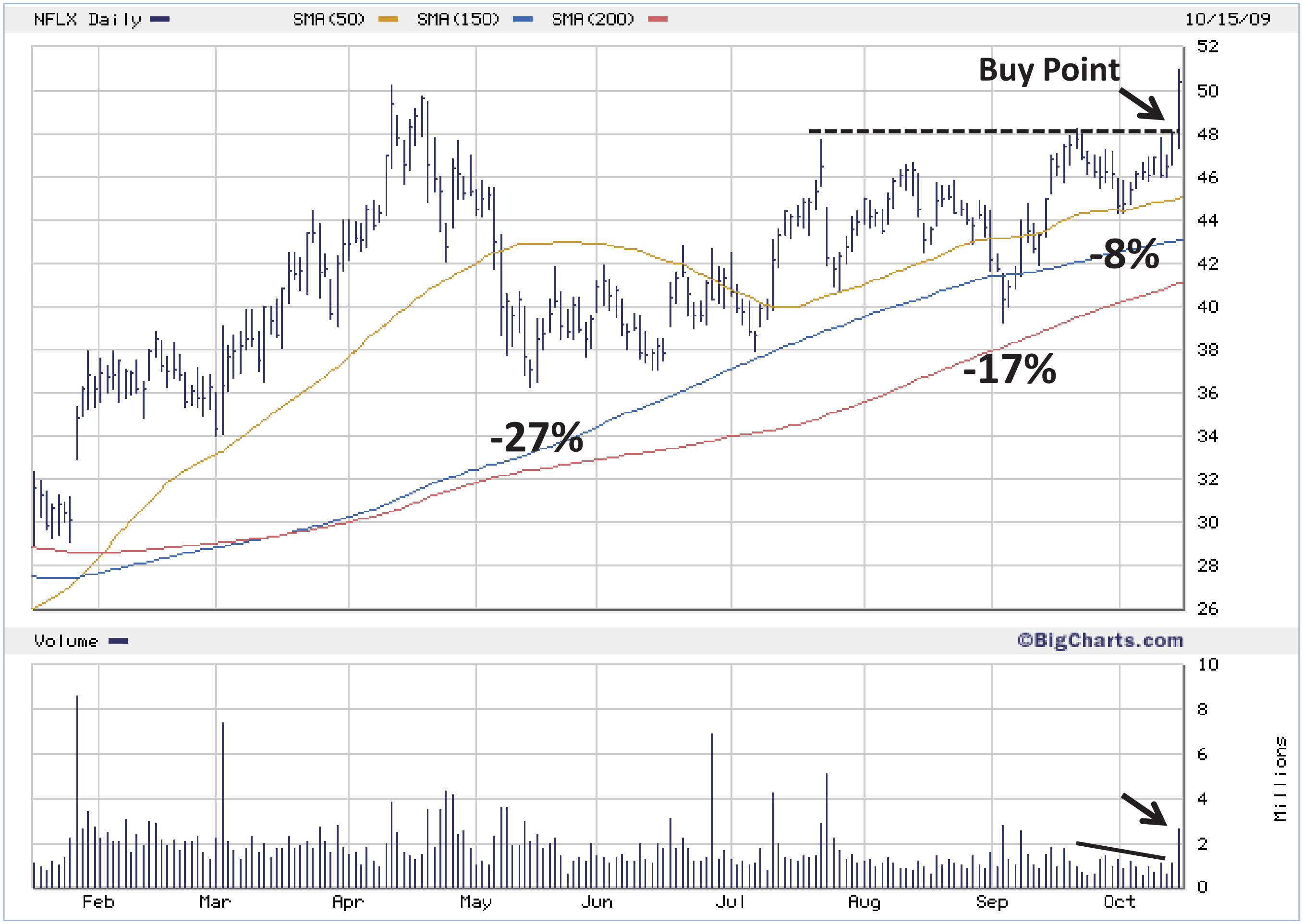
Condition for imminent explosive price action:

1. **Institutional volume support** – significant buying demand
2. **Supply/demand imbalance** – lack of supply – selling vs. buying

Indication That Supply Has Stopped Coming to Market



Netflix - 2009 +525% in 21 months



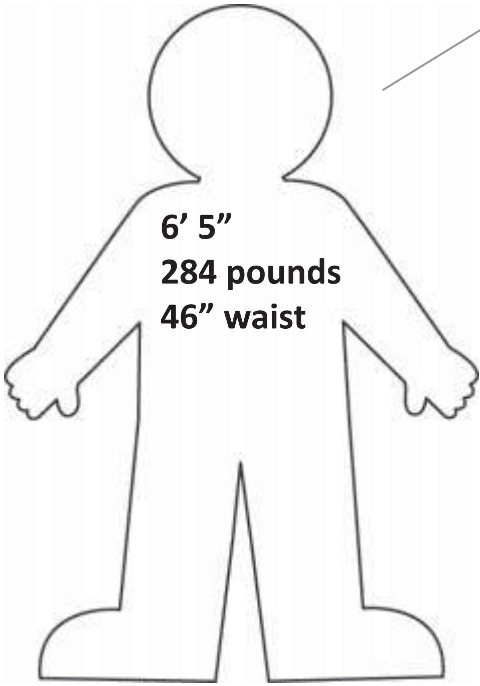
Square Inc. **+212% in 12 months**

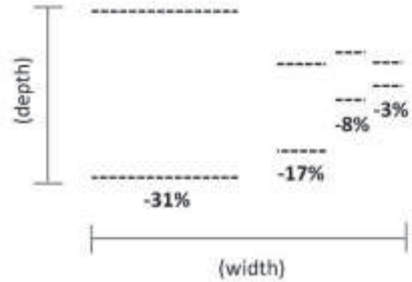

13.00
12.50
12.00
11.50
11.00
10.50
10.00
9.50
9.00
8.50
8.00
7.50
7.00
6.50
6.00
5000000
4000000
3000000
2000000
1000000
0


Chart
NIO
D
* NIO, NIO INC, D (Dynamic)
D 09/13/2018
P -7787532
O 6.62
H 12.69
L 6.52
C 11.60
© eSignal, 2018
09/13/2018

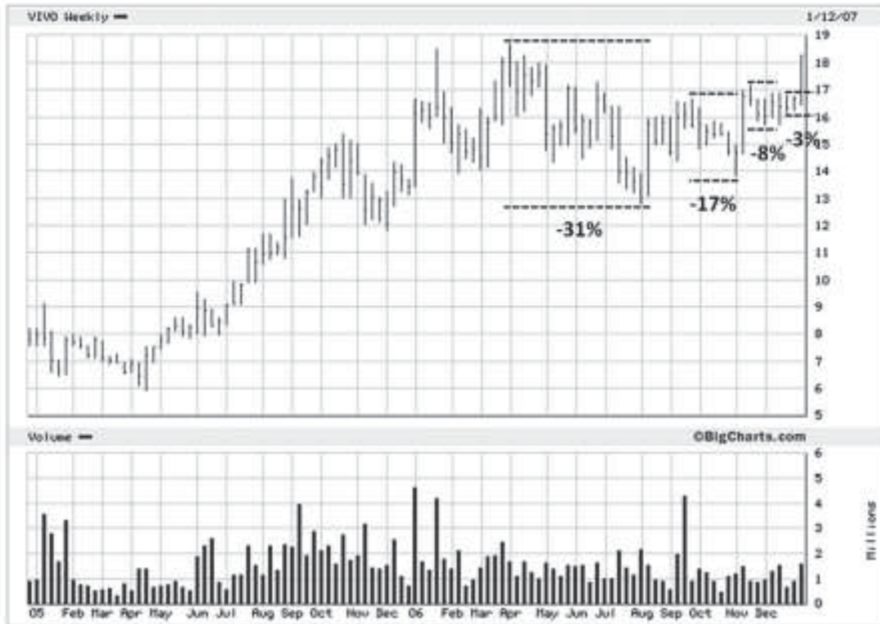
The VCP Footprint

40W 31/3 4T





Meridian Bioscience Inc. (VIVO) – Jan 2007 **+118% in 15 Months**

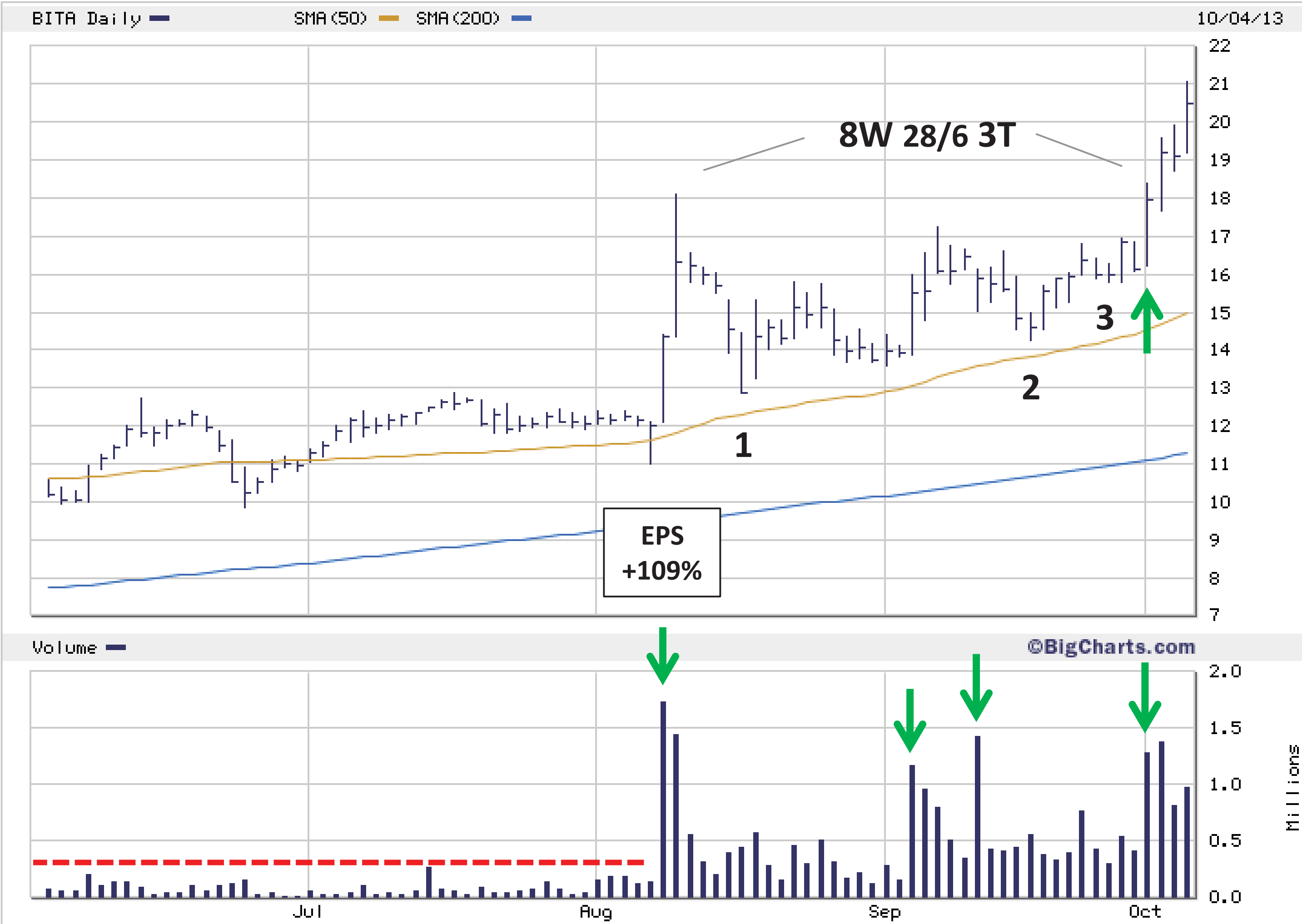


Netflix

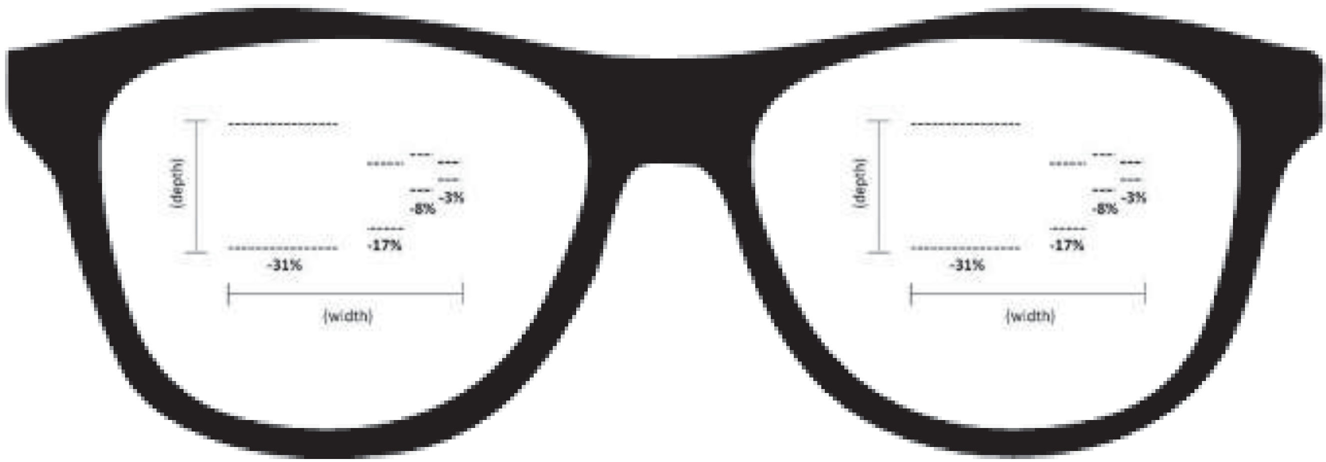
27W 27/8 3T

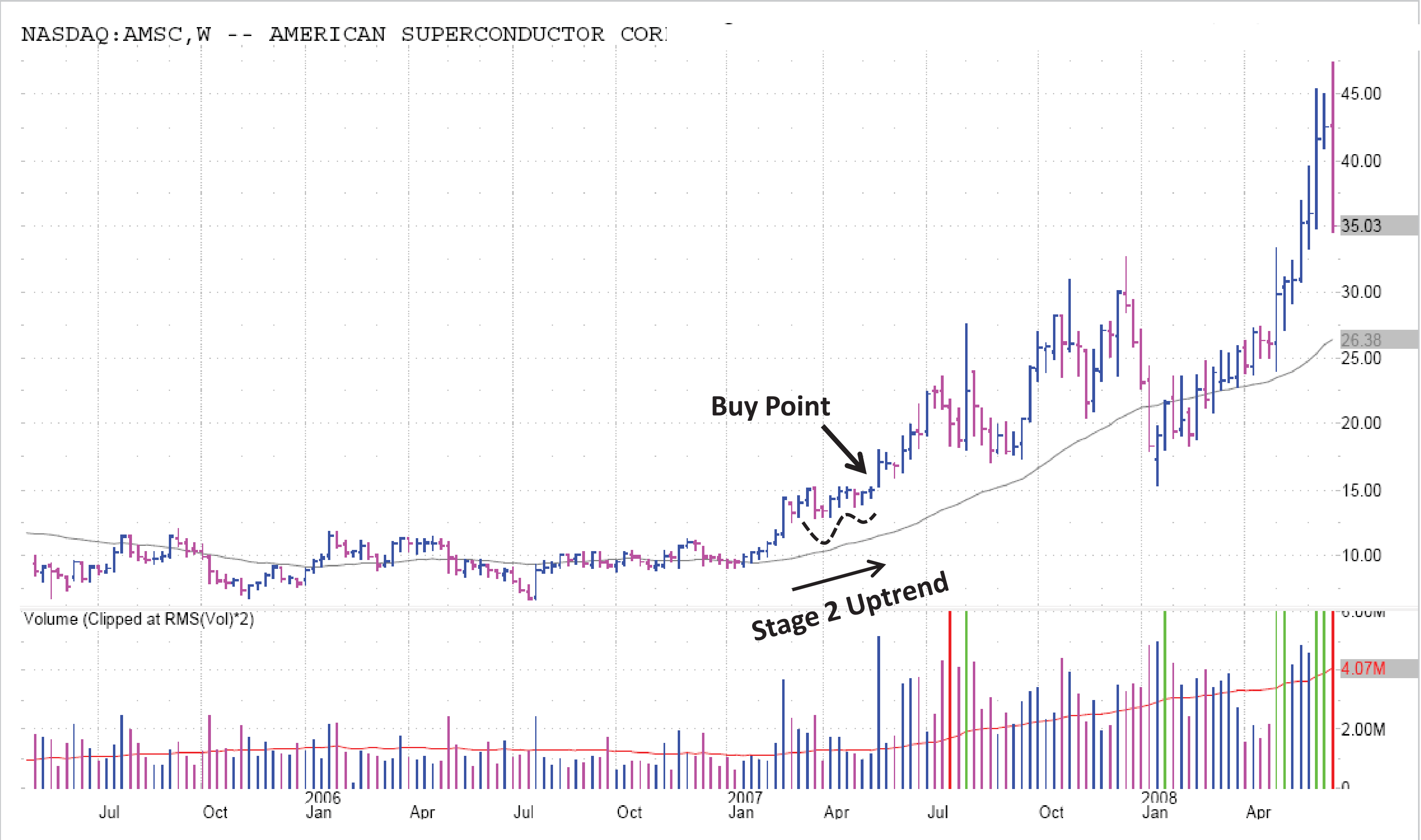
Bitauto Holdings Ltd Ads

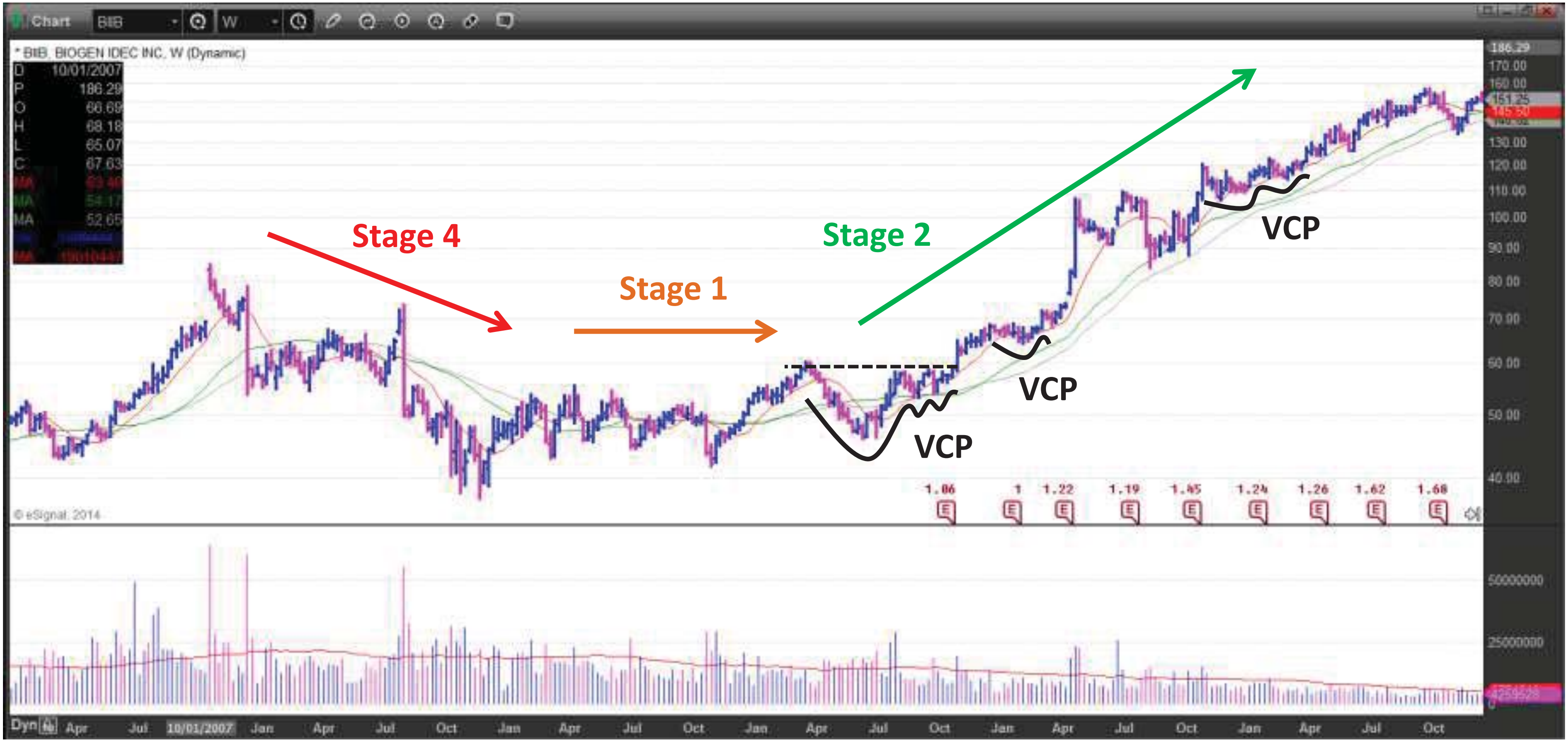
+465% in 10 months



The VCP Template

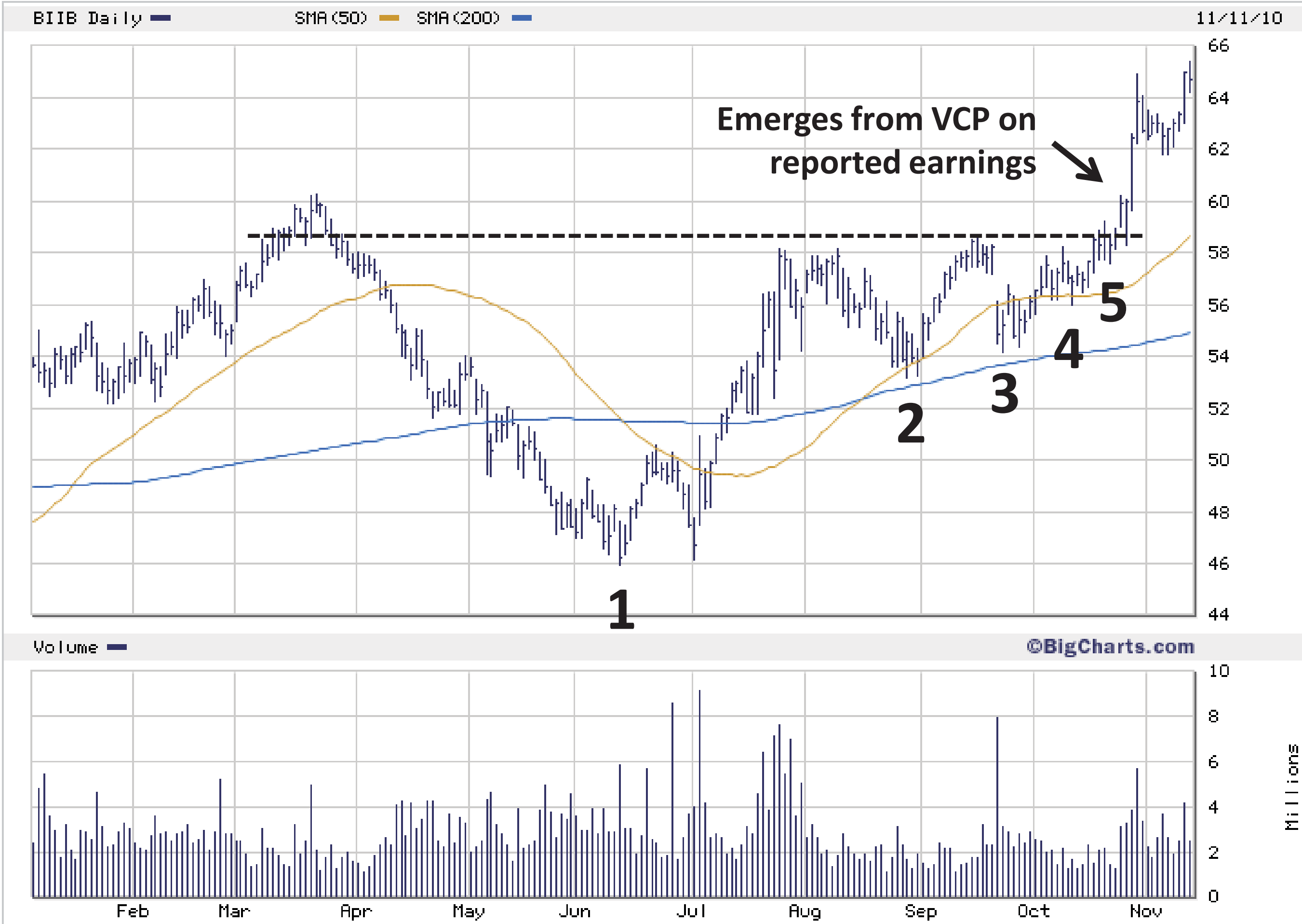



NASDAQ:AMSC,W -- AMERICAN SUPERCONDUCTOR COR
Buy Point
Stage 2 Uptrend
Volume (Clipped at RMS(Vol)*2)
45.00
40.00
35.03
30.00
26.38
25.00
20.00
15.00
10.00
4.07M
2.00M
0
Jul
Oct
2006 Jan
Apr
Jul
Oct
2007 Jan
Apr
Jul
Oct
2008 Jan
Apr

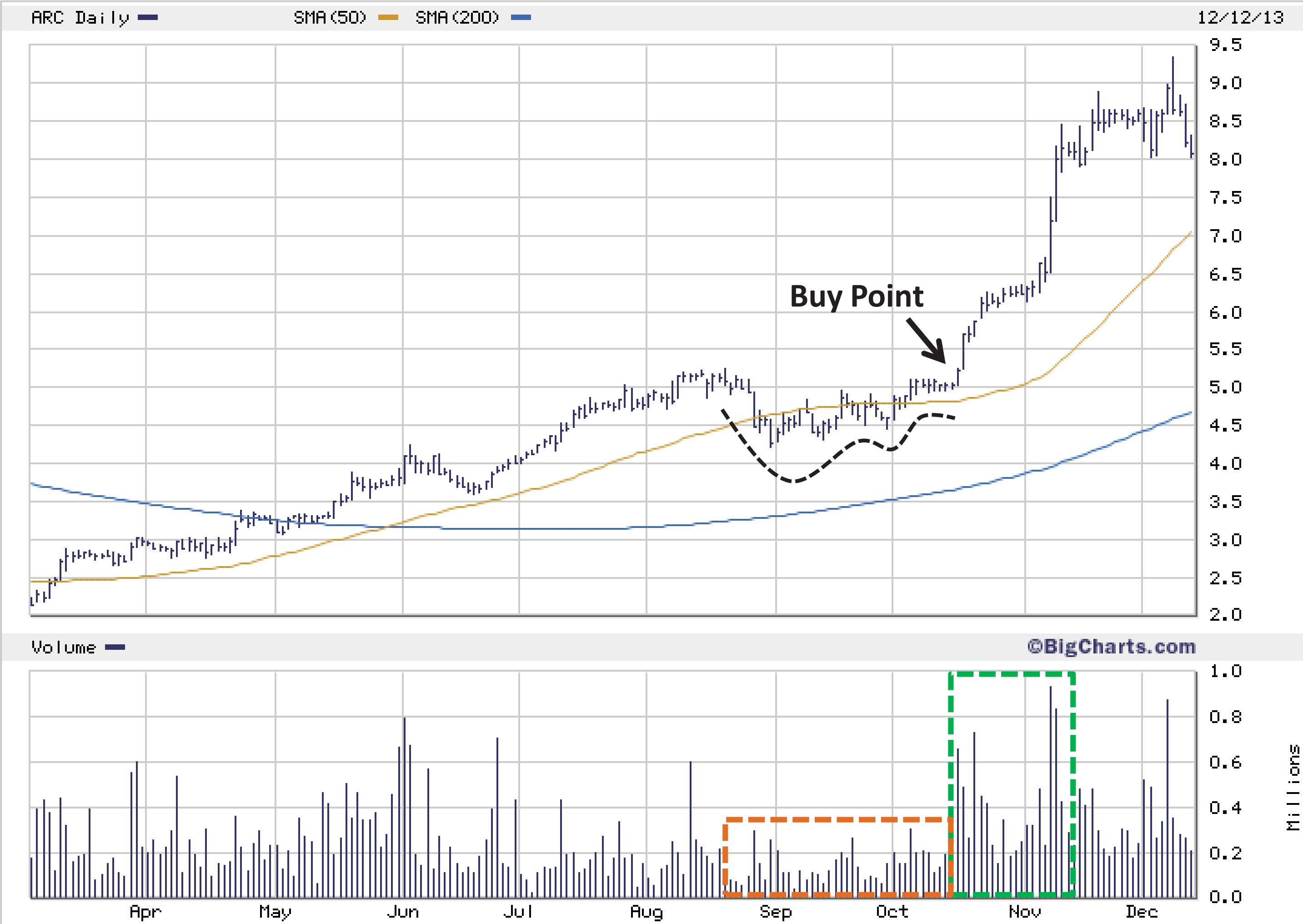


* BIIB, BIOGEN IDEC INC, W (Dynamic)
Stage 4
Stage 1
Stage 2
VCP
VCP
VCP
VCP
© eSignal 2014

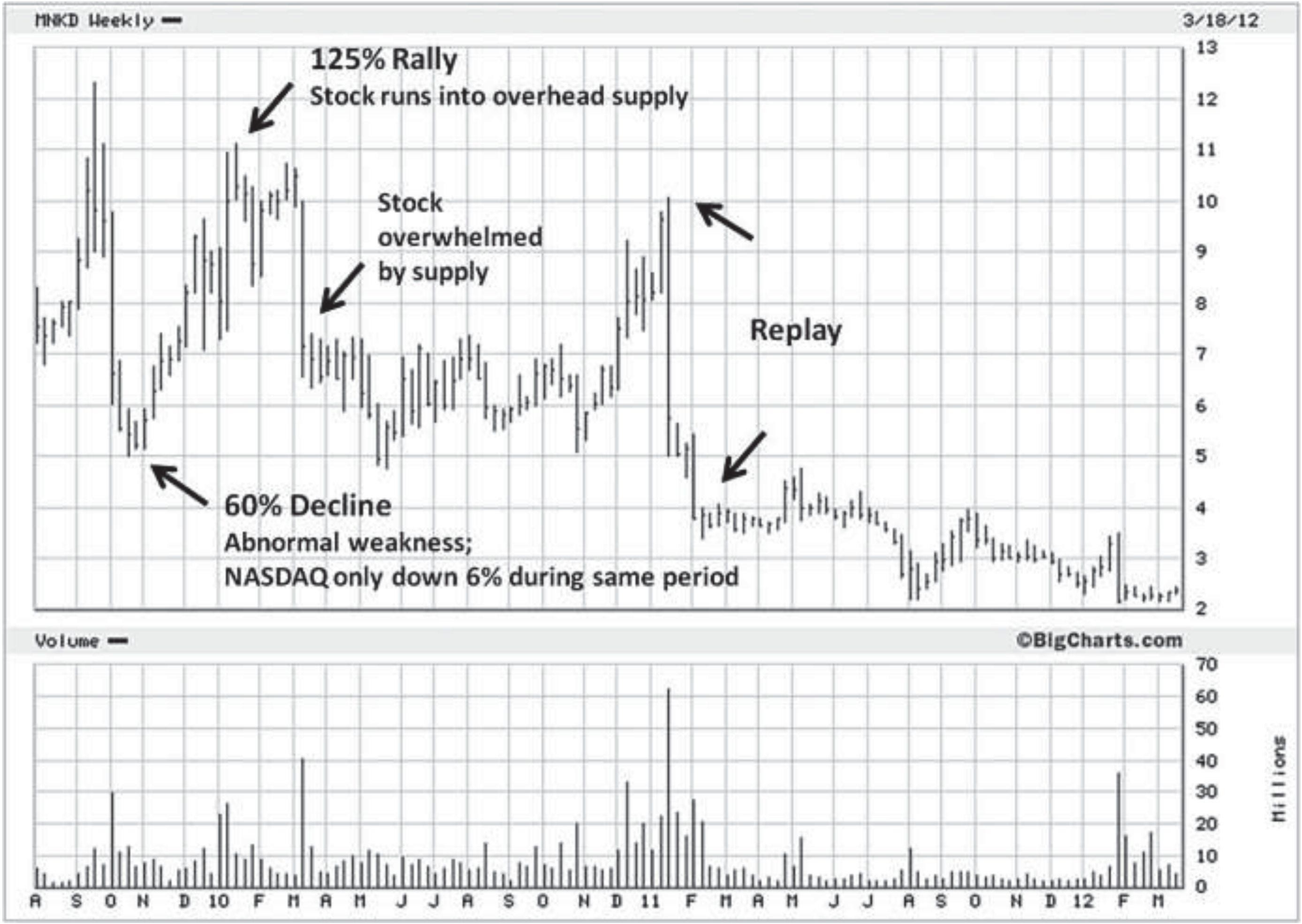
Biogen Idec Inc. +494% in 41 months



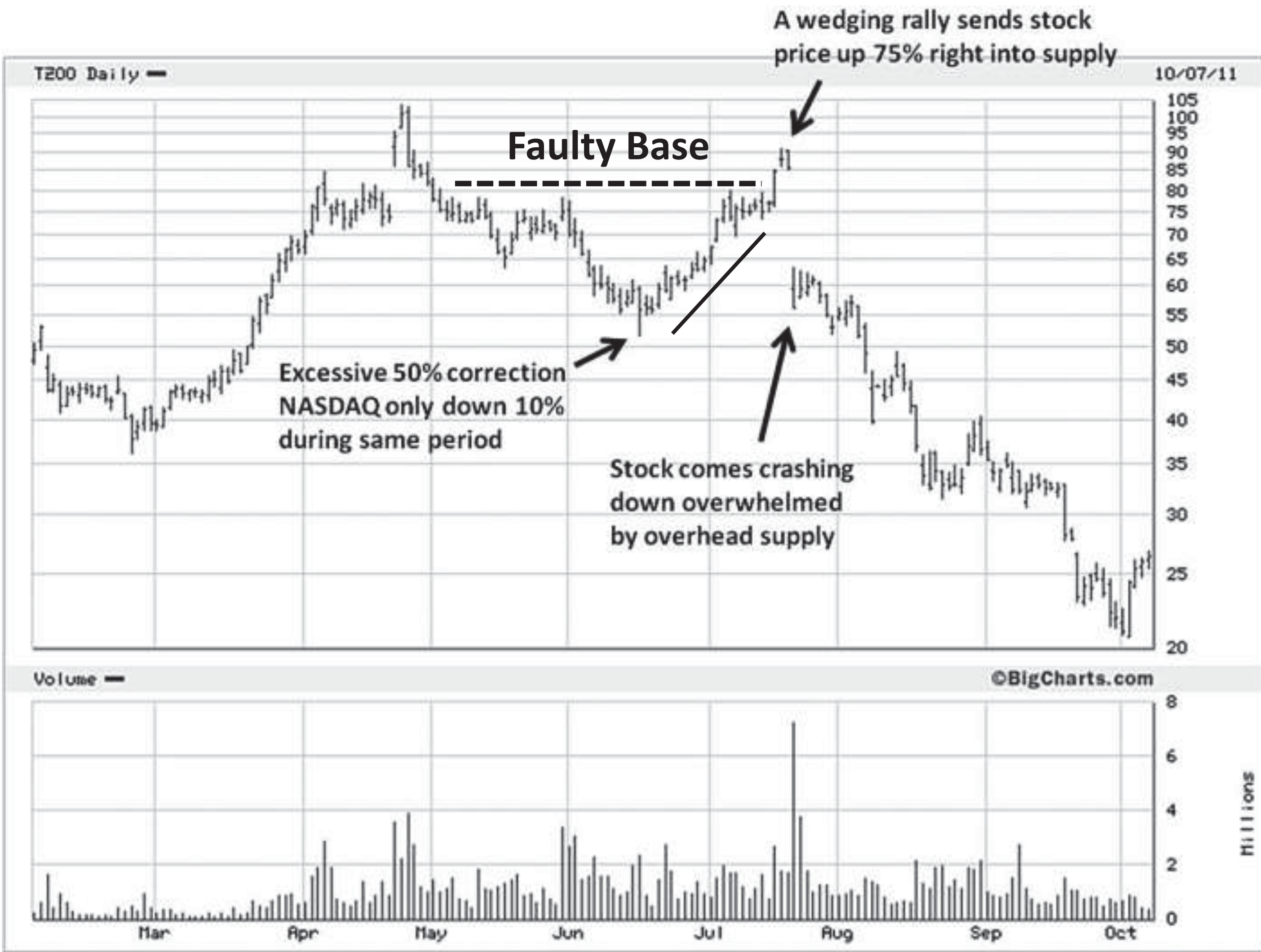
A R C Document Solutions **+81% in 38 days**

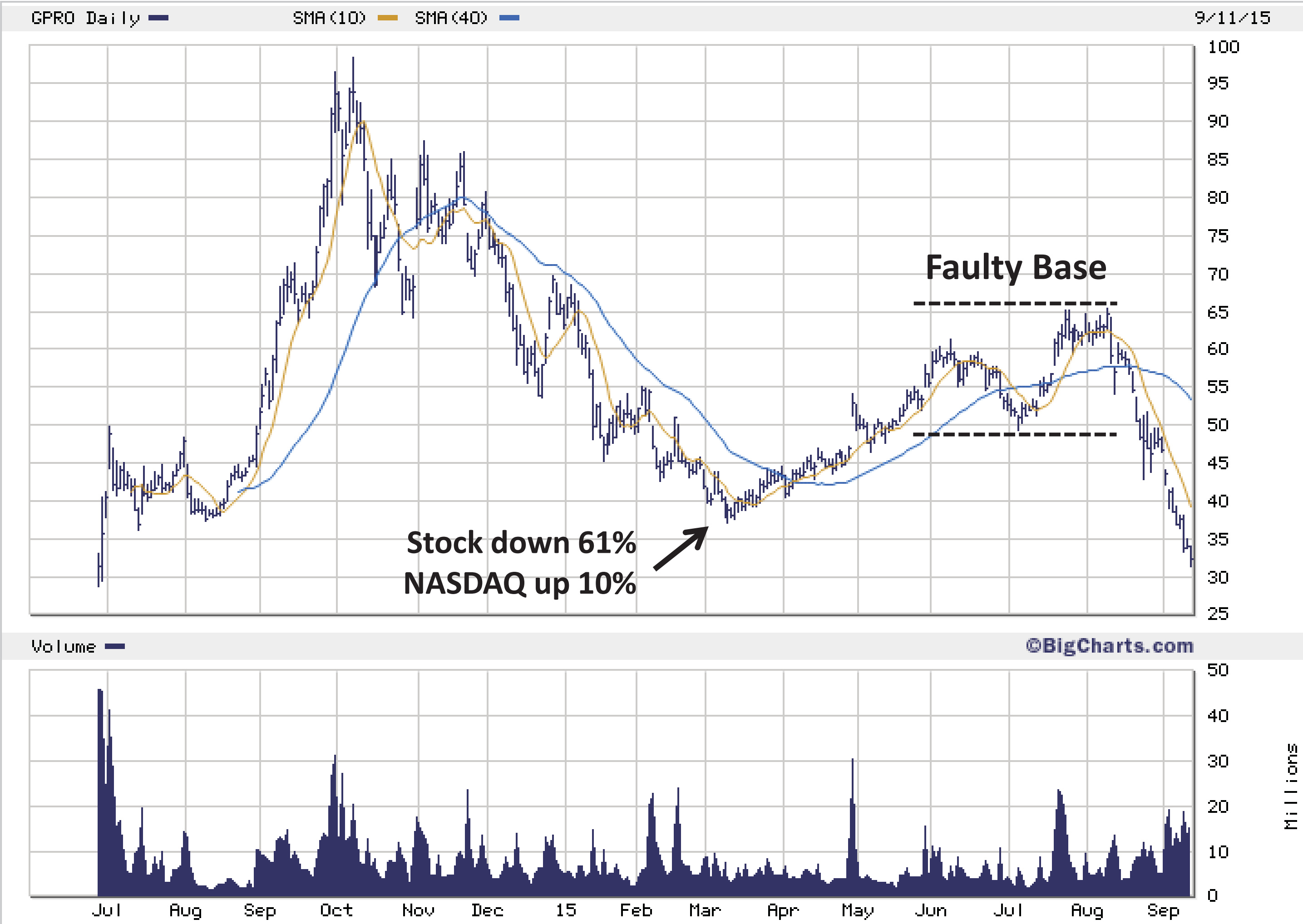


Caution with Deep Corrections



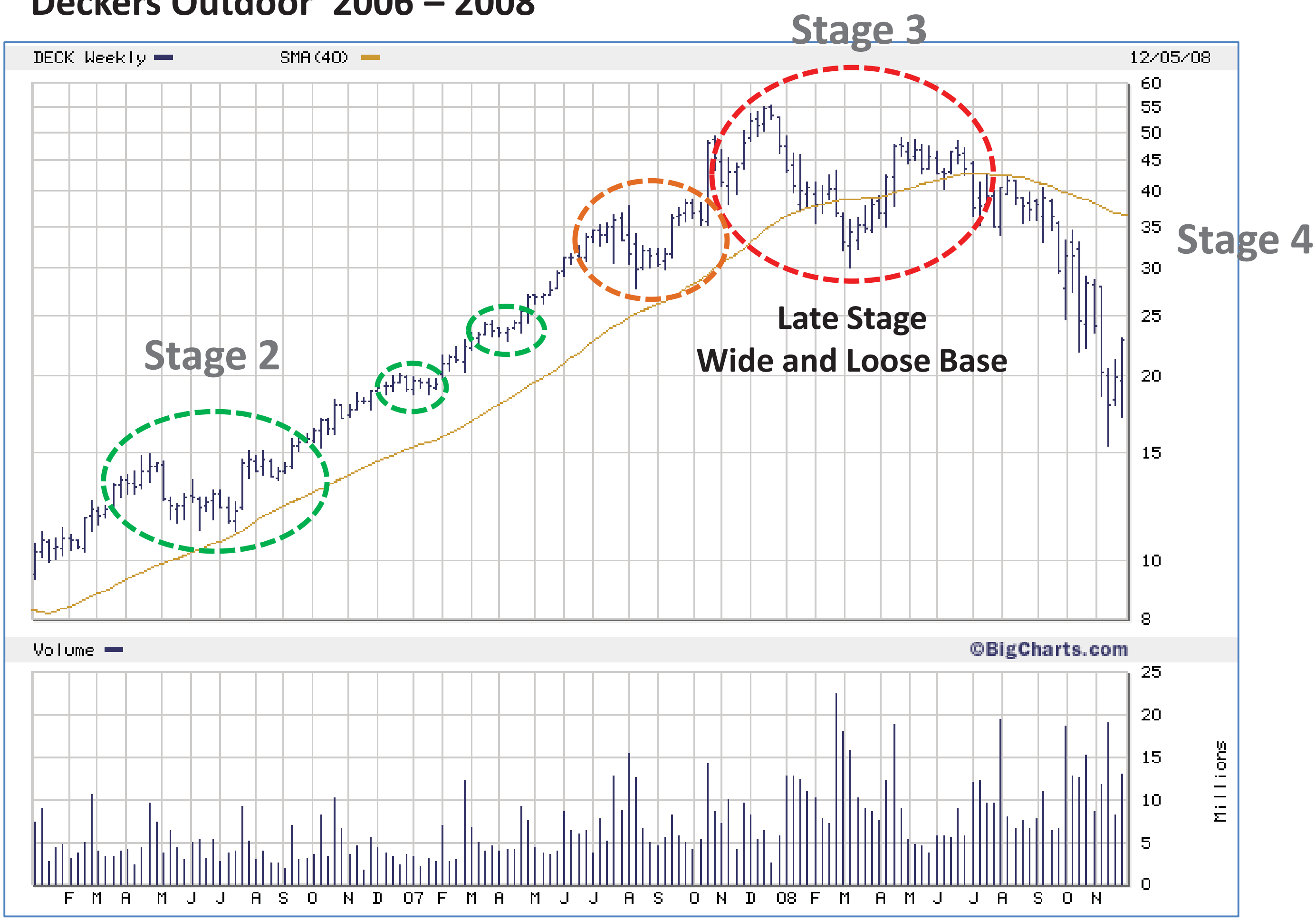
MASTER TRADER PROGRAM
with Mark Minervini


A wedging rally sends stock price up 75% right into supply
T200 Daily
10/07/11
Faulty Base
Excessive 50% correction NASDAQ only down 10% during same period
Stock comes crashing down overwhelmed by overhead supply
105
100
95
90
85
80
75
70
65
60
55
50
45
40
35
30
25
20
Volume
©BigCharts.com
8
6
4
2
0
Millions
Mar
Apr
May
Jun
Jul
Aug
Sep
Oct

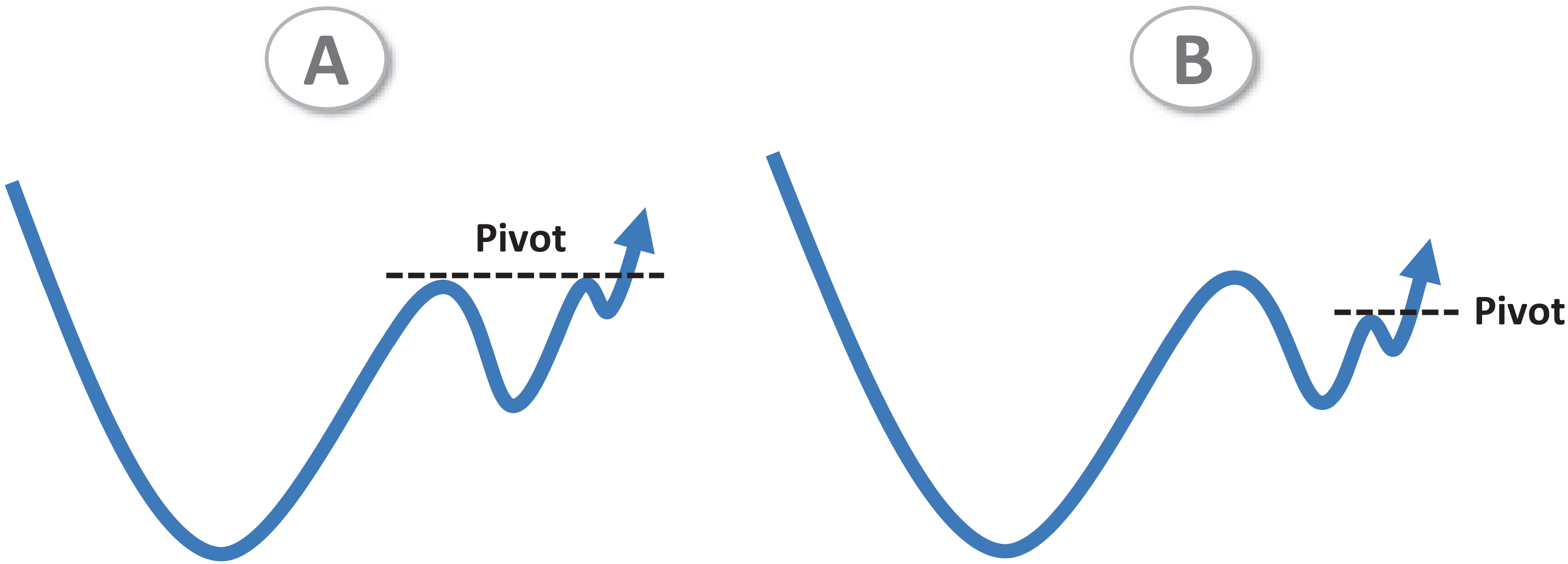


GPRO Daily
SMA(10)
SMA(40)
9/11/15
100
95
90
85
80
75
70
65
60
55
50
45
40
35
30
25
Faulty Base
Stock down 61%
NASDAQ up 10%
Volume
©BigCharts.com
50
40
30
20
10
0
Millions
Jul
Aug
Sep
Oct
Nov
Dec
15
Feb
Mar
Apr
May
Jun
Jul
Aug
Sep

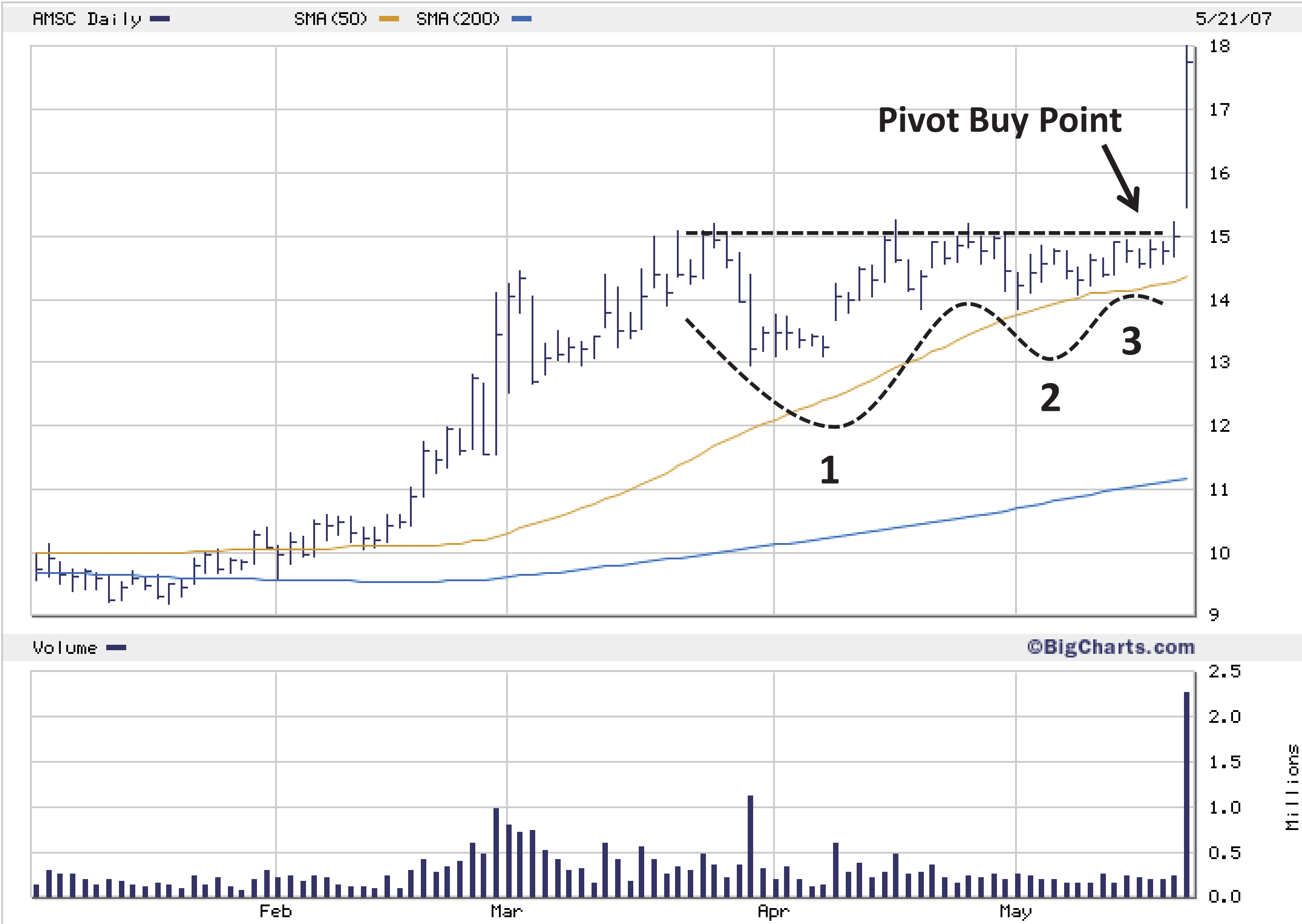
Deckers Outdoor 2006 – 2008



The Pivot Point

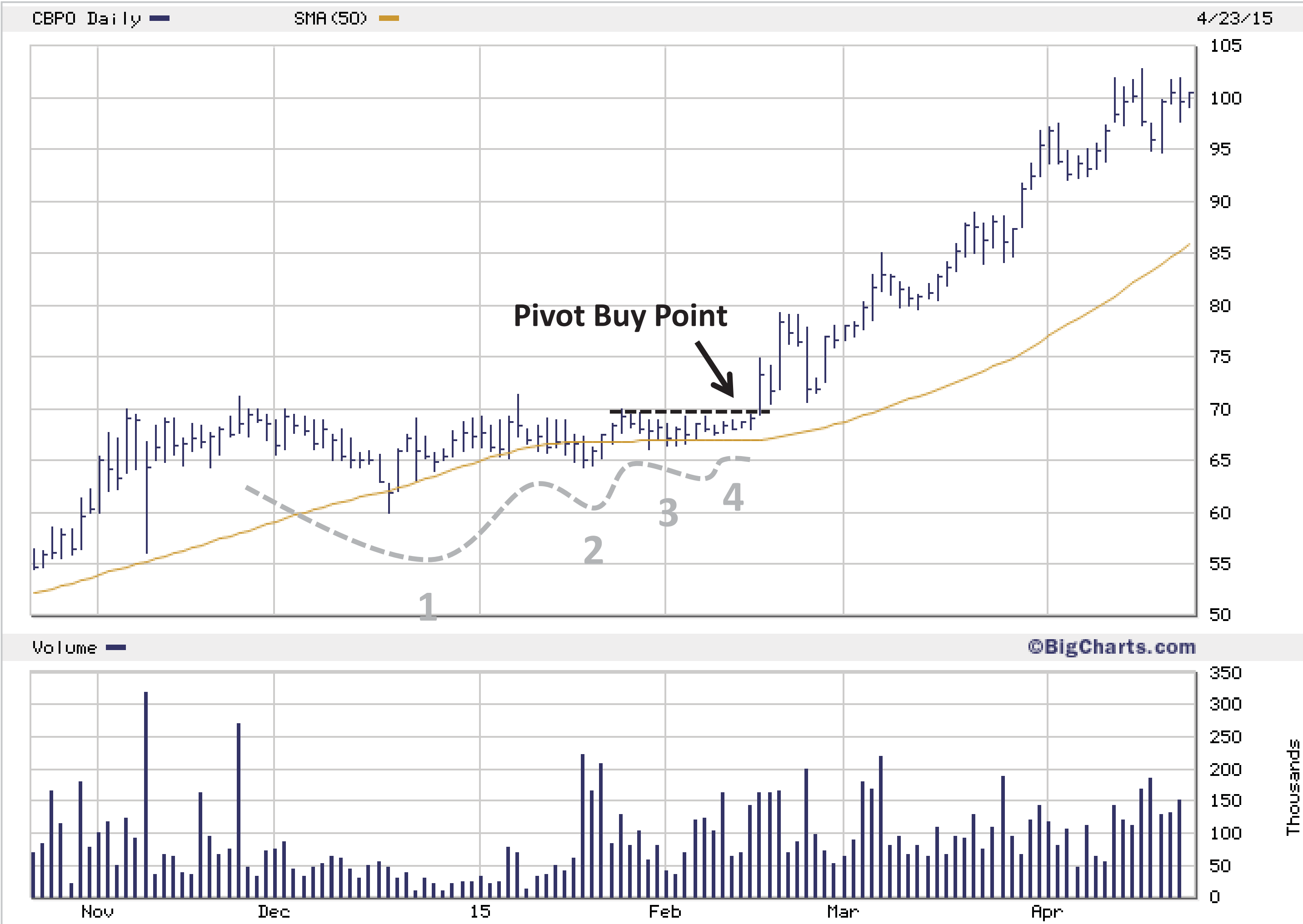


American Superconductor +215% in 13 months



China Biologic Products

+85% in 6 months



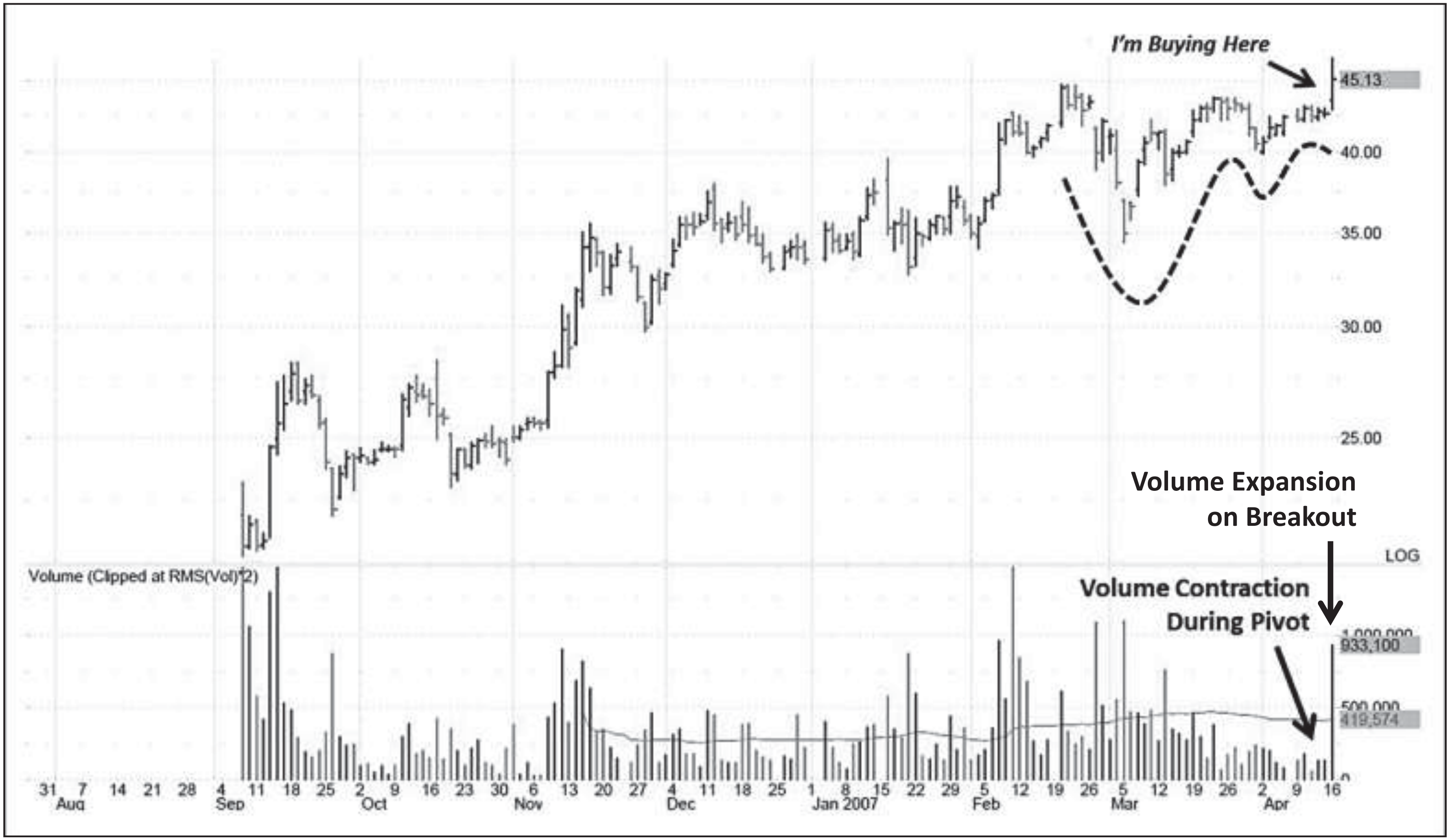
Meridian Bioscience

+115% in 6 months

BEBE Stores Inc. (BEBE) – 1998 **+192% in 5 months**

NASDAQ:BEBE,D -- BEBE STORES INC
P
P
P
P
14.3178
11.63966
10.00
8.00
6.00
4.00
Stock price is adjusted for stock splits
LOG
Volume (Clipped at RMS(Vol)*3)
1,500,000
1,000,000
515,264
0
1 8 15 22 29 6 13 20 27 3 10 17 24 31 8 14 21 28 5 12 19 26 2 9 16 23 30 7 14 21 28 4 11 19 25 1 8 16 22 1 8 15 22 29 5 12
Jun Jul Aug Sep Oct Nov Dec Jan 1999 Feb Mar Apr

New Oriental Education (EDU) 2007 +105% in 7 months



Mercadolibre Inc. (MELI) 2007

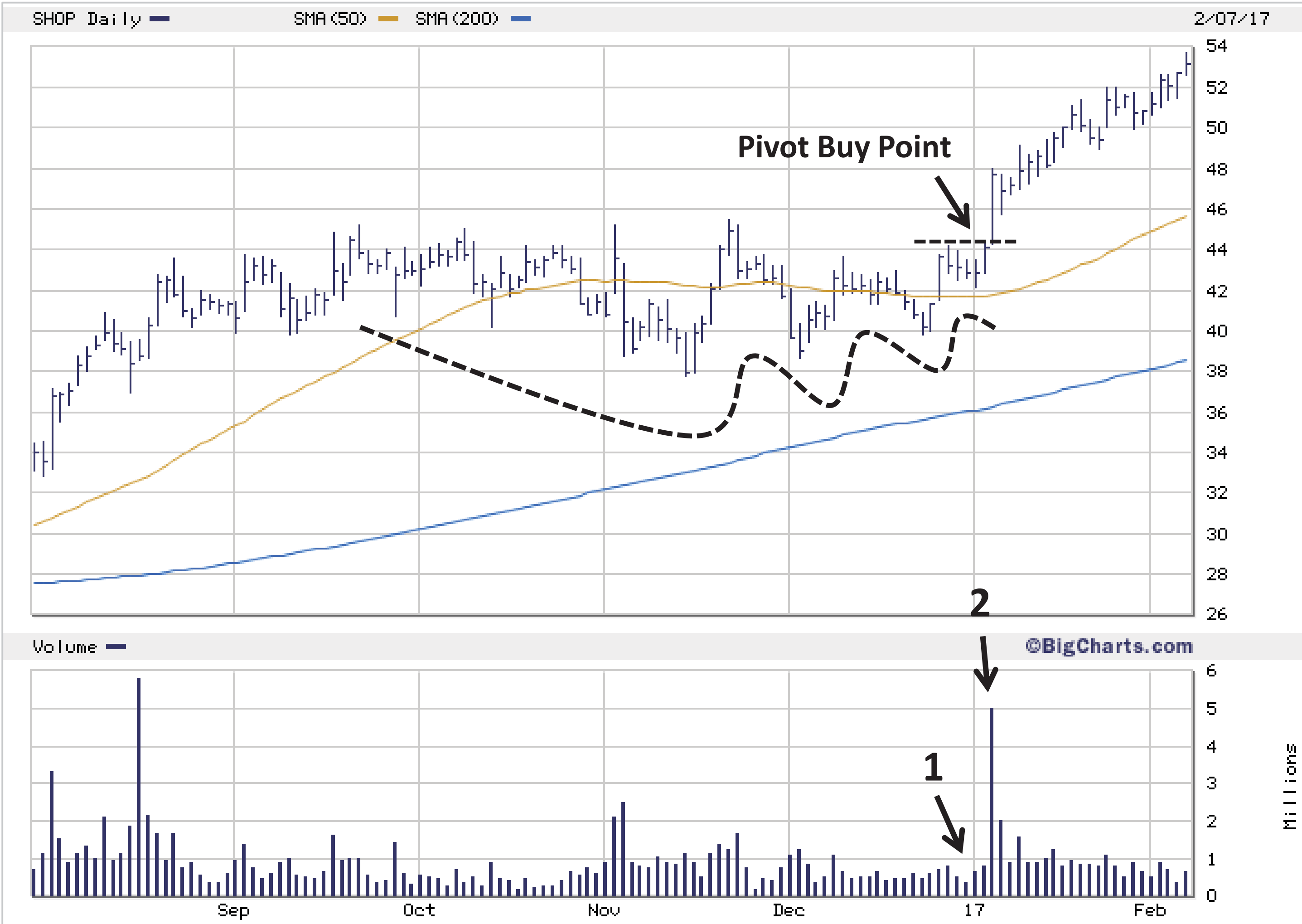
+75% in 13 days

American Superconductor (AMSC) 2004 +60% in 17 days

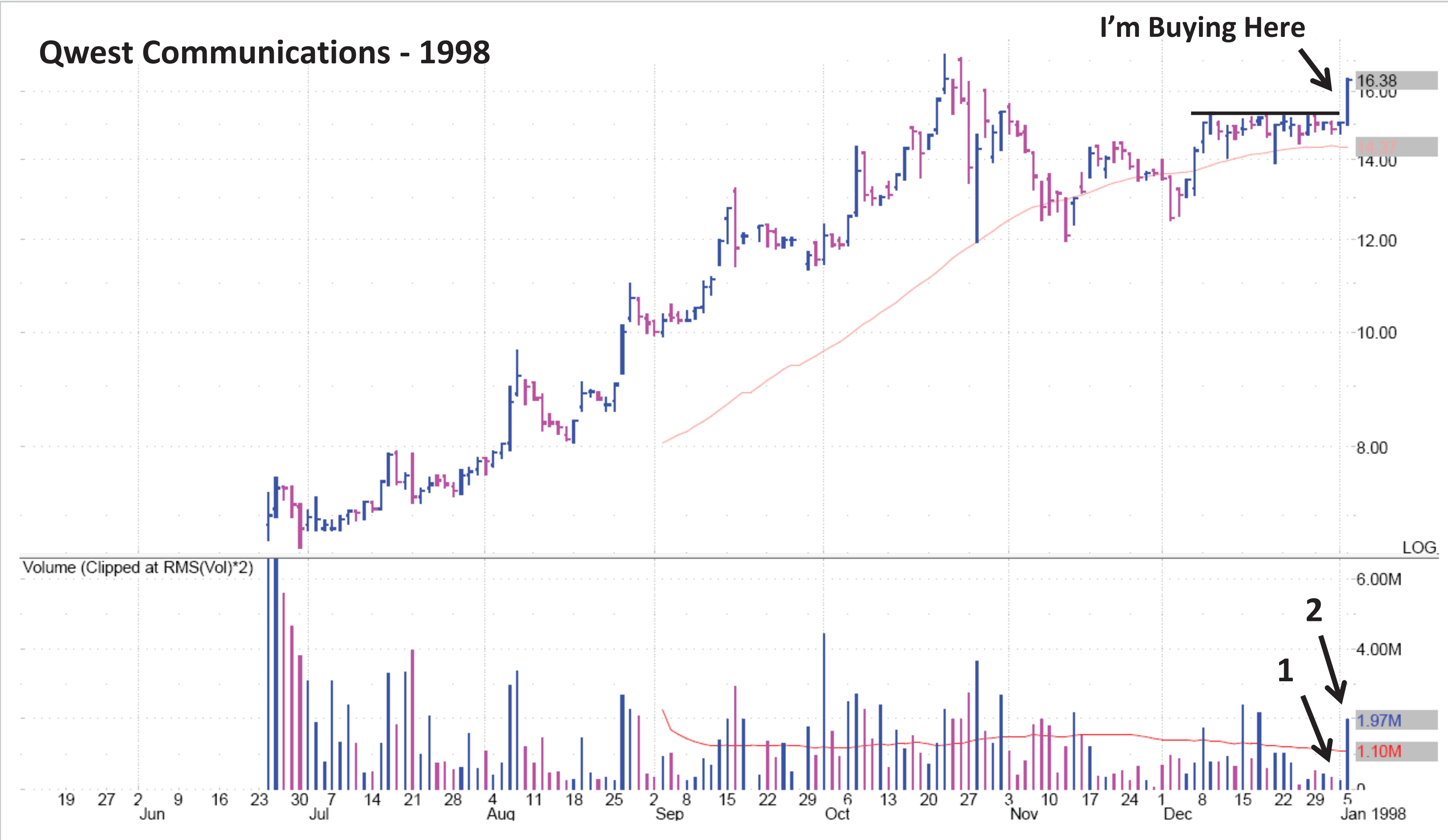
Impax Labs (IPXL) 2003 – 2004   +70% in 3 months

Netflix (NFLX) 2009 **+525% in 21 months**

Shopify (SHOP) 2018 +175% in 8 months

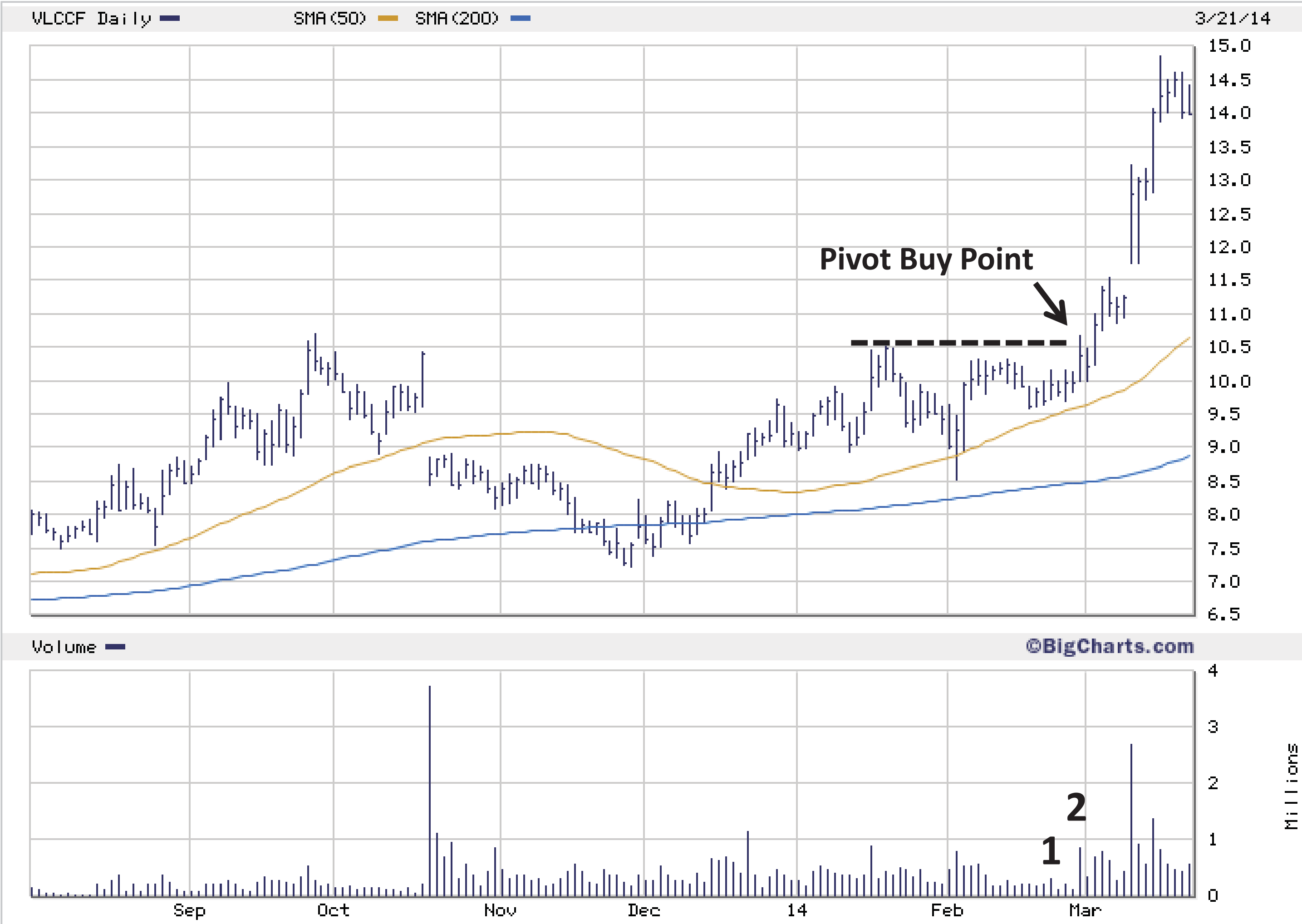


MASTER TRADER PROGRAM
with Mark Minervini


Qwest Communications - 1998
I'm Buying Here
16.38
16.00
14.37
14.00
12.00
10.00
8.00
LOG
Volume (Clipped at RMS(Vol)*2)
6.00M
4.00M
1.97M
1.10M
1
2
19 27 2 9 16 23 30 7 14 21 28 4 11 18 25 2 8 15 22 29 6 13 20 27 3 10 17 24 1 8 15 22 29 5
Jun Jul Aug Sep Oct Nov Dec Jan 1998

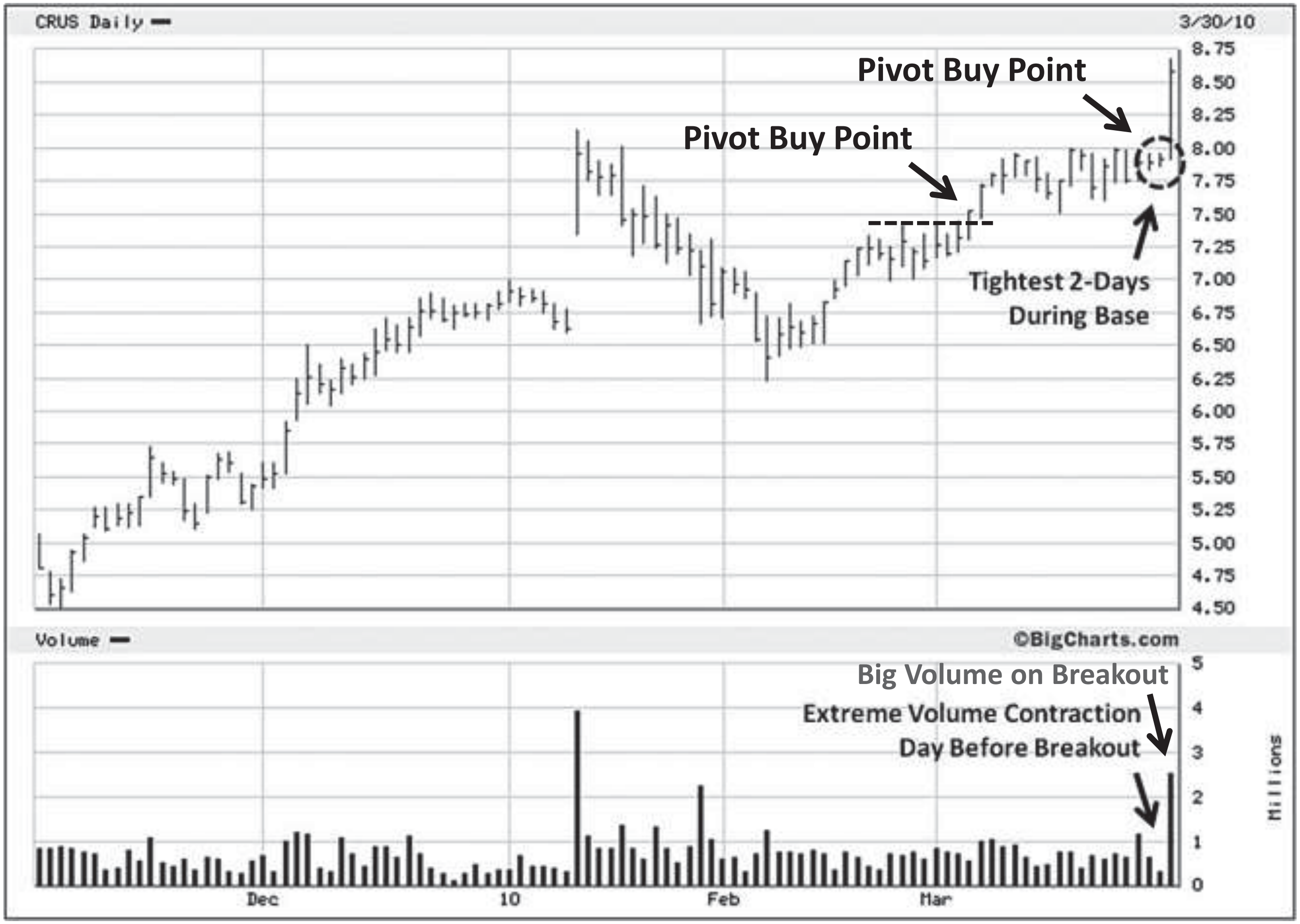
Knightsbridge Tankers

+44% in 12 days

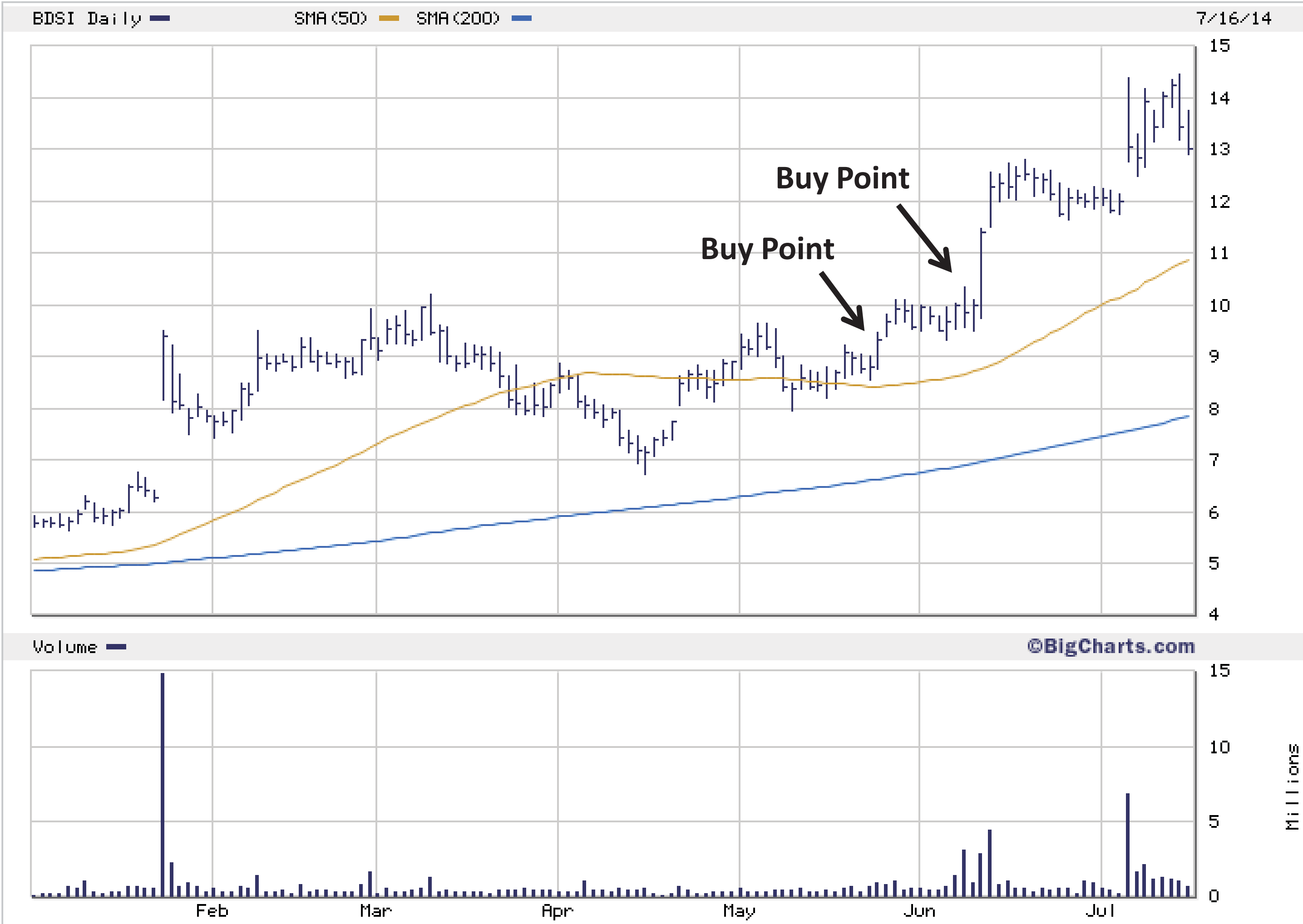


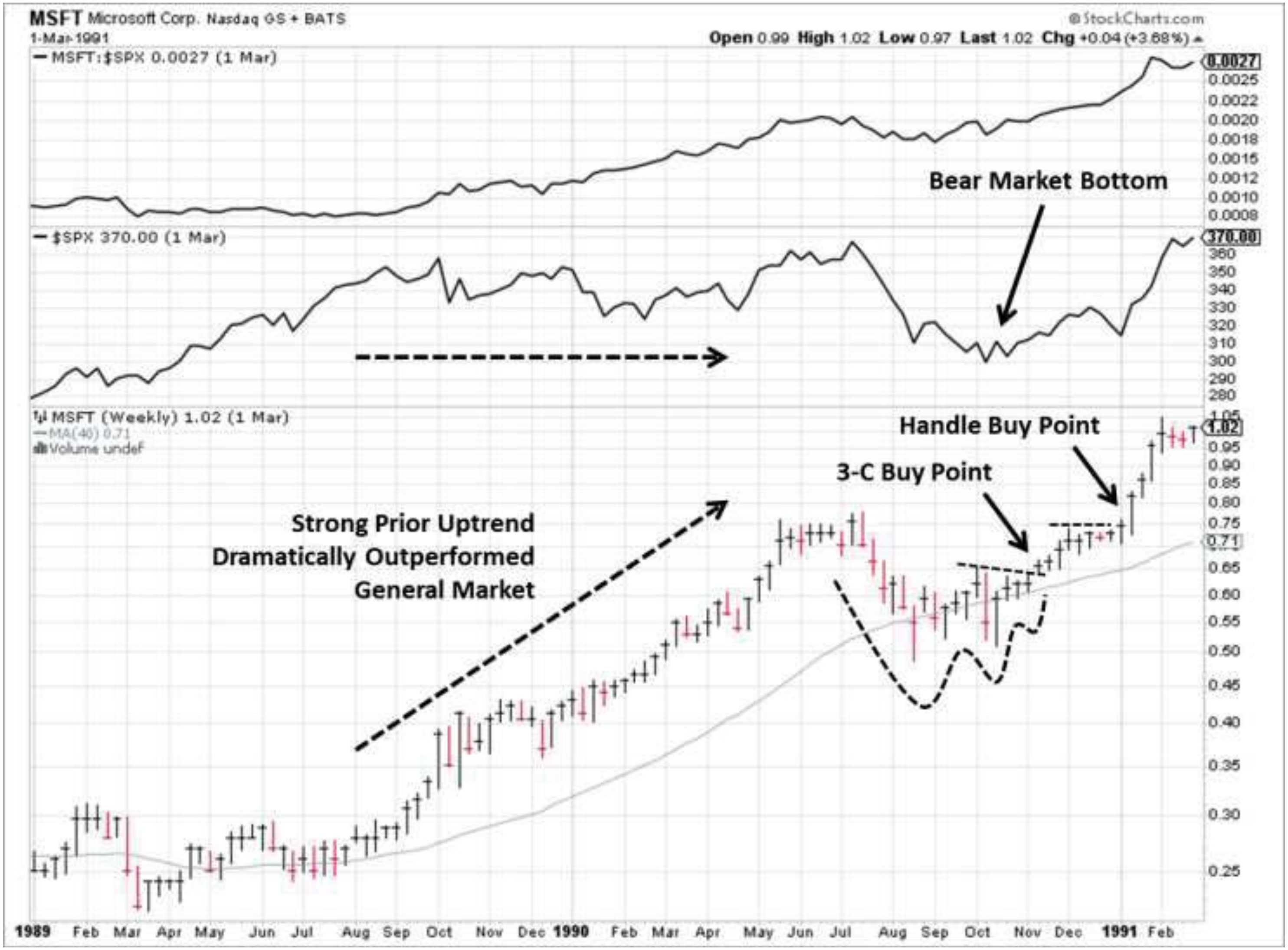
Pyramid Buying – Multiple Pivots Within a Base

Cirrus Logic (CRUS) 2010 +162% in 4 months

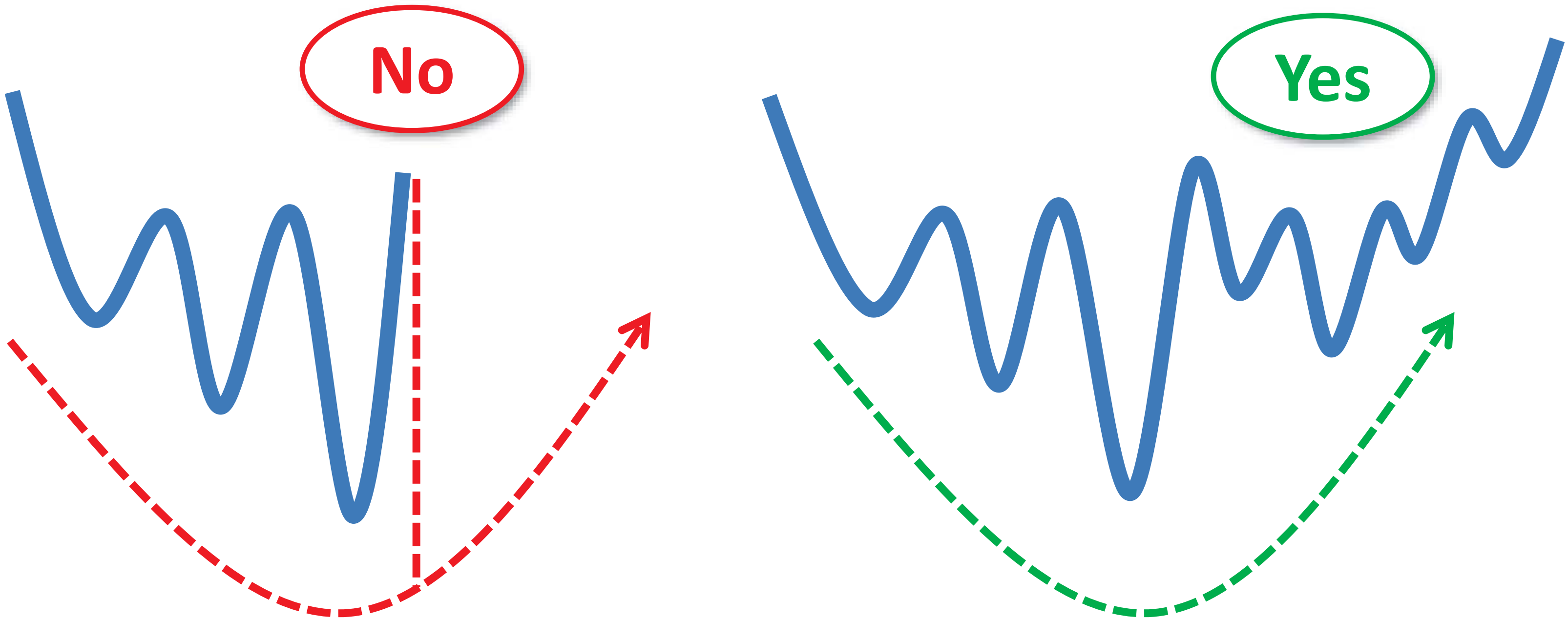


Biodelivery Science Intl. +80% in 3 months




MSFT Microsoft Corp. Nasdaq GS + BATS
1-Mar-1991
@StockCharts.com
Open 0.99 High 1.02 Low 0.97 Last 1.02 Chg +0.04 (+3.68%)
MSFT:$SPX 0.0027 (1 Mar)
$SPX 370.00 (1 Mar)
MSFT (Weekly) 1.02 (1 Mar)
MA(40) 0.71
Volume undef
Bear Market Bottom
Handle Buy Point
3-C Buy Point
Strong Prior Uptrend
Dramatically Outperformed
General Market
1989 Feb Mar Apr May Jun Jul Aug Sep Oct Nov Dec 1990 Feb Mar Apr May Jun Jul Aug Sep Oct Nov Dec 1991 Feb

Time Compression

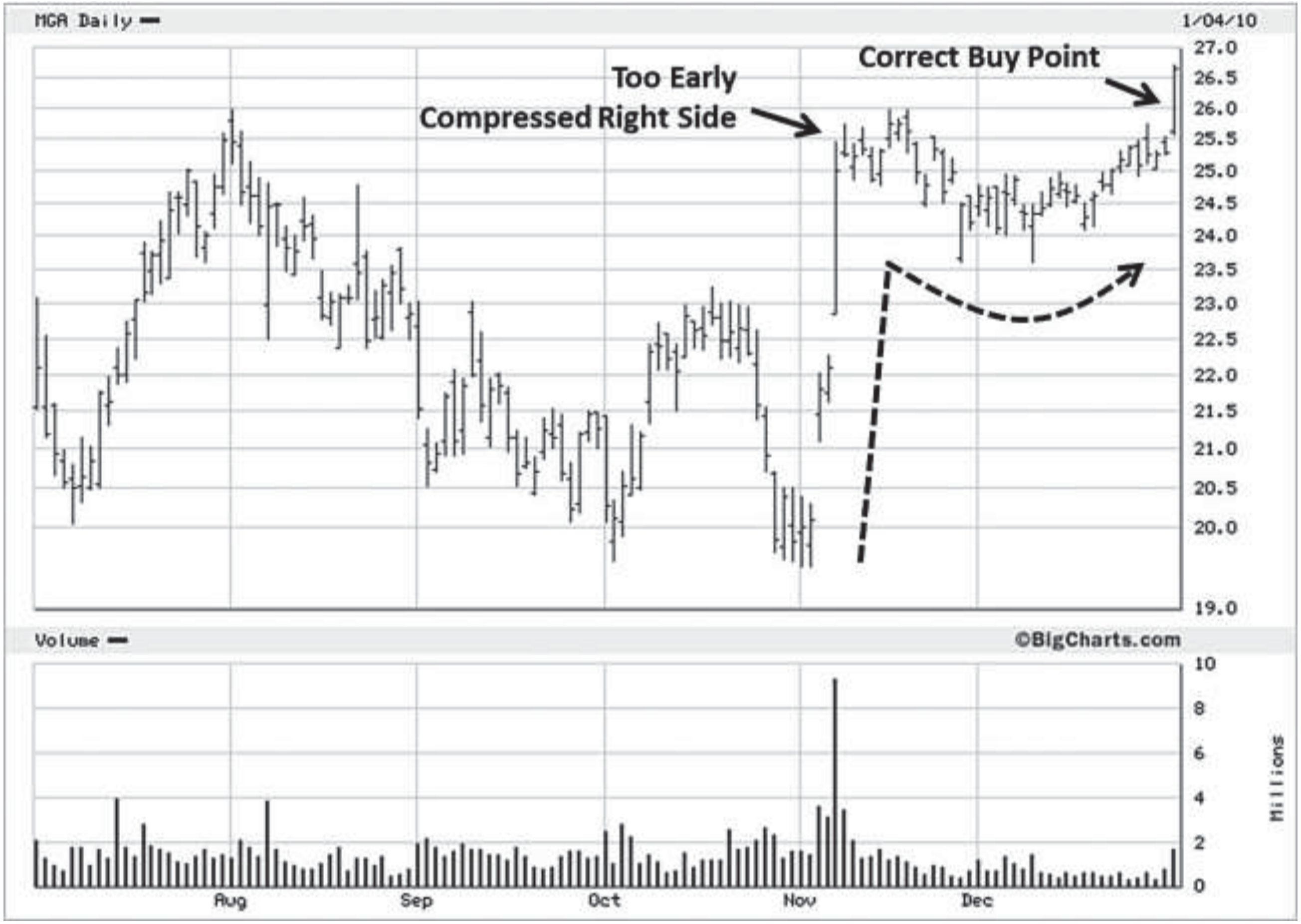


No
Yes
NASDAQ:BBOX,D -- BLACK BOX CORP
1
2
3
4
56.00
55.00
50.00
48.66
45.00
44.29
40.00
35.00
30.00
LOG
Volume (Clipped at RMS(Vol)*3)
400.00K
273.80K
200.00K
119.29K
0
5 12 19 26 3 10 17 24 1 7 14 21 28 6 12 19 26 2 9 16 23 30 7 13 20 27 4 11 18 25 1 8 15
Apr May Jun Jul Aug Sep Oct Nov

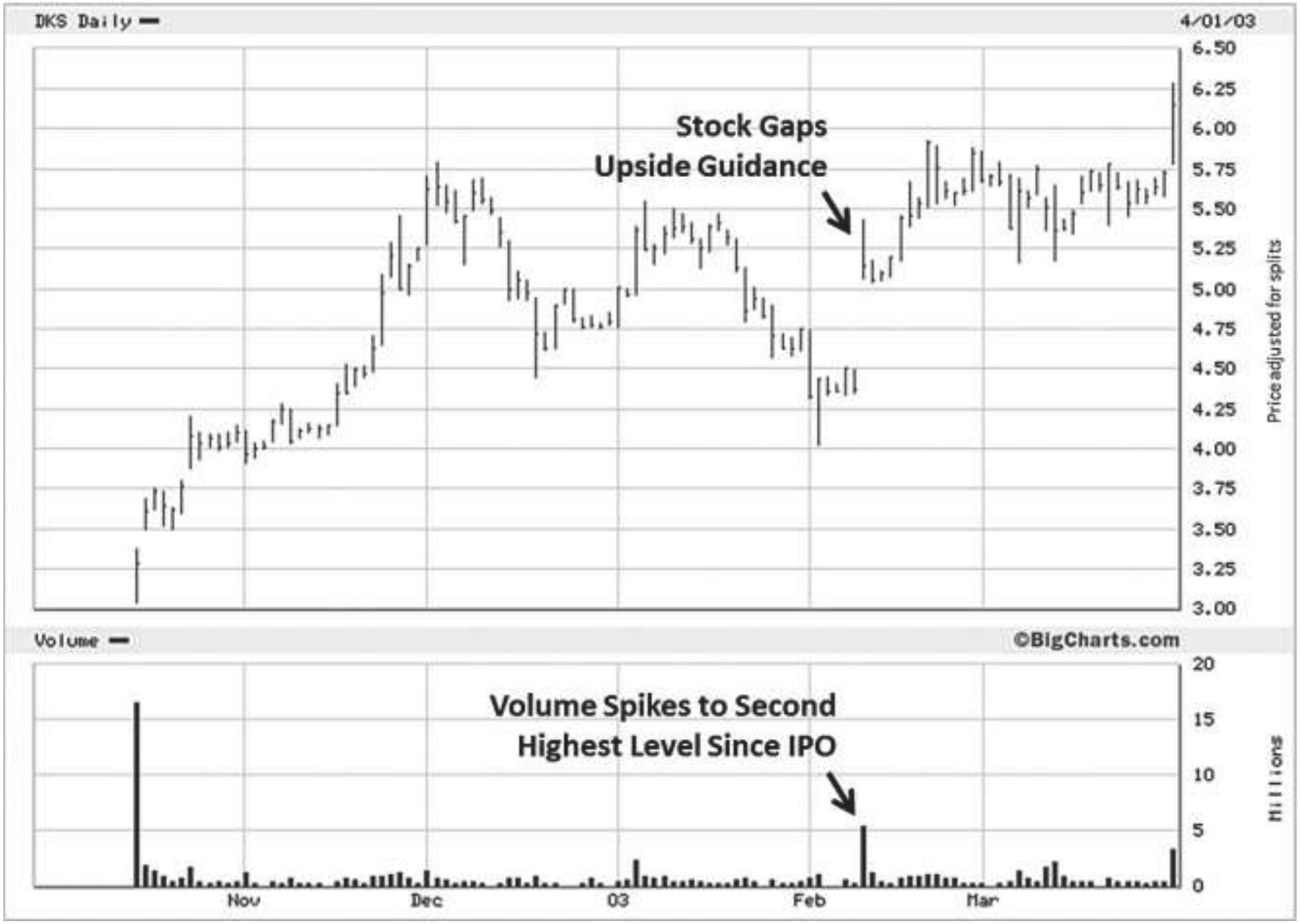
Troy Group

+146% in 14 days

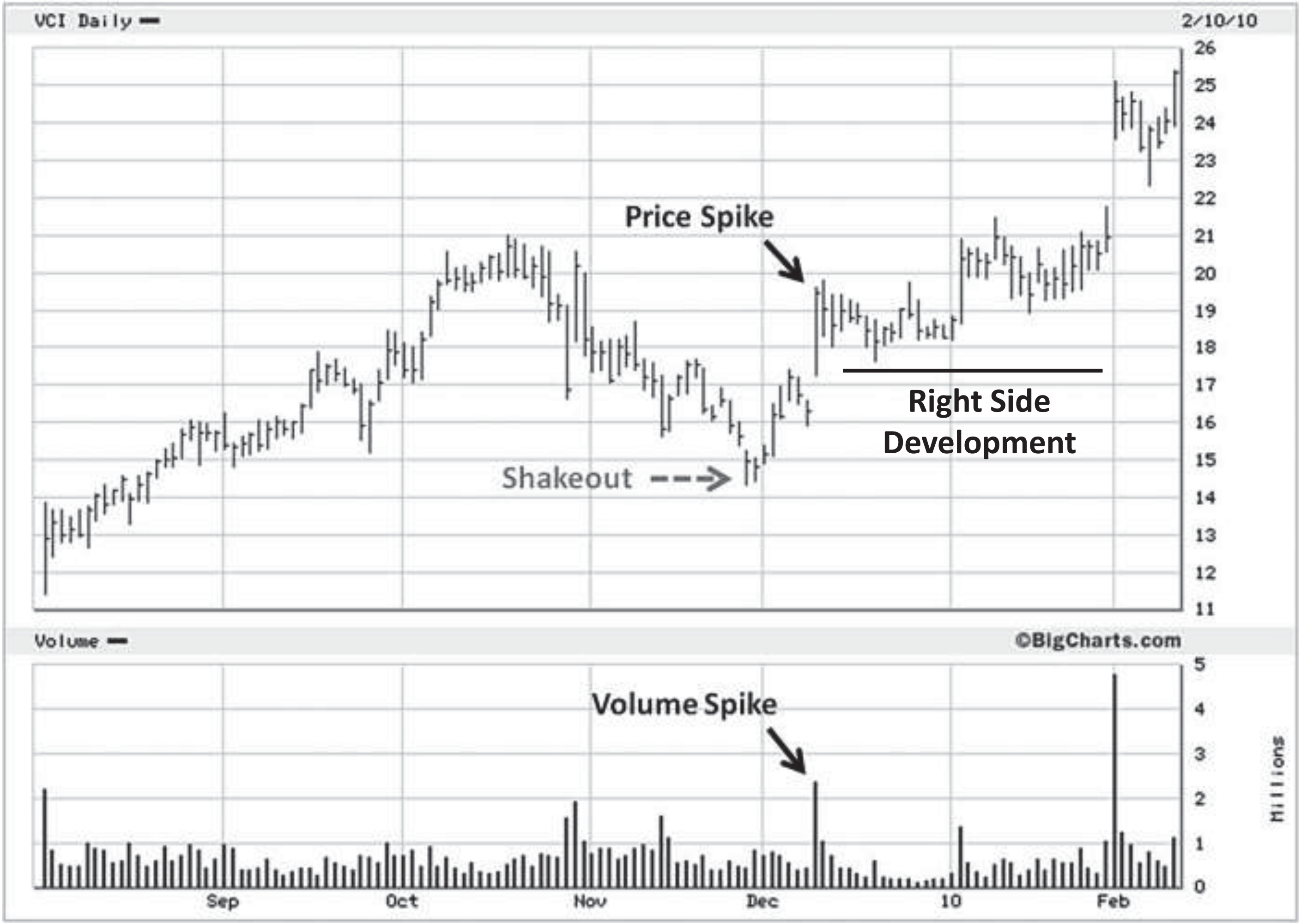
Magna Intl. +140% in 3 months



Look for Institutional Demand

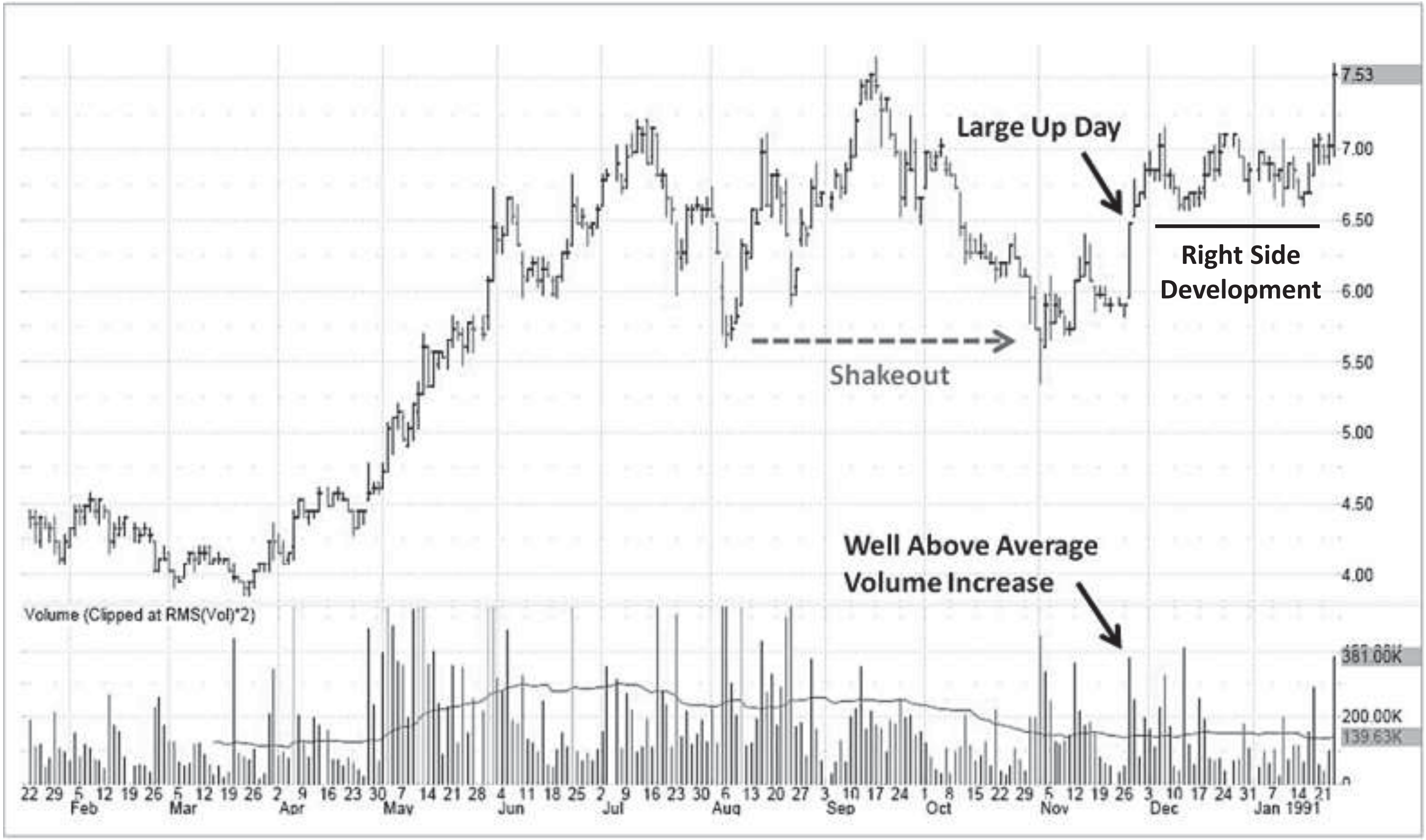


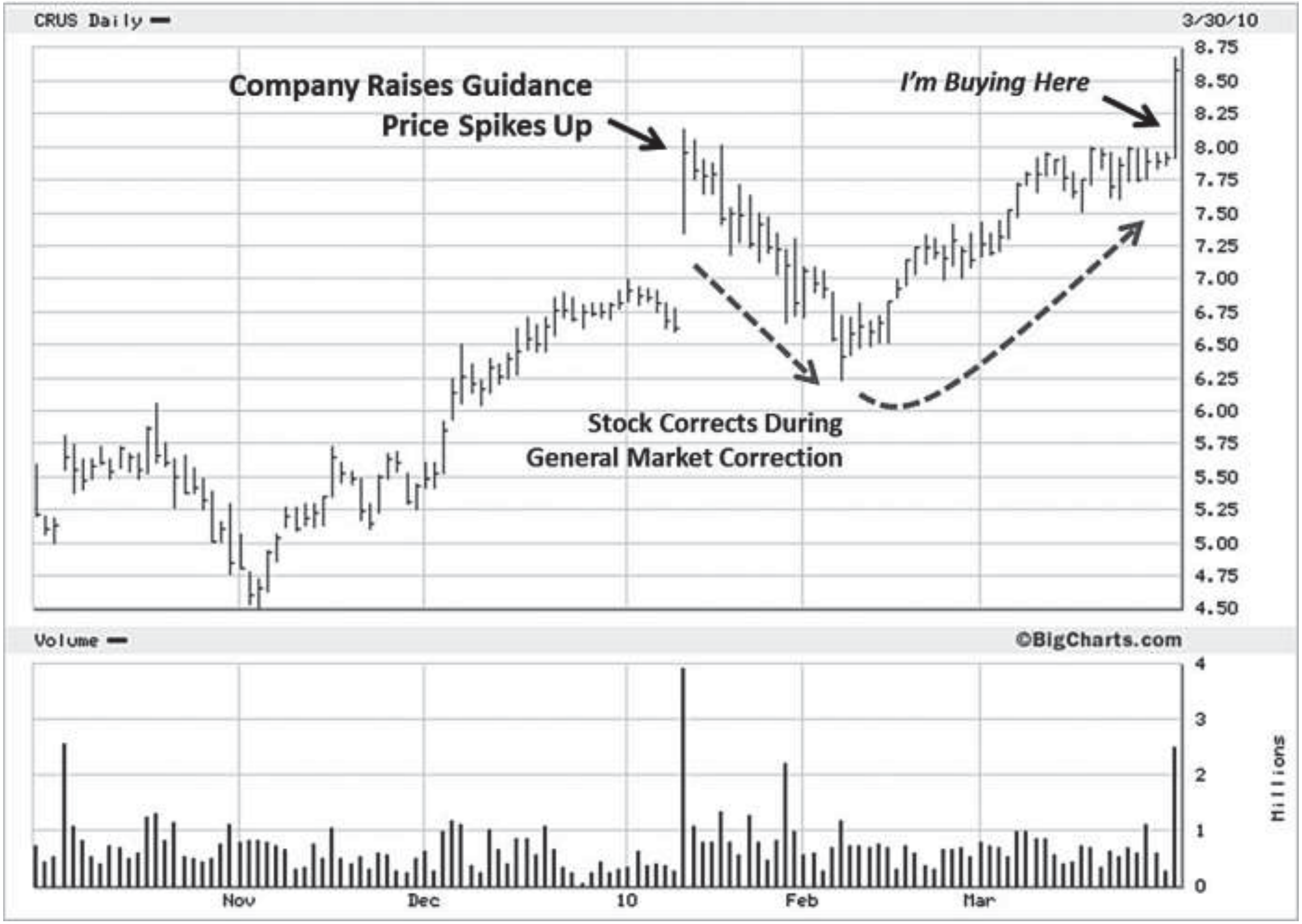

MGA Daily
1/04/10
Huge Demand
Shakeout
Overwhelming Volume
27.0
26.5
26.0
25.5
25.0
24.5
24.0
23.5
23.0
22.5
22.0
21.5
21.0
20.5
20.0
19.0
Volume
©BigCharts.com
10
8
6
4
2
0
Millions
Aug
Sep
Oct
Nov
Dec

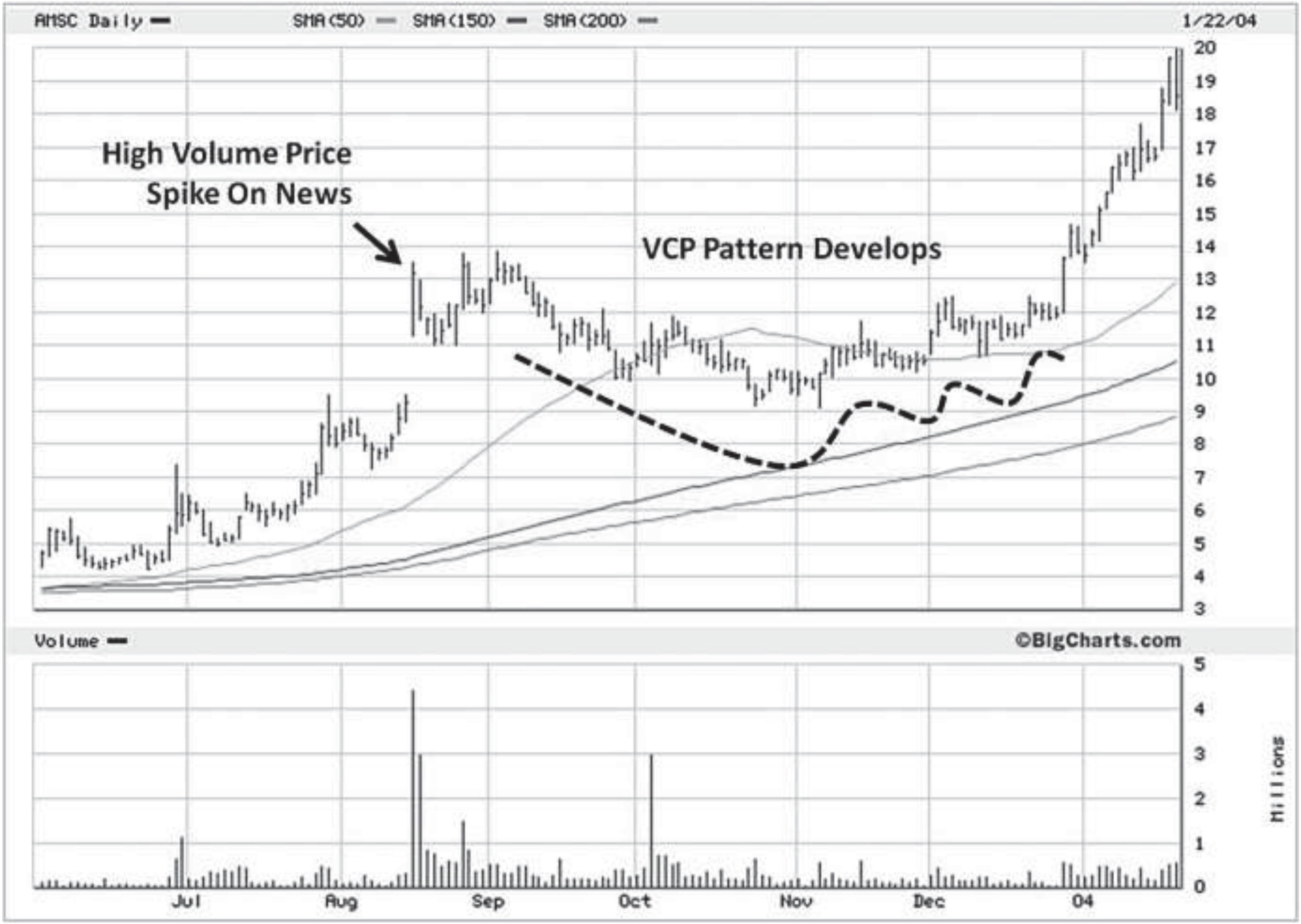


VCI Daily
2/10/10
26
25
24
23
22
21
20
19
18
17
16
15
14
13
12
11
Price Spike
Right Side
Development
Shakeout
Volume
©BigCharts.com
Volume Spike
5
4
3
2
1
0
Millions
Sep
Oct
Nov
Dec
10
Feb

Elan Corp. Plc Adr – (ELN)

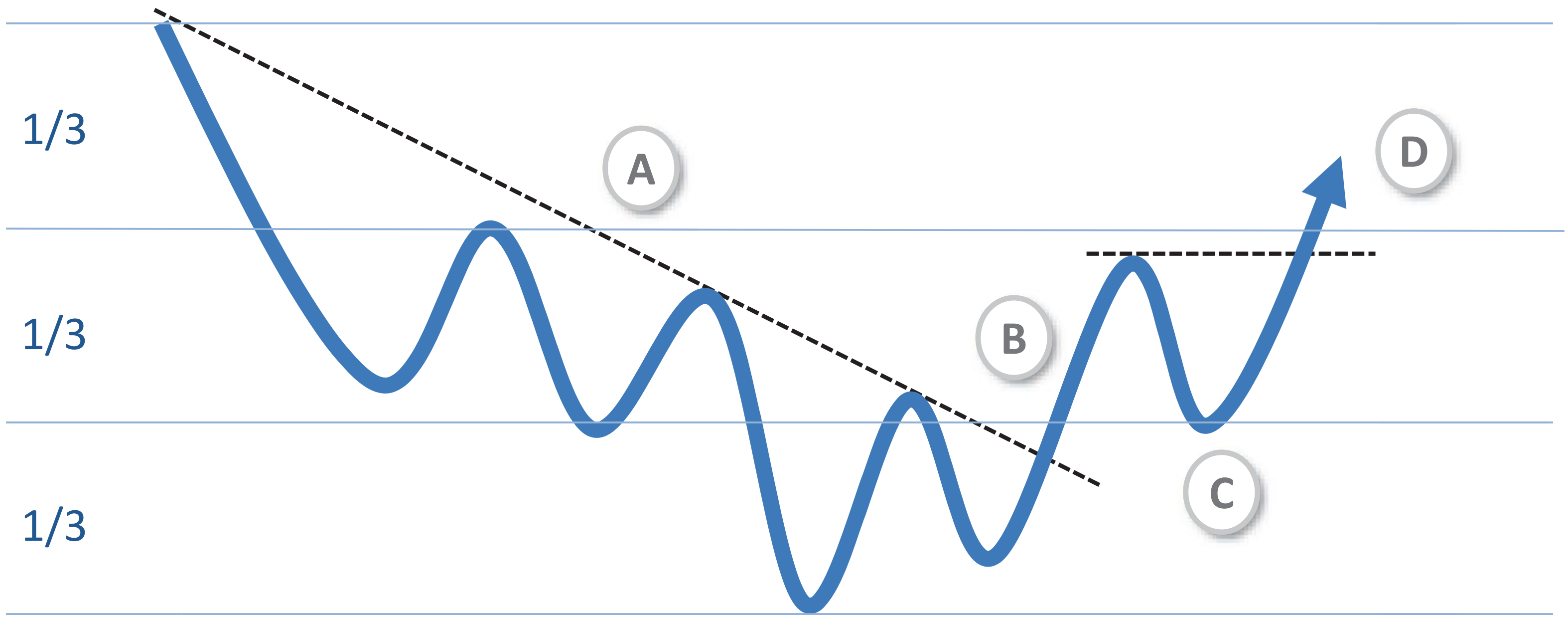



CRUS Daily
3/30/10
Company Raises Guidance
Price Spikes Up
I'm Buying Here
Stock Corrects During
General Market Correction
8.75
8.50
8.25
8.00
7.75
7.50
7.25
7.00
6.75
6.50
6.25
6.00
5.75
5.50
5.25
5.00
4.75
4.50
Volume
©BigCharts.com
4
3
2
1
0
Millions
Nov
Dec
10
Feb
Mar


AMSC Daily
SMA(50)
SMA(150)
SMA(200)
1/22/04
High Volume Price Spike On News
VCP Pattern Develops
20
19
18
17
16
15
14
13
12
11
10
9
8
7
6
5
4
3
Volume
©BigCharts.com
5
4
3
2
1
0
Millions
Jul
Aug
Sep
Oct
Nov
Dec
04

Wait for a Change in Trend

A – Downtrend
B – Mark-up that breaks downtrend
C – Pullback within base
D – Breakout above pullback high



Allow Right Side Development

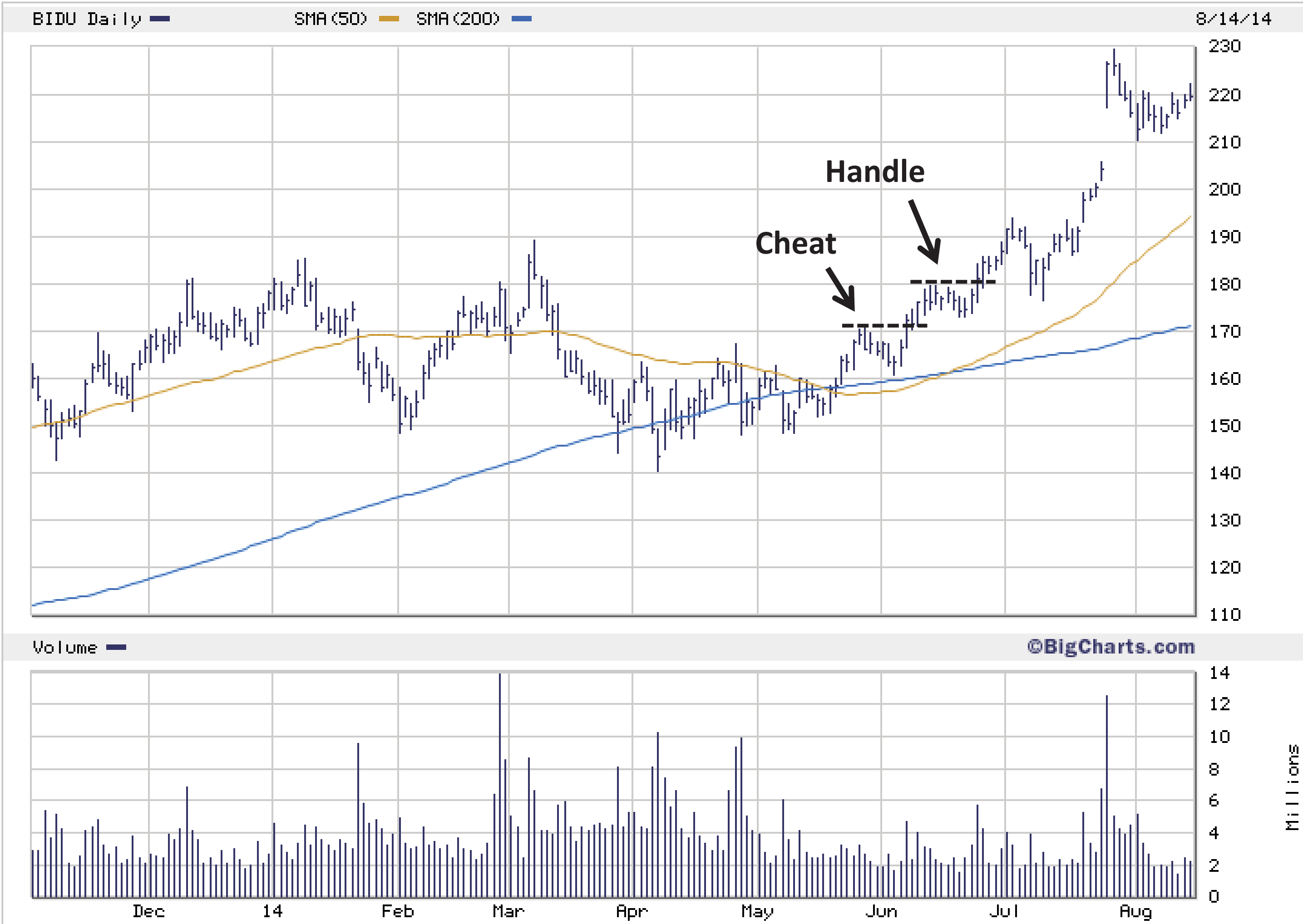
MASTER TRADER PROGRAM
with Mark Minervini

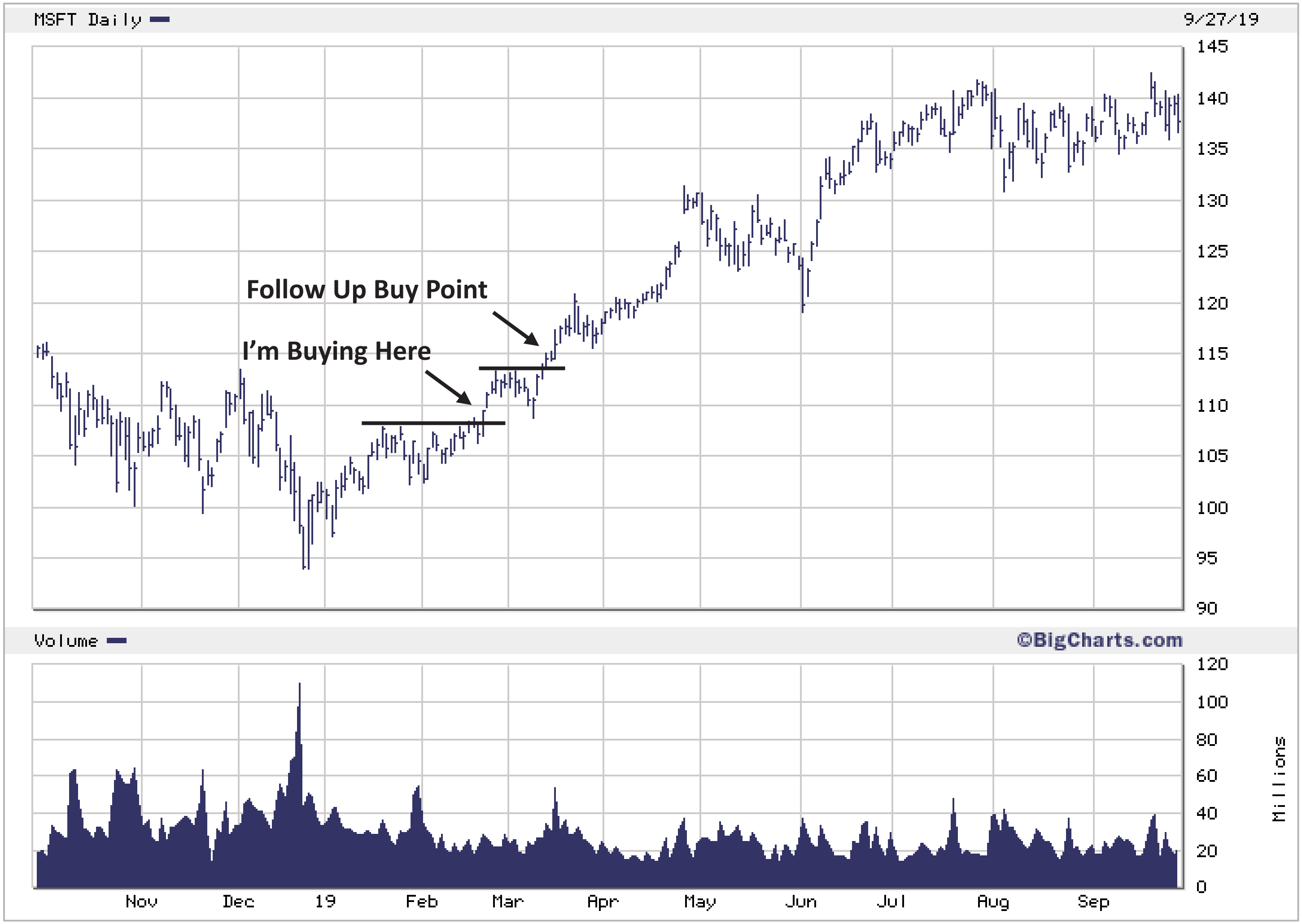
CRUS Daily
3/05/10
8.25
8.00
7.75
7.50
7.25
7.00
6.75
6.50
6.25
6.00
5.75
5.50
5.25
5.00
4.75
4.50
A
B
C
D
Volume
©BigCharts.com
4
3
2
1
0
Millions
Dec
10
Feb
Mar

Cup Completion "Cheat" (3-C)

Baidu Inc.

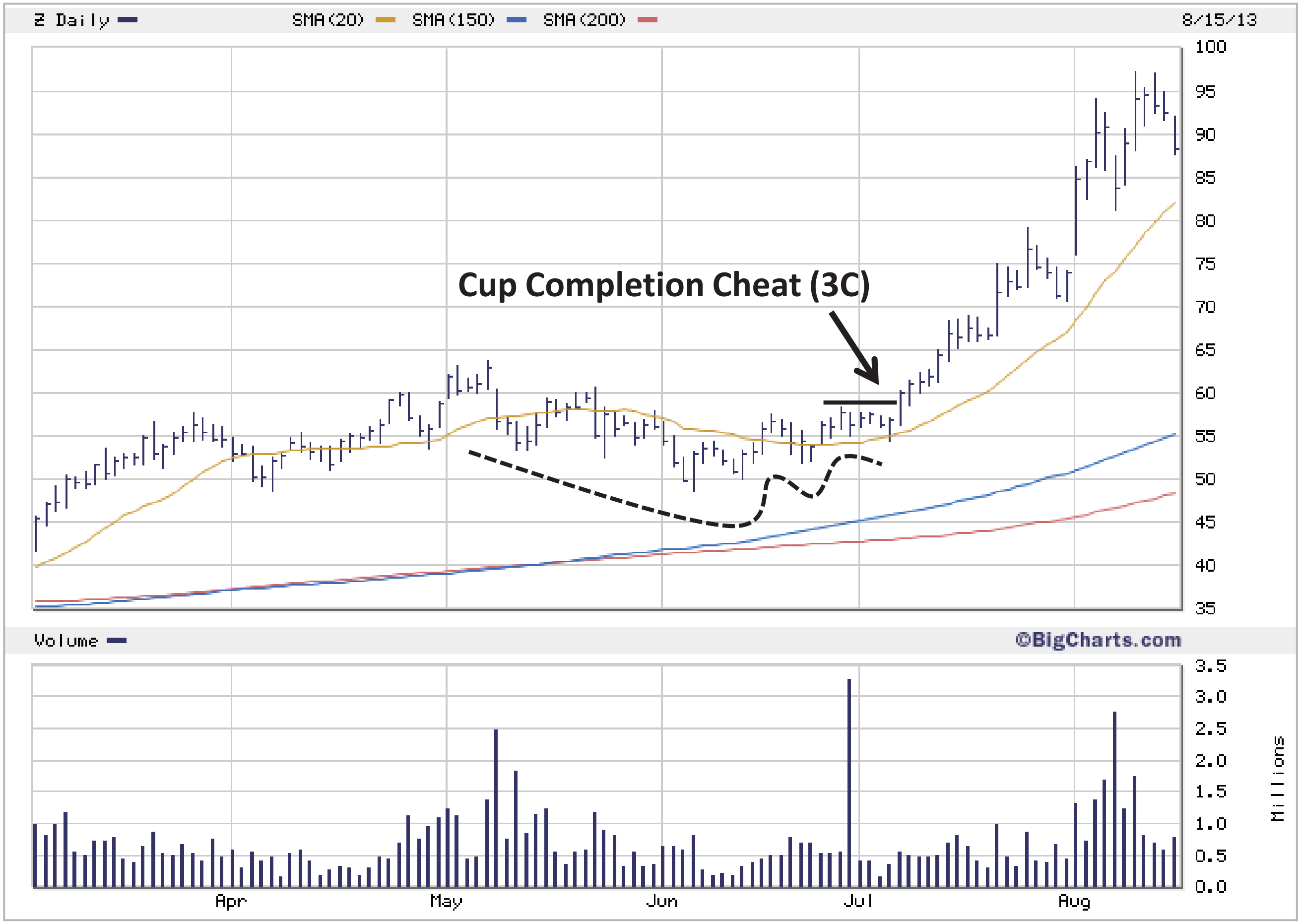
+34% in 36 days



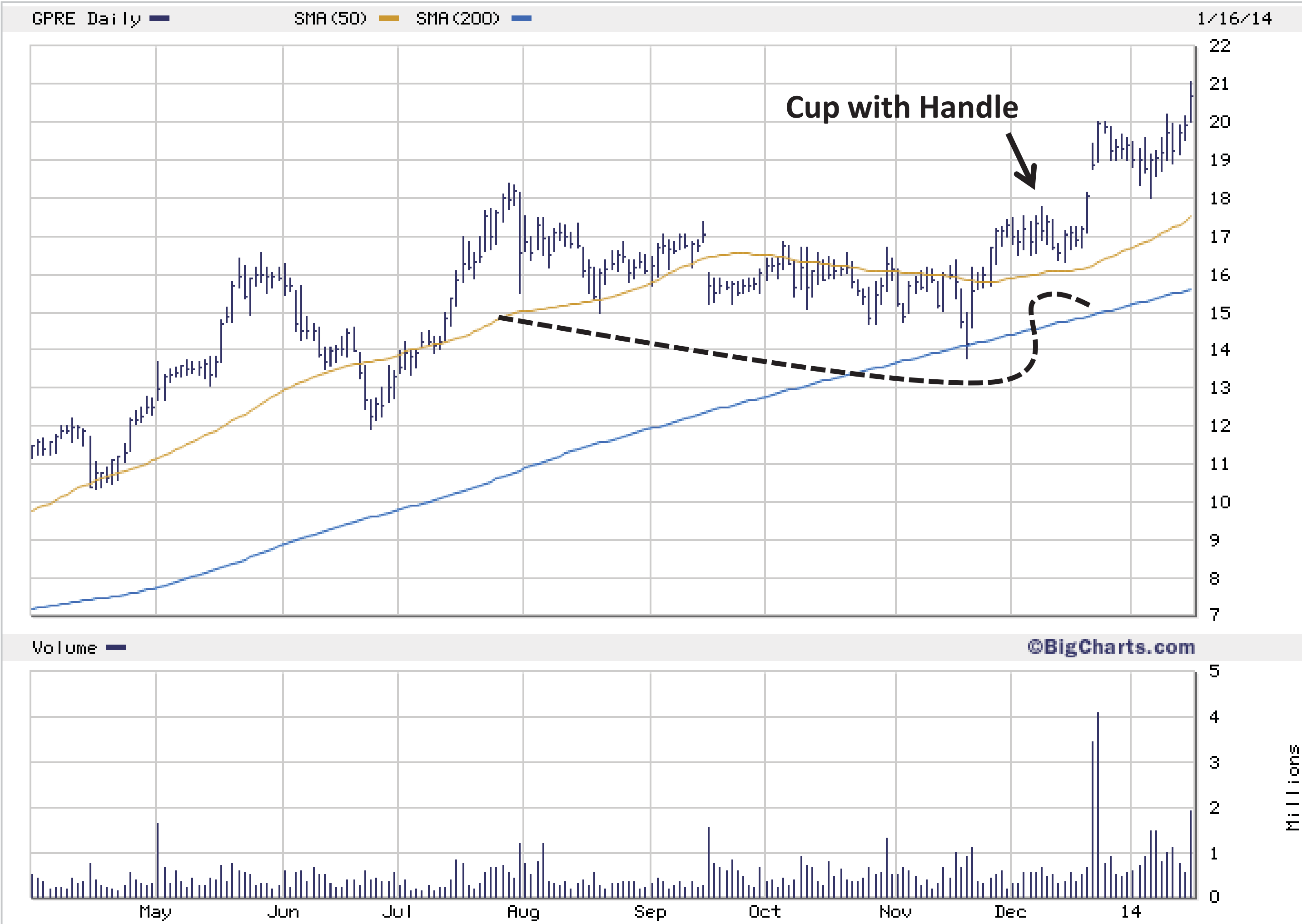

MSFT Daily
9/27/19
Follow Up Buy Point
I'm Buying Here
145
140
135
130
125
120
115
110
105
100
95
90
Volume
©BigCharts.com
120
100
80
60
40
20
0
Millions
Nov
Dec
19
Feb
Mar
Apr
May
Jun
Jul
Aug
Sep

+68% in 25 days
+182% in 12 months

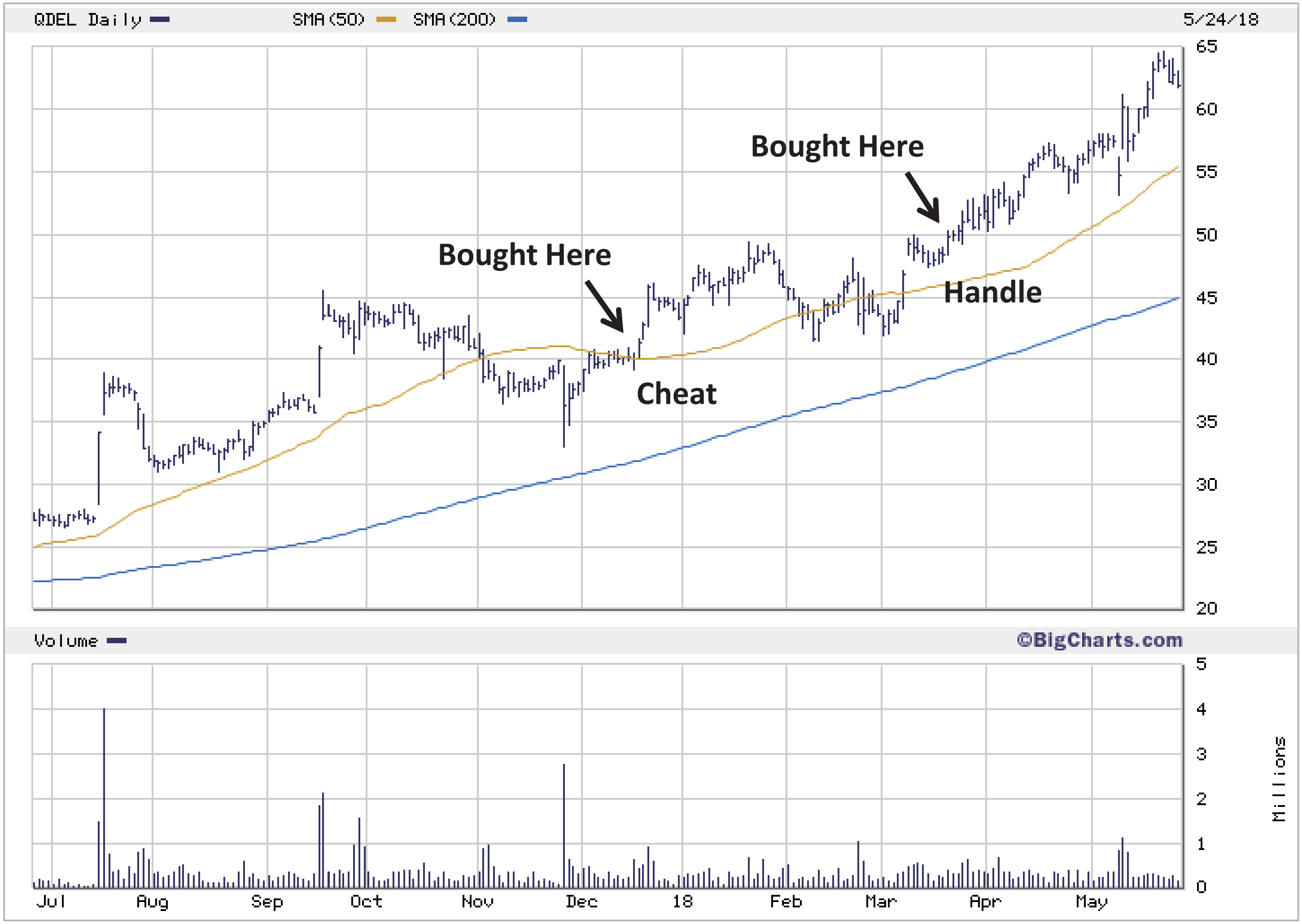
Zillow (Z)



Green Plains Inc. +150% in 8 months

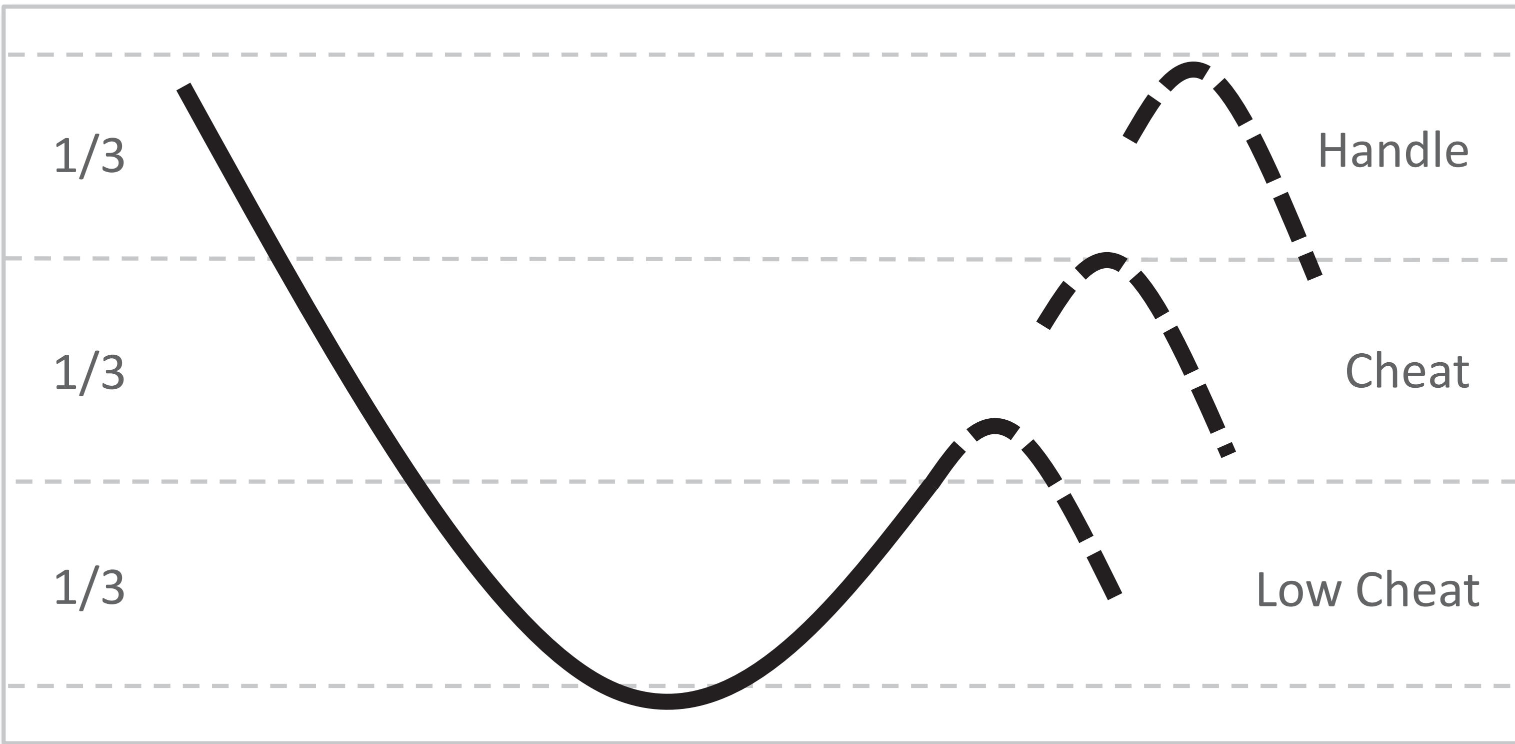


Quidel Corp. +89% in 8 months

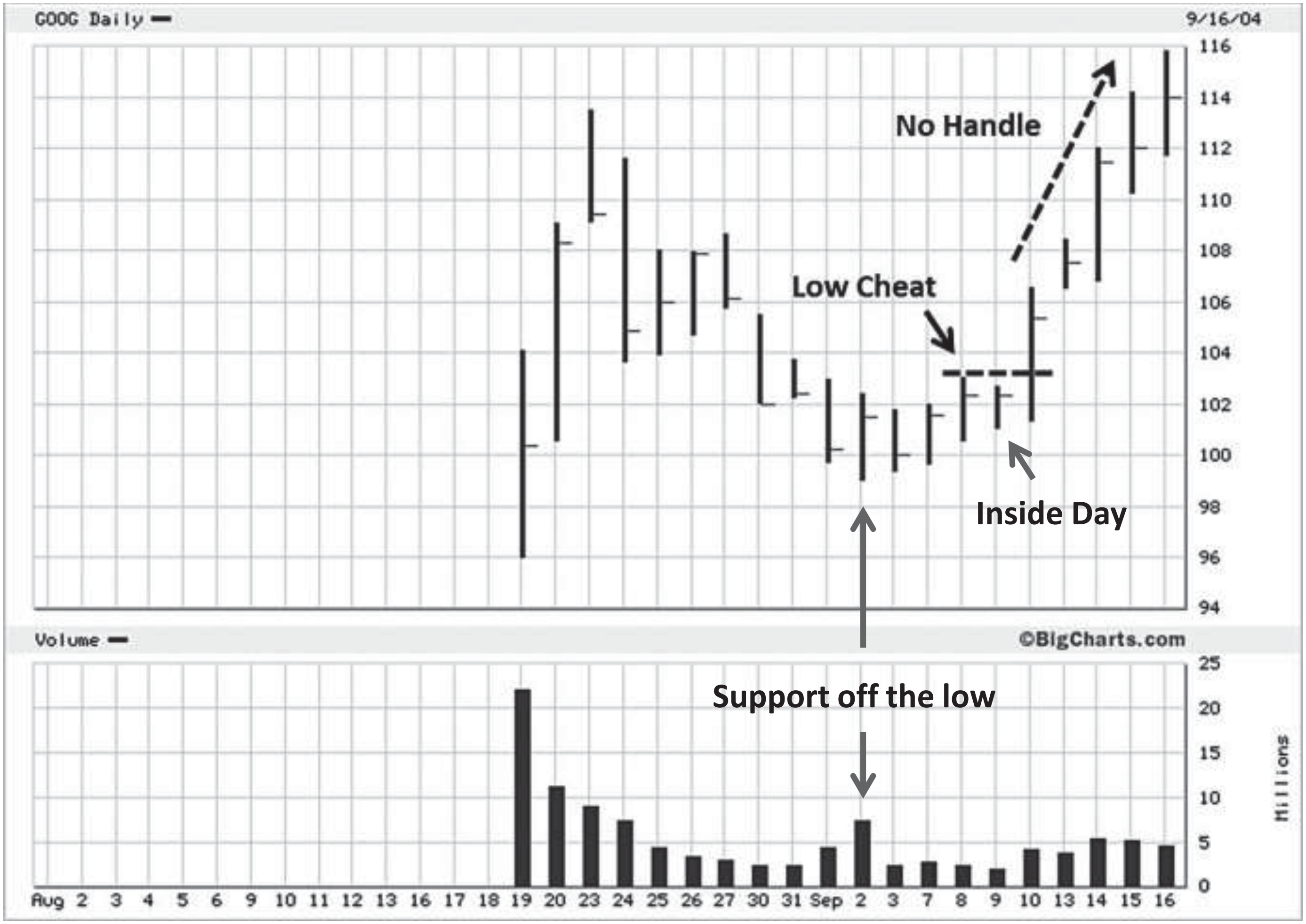


Ascendis Pharma A/S Ads   +98% in 6 months

The "Low Cheat"



Google (GOOG) +625% in 40 months



Google (GOOG) +95% in 40 days

Twitter

+77% in 16 days

Vroom Inc.

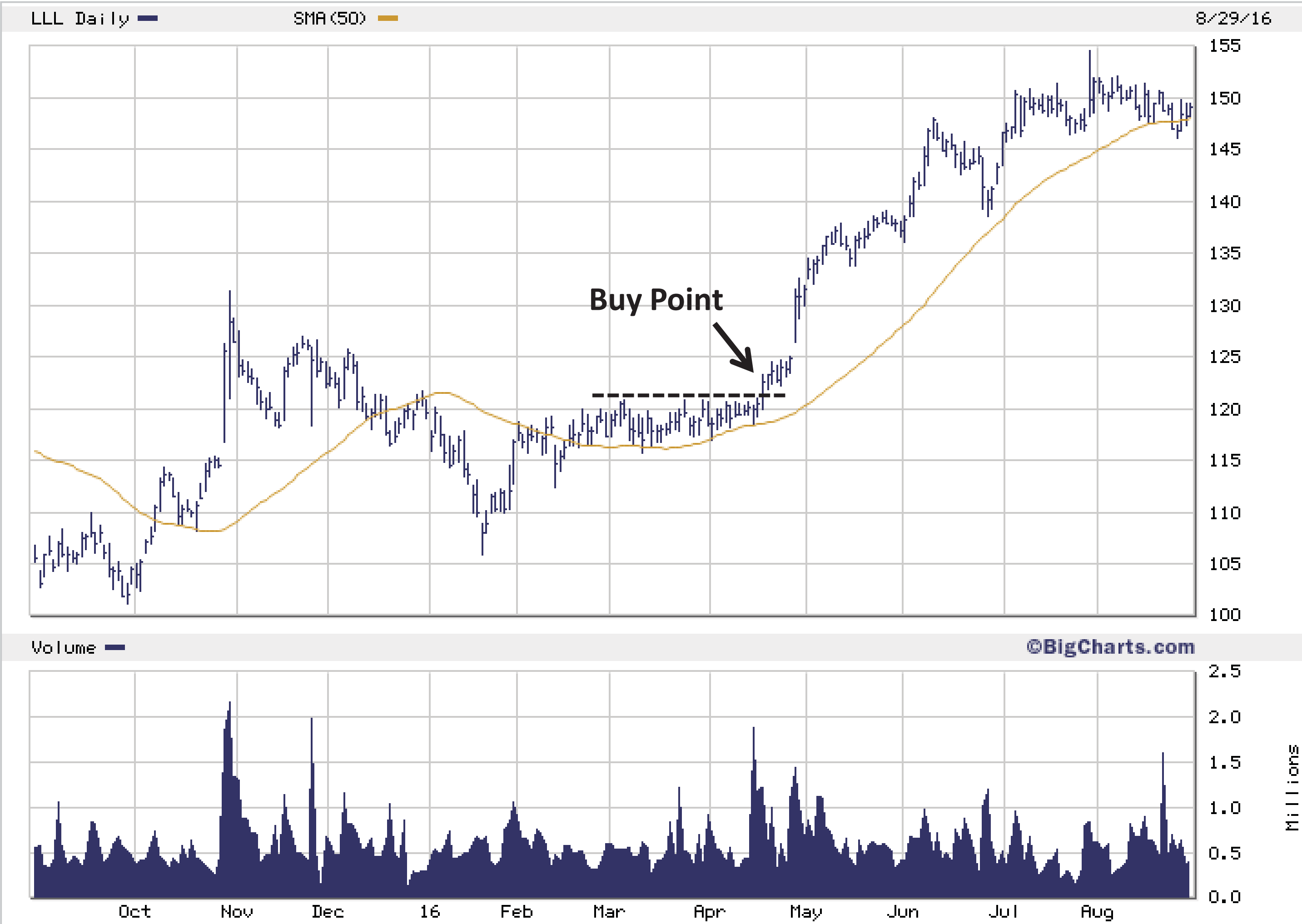
+40% in 8 days

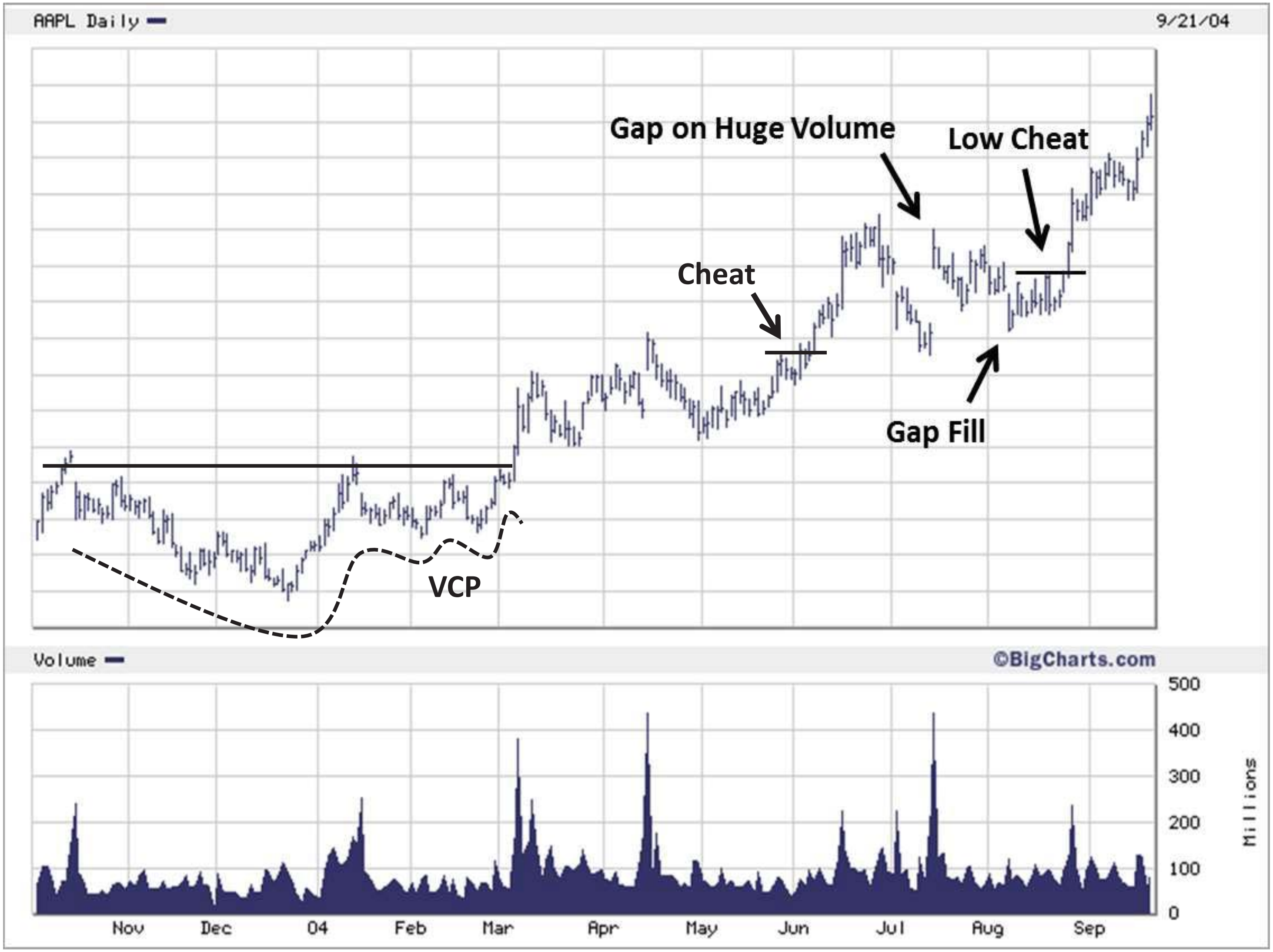
MASTER TRADER PROGRAM
with Mark Minervini

Intercept Pharma

+57% in 25 days

L-3 Communications Hldgs.

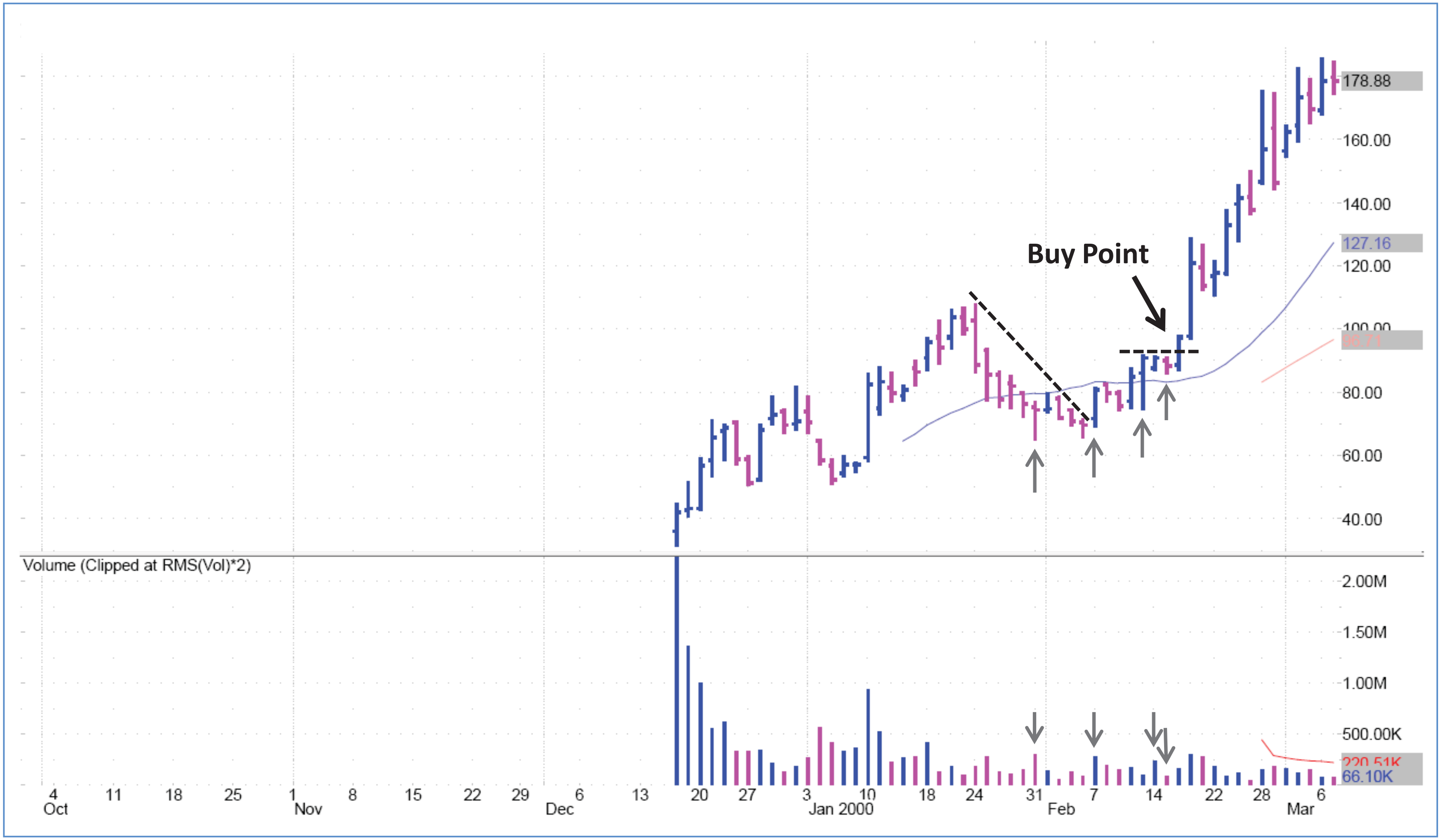



AAPL Daily
9/21/04
Gap on Huge Volume
Low Cheat
Cheat
Gap Fill
VCP
Volume
©BigCharts.com
500
400
300
200
100
0
Millions
Nov
Dec
04
Feb
Mar
Apr
May
Jun
Jul
Aug
Sep

Himax Tech. **+65% in 71 days**


Should you be buying here?
Volume (Clipped at RMS(Vol)*2)
2.00M
1.50M
1.00M
500.00K
220.51K
66.10K
4 Oct
11
18
25
1 Nov
8
15
22
29
6 Dec
13
20
27
3 Jan 2000
10
18
24
31 Feb
7
14
22
28
6 Mar

Maxygen Inc. – February 2000 **+100% in 14 days**

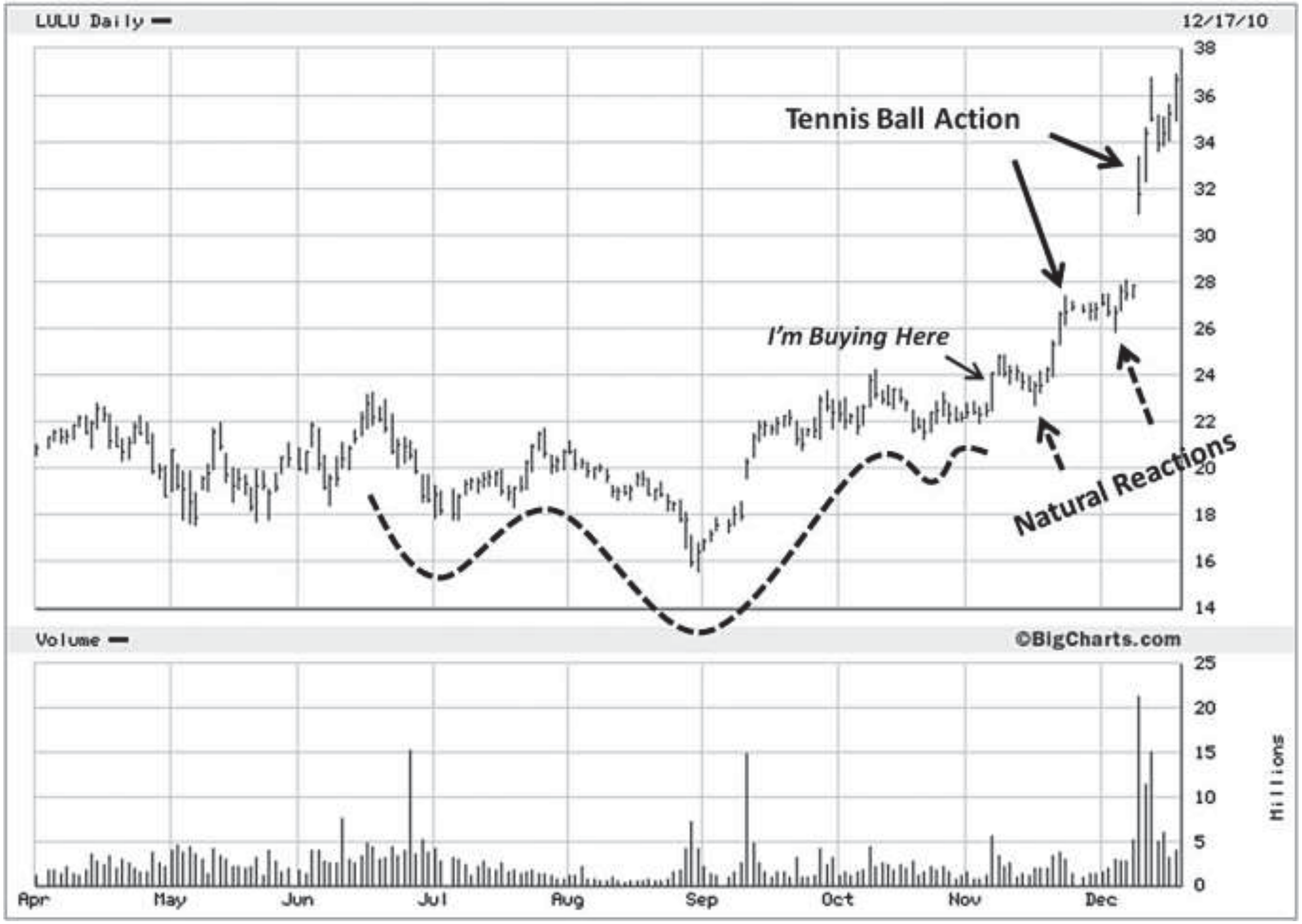


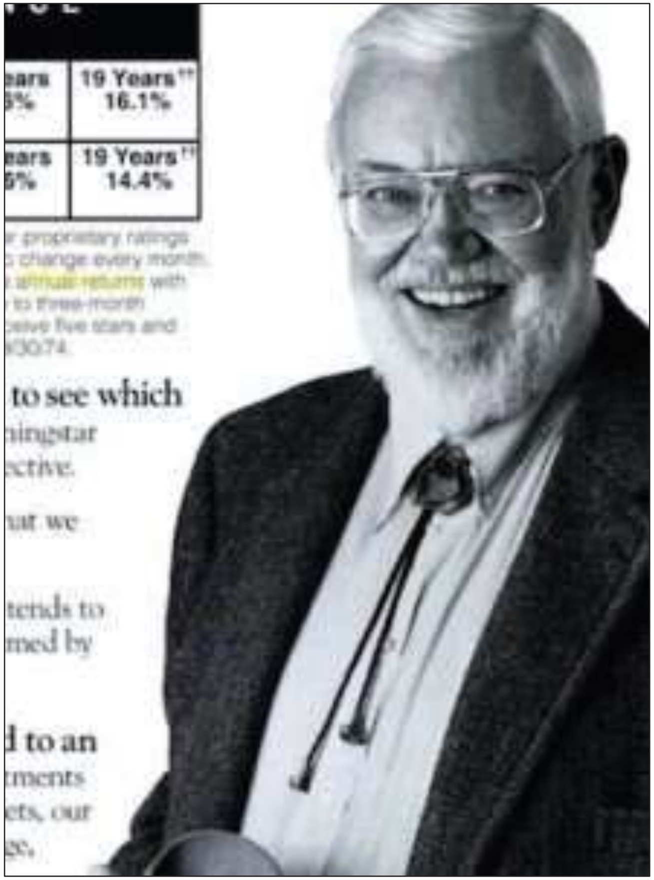
After You Buy

Natural Reactions and Tennis Ball Action
Confirmations and Violations

What you do & don't want to see…

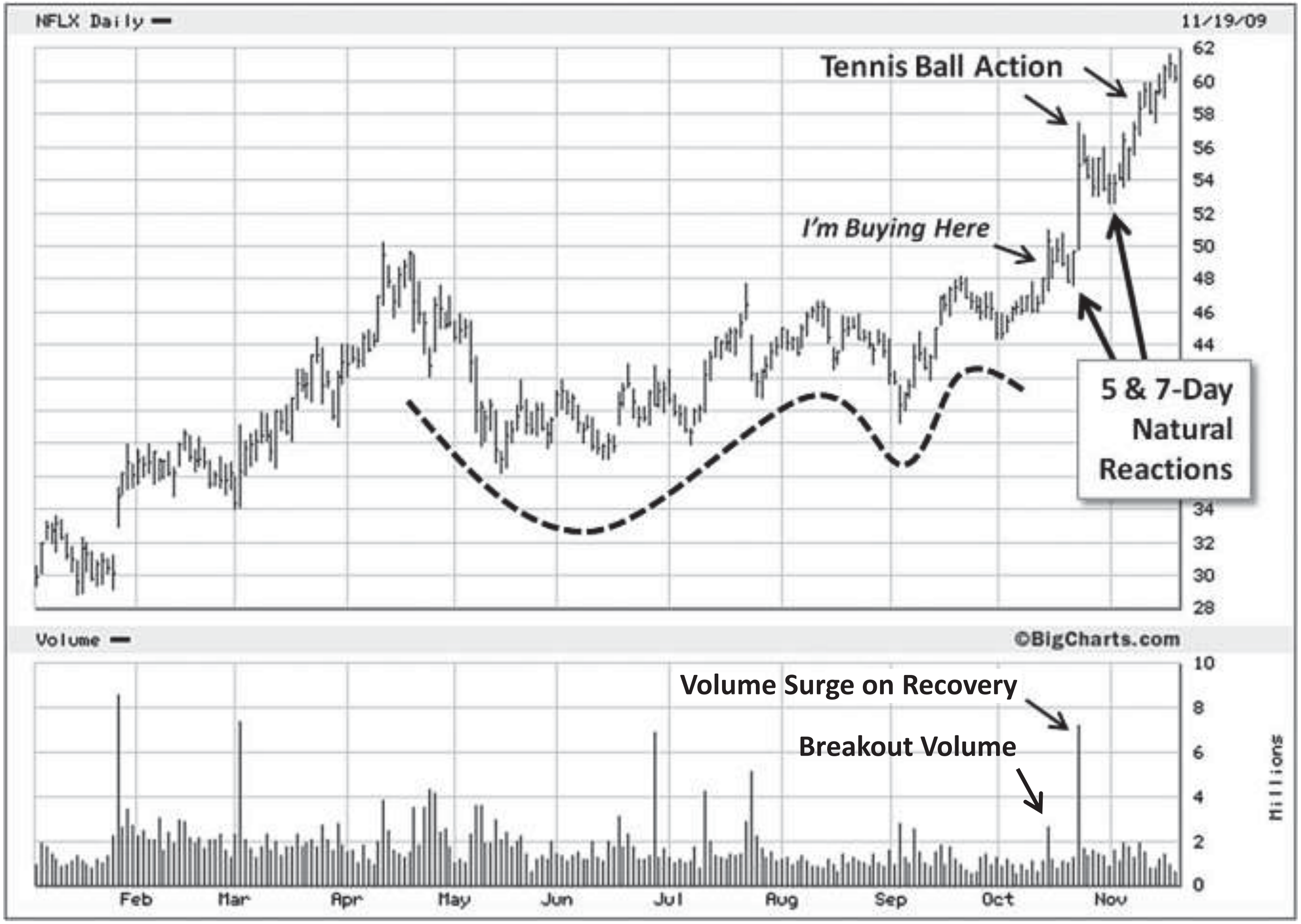
Lululemon Athletica – 2010





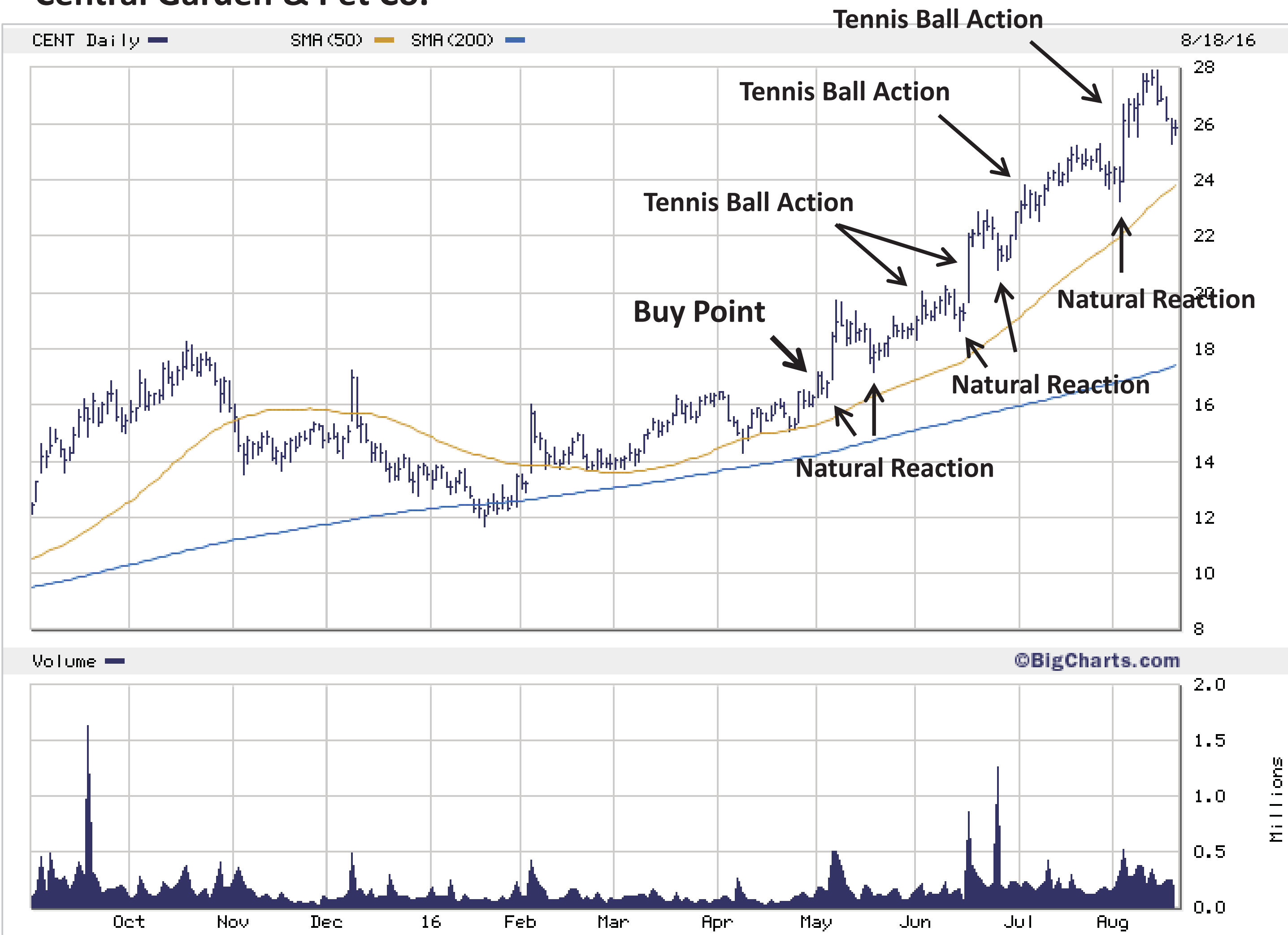
"I buy tennis balls and sell eggs."
-Bill Berger

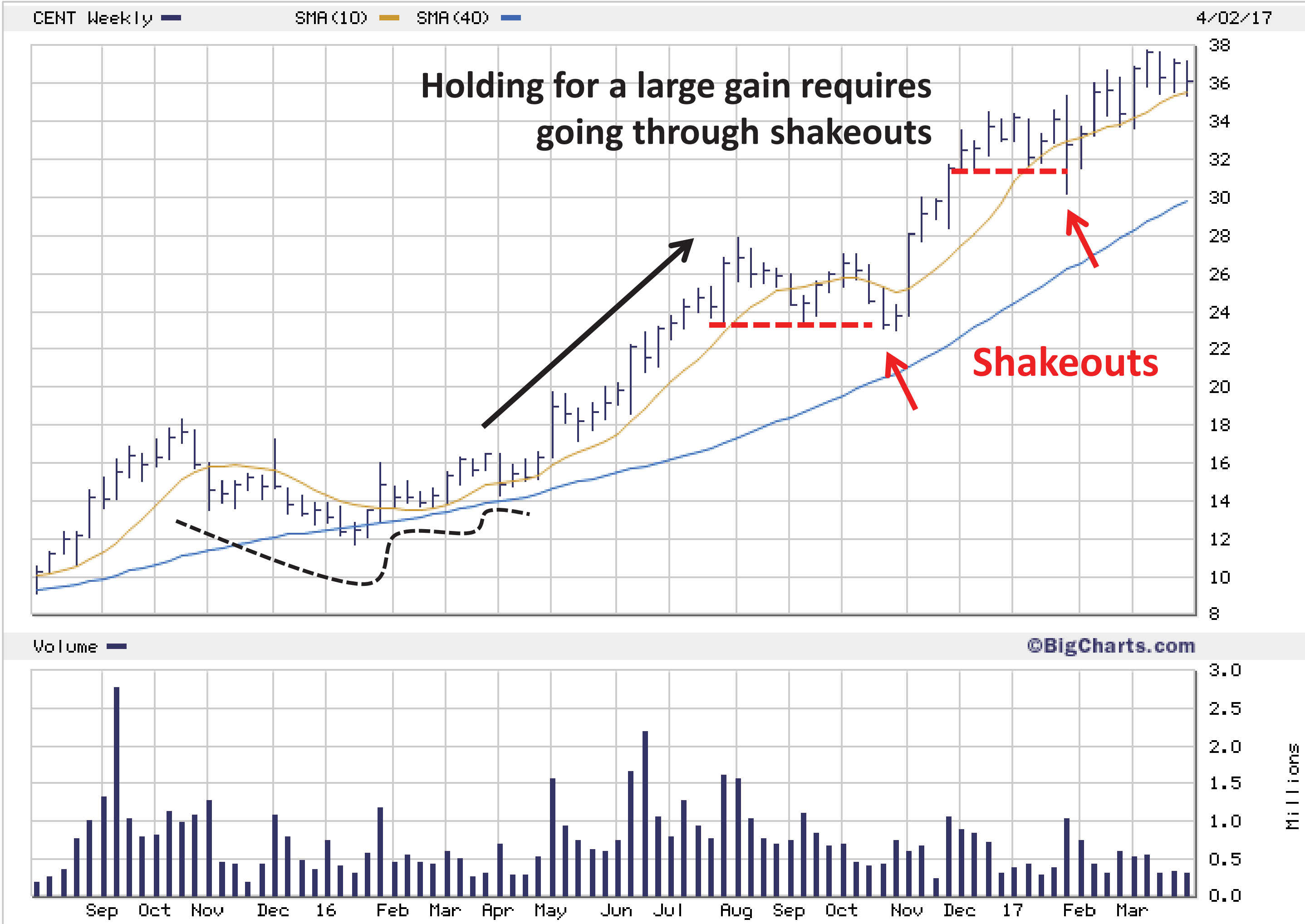
Netflix – 2009



Great Plains Inc. – 2014

Central Garden & Pet Co.



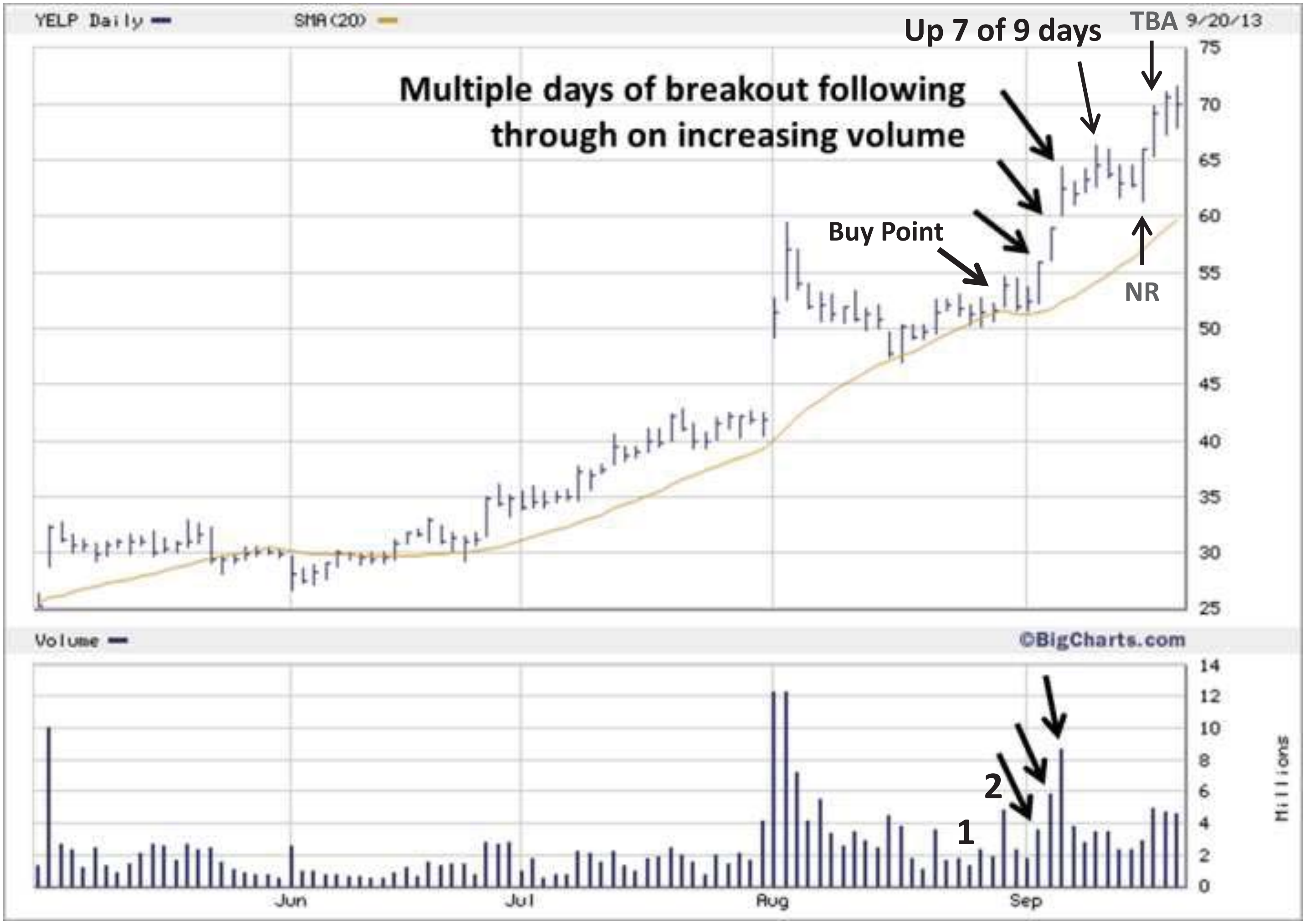

CENT Weekly
SMA(10)
SMA(40)
4/02/17
Holding for a large gain requires going through shakeouts
Shakeouts
38
36
34
32
30
28
26
24
22
20
18
16
14
12
10
8
Volume
©BigCharts.com
3.0
2.5
2.0
1.5
1.0
0.5
0.0
Millions
Sep
Oct
Nov
Dec
16
Feb
Mar
Apr
May
Jun
Jul
Aug
Sep
Oct
Nov
Dec
17
Feb
Mar


AMAG Daily
7/22/15
+50%
Shakeout
Shakeout
80
75
70
65
60
55
50
45
40
35
30
25
20
15
Volume
©BigCharts.com
5
4
3
2
1
0
Millions
Jun
Jul
Aug
Sep
Oct
Nov
Dec
15
Feb
Mar
Apr
May
Jun
Jul

BULLISH SIGNALS – Confirmations

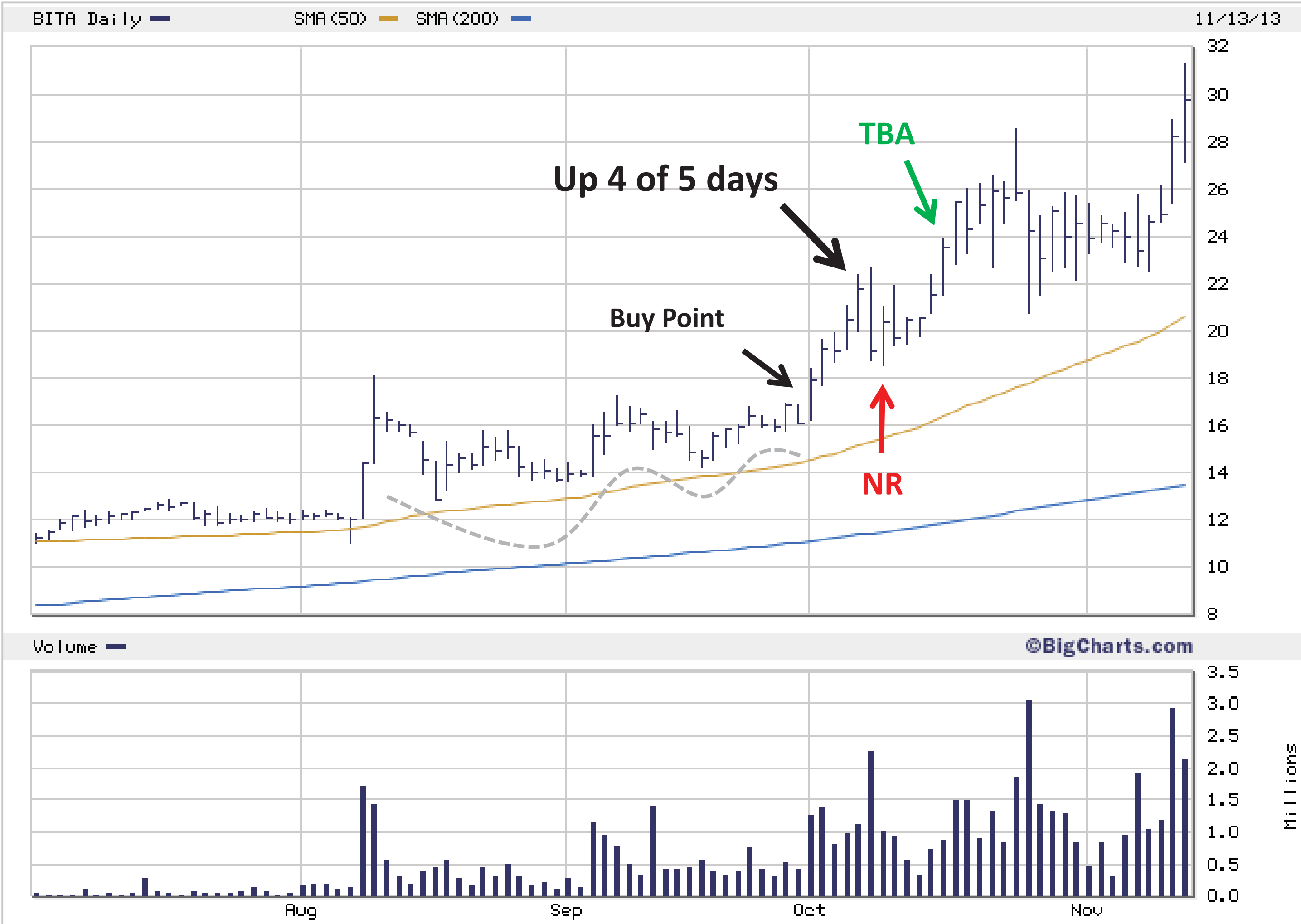
- Follow through buying (2-3 days or more) – institutional vs. retail
- More up days than down days
- More good closes than bad closes
- Look for “Tennis Ball Action” after a “Natural Reaction”

Yelp Inc. – 2013

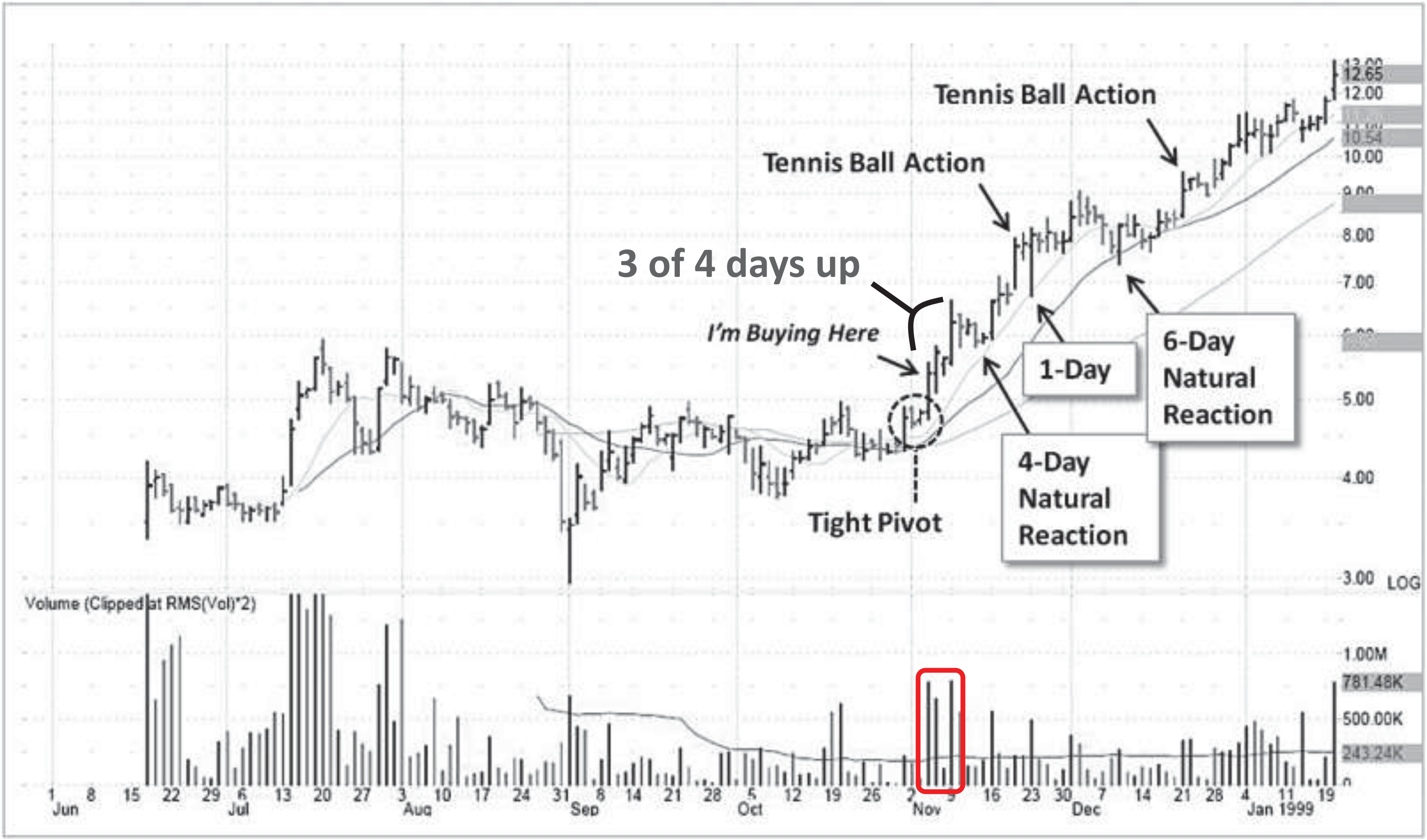


Bitauto Hldgs Ltd Ads – 2013

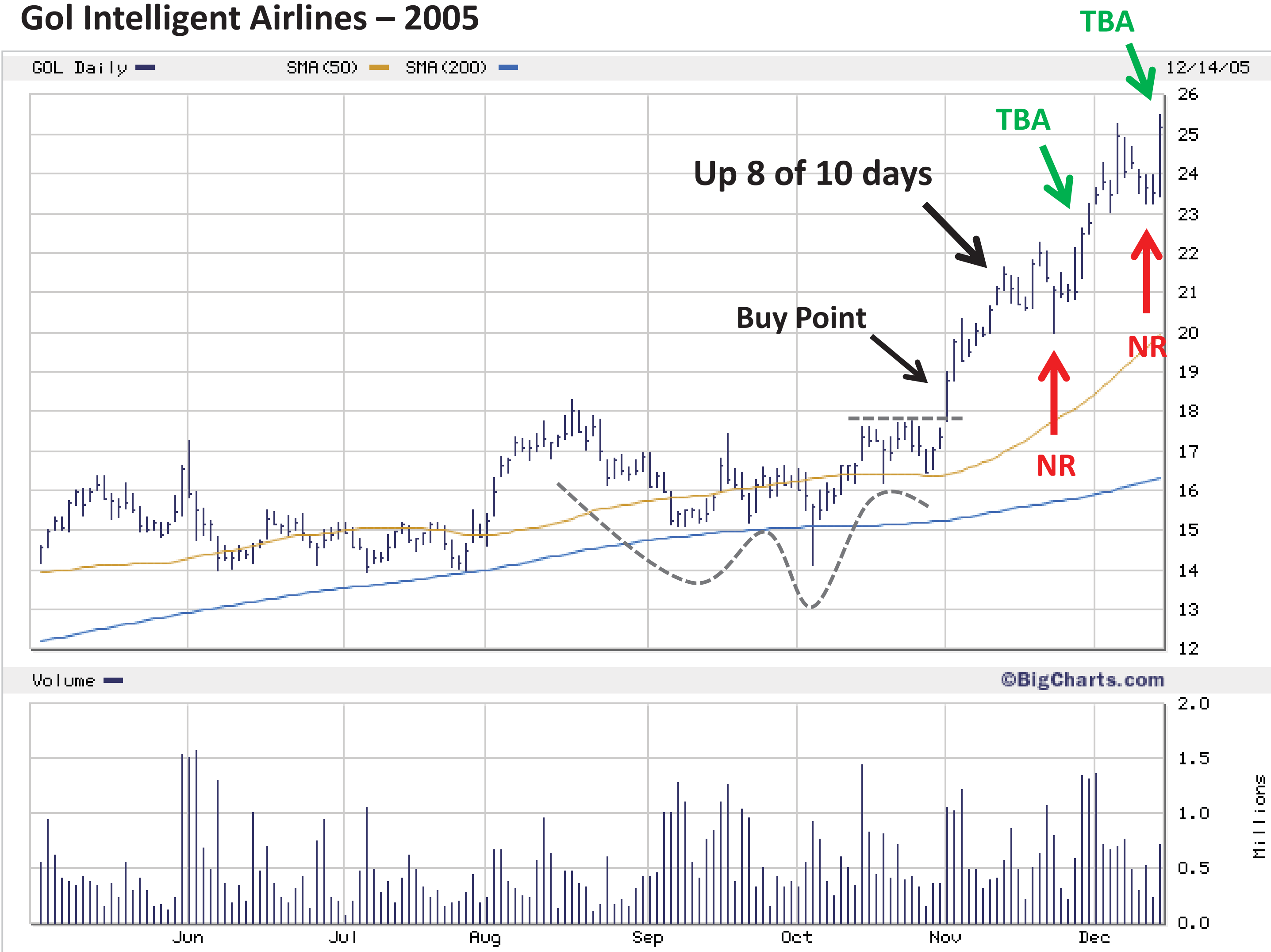
+478% in 11 months



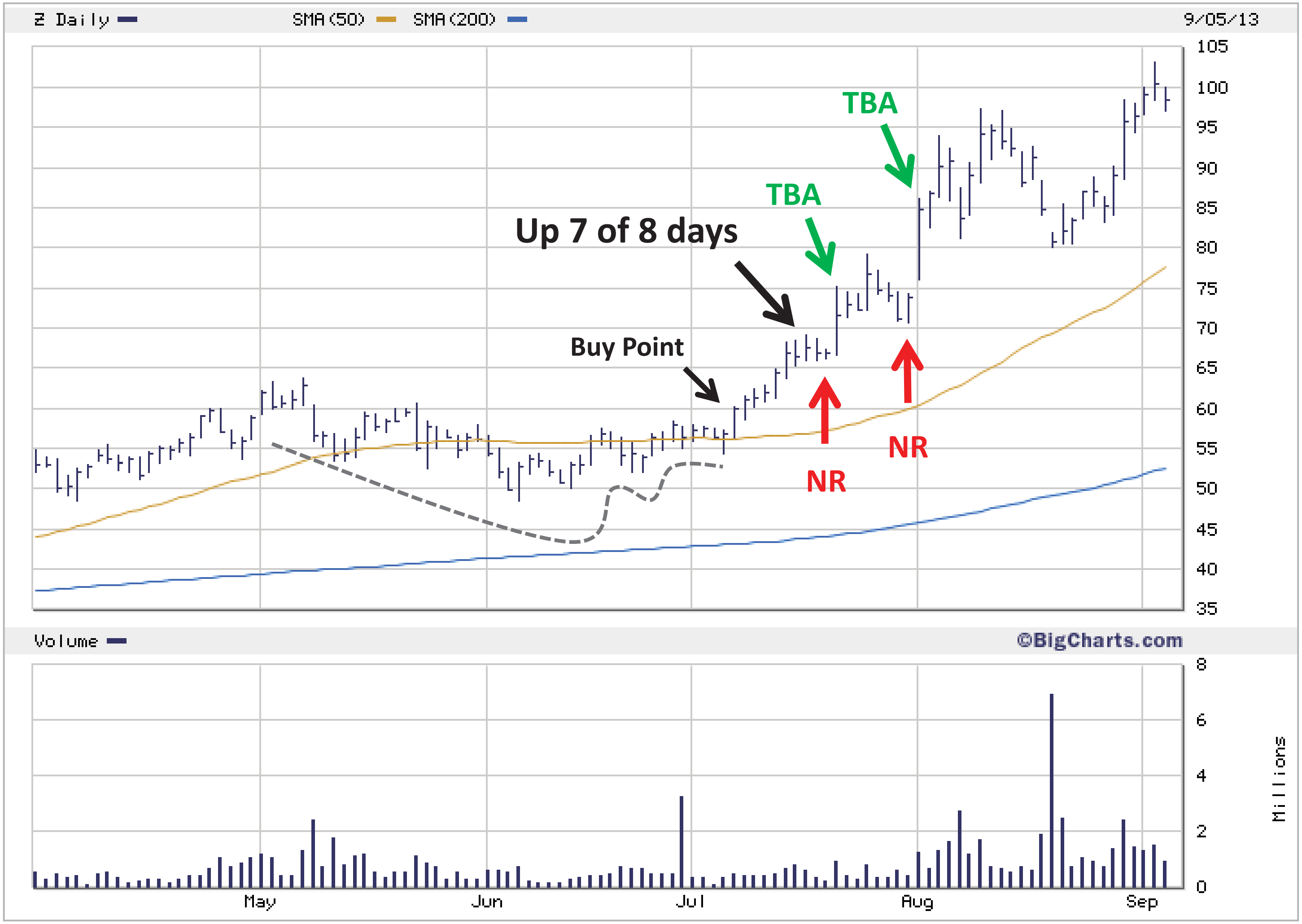
Bebe Stores (BEBE) – 1998



Gol Intelligent Airlines – 2005

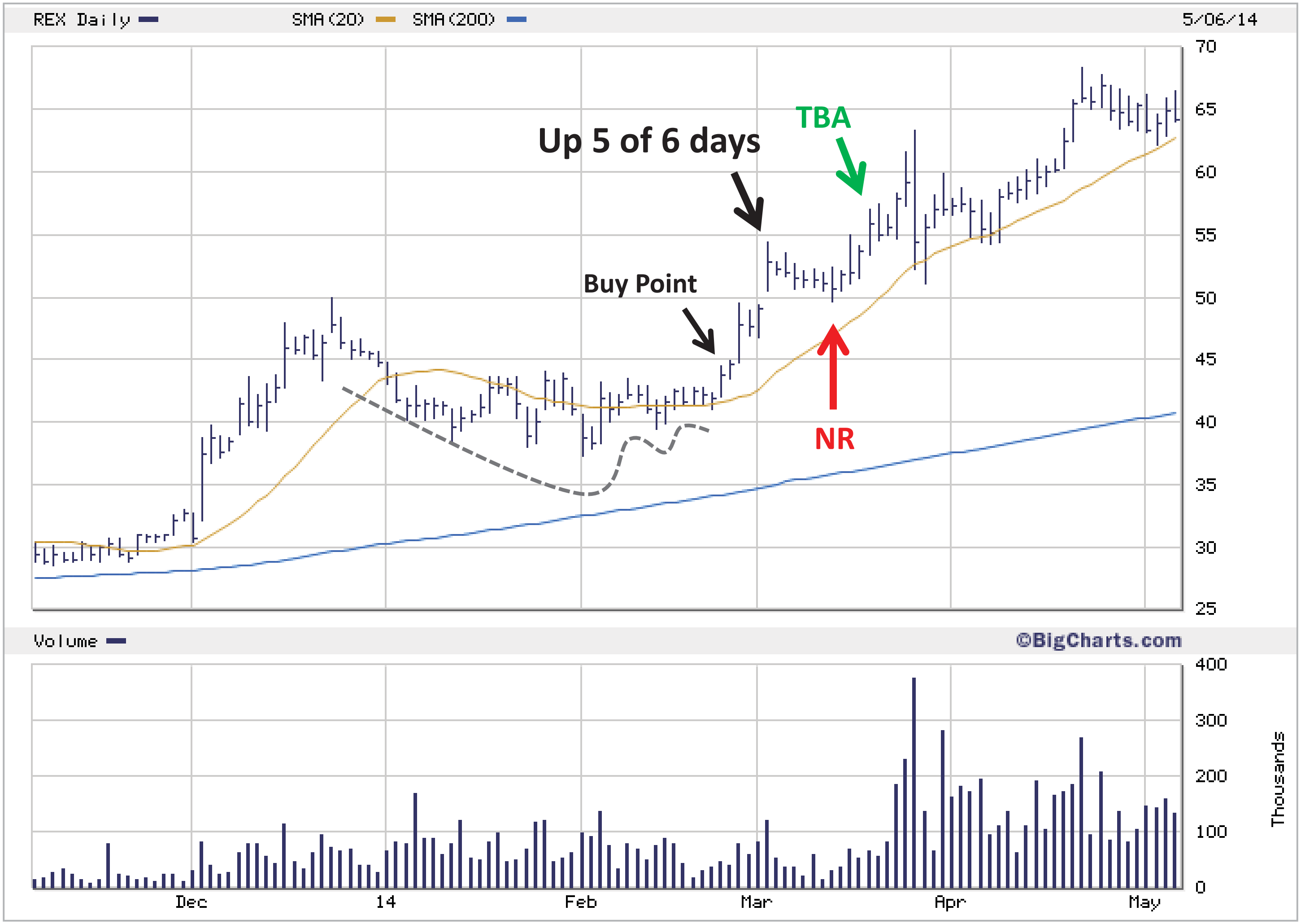


Zillow – 2013

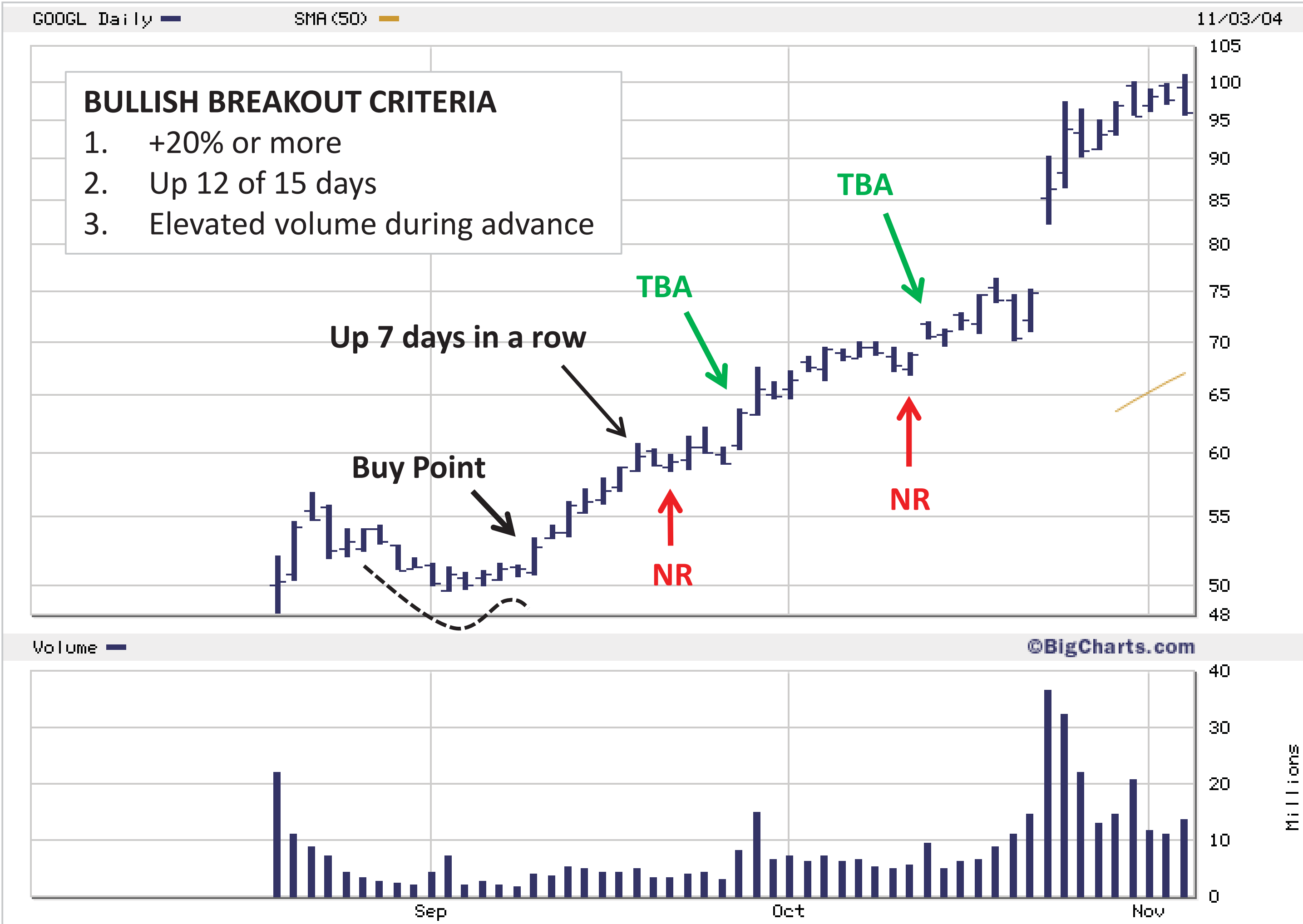


Z Daily
SMA(50)
SMA(200)
9/05/13
105
100
95
90
85
80
75
70
65
60
55
50
45
40
35
TBA
TBA
Up 7 of 8 days
Buy Point
NR
NR
Volume
©BigCharts.com
8
6
4
2
0
Millions
May
Jun
Jul
Aug
Sep

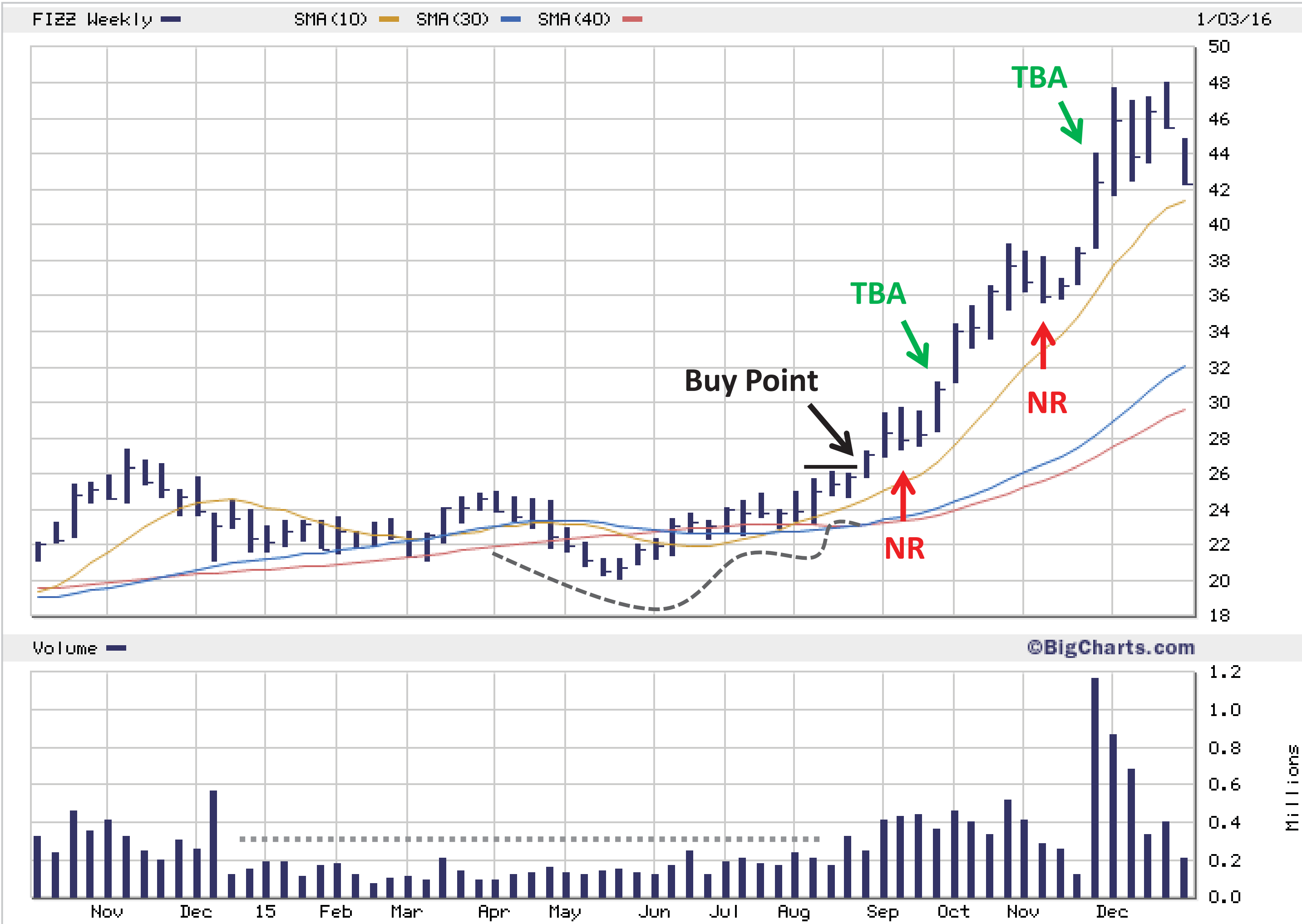
Rex America Resources – 2014

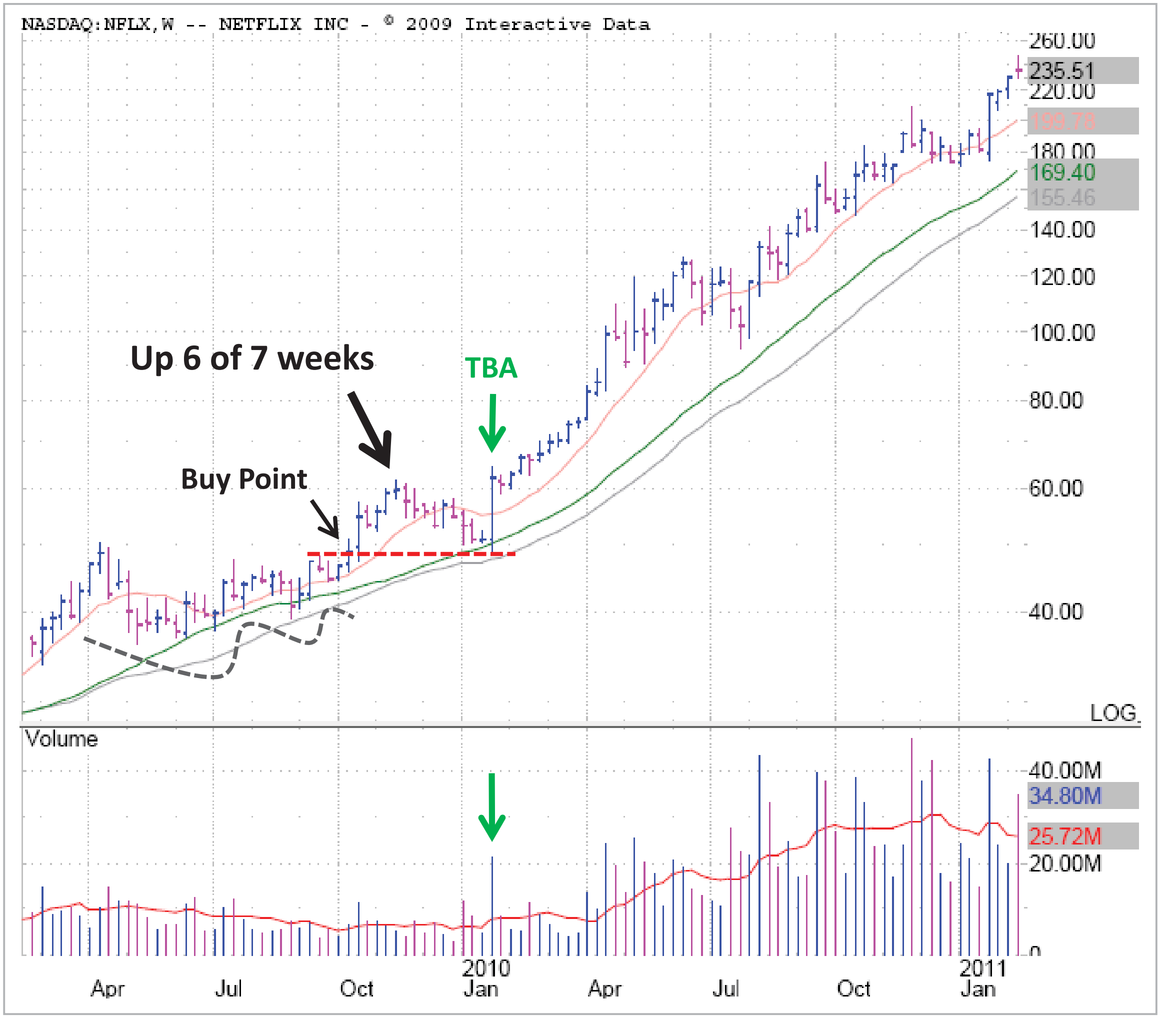


Google – 2004


GOOGL Daily
SMA(50)
11/03/04
BULLISH BREAKOUT CRITERIA
1. +20% or more
2. Up 12 of 15 days
3. Elevated volume during advance
TBA
TBA
Up 7 days in a row
Buy Point
NR
NR
105
100
95
90
85
80
75
70
65
60
55
50
48
Volume
©BigCharts.com
40
30
20
10
0
Millions
Sep
Oct
Nov

National Beverage Corp. +400% in 25 months




NASDAQ:NFLX,W -- NETFLIX INC - © 2009 Interactive Data
Up 6 of 7 weeks
TBA
Buy Point
260.00
235.51
220.00
199.78
180.00
169.40
155.46
140.00
120.00
100.00
80.00
60.00
40.00
LOG
Volume
40.00M
34.80M
25.72M
20.00M
0
Apr
Jul
Oct
2010 Jan
Apr
Jul
Oct
2011 Jan

What do all the previous examples have in common?

1. Profitable immediately
2. Follow through buying
3. More up days (and weeks) than down
4. More good closes than bad closes
5. Tennis ball action
6. Good volume characteristics
    - High volume rallies – low volume pullbacks

BEARISH SIGNALS – Violations!

- Low volume out – high volume in

- 3-4 consecutive lower lows (on volume) –
- NO SUPPORTIVE ACTION on day 3 or 4

- More down days than up days

- More bad closes than good closes

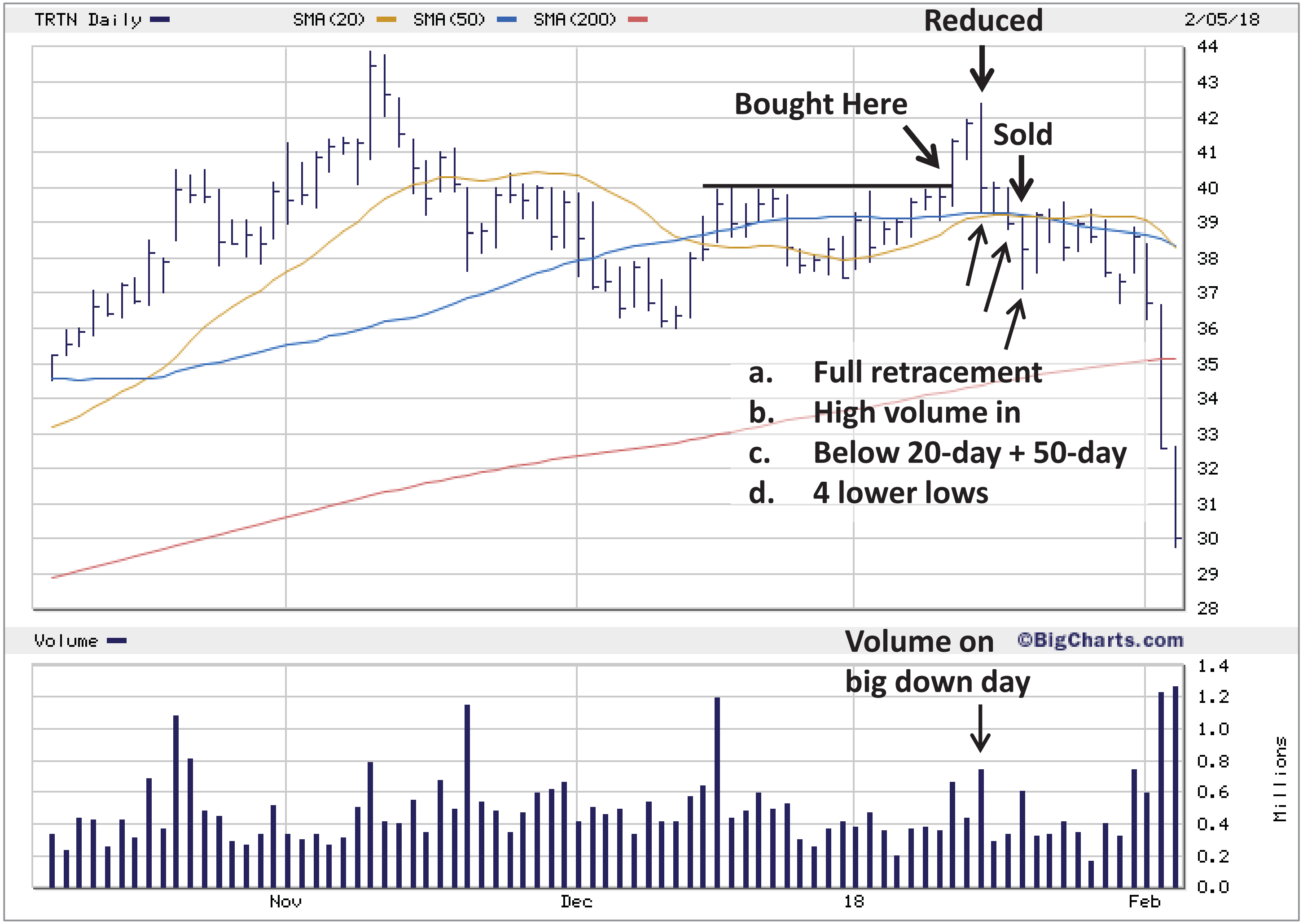
- Close below 20-day line soon after breakout – or worse, the 50-day

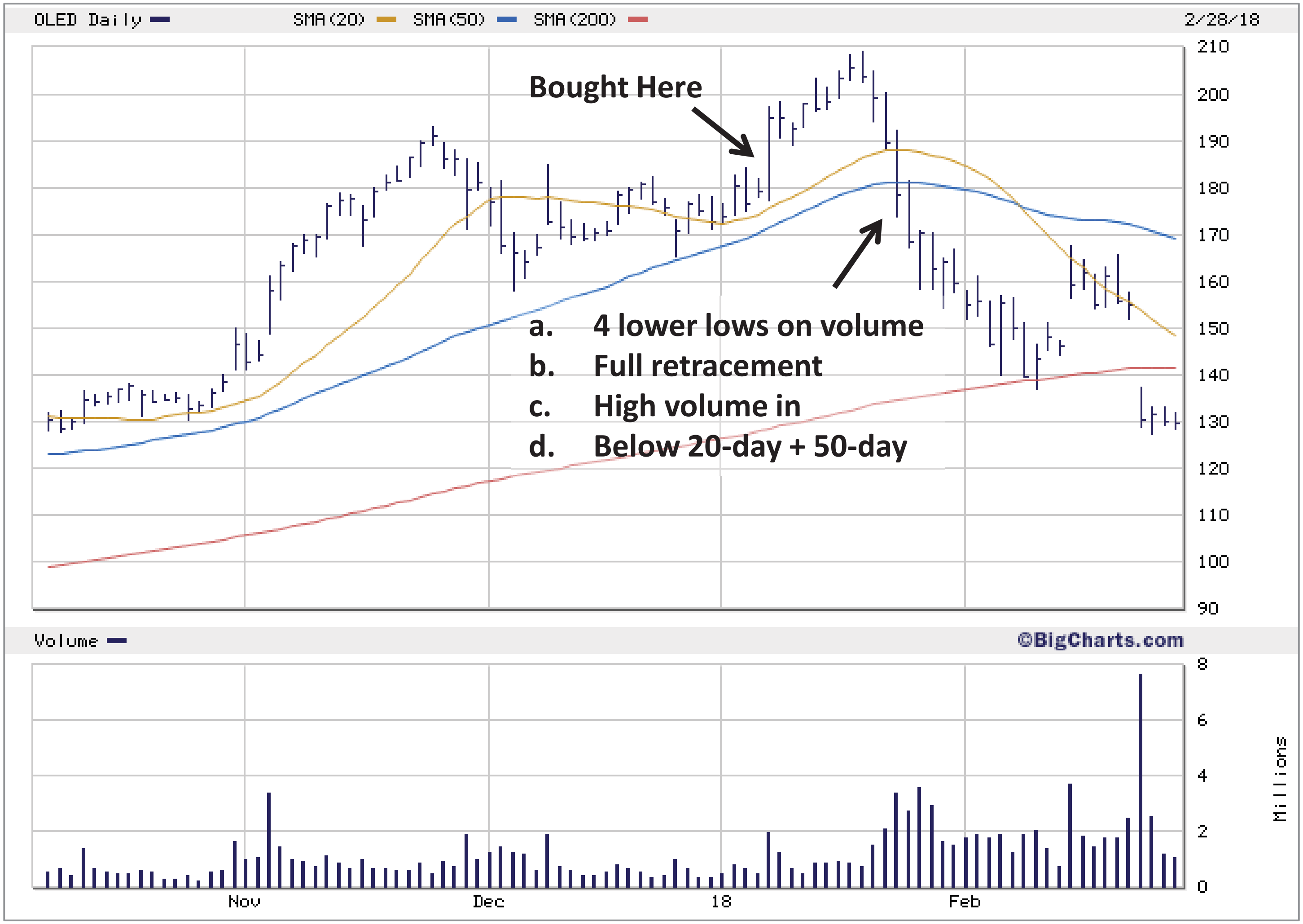
- Wide and volatile price action

Low Volume Breakout Attempt
LL Daily
SMA (20)
SMA (50)
12/04/13
Sell off on huge volume
Closes below 20-day & 50-day lines
Volume
©BigCharts.com
Millions
Jun
Jul
Aug
Sep
Oct
Nov
Dec

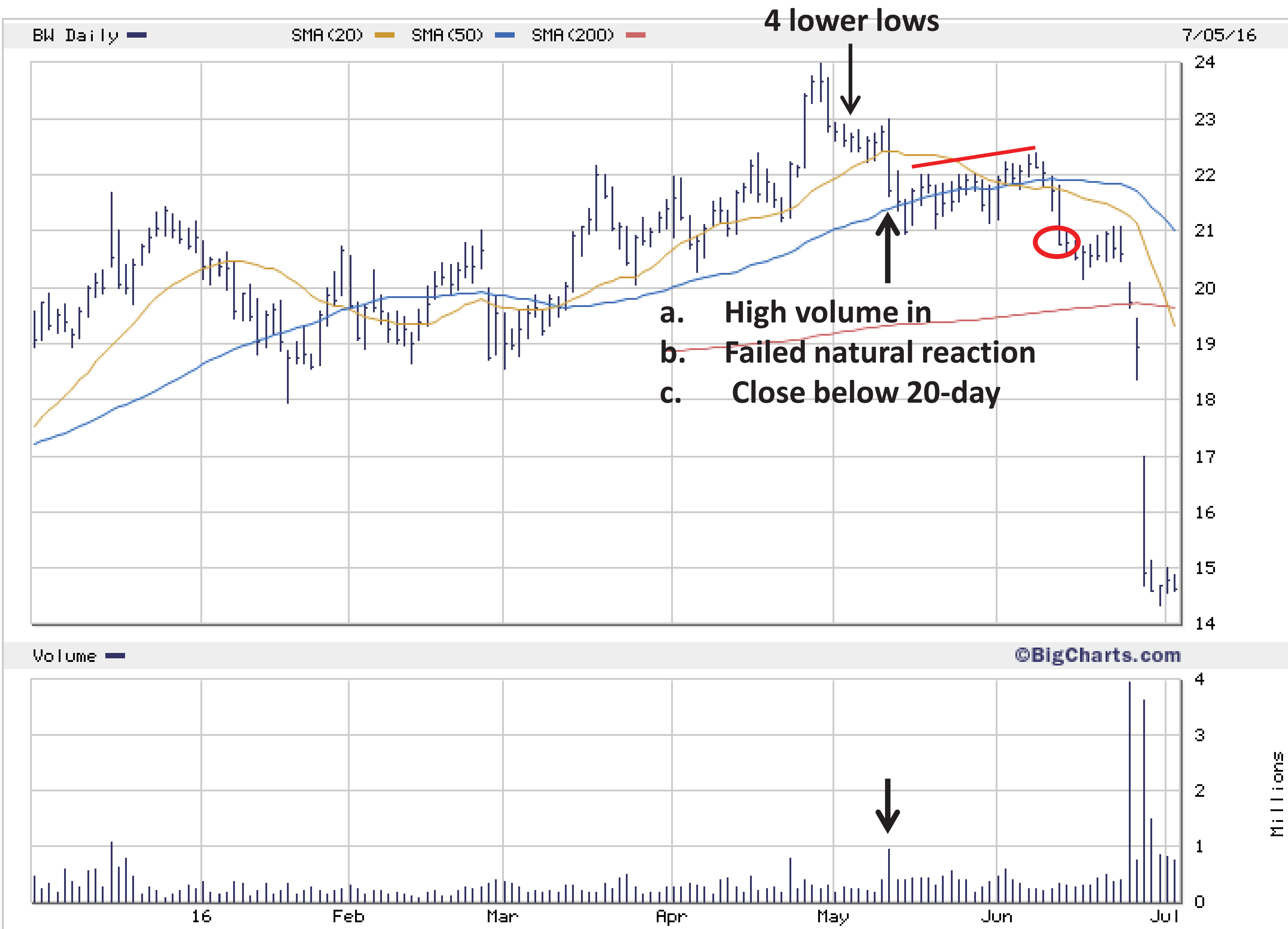
TradeStation Chart Analysis - OUTR Daily [NASDAQ] Outerwall Inc
OUTR - Daily NASDAQ L=66.85 0.58 0.87% B=66.80 A=66.86 O=66.42 Hi=67.18 Lo=65.75 V=138,800 Mov Avg 1 Line (Close,50,0) 68.05 Mov Avg 1 Line (Close,2 ...
74.00
72.00
70.00
68.05
66.85
64.00
63.27
62.00
60.00
58.00
56.00
54.00
52.00
50.00
Volume (100000000,-1) 138792.00
High volume in
Low volume out
5,500,000
4,000,000
2,500,000
1,000,000
138,792
Oct
Nov
Dec
'14
Feb
Mar


WAGE Daily
SMA(20)
4/10/14
3 lower lows
Close below the 20-day line
70
68
66
64
62
60
58
56
54
52
50
48
Volume
©BigCharts.com
1.2
1.0
0.8
0.6
0.4
0.2
0.0
Millions
Nov
Dec
14
Feb
Mar
Apr


TRTN Daily
SMA(20)
SMA(50)
SMA(200)
Reduced
2/05/18
Bought Here
Sold
a. Full retracement
b. High volume in
c. Below 20-day + 50-day
d. 4 lower lows
44
43
42
41
40
39
38
37
36
35
34
33
32
31
30
29
28
Volume
Volume on
big down day
©BigCharts.com
1.4
1.2
1.0
0.8
0.6
0.4
0.2
0.0
Millions
Nov
Dec
18
Feb



OLED Daily
SMA(20)
SMA(50)
SMA(200)
2/28/18
Bought Here
a. 4 lower lows on volume
b. Full retracement
c. High volume in
d. Below 20-day + 50-day
210
200
190
180
170
160
150
140
130
120
110
100
90
Volume
©BigCharts.com
8
6
4
2
0
Millions
Nov
Dec
18
Feb



BW Daily
SMA(20)
SMA(50)
SMA(200)
7/05/16
4 lower lows
a. High volume in
b. Failed natural reaction
c. Close below 20-day
24
23
22
21
20
19
18
17
16
15
14
Volume
©BigCharts.com
4
3
2
1
0
Millions
16
Feb
Mar
Apr
May
Jun
Jul

Chart
KORS
* KORS, MICHAEL KORS HLDGS LTD, D (Dynamic)
Breakout attempt
Ledge
Pivot Failure
Base Failure
MPA Short Alert
102.50
100.00
97.50
95.00
92.50
85.00
80.00
77.50
75.00
72.50
Dec
Jan
Feb
Mar
Apr
May
Jun
07/07/2014


Reversals on above average volume
1-Day Breakout
Close below 20/50 day on increasing volume
3
Ledge
2
1


* FIVE, FIVE BELOW INC, D (Dynamic)
Breakout Attempt
Ledge
3
8
Gap on Earnings
© eSignal, 2014
Aug
Sep
Oct
Nov
Dec
Jan
Feb
Mar
Apr
May
Jun
Jul
Aug
Sep
Oct
Nov
Dec
Jan

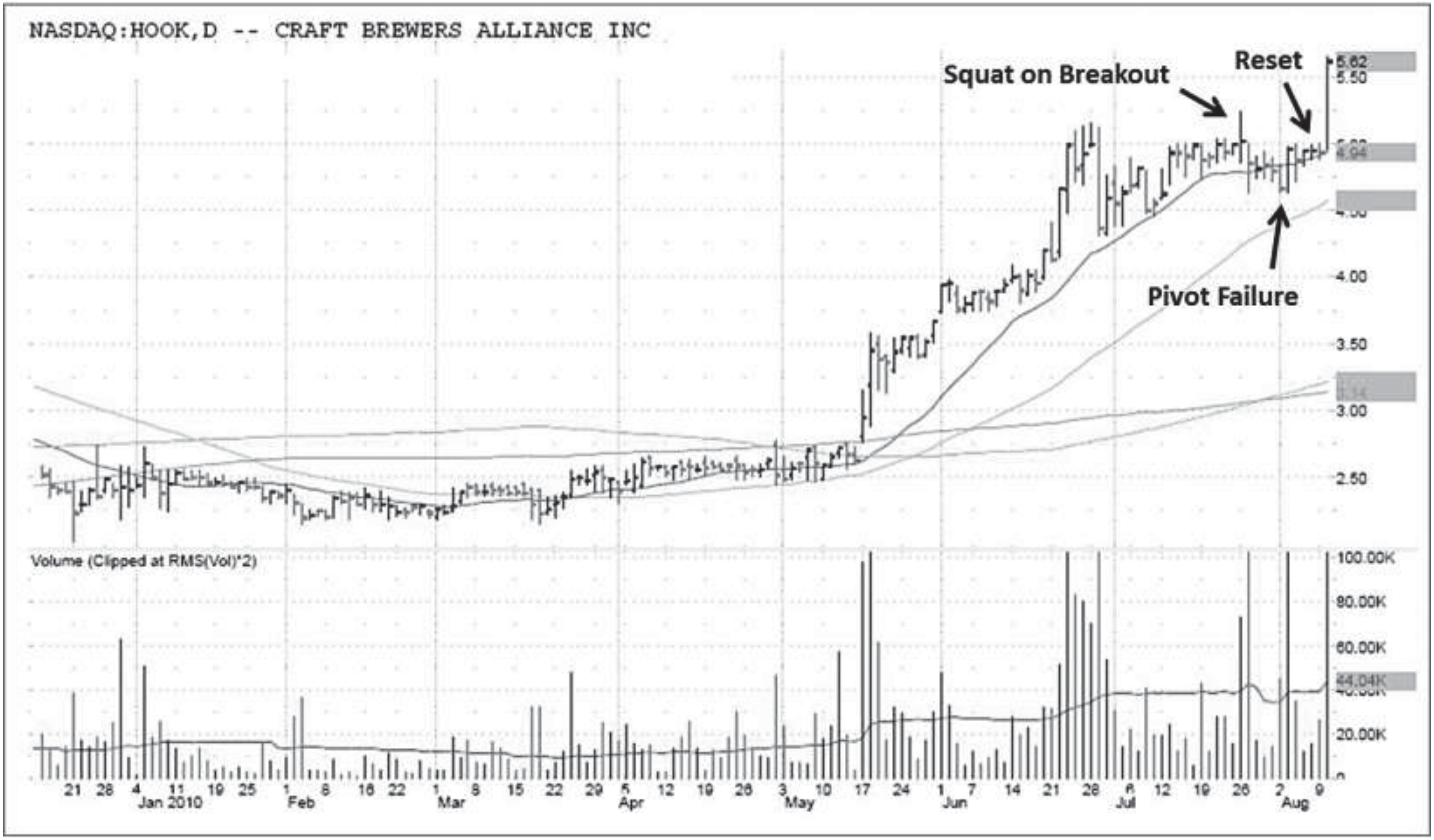
Always look to the left for supply ("traffic")

Always Be Prepared for the Opposite Side of the Trade
This Stock Plummeted 99% in Just 3 Months!

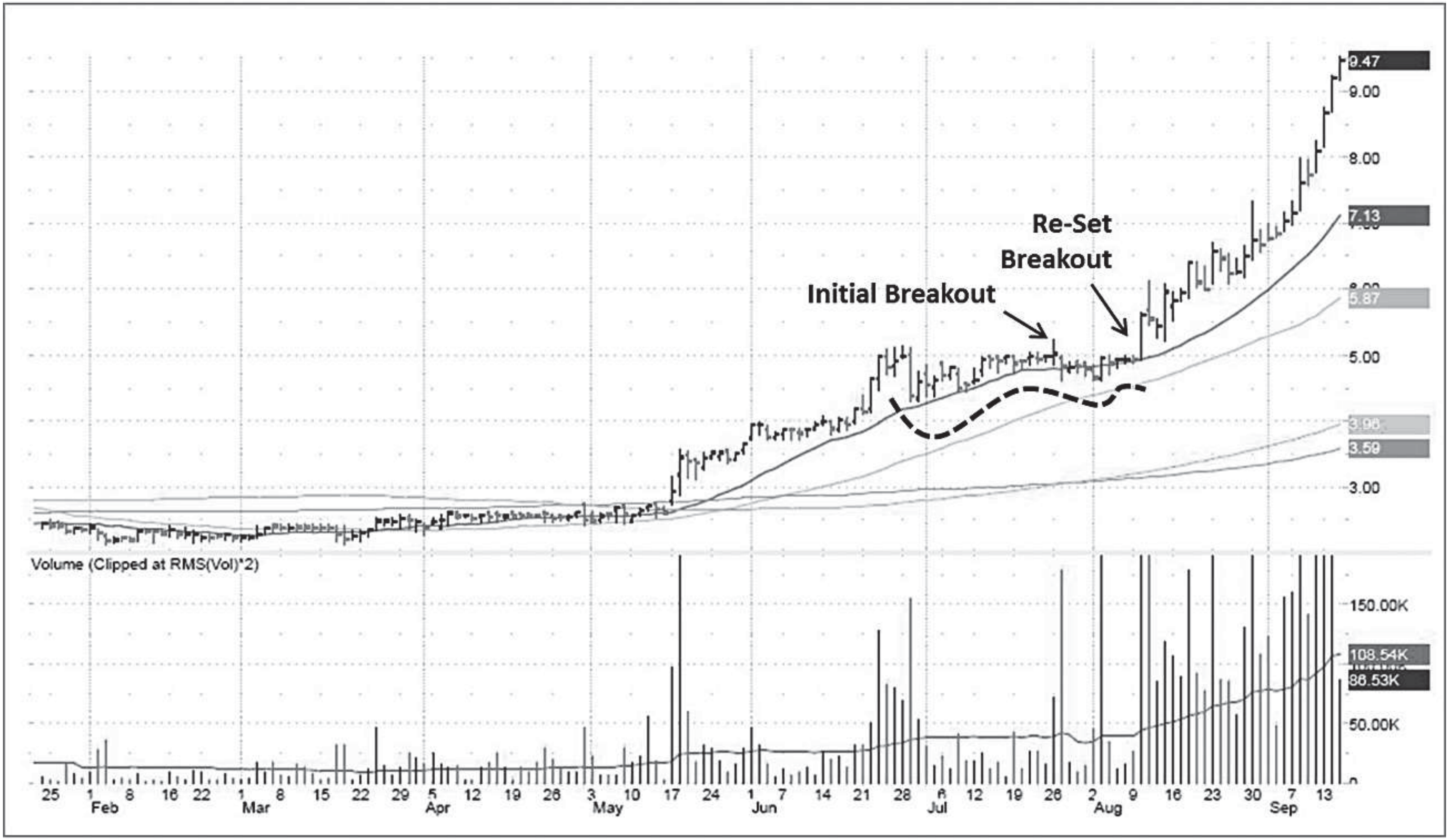
What do all the previous examples have in common?

1. Lack of follow through
2. More down days and bad closes than up days and good closes
3. Poor volume dynamics
4. Reversals/closes below 20-day line or 50-day line soon after breakout
5. No tennis ball action

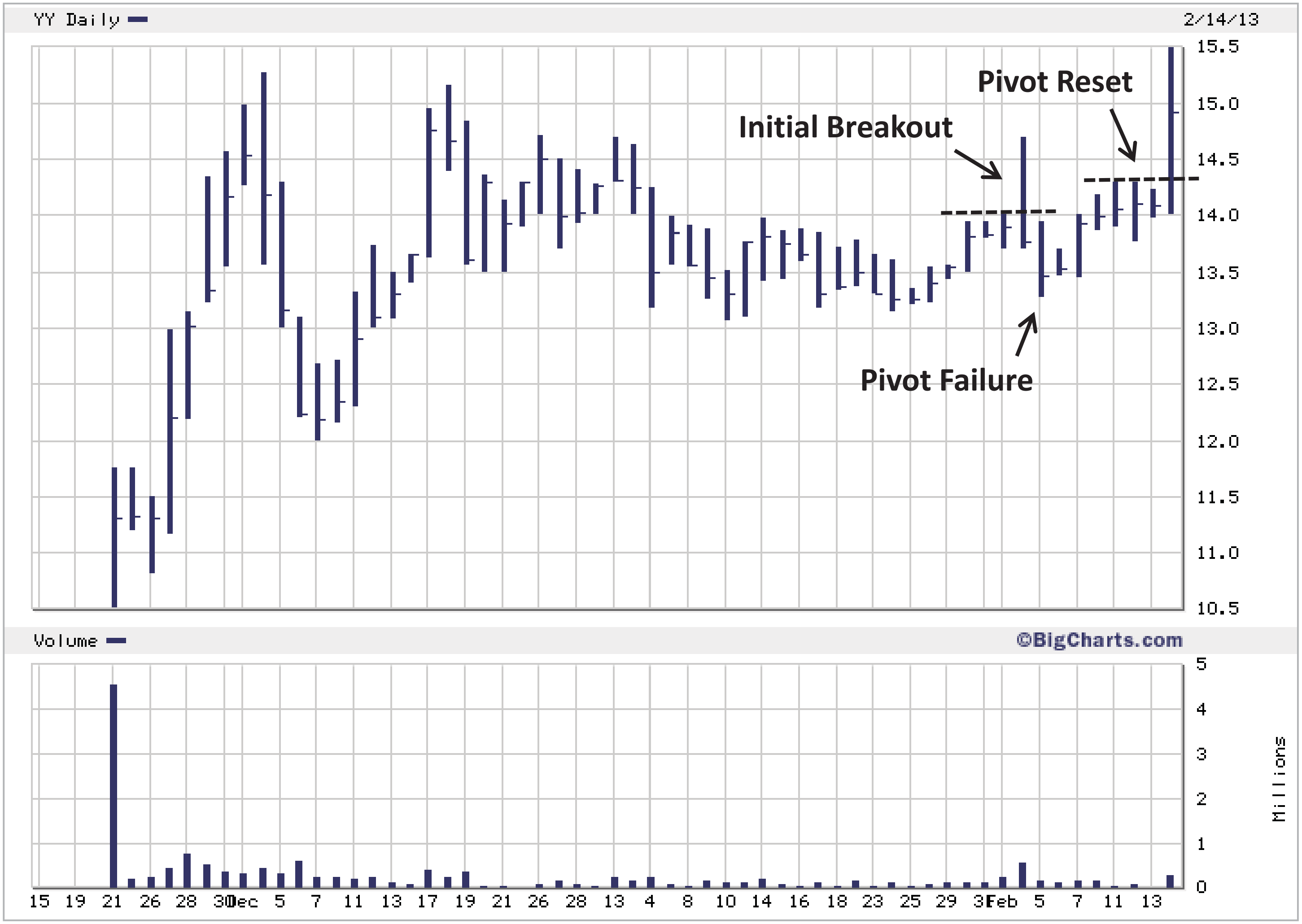
Failure (Pivot) Re-Set

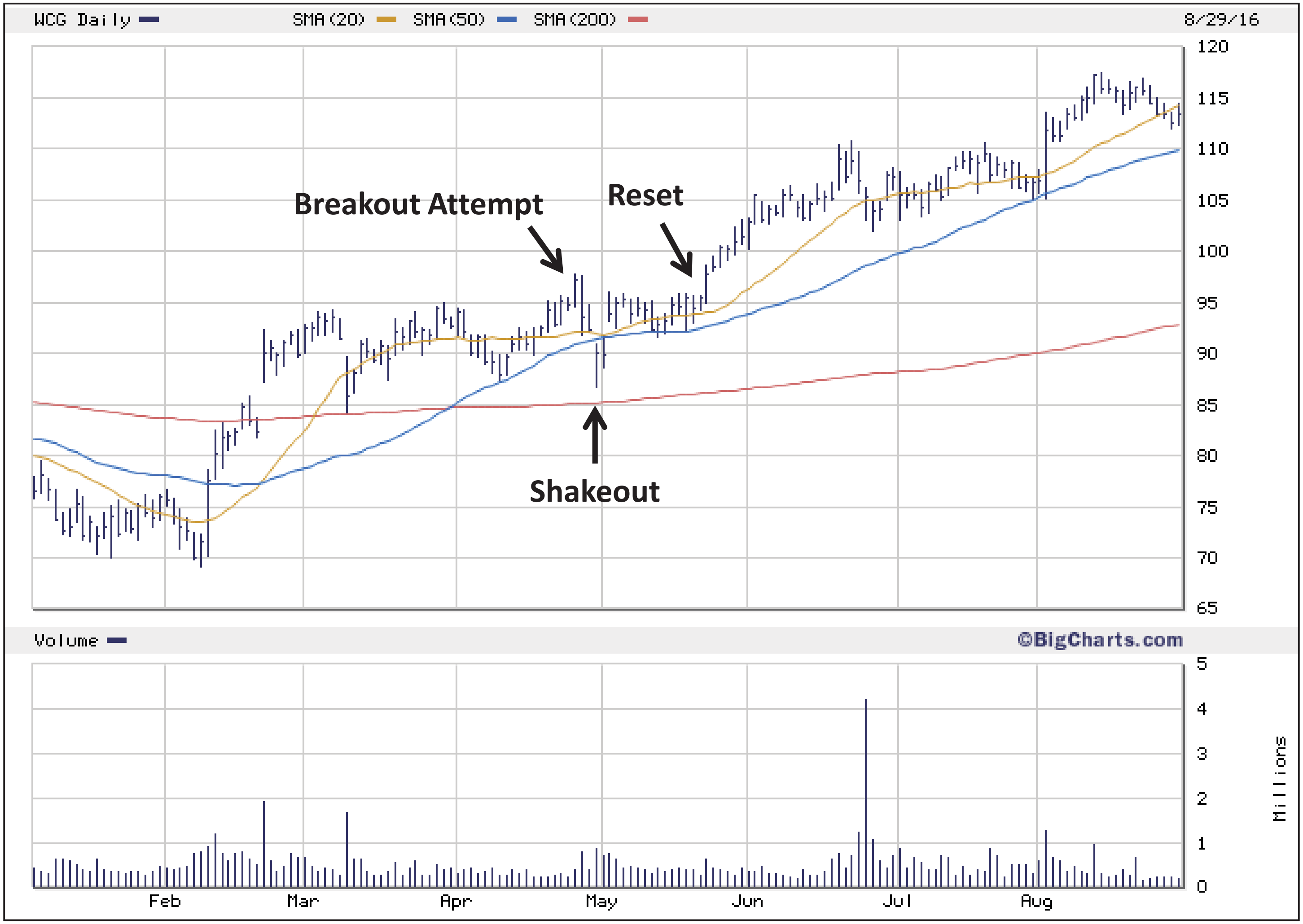


Craft Brewers Alliance (HOOK) +90% in 26 days



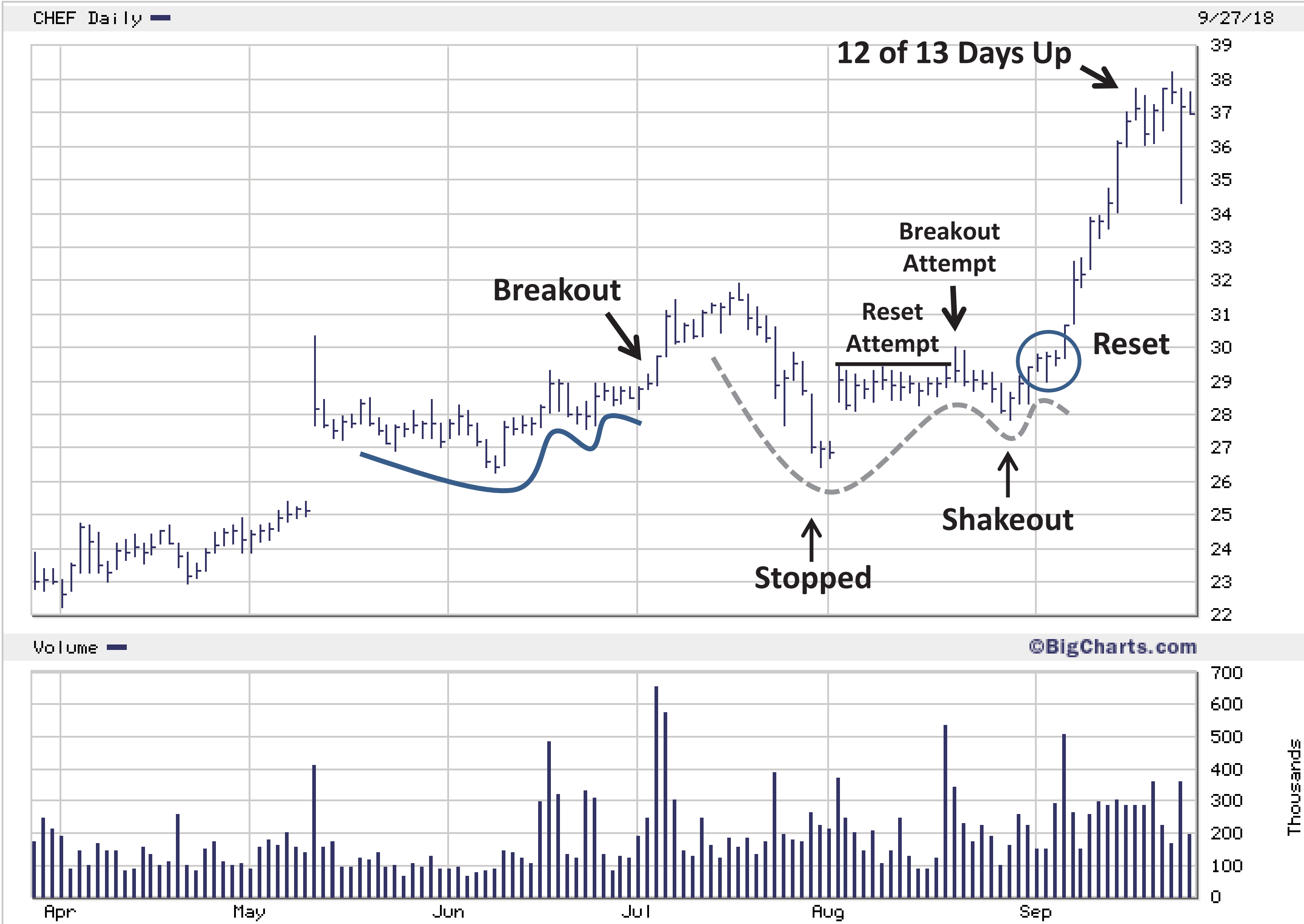
YY Inc. (2013) +254% in 7 months




WCG Daily
SMA(20)
SMA(50)
SMA(200)
8/29/16
Breakout Attempt
Reset
Shakeout
120
115
110
105
100
95
90
85
80
75
70
65
Volume
©BigCharts.com
5
4
3
2
1
0
Millions
Feb
Mar
Apr
May
Jun
Jul
Aug

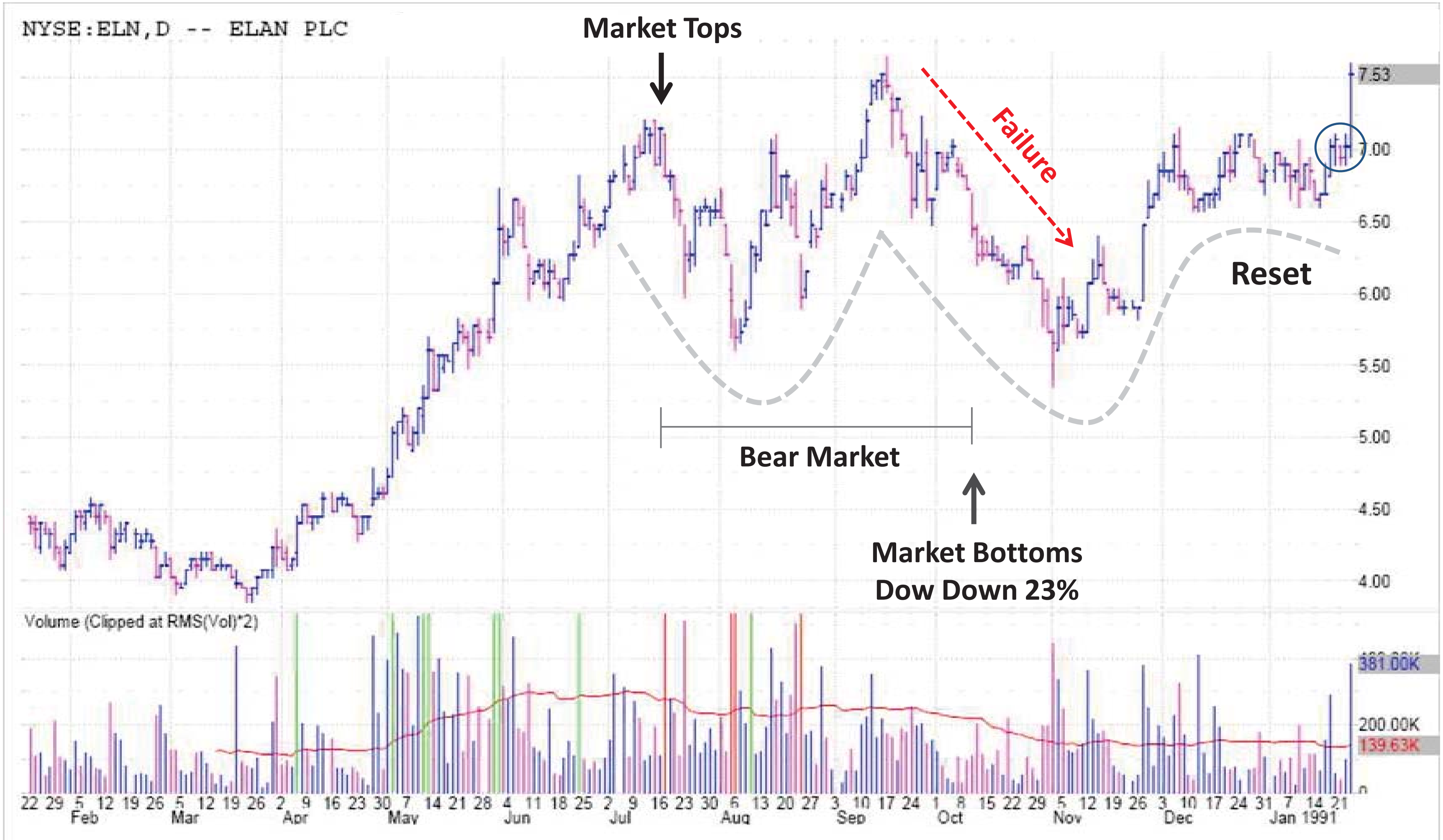
Spirit Airlines – 2014

+78% in 10 months

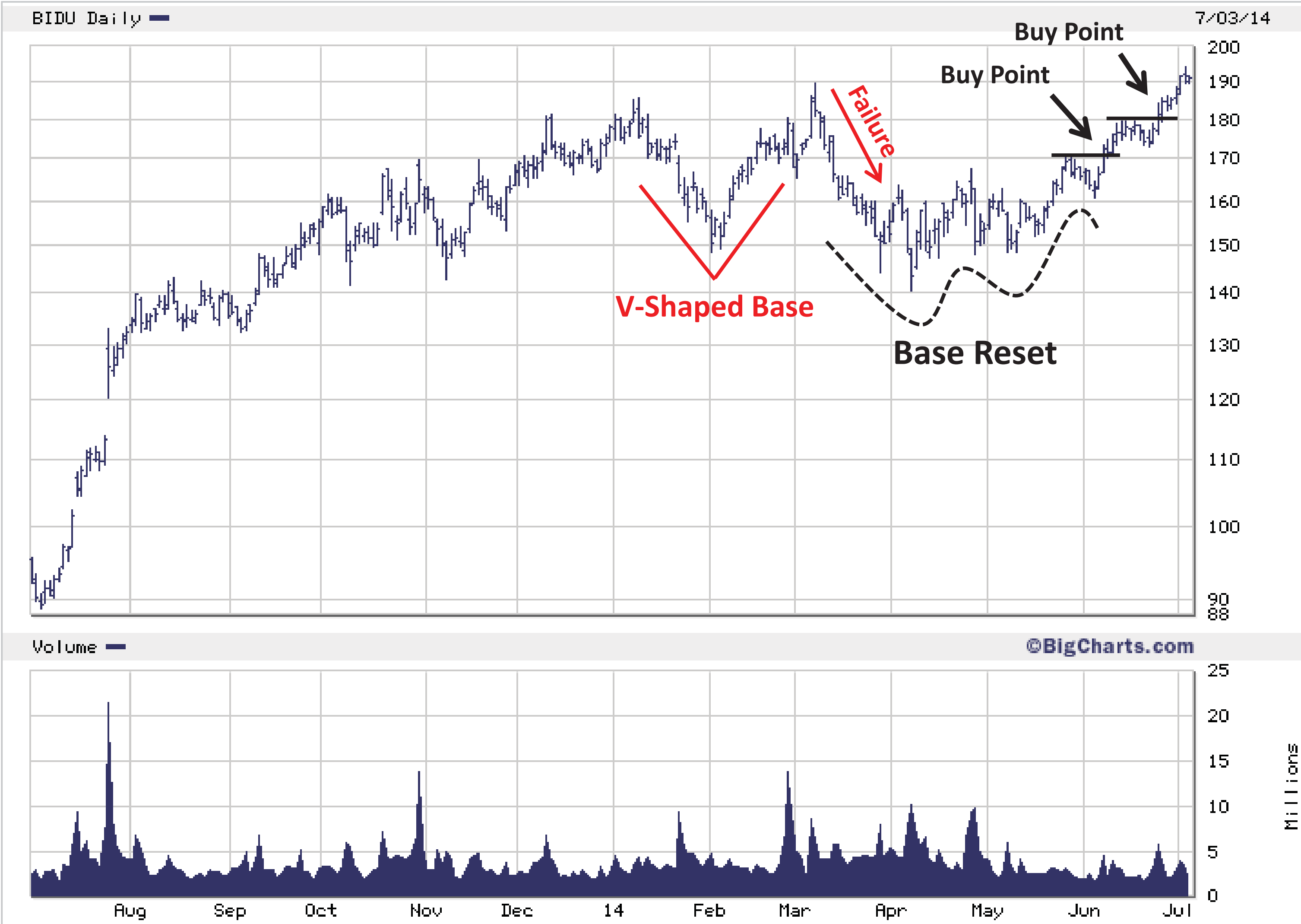


CHEF Daily
9/27/18
12 of 13 Days Up
Breakout
Breakout Attempt
Reset Attempt
Reset
Stopped
Shakeout
Volume
©BigCharts.com
Thousands
Apr
May
Jun
Jul
Aug
Sep

Failure (Base) Reset

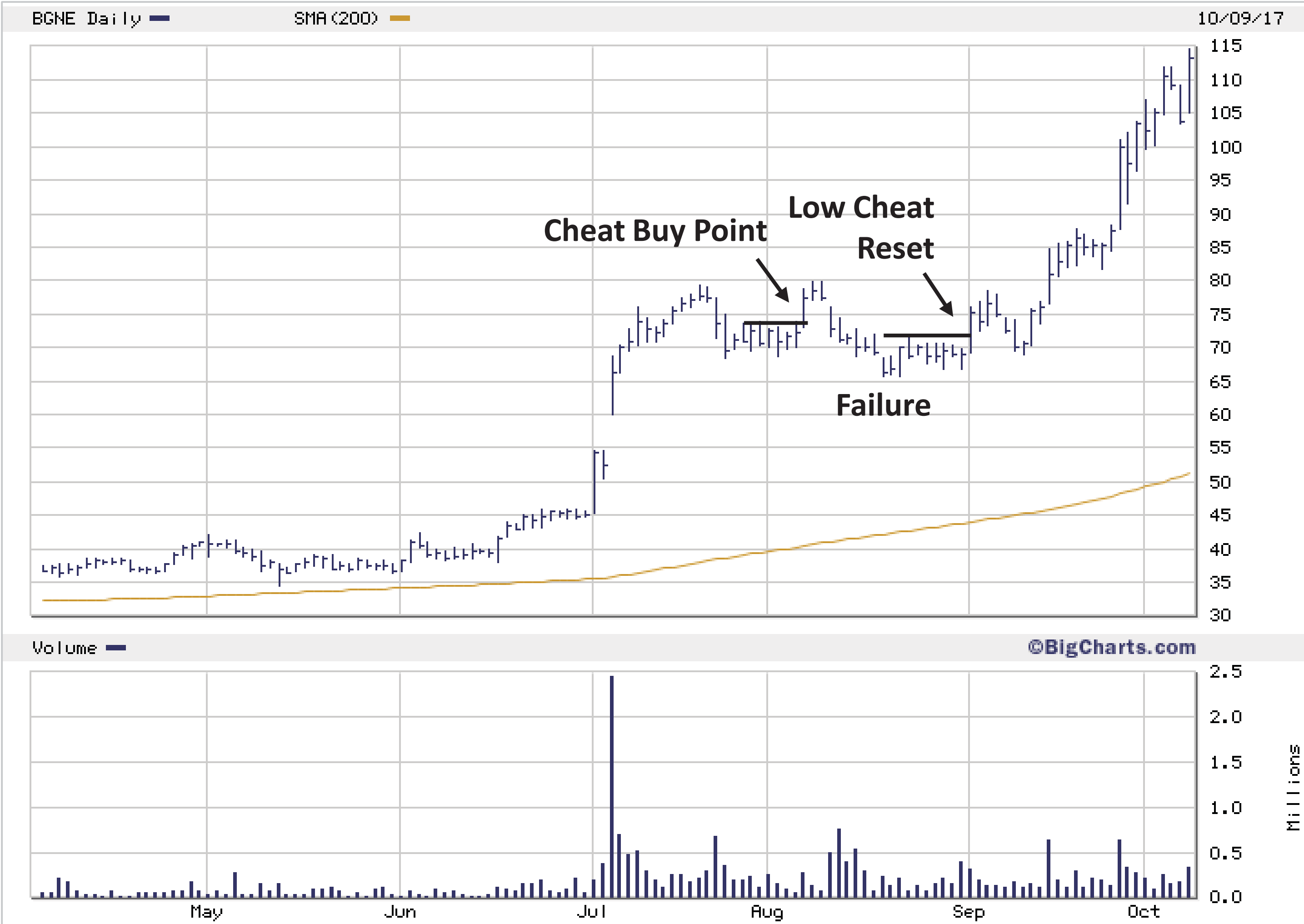

NYSE:ELN,D -- ELAN PLC
Market Tops
Failure
Reset
Bear Market
Market Bottoms
Dow Down 23%
Volume (Clipped at RMS(Vol)*2)
7.53
7.00
6.50
6.00
5.50
5.00
4.50
4.00
381.00K
200.00K
139.63K
0
22 29 5 12 19 26 5 12 19 26 2 9 16 23 30 7 14 21 28 4 11 18 25 2 9 16 23 30 6 13 20 27 3 10 17 24 1 8 15 22 29 5 12 19 26 3 10 17 24 31 7 14 21
Feb Mar Apr May Jun Jul Aug Sep Oct Nov Dec Jan 1991

Baidu Inc.

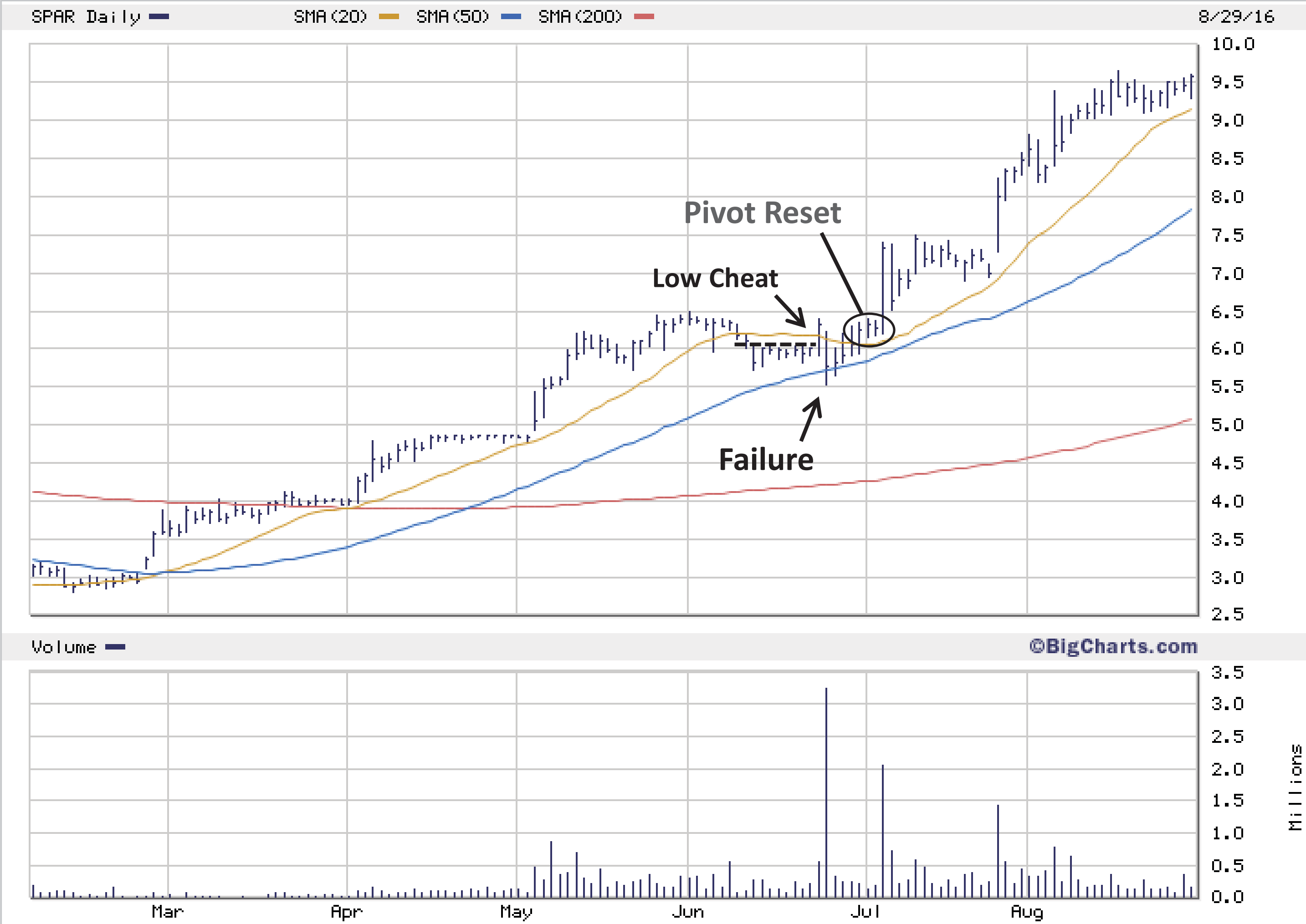


BIDU Daily
7/03/14
Buy Point
Buy Point
Failure
V-Shaped Base
Base Reset
200
190
180
170
160
150
140
130
120
110
100
90
88
Volume
©BigCharts.com
25
20
15
10
5
0
Millions
Aug
Sep
Oct
Nov
Dec
14
Feb
Mar
Apr
May
Jun
Jul

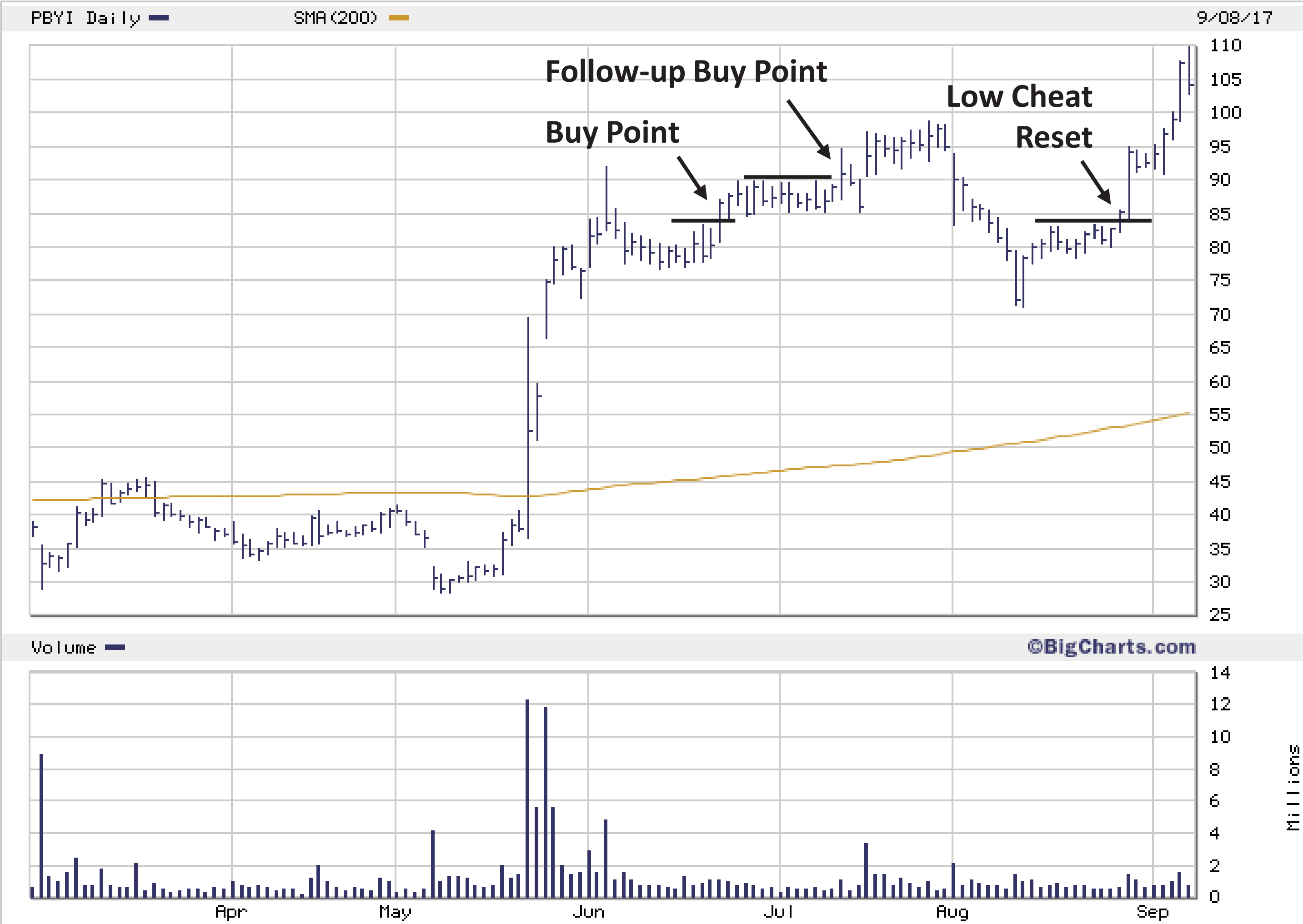
Beigene Ltd Ads



Spartan Motors – 2016



Puma Biotechnology



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MINERVINI

PRIVATE ACCESS

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- ✓ Categories
- ✓ Valuation
- ✓ The Trend
- ✓ Fundamentals
- ✓ Price & Volume
- ✓ Entry Points

The Primary Base

The First Buyable Base After an IPO

Yahoo

+7900% in 29 months

Amazon.com

+2500% in 16 months
+78,000% in 18 years

Starbucks

+3200% in 11 years

Dicks Sporting Goods

+200% in 15 months


DKS Dick's Sporting Goods Inc. NYSE + BATS
4-Apr-2003
©StockCharts.com
Open 5.76 High 5.85 Low 5.76 Last 5.78 Volume 288.6K Chg +0.05 (+0.95%)
DKS:$SPX 0.0066 (4 Apr)
Tip off: RS new high
Market makes new low
– stock builds handle
$SPX 878.85 (4 Apr)
DKS (Daily) 5.78 (4 Apr)
MA(40) 5.03
Stock makes new all-time high
Too compressed; needs to tighten up
BUY POINT
Stock IPOs right off
bear market low
Classic VCP
characteristics
Undercuts low
creating a shakeout

Abacus Direct

+450% in 28 months

Borland Intl. **+530% in 22 months**

Pharmion Corp. +270% in 6 months

L-3 Communications **+290% in 43 months**

Voya Financial Inc. +71% in 23 months

Shake Shack Inc. **+86% in 30 days**

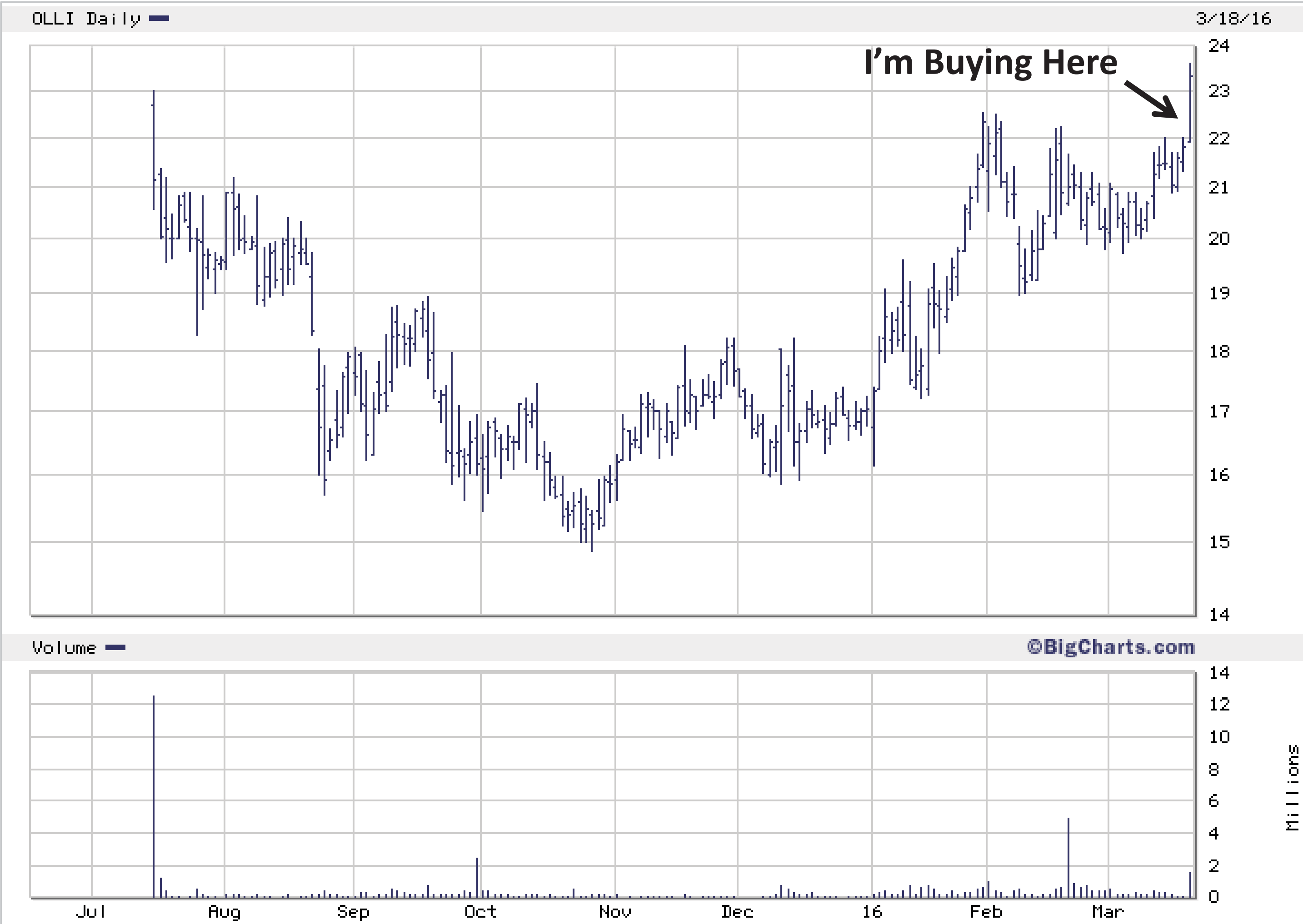
Shake Shack Inc. +60% in 40 days

Alibaba Group

+94% in 10 months

Ollie's Bargain Outlet

+330% in 30 months



Ollie's Bargain Outlet

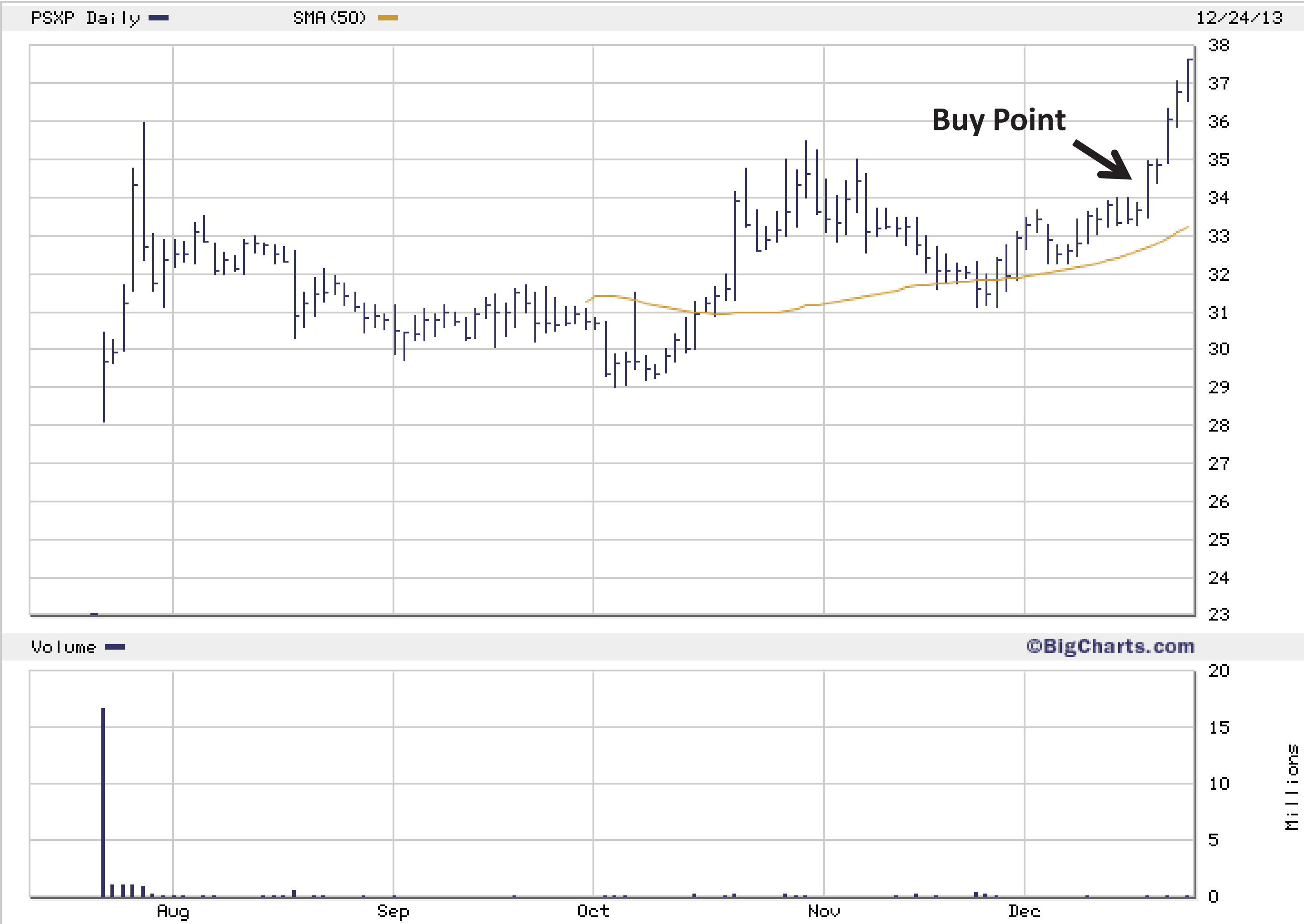
Weekly

Body Central Corp. **+105% in 15 months**

Michaels Companies Inc. +60% in 4 months

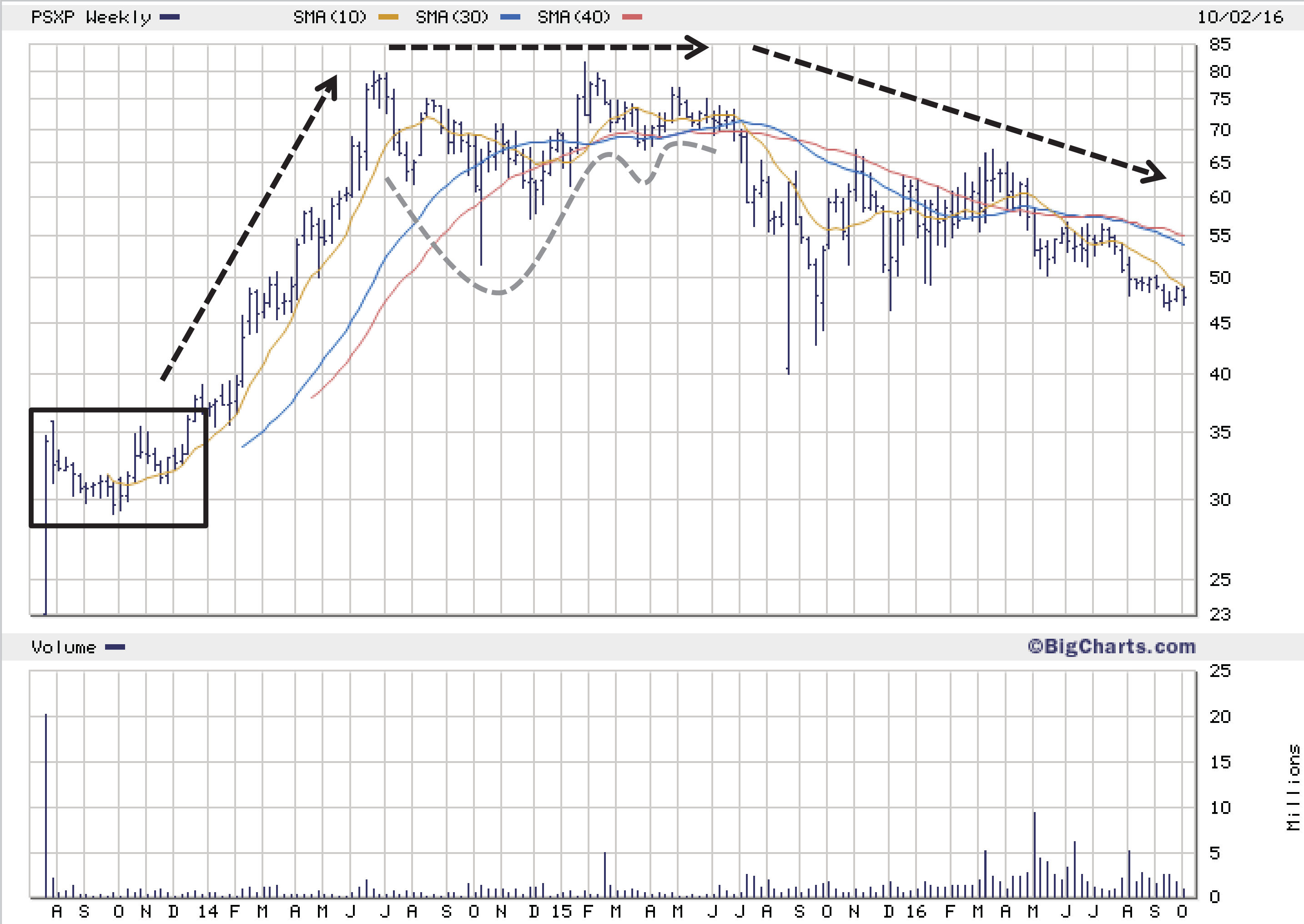
Phillips 66 Partners LP

+132% in 6 months



Phillips 66 Partners LP

Weekly



LinkedIn Corp.

+118% in 7 months

PEGA Systems **+210% in 6 months**

Ascendis Pharma A/S Ads (ASND) NASDAQ Medical-Biomed/Biotech (13/197)
S&P 500
RS Rating
Volume
Dec 12
Mar 13
Jun 13
Sep 13
Dec 13
Mar 14
Jun 14
Sep 14
Dec 14
Mar 15
Jun 15
Sep 15
Dec 15
Mar 16
Jun 16
Sep 16
Dec 16
Mar 17
Jun 17
Sep 17
Dec 17
Mar 18
Jun 18

Shopify Inc Cl A (SHOP) NYSE Computer Sftwr-Enterprse (2/197)
S&P 500
RS Rating
Volume

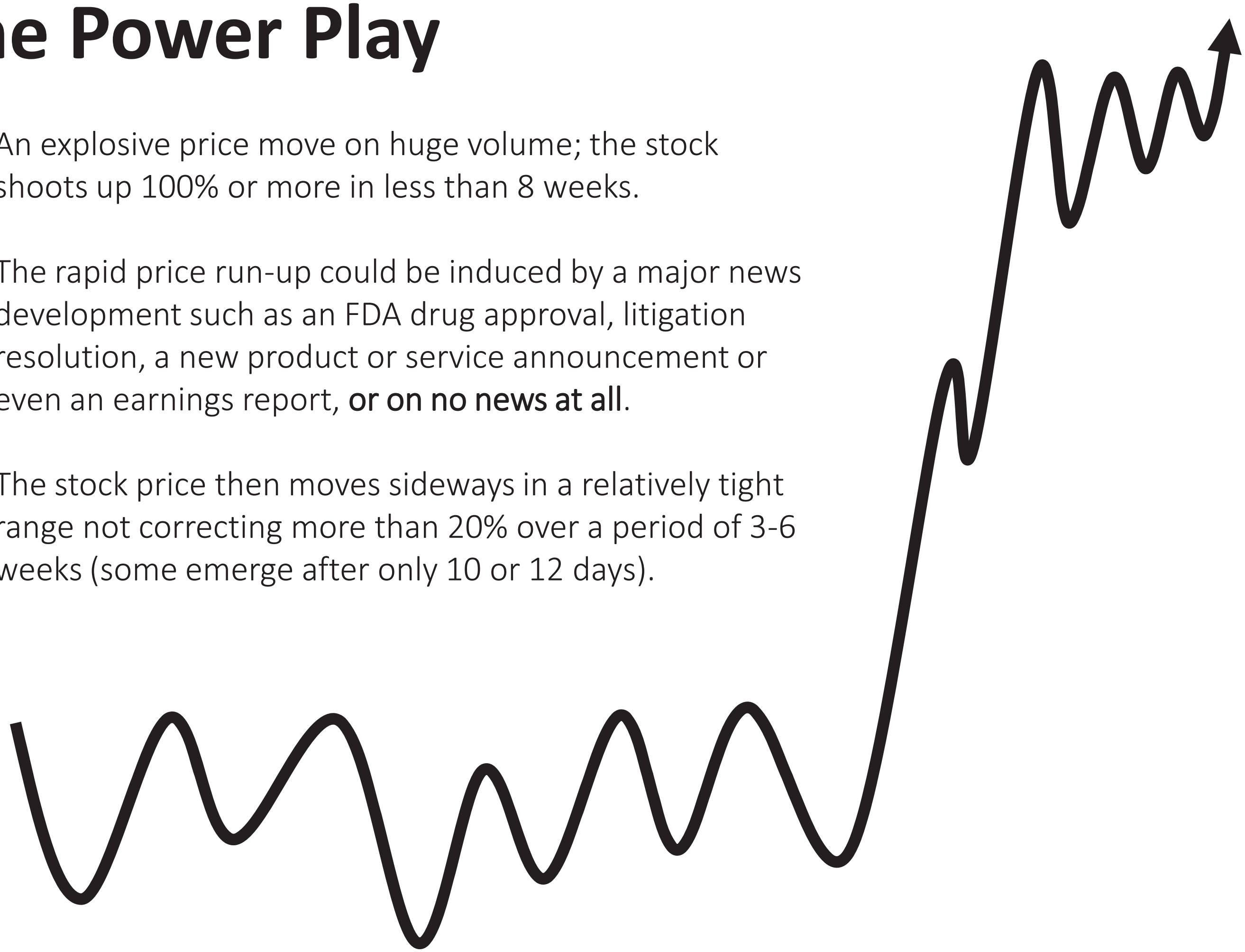
Burlington Stores Inc. +430% in 4 years

The Power Play

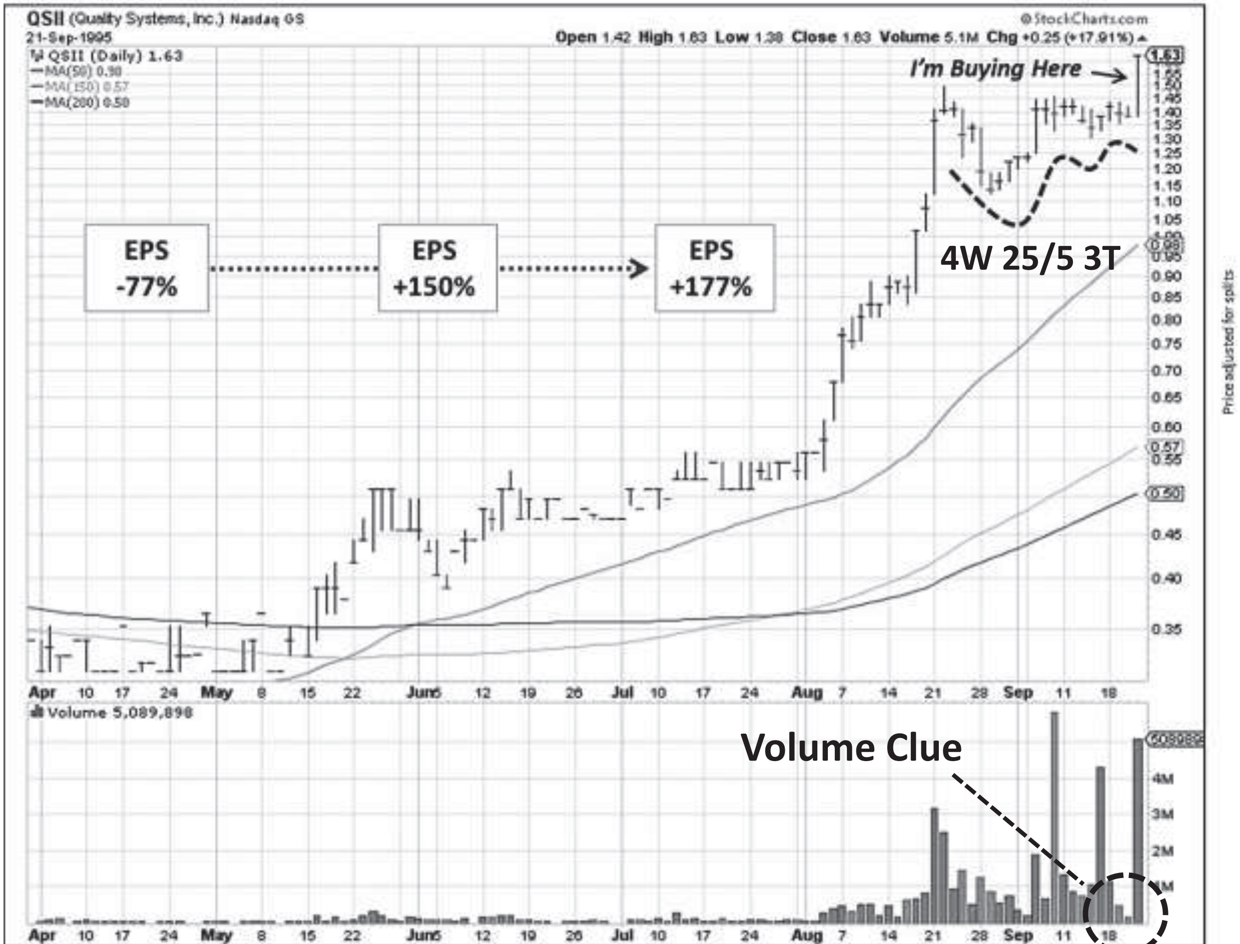
1. An explosive price move on huge volume; the stock shoots up 100% or more in less than 8 weeks.

2. The rapid price run-up could be induced by a major news development such as an FDA drug approval, litigation resolution, a new product or service announcement or even an earnings report, **or on no news at all**.

3. The stock price then moves sideways in a relatively tight range not correcting more than 20% over a period of 3-6 weeks (some emerge after only 10 or 12 days).

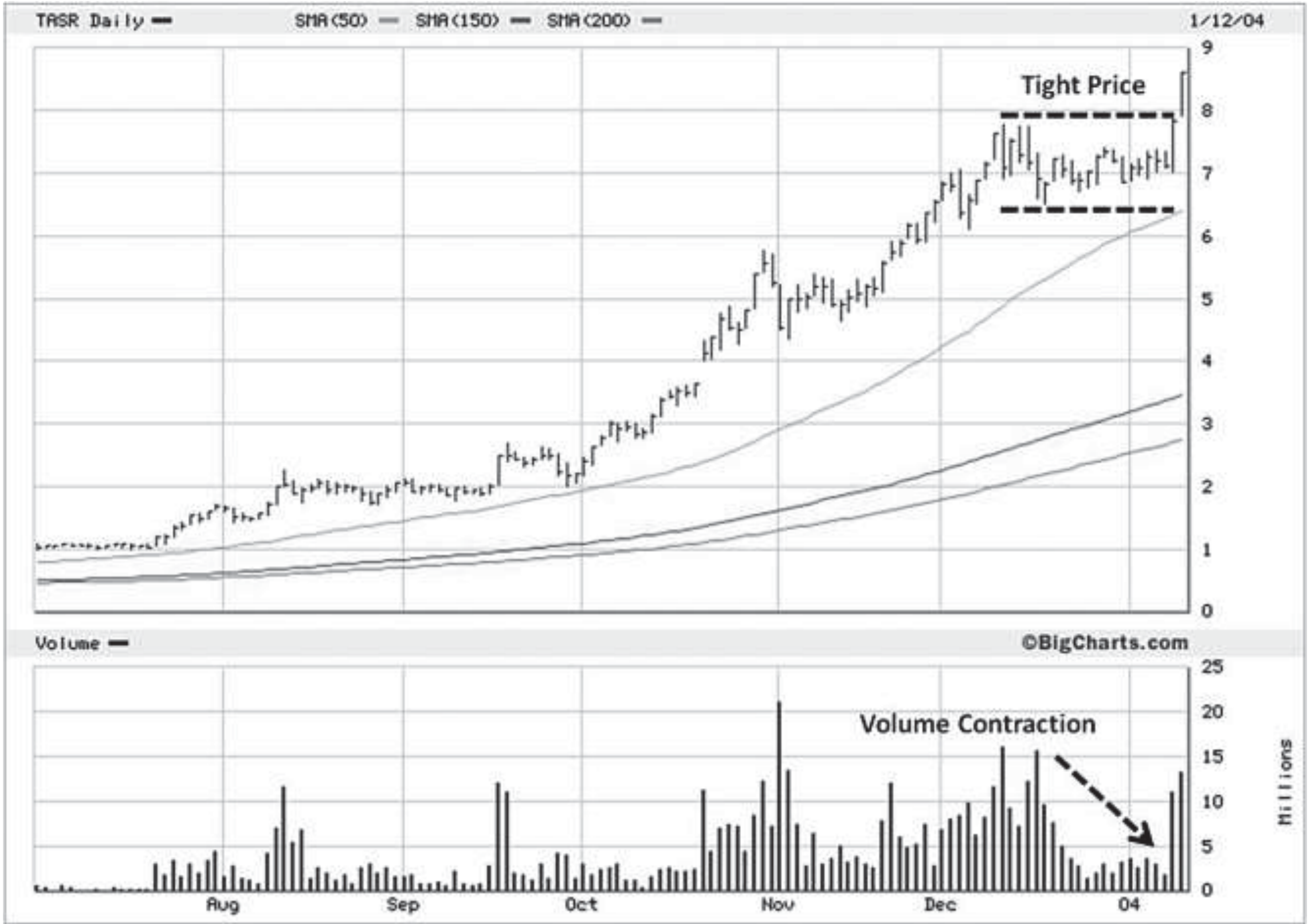


Quality Systems, Inc. (1996) +126% in 66 days



Best Buy Co. +947% in 19 months

T A S E R Intl. Inc. +329% in 16 weeks

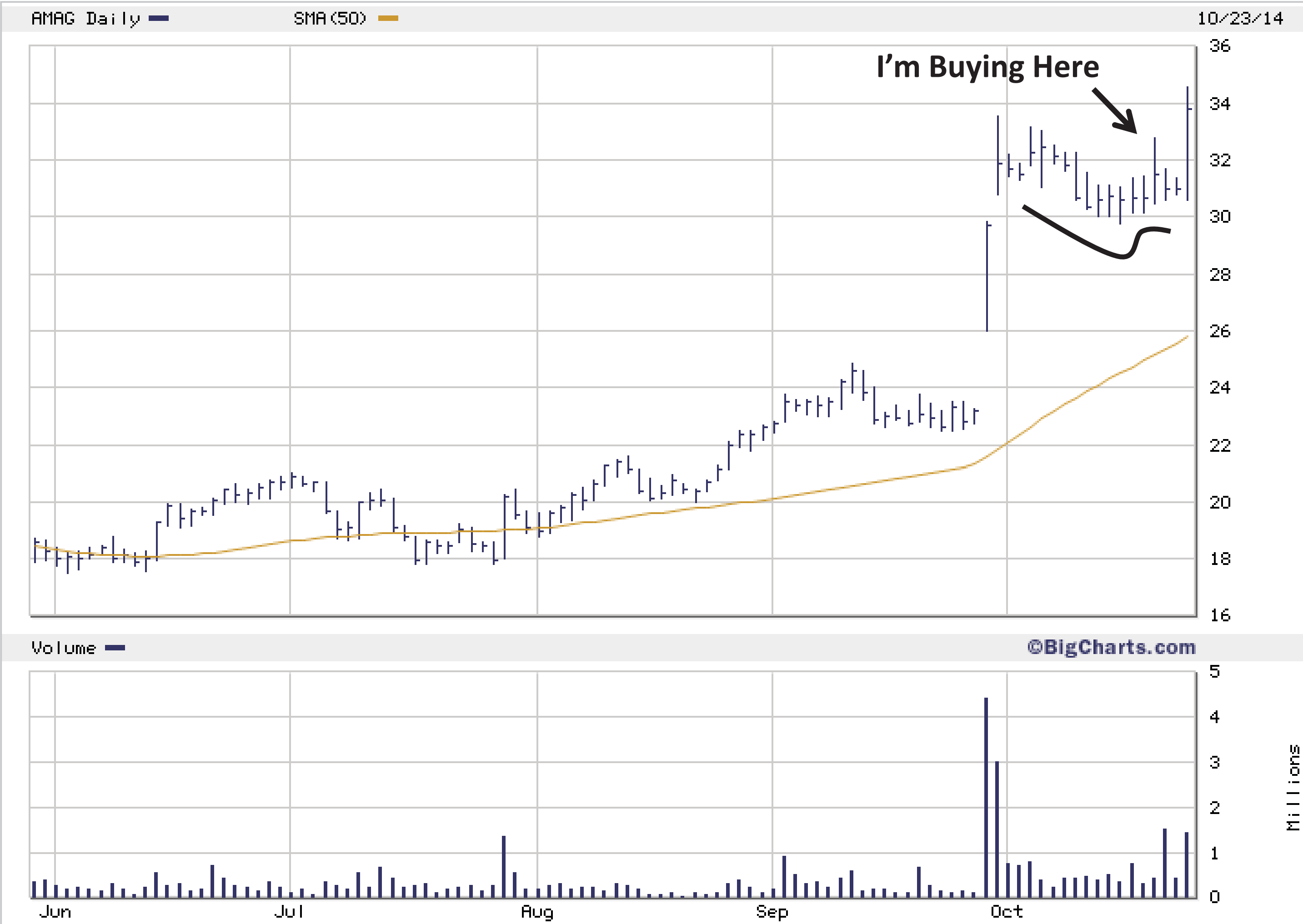


Pharmacyclics, Inc. – 2010

+100% in 48 days
+2600% in 43 months

A M A G Pharmaceuticals

+143% in 9 months



Vapotherm Inc. – 2020

+170% in 14 weeks

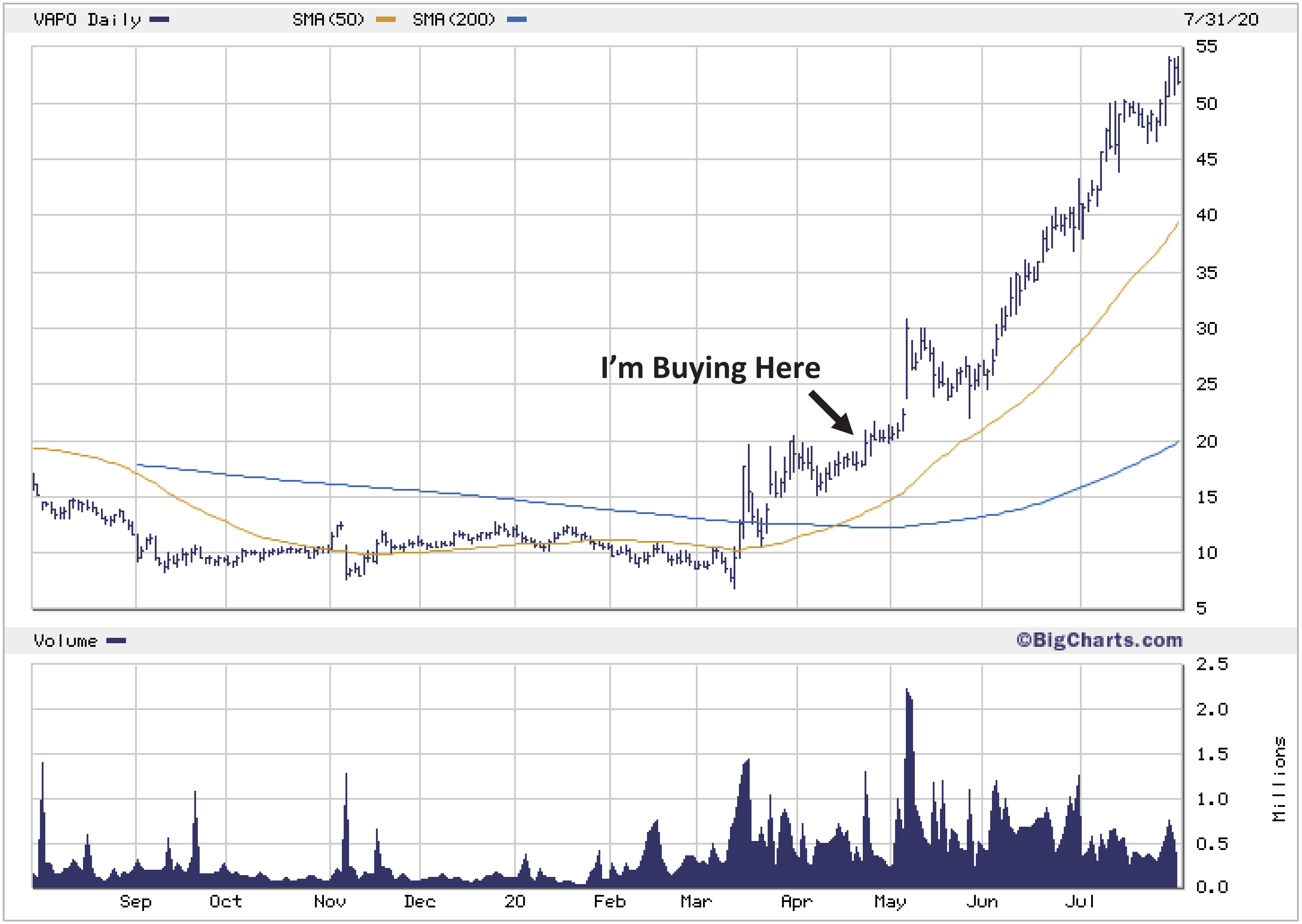


Chart
BVXV
D
* BVXV, BIONDVAX PHARMACEUTICALS SPON ADS REP 40 ORD SHS, D (Dynamic)
D 01/31/2020
P 4.49
O 11.55
H 11.59
L 10.71
C 10.94
MA n/a
MA n/a
MA 8.27
Vol 35675
MA 47127
+150% in 6 days
I'm Buying Here
Cheat
© eSignal, 2020
Dyn
Mar
Apr
May
Jun
Jul

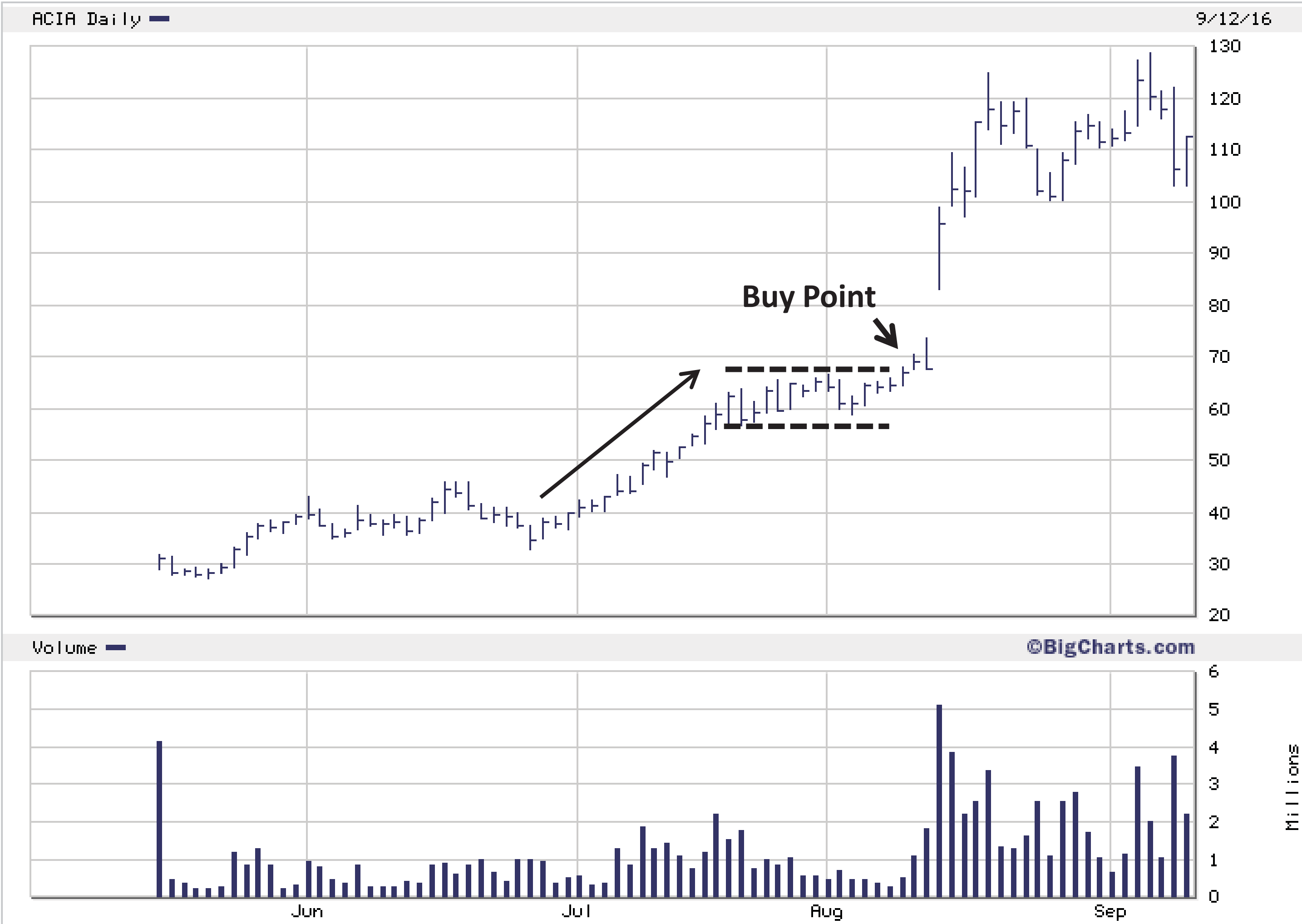
Supernus Pharmaceuticals

+70% in 55 days

Chart
PRTS
D
* PRTS, CARPARTS COM INC, D (Dynamic)
D 03/20/2020
P 1.31
O 1.82
H 1.85
L 1.51
C 1.55
MA 2.27
MA 2.05
MA n/a
MA 2.52
Vol 138011
MA 229150
+81% in 26 days
I'm Buying Here
Super
Tight
Pivot
© eSignal, 2020
May
Jun
Jul
Aug

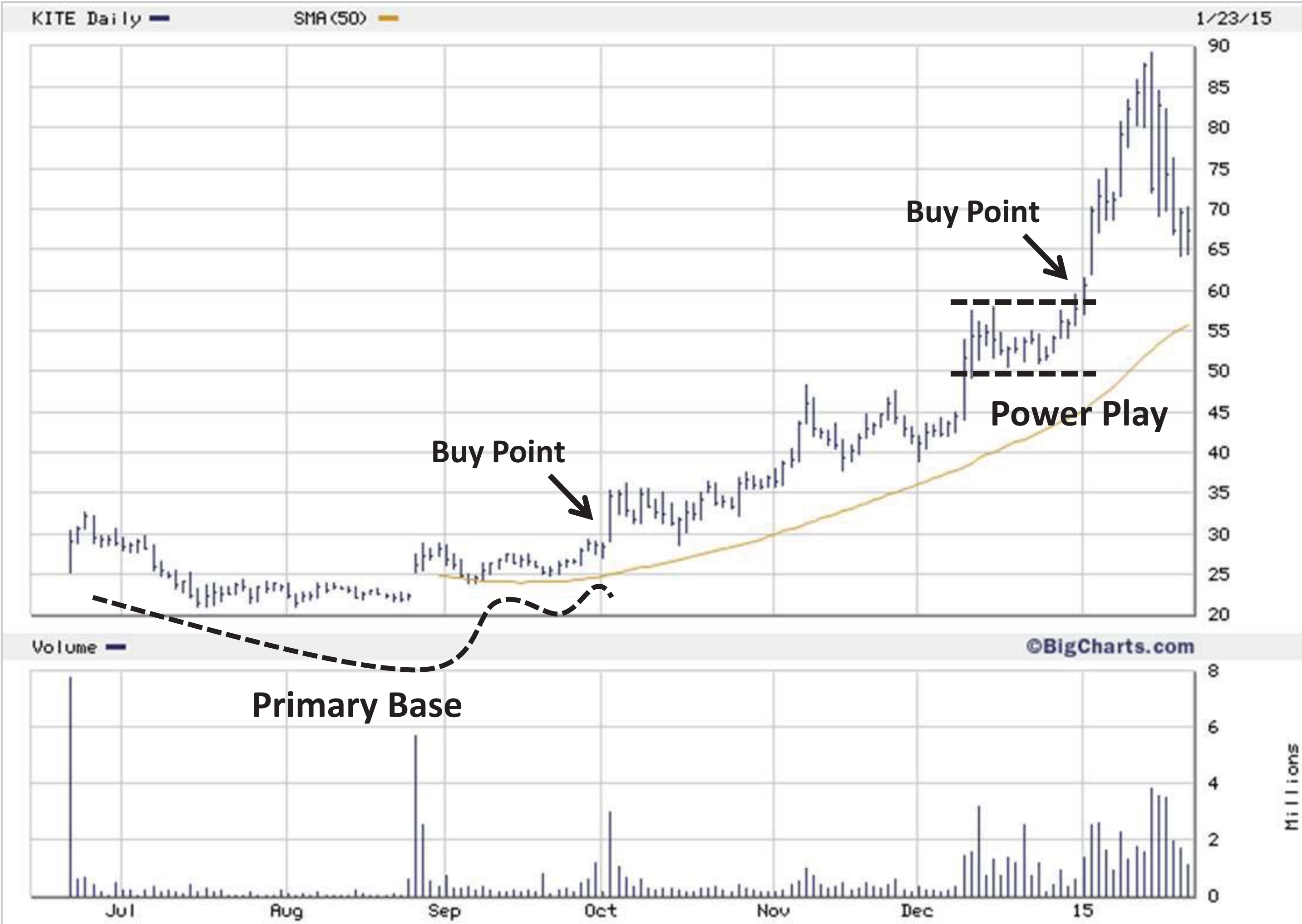
Acacia Communications

+85% in 20 days



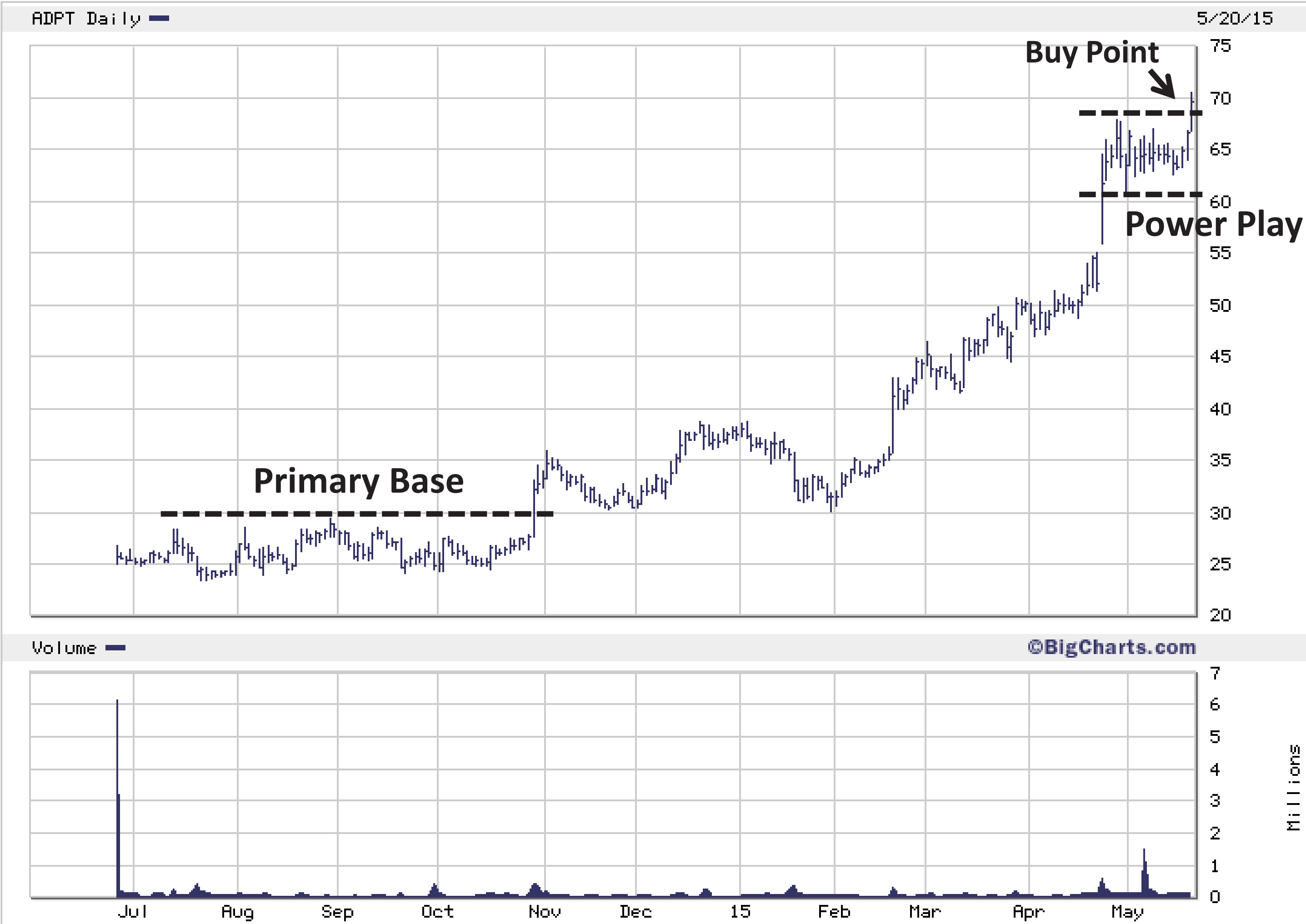
Arena Pharmaceuticals +96% in 14 days

Kite Pharma Inc.



Adeptus Health Inc.

+77% in 53 days



Eagle Pharmaceuticals

+68% in 60 days

Gentium S P A

+200% in 90 days

Multi-Fineline Electronix

+37% in 38 days

G1 Therapeutics

+38% in 25 days

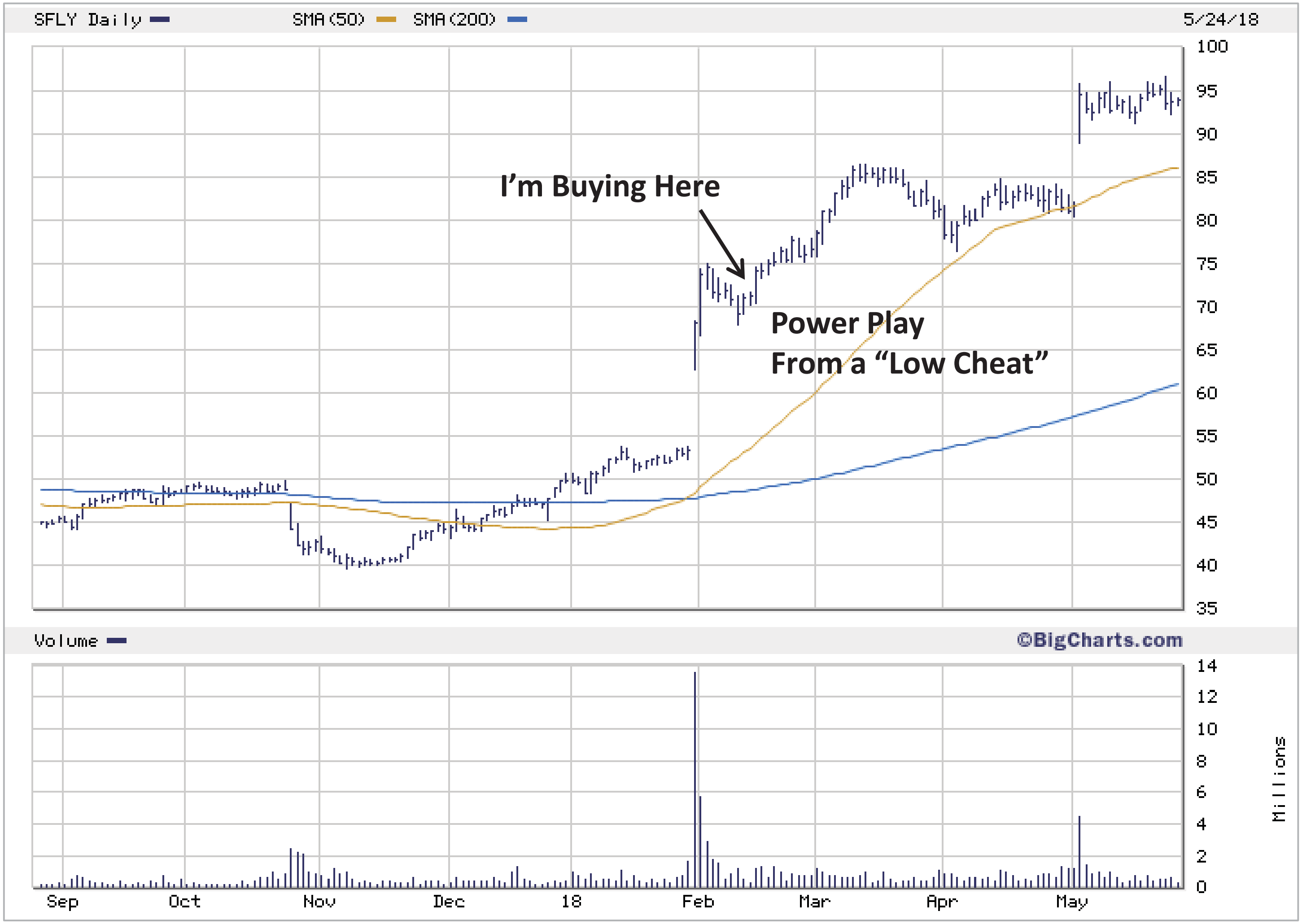
Petmed Express Inc. +45% in 42 days

Liquidia Technoogies

+52% in 4 days

Shutterfly Inc.

+40% in 8 weeks



Clearwater Paper Corp. +74% in 23 days / +205% in 15 months

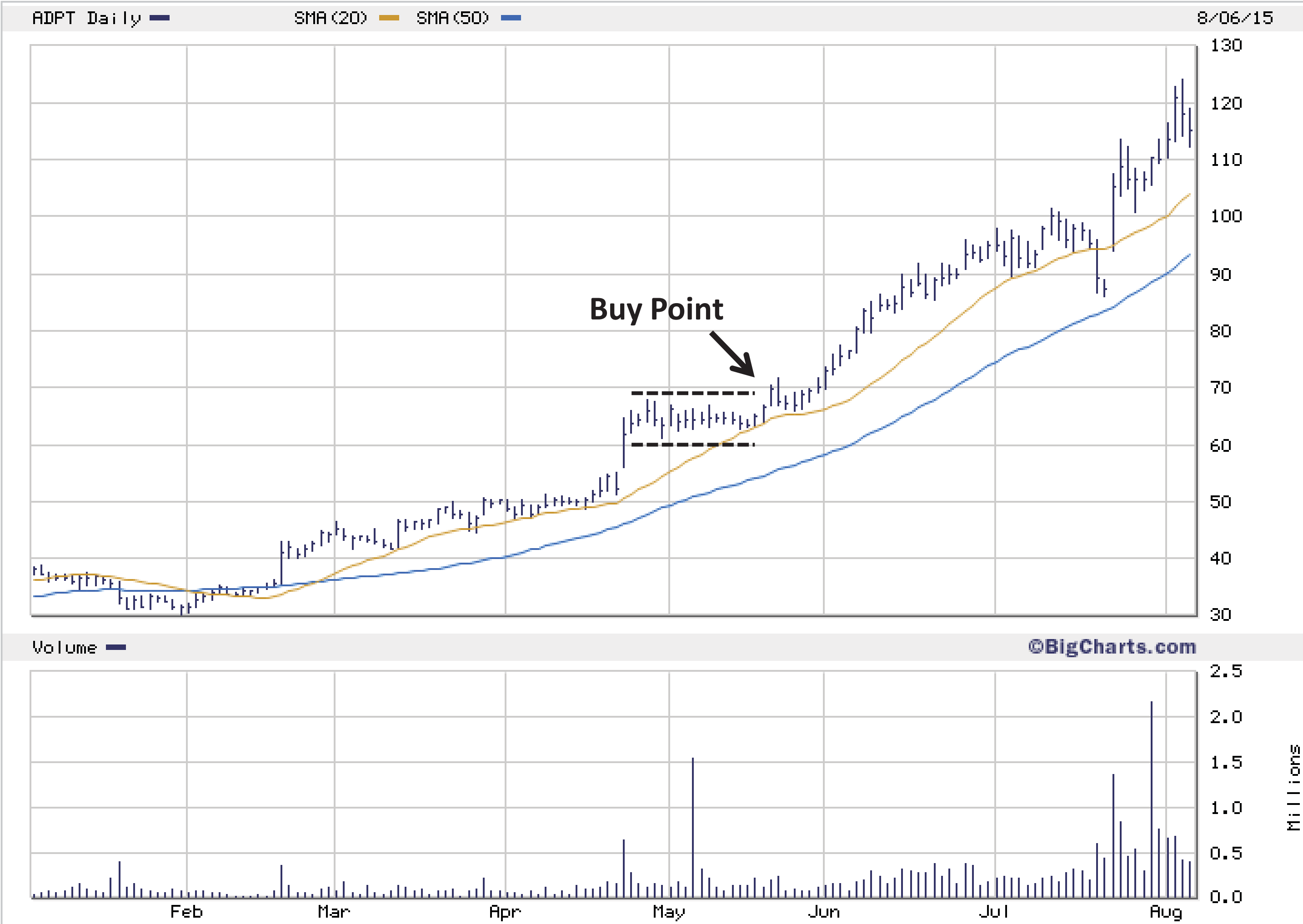
Clearwater Paper Corp. (2009) Weekly

Cardtronics Inc. – 2009

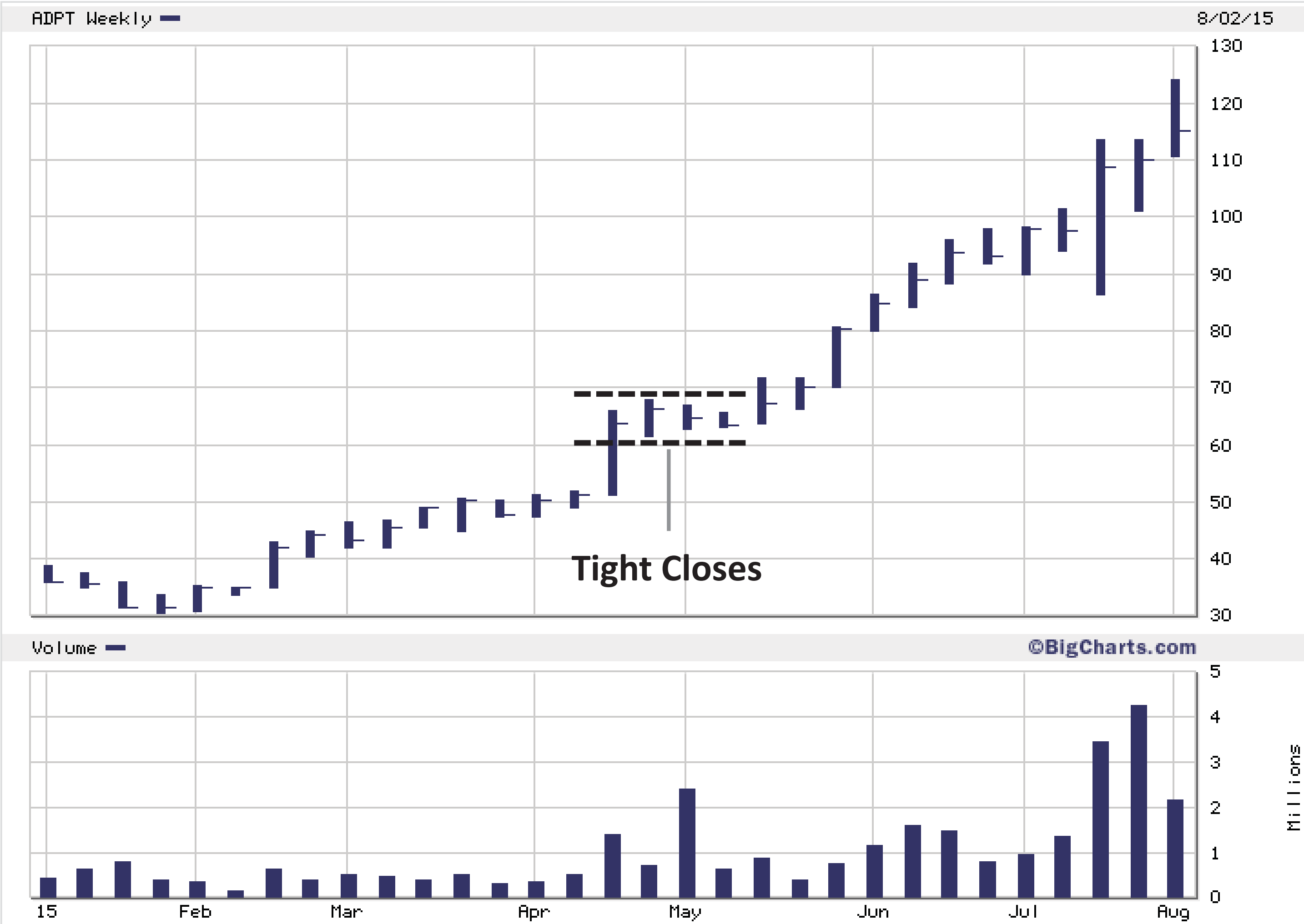
+100% in 12 months

Cardtronics Inc. – 2009 Weekly

Adeptus Health Inc. +77% in 53 days

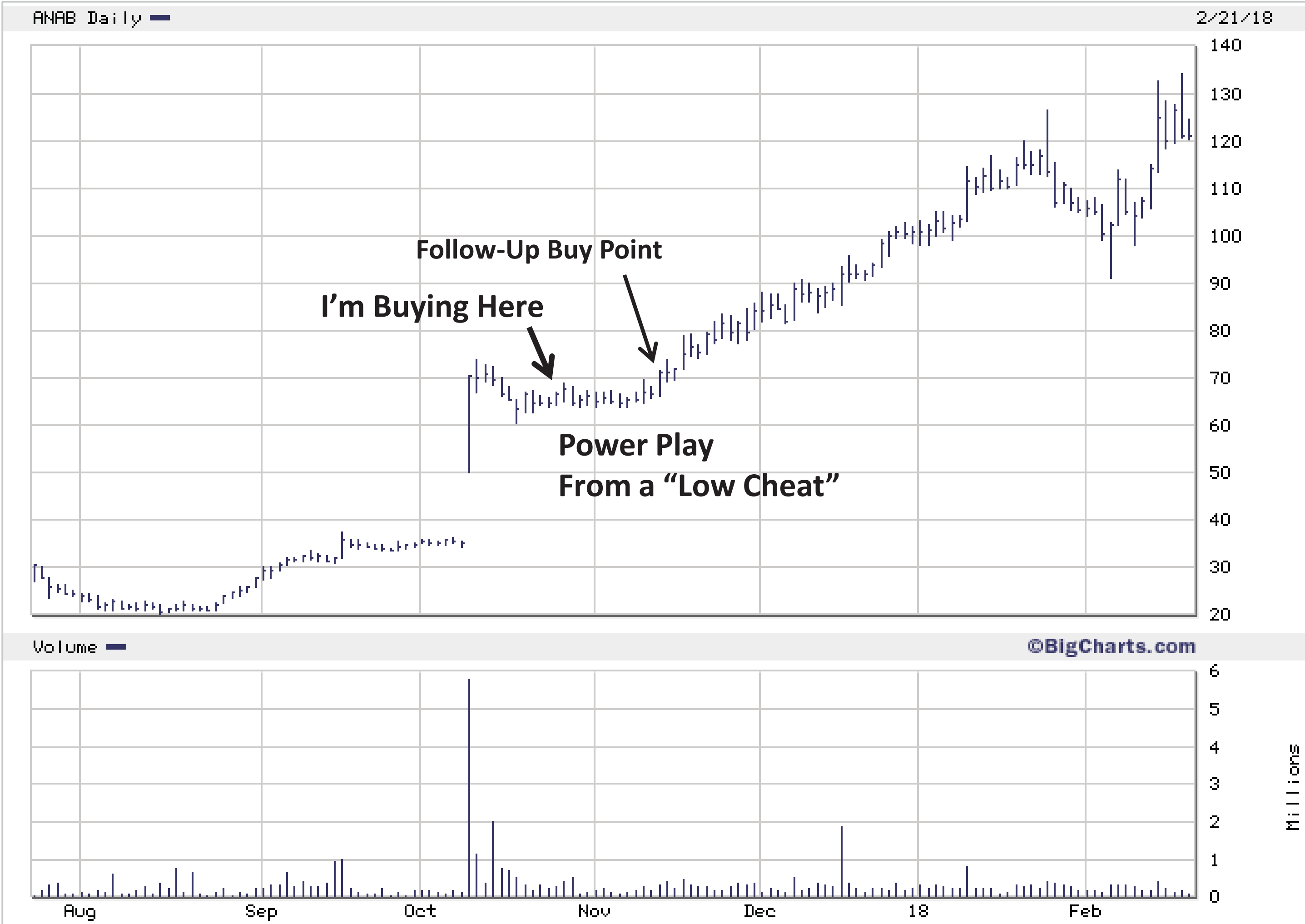


Adeptus Health Inc. Weekly

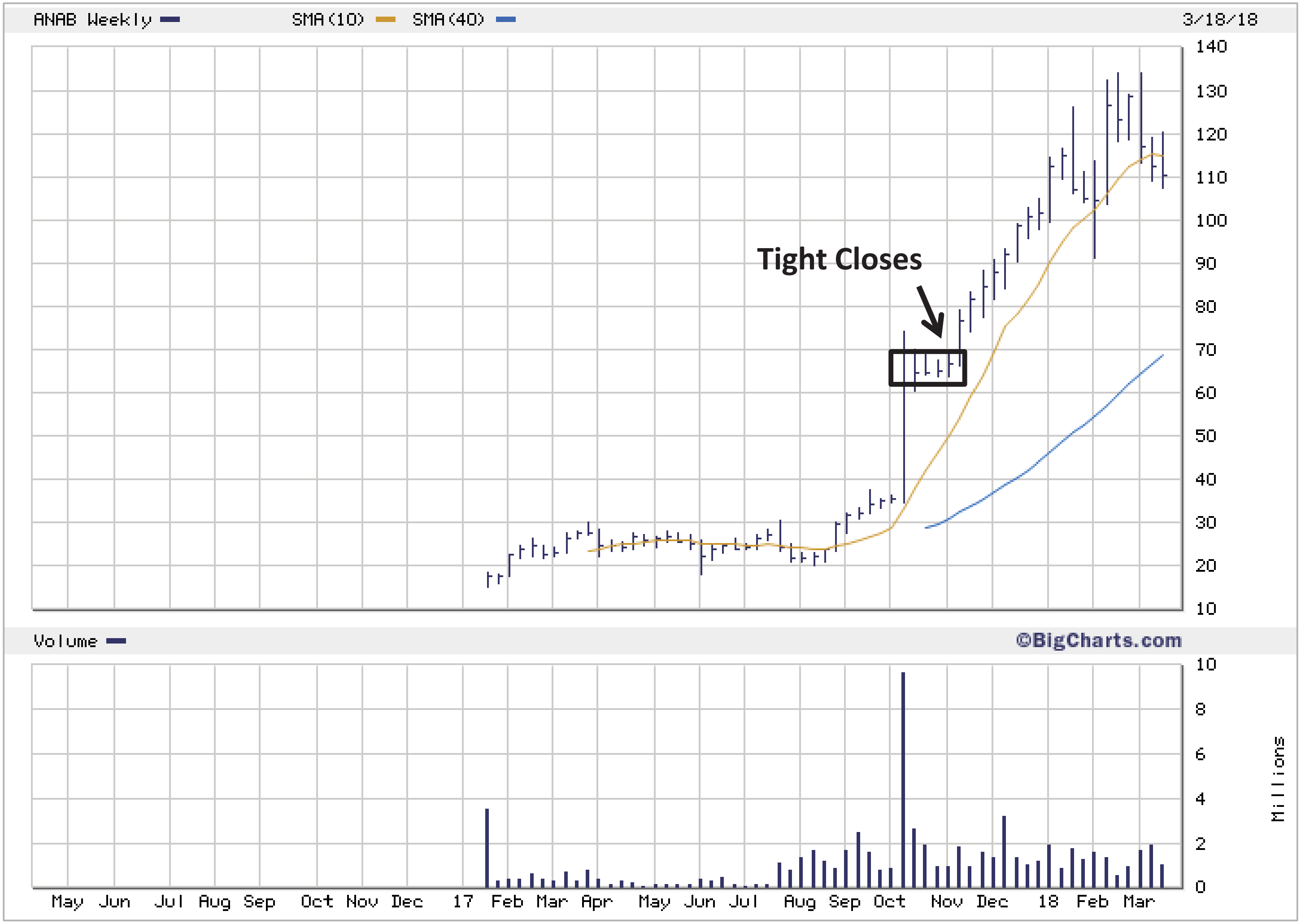


AnaptysBio Inc.

+96% in 4 months

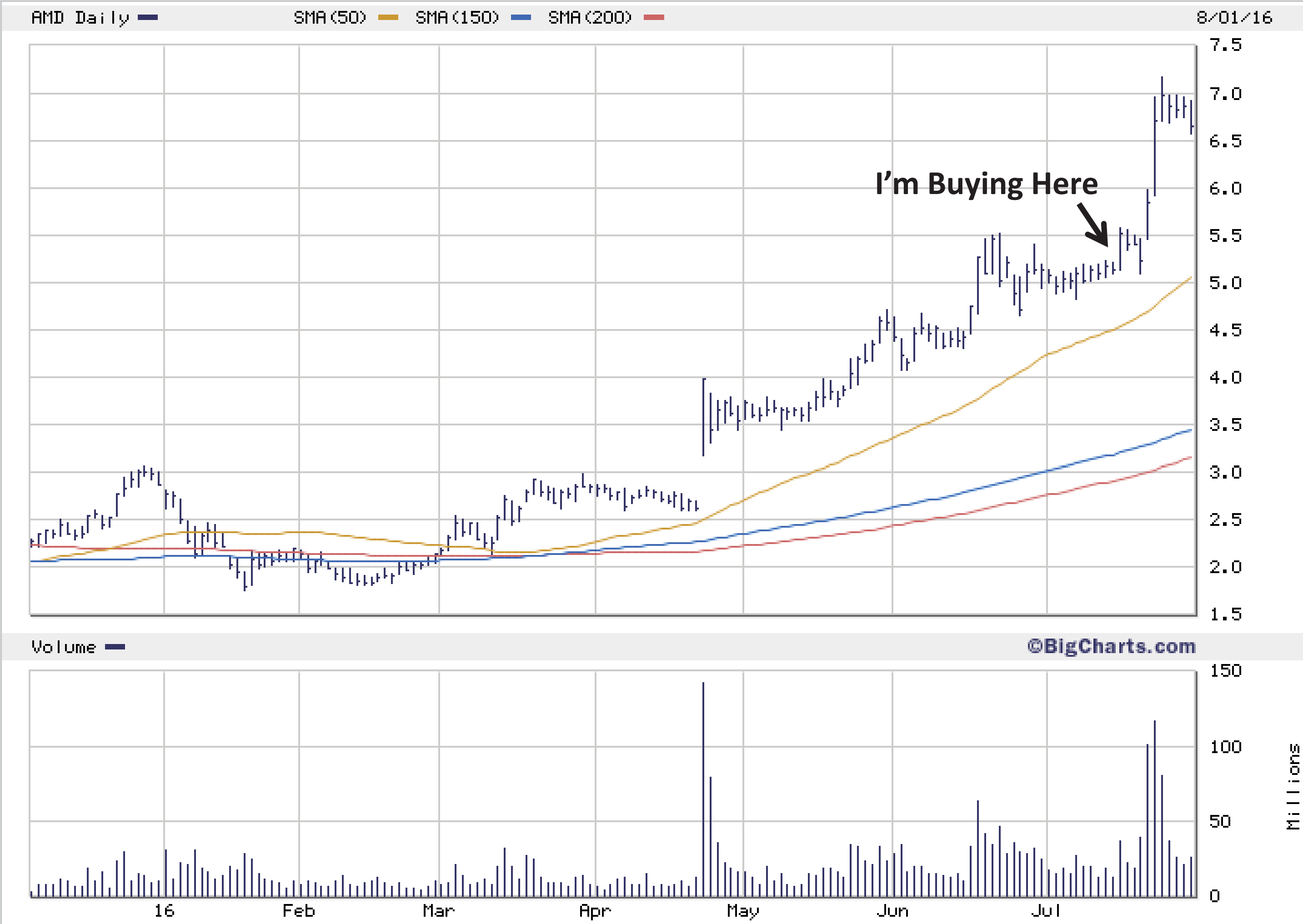


AnaptysBio Inc. Weekly



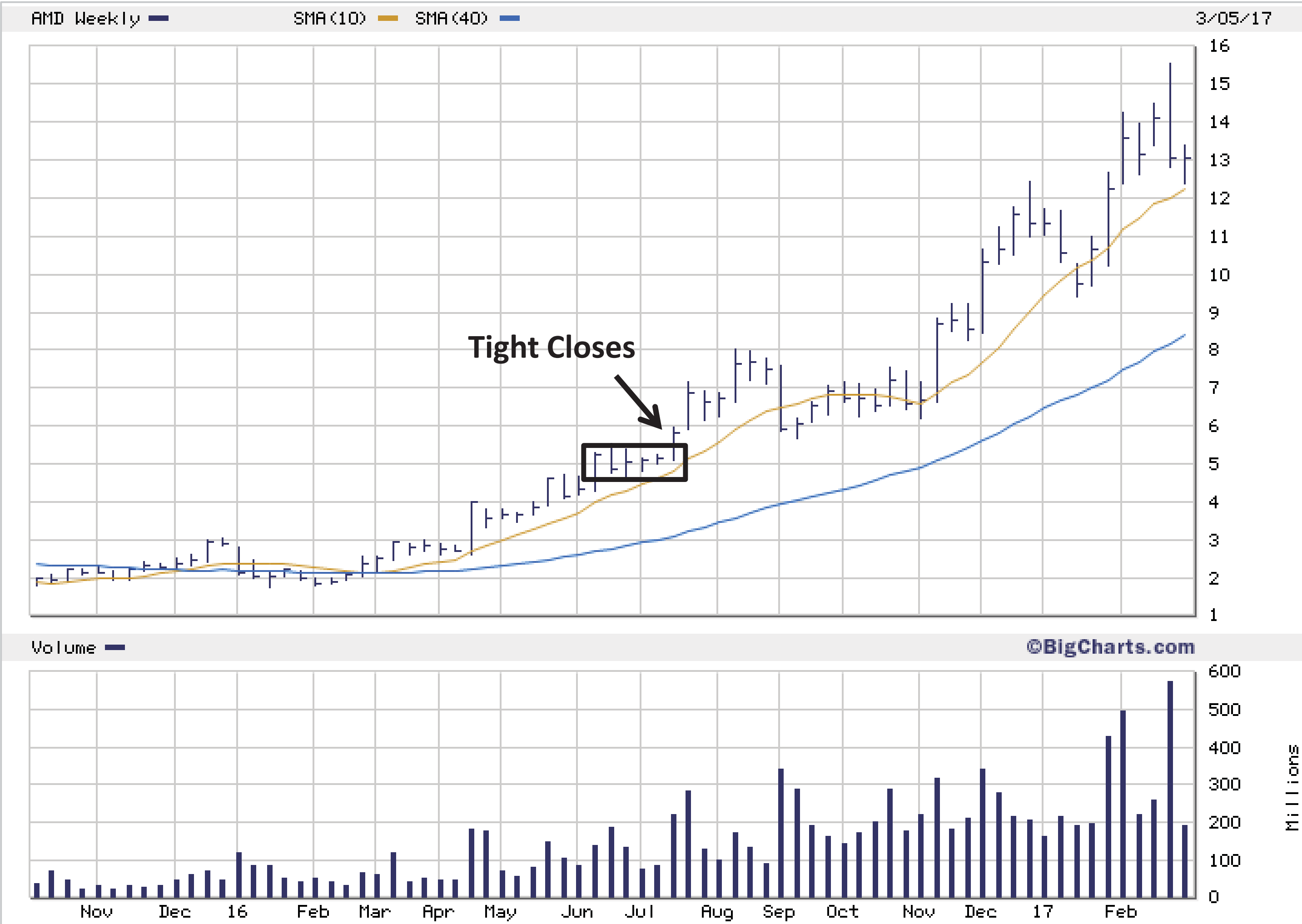
Advance Micro Devices

+190% in 18 months



Advance Micro Devices

Weekly




EMEX Daily
5/22/01
+160% in 17 Days
Volume
©BigCharts.com
Thousands
Jun Jul Aug Sep Oct Nov Dec 01 Feb Mar Apr May
NASDAQ Daily
5/22/01
NASDAQ Composite Index
Hardly Up Over Same Period
Volume
©BigCharts.com
Billions
Jun Jul Aug Sep Oct Nov Dec 01 Feb Mar Apr May

Emulex (2001)

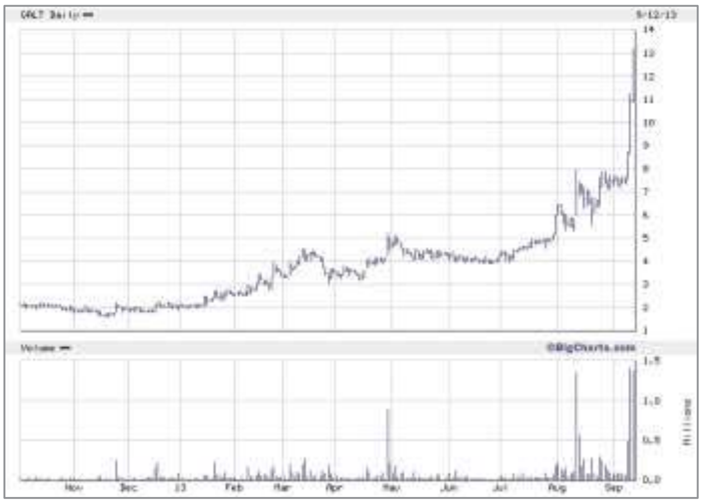
+160% in 17 days

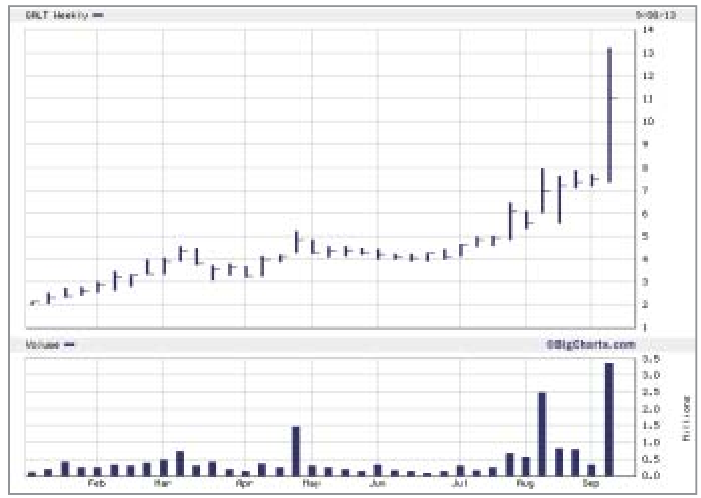
Daily

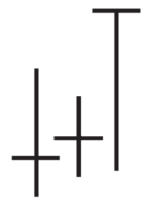
Weekly

Galectin Therapeutics Inc. (2013)

+68% in 3 days

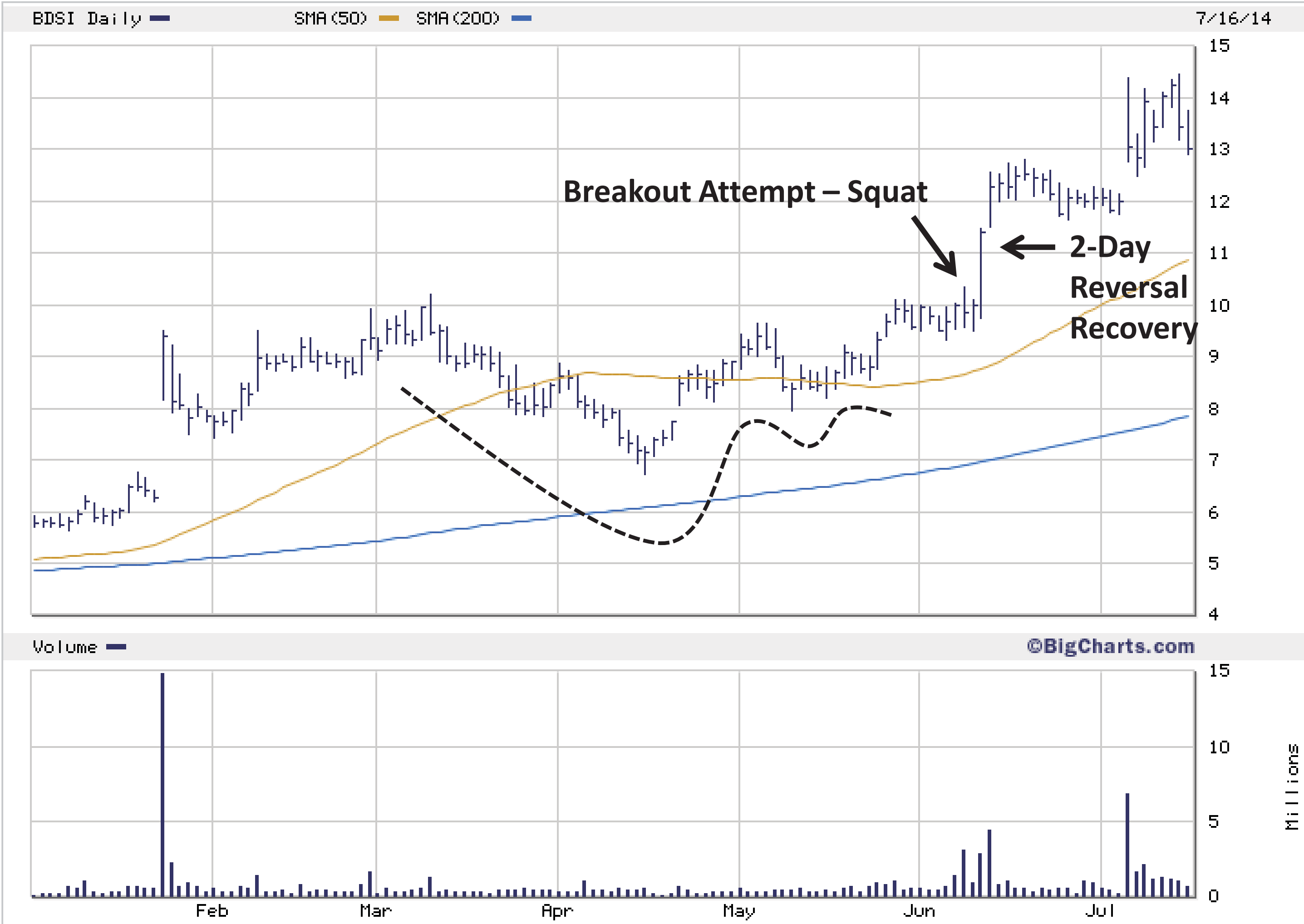




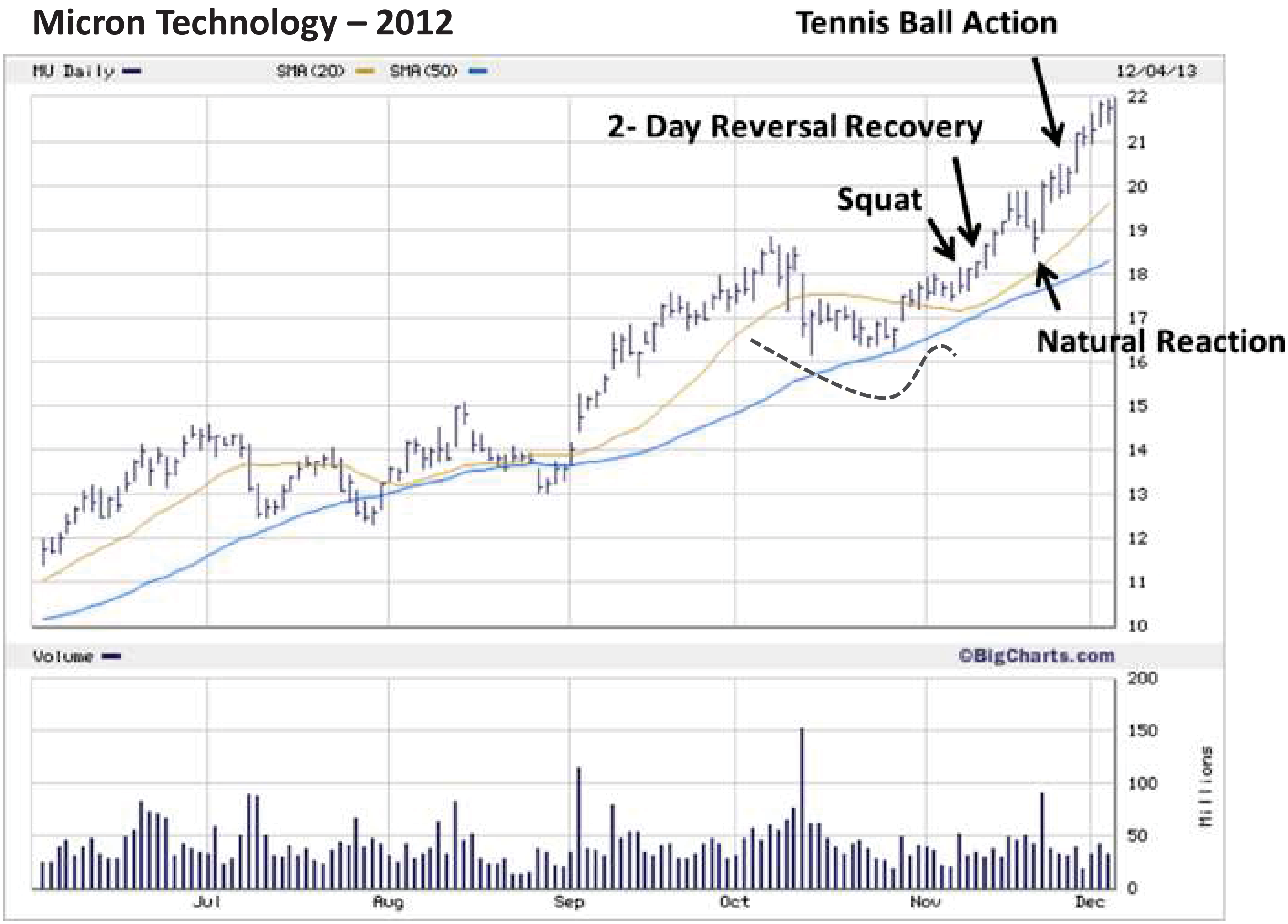


Squats and Reversal Recoveries

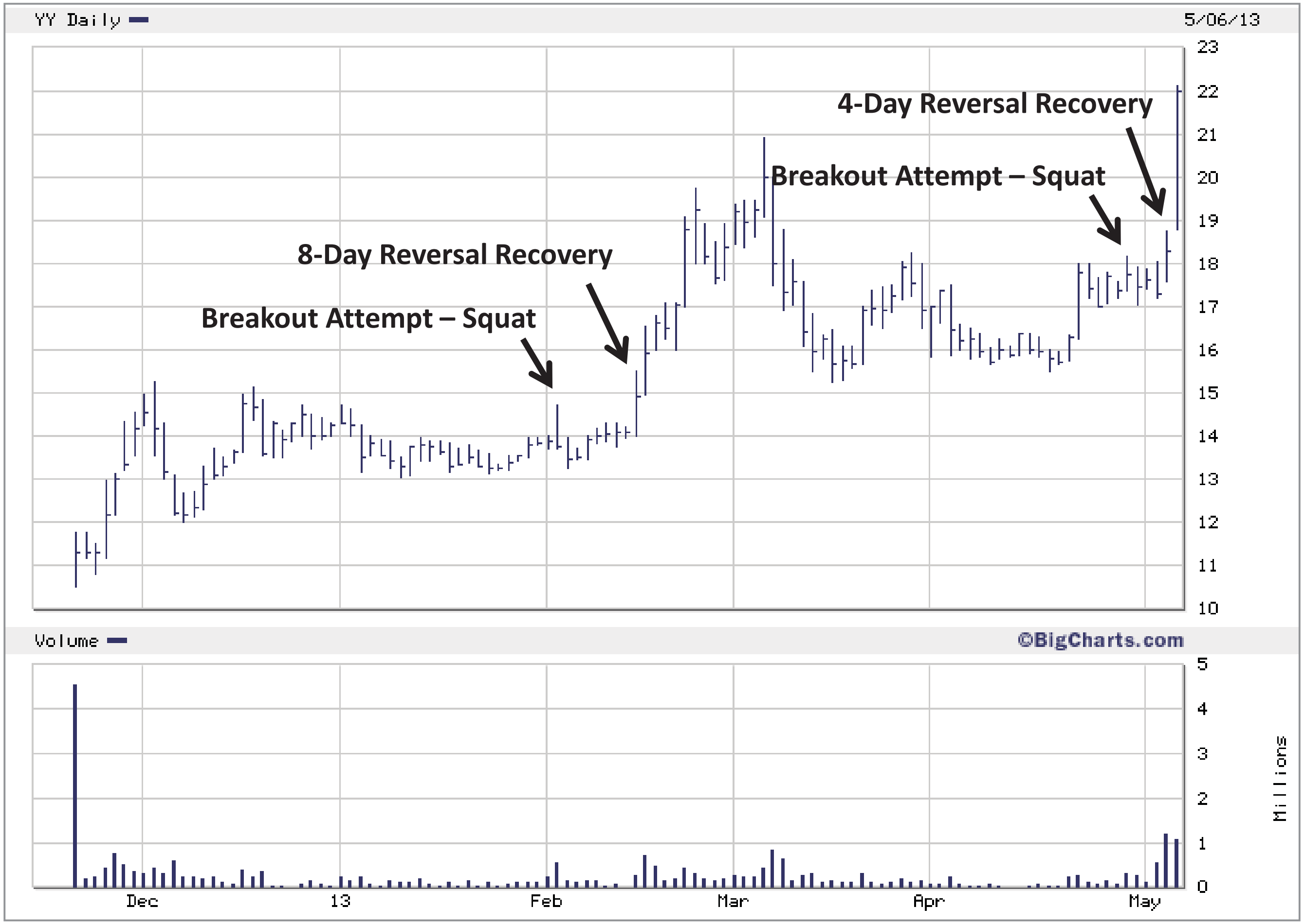
Biodelivery Science Intl. +80% in 3 months



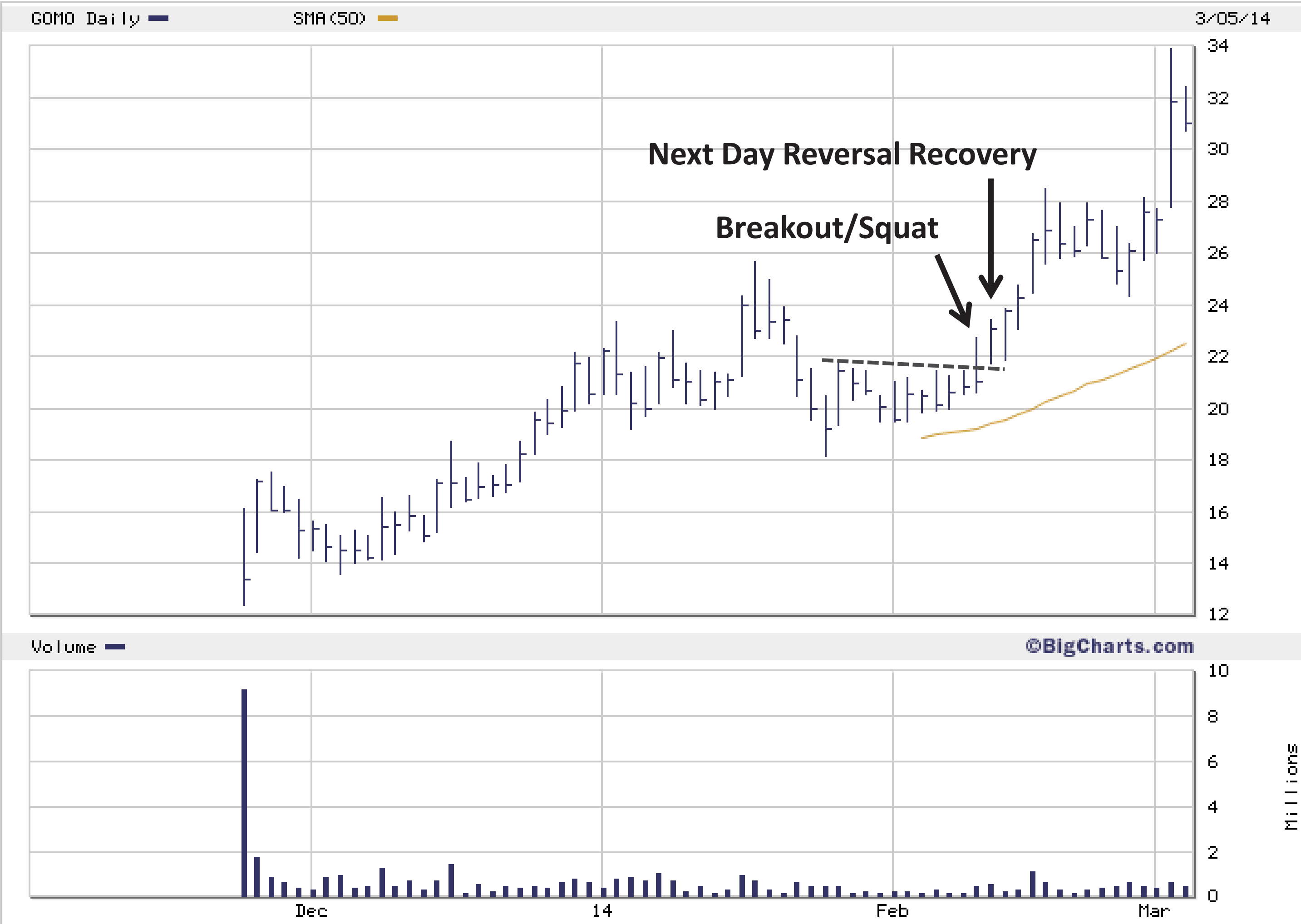
Micron Technology – 2012



YY Inc. ADS

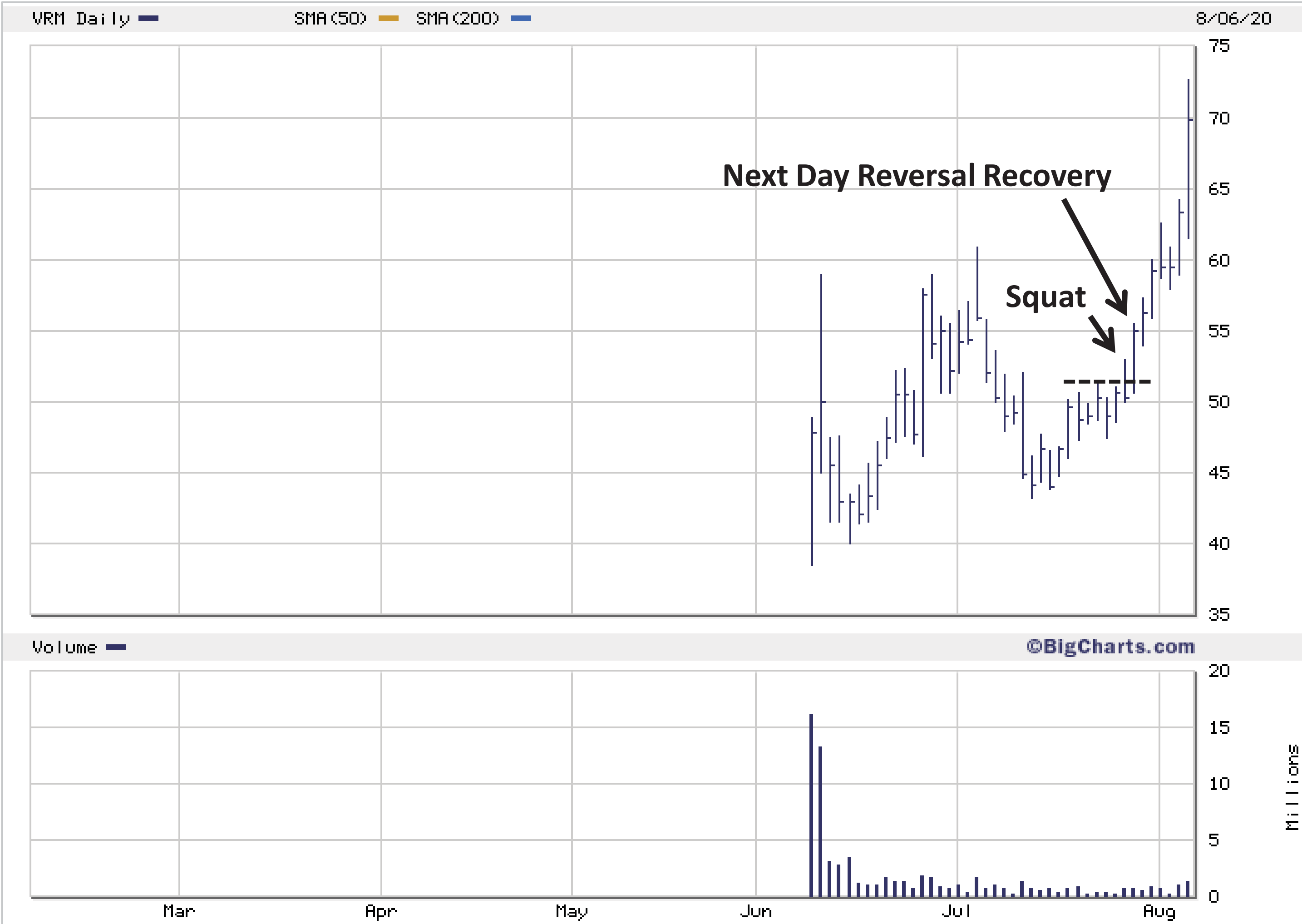

YY Daily
5/06/13
4-Day Reversal Recovery
Breakout Attempt – Squat
8-Day Reversal Recovery
Breakout Attempt – Squat
23
22
21
20
19
18
17
16
15
14
13
12
11
10
Volume
©BigCharts.com
5
4
3
2
1
0
Millions
Dec
13
Feb
Mar
Apr
May

Sungy Mobile Cl A Ads +55% in 15 days

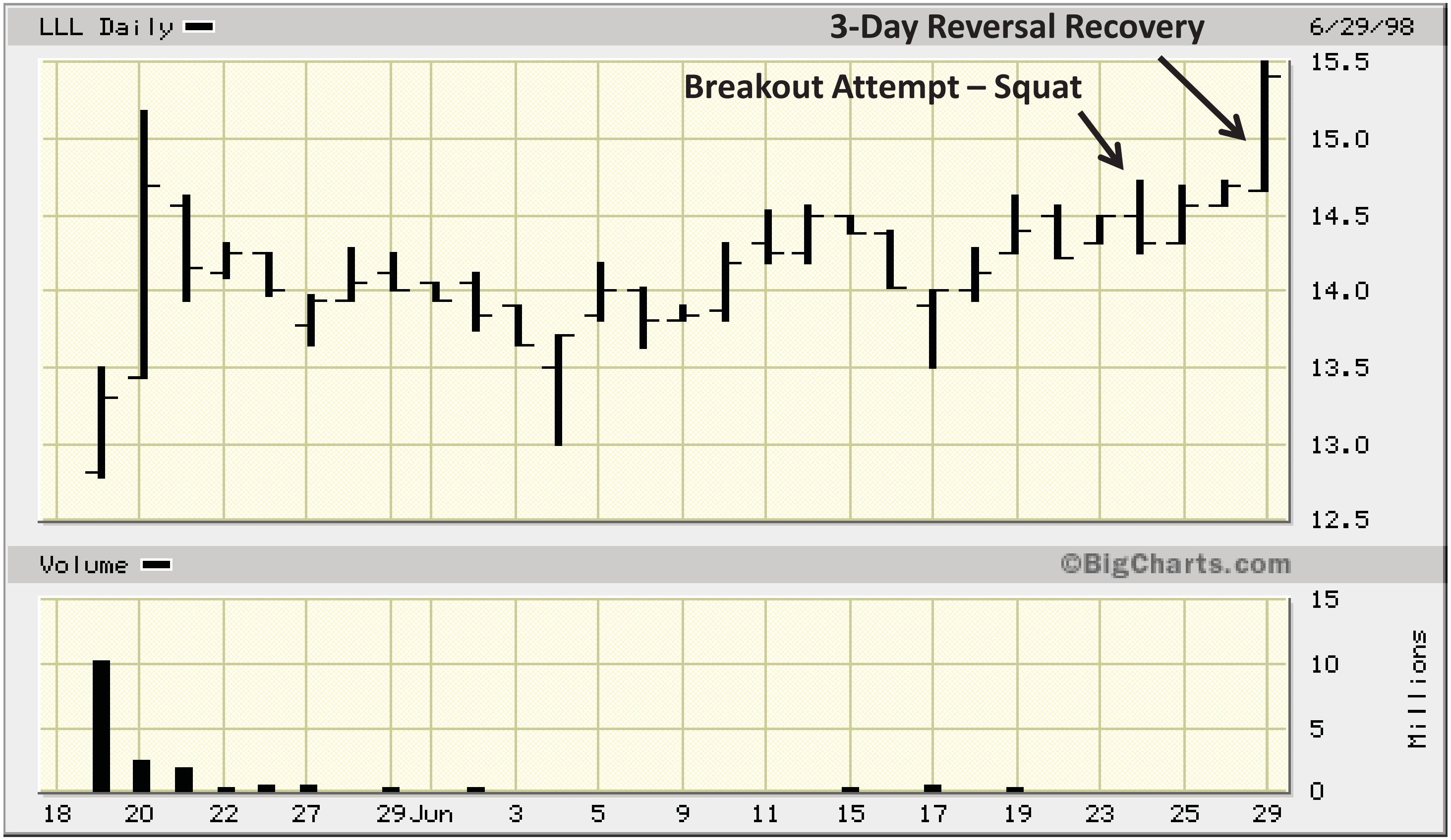


Vroom Inc.

+40% in 8 days

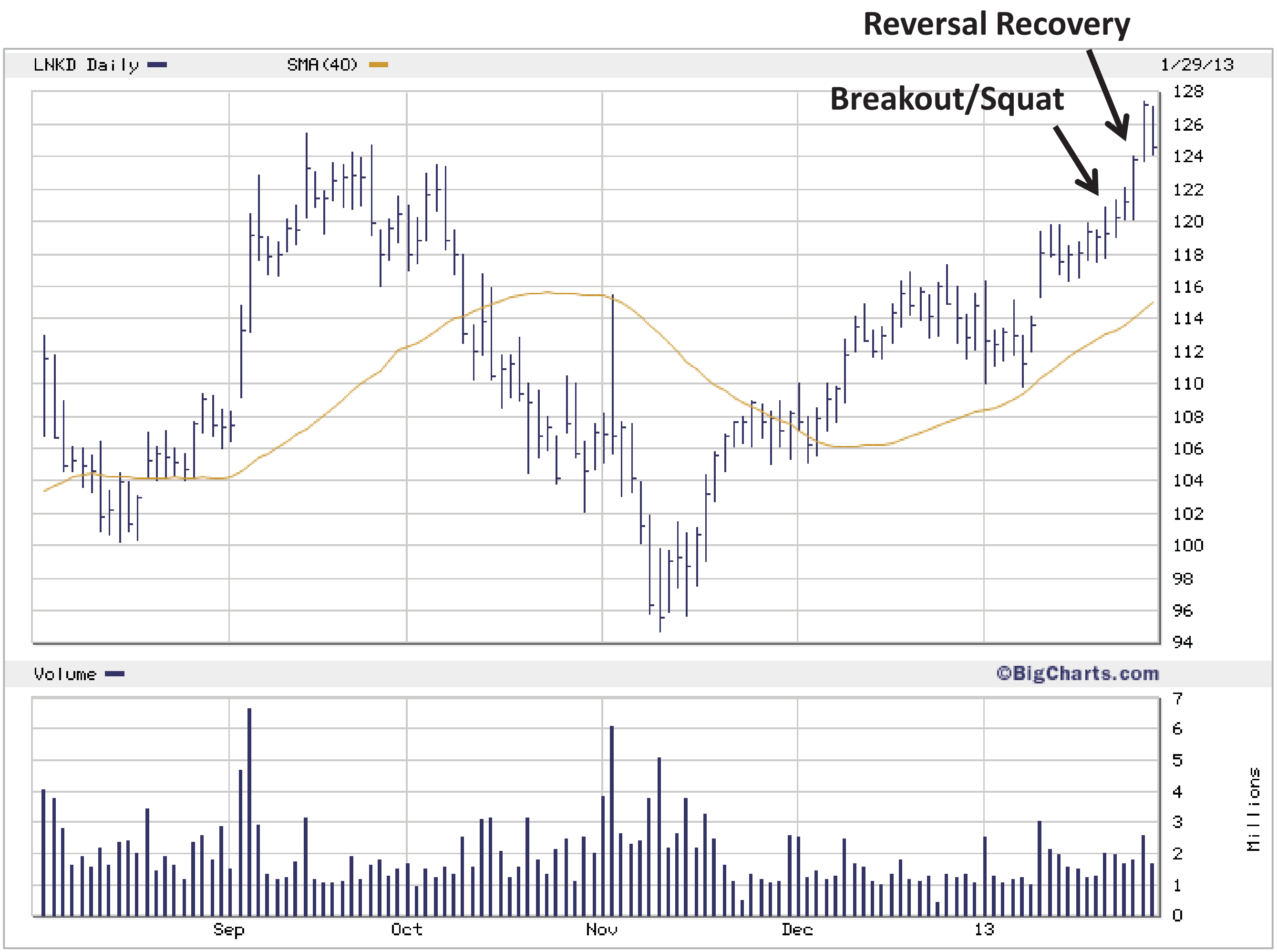


L3 Communications



Gentium S P A (GENT)

+45% in 15 days

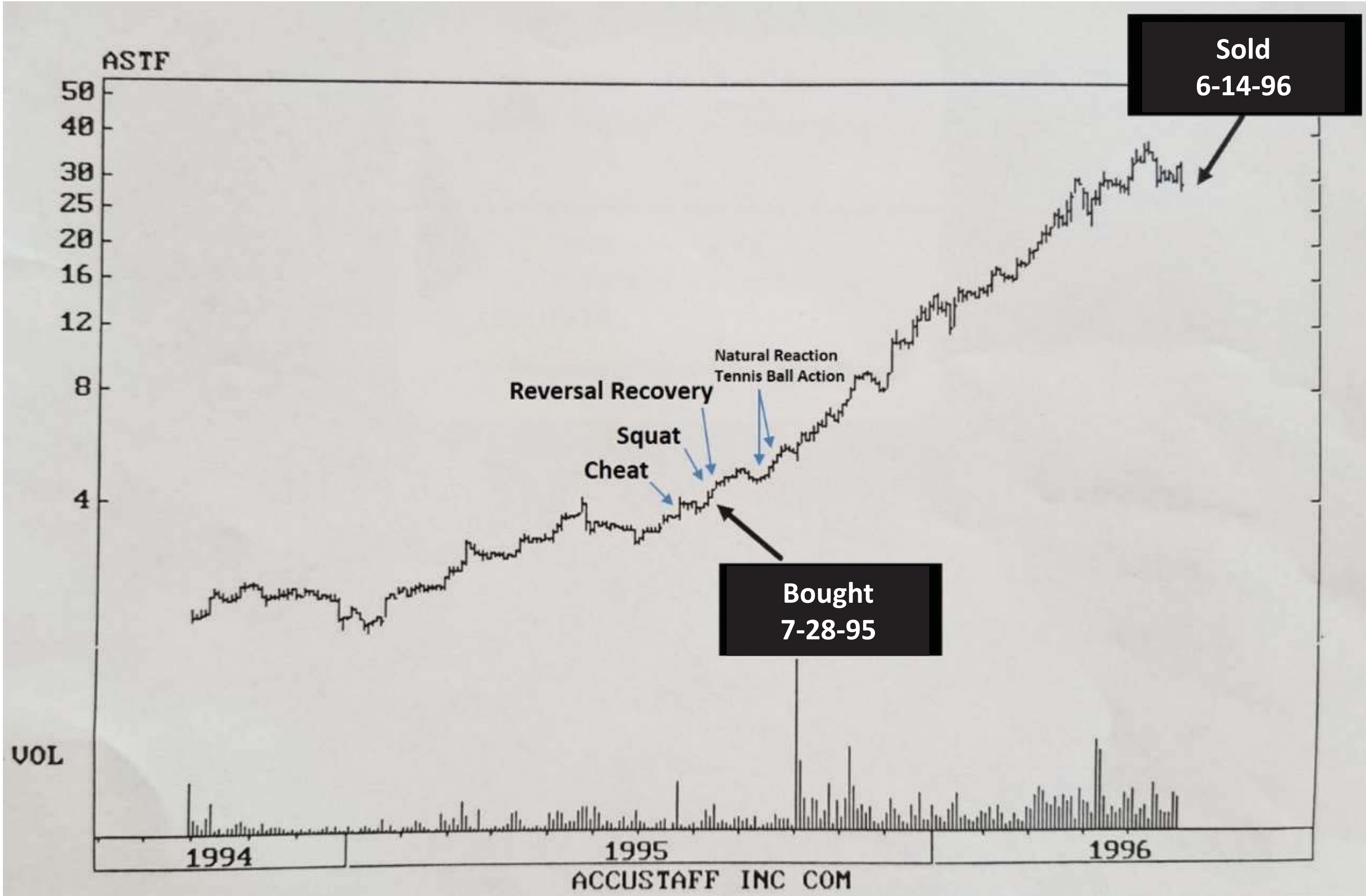


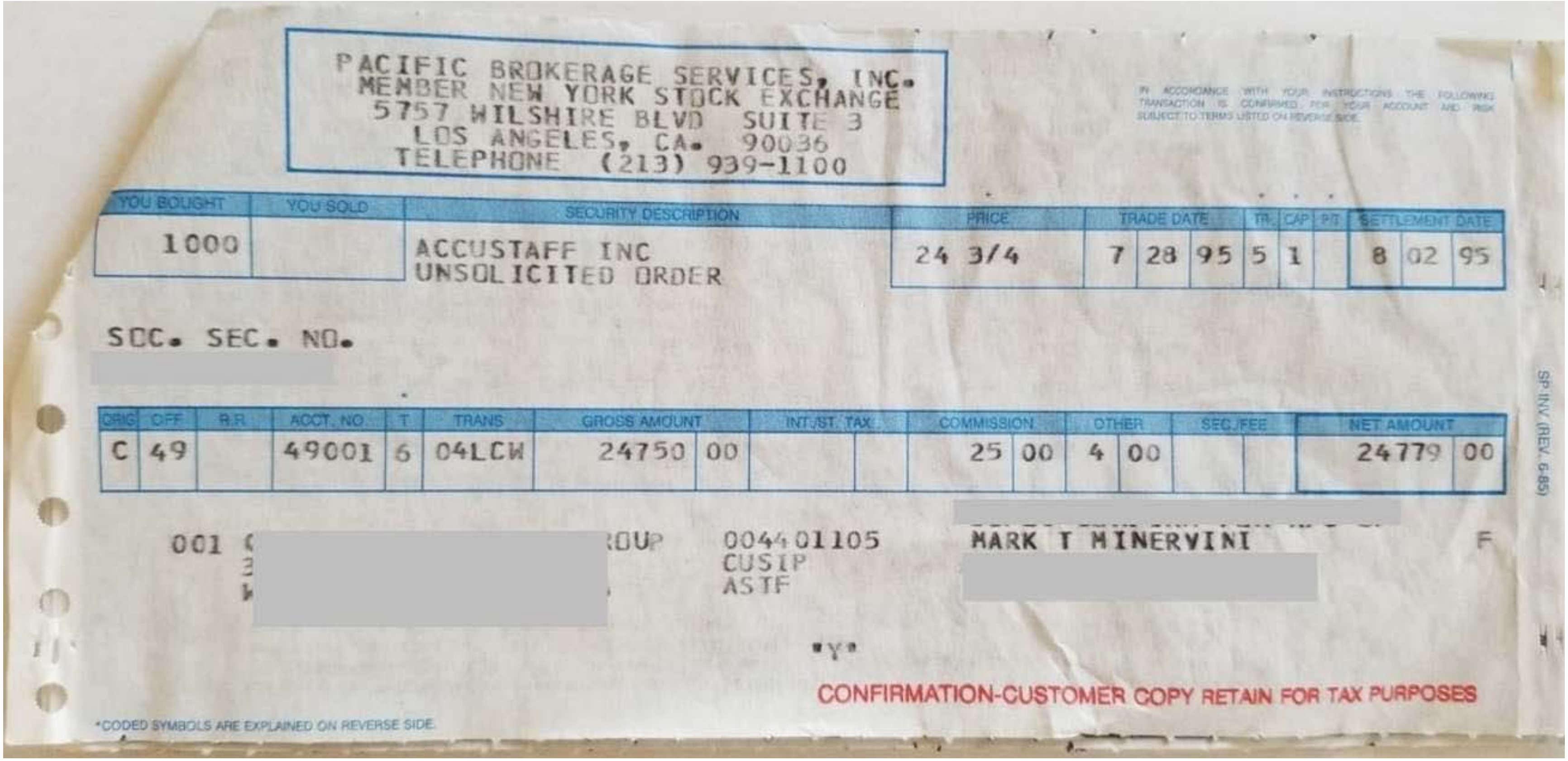
Reversal Recovery
Breakout/Squat
LNKD Daily
SMA(40)
1/29/13
128
126
124
122
120
118
116
114
112
110
108
106
104
102
100
98
96
94
Volume
©BigCharts.com
7
6
5
4
3
2
1
0
Millions
Sep
Oct
Nov
Dec
13


AMZN (Amazon.com, Inc.) Nasdaq GS
8-Sep-1997
©StockCharts.com
Open 2.53 High 3.02 Low 2.50 Last 3.00 Volume 5.6M Chg +0.50 (+20.00%)
AMZN (Daily) 3.00
MA(50) 2.22
MA(150) undef
MA(200) undef
Recovery
Squat
Recovery
Squat
Apr 7 14 21 28 May5 12 19 27 Jun 9 16 23 Jul 7 14 21 28 Aug 11 18 25 Sep 8
Volume 5,648,400
70M
60M
50M
40M
30M
20M
10M
Apr 7 14 21 28 May5 12 19 27 Jun 9 16 23 Jul 7 14 21 28 Aug 11 18 25 Sep 8


+80% in 13 days
3-Day Reversal Recovery
Breakout/Squat
* XPEL, XPEL INC, D (Dynamic)


GNRC, GENERAC HLDGS INC, D (Dynamic)
10-Day
Reversal
Recovery
Big Reversal
Dec
2020
Feb
Mar
Apr
May
Jun
Jul
Aug
Sep


ASTF
50
40
30
25
20
16
12
8
4
VOL
Sold
6-14-96
Natural Reaction
Tennis Ball Action
Reversal Recovery
Squat
Cheat
Bought
7-28-95
1994
1995
1996
ACCUSTAFF INC COM



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5757 WILSHIRE BLVD SUITE 3
LOS ANGELES, CA. 90036
TELEPHONE (213) 939-1100

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YOU BOUGHT	YOU SOLD	SECURITY DESCRIPTION	PRICE	TRADE DATE			TR.	CAP	P/T	SETTLEMENT DATE		
1000		ACCUSTAFF INC UNSOLICITED ORDER	24 3/4	7	28	95	5	1		8	02	95

SOC. SEC. NO.
[redacted]

ORIG	OFF	R.R.	ACCT. NO.	T	TRANS	GROSS AMOUNT		INT./ST. TAX		COMMISSION		OTHER		SEC./FEE		NET AMOUNT	
C	49		49001	6	04LCW	24750	00			25	00	4	00			24779	00

001 [redacted] 004401105 CUSIP ASTF

[redacted]
MARK T MINERVINI
[redacted]

F

Y

CONFIRMATION-CUSTOMER COPY RETAIN FOR TAX PURPOSES

*CODED SYMBOLS ARE EXPLAINED ON REVERSE SIDE.

SP INV (REV. 6-85)

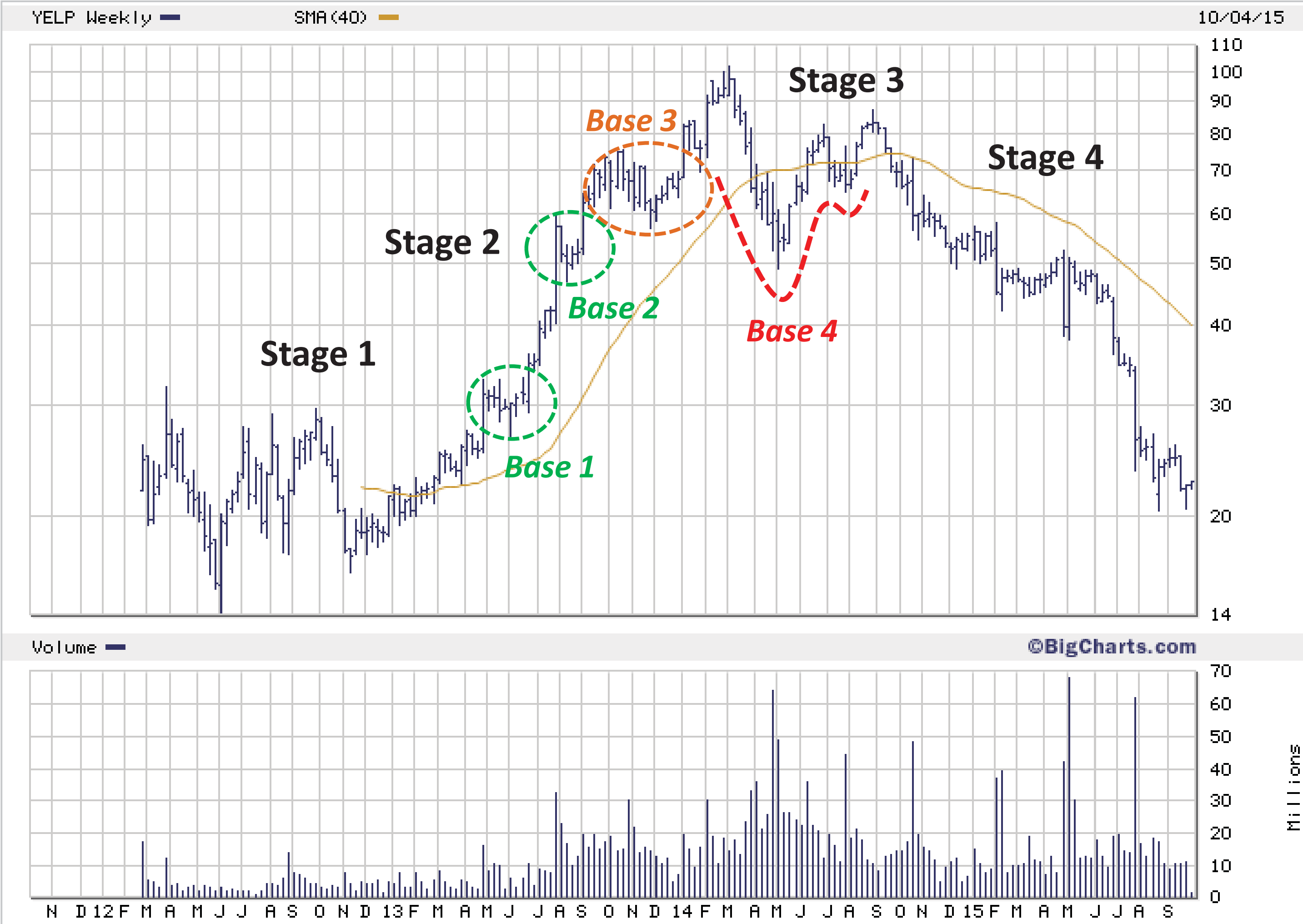
How to Identify a Top – Specific Sell Rules

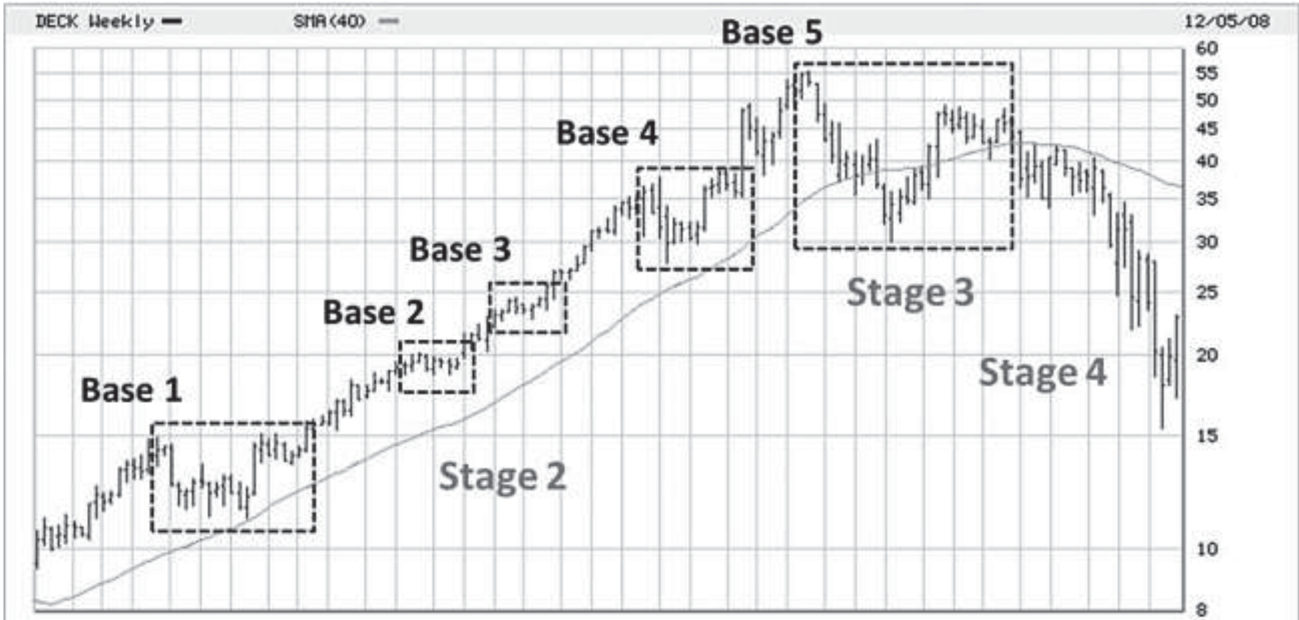
1. The base count
2. PE expansion
3. Climax price action
4. Number of days up
5. Reversals and churning
6. Largest price break
7. Down on largest volume

The Base Count

Where Are We On This Mountain?

Yelp Inc. (2012 – 2015)





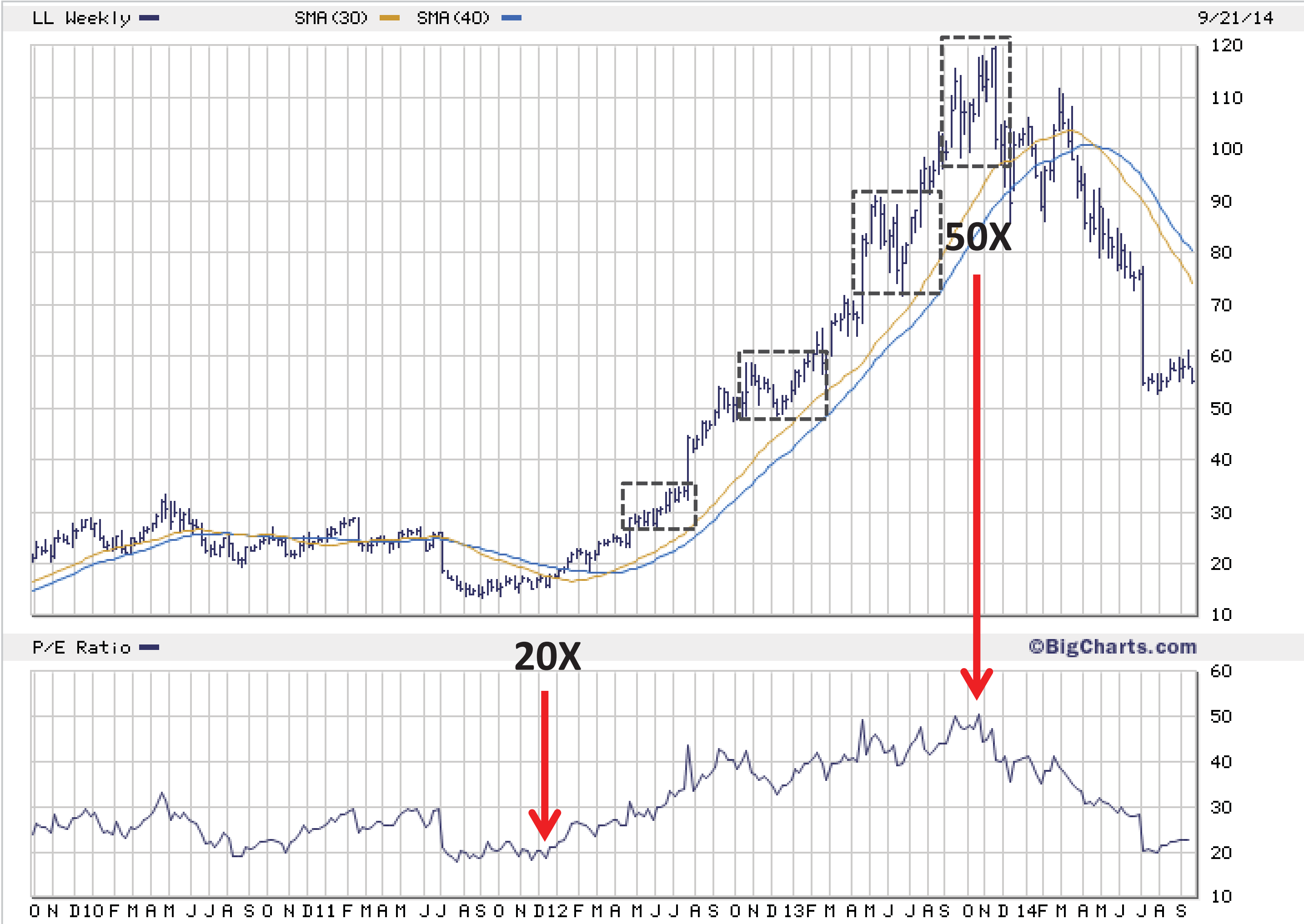
STAGE THREE CHARACTERISTICS

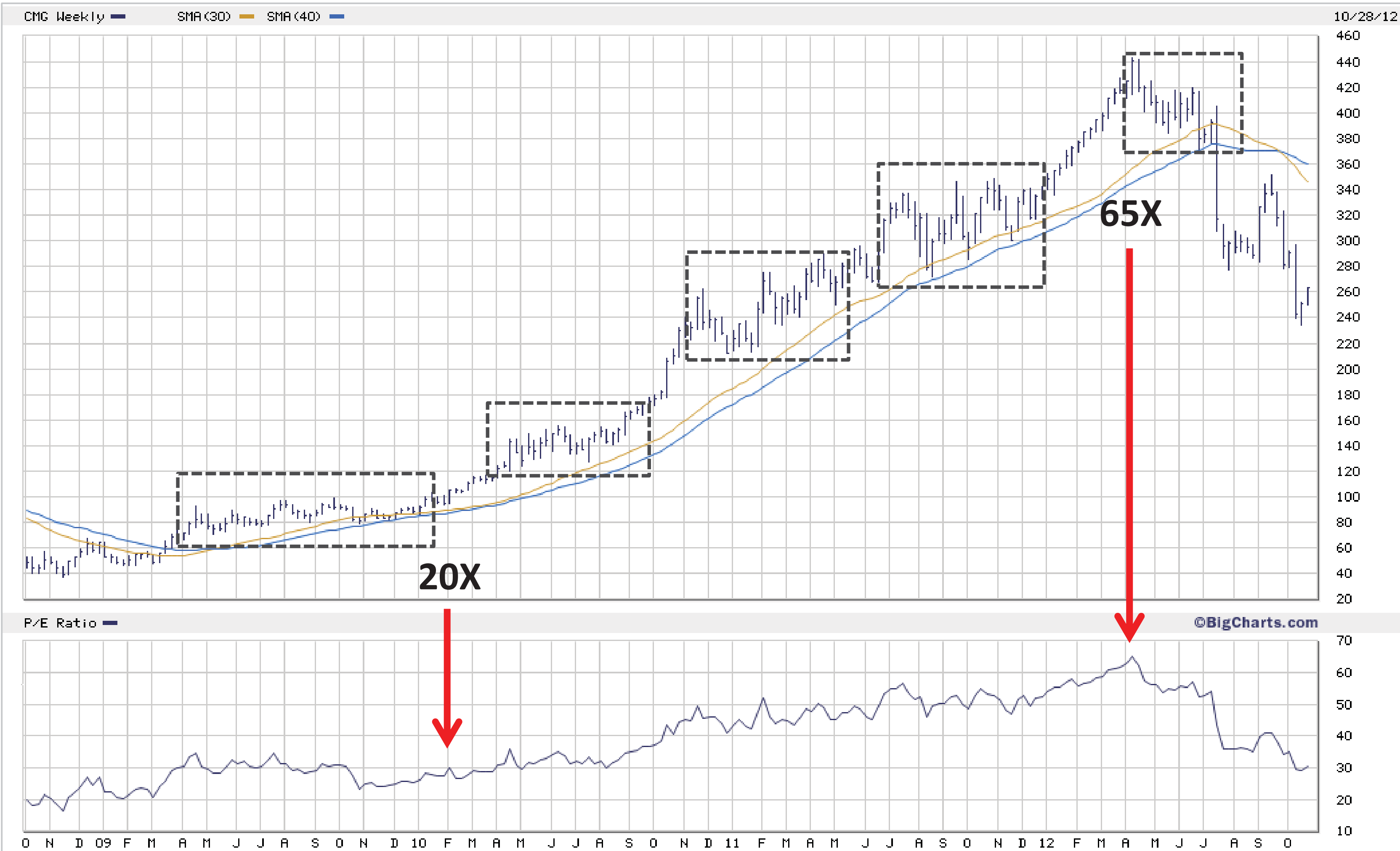
1. During Stage Three, volatility increases with the stock moving back and forth in wider, looser swings. Although the overall price pattern may look symmetrical and similar to those in Stage Two, with the stock moving higher, the price movement is more erratic.

2. At some point, there is usually a major price break in the stock on an increase in volume. Often, it's the largest one-day decline since the beginning of the Stage Two advance. On a weekly chart, the stock might put in the largest weekly decline since the beginning of the move. These price breaks almost always occur on overwhelming volume and indicate heavy institutional selling.

3. Stage Three topping action will often occur after the stock price emerged from several consolidation periods during the prior Stage Two uptrend; usually 3-5 bases will form leading up to the Stage Three top.

DECK Weekly
12/28/08
40X
20X
P/E Ratio
©BigCharts.com
F M A M J J A S O N D 07 F M A M J J A S O N D 08 F M A M J J A S O N D

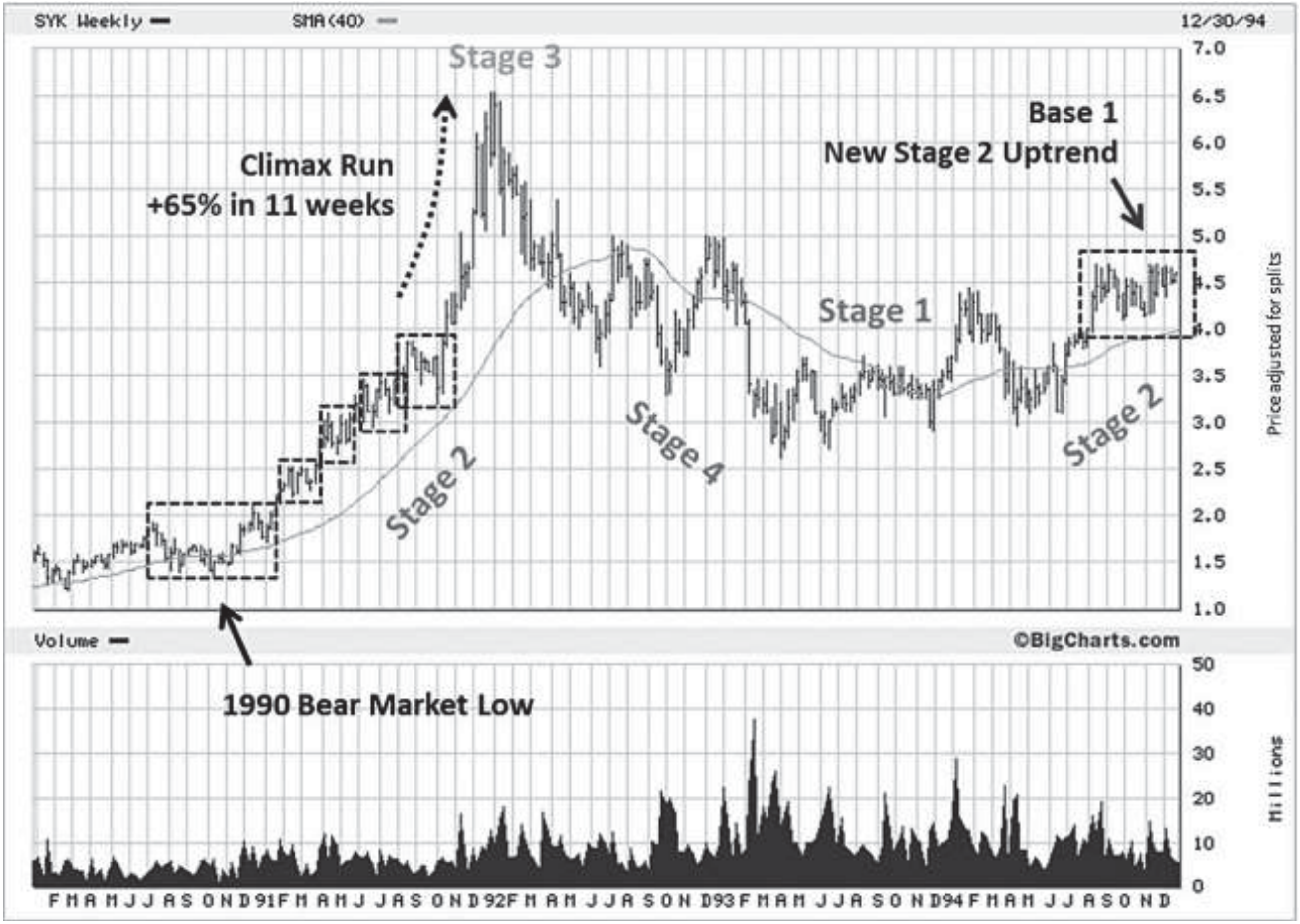

LL Weekly
SMA(30)
SMA(40)
9/21/14
50X
P/E Ratio
©BigCharts.com
20X
O N D 10 F M A M J J A S O N D 11 F M A M J J A S O N D 12 F M A M J J A S O N D 13 F M A M J J A S O N D 14 F M A M J J A S



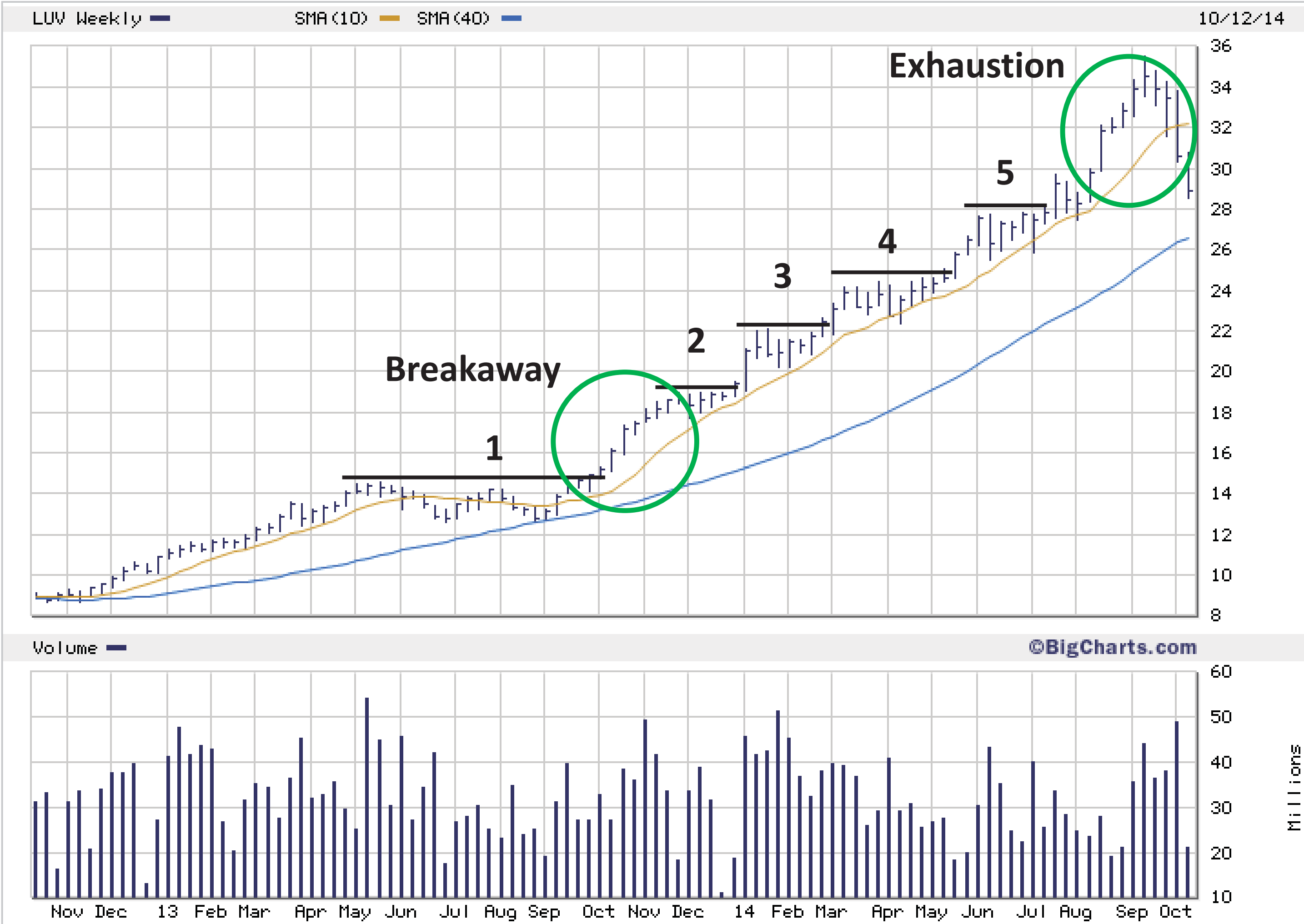
CMG Weekly
SMA(30)
SMA(40)
10/28/12
460
440
420
400
380
360
340
320
300
280
260
240
220
200
180
160
140
120
100
80
60
40
20
65X
20X
P/E Ratio
©BigCharts.com
70
60
50
40
30
20
10
O N D 09 F M A M J J A S O N D 10 F M A M J J A S O N D 11 F M A M J J A S O N D 12 F M A M J J A S O

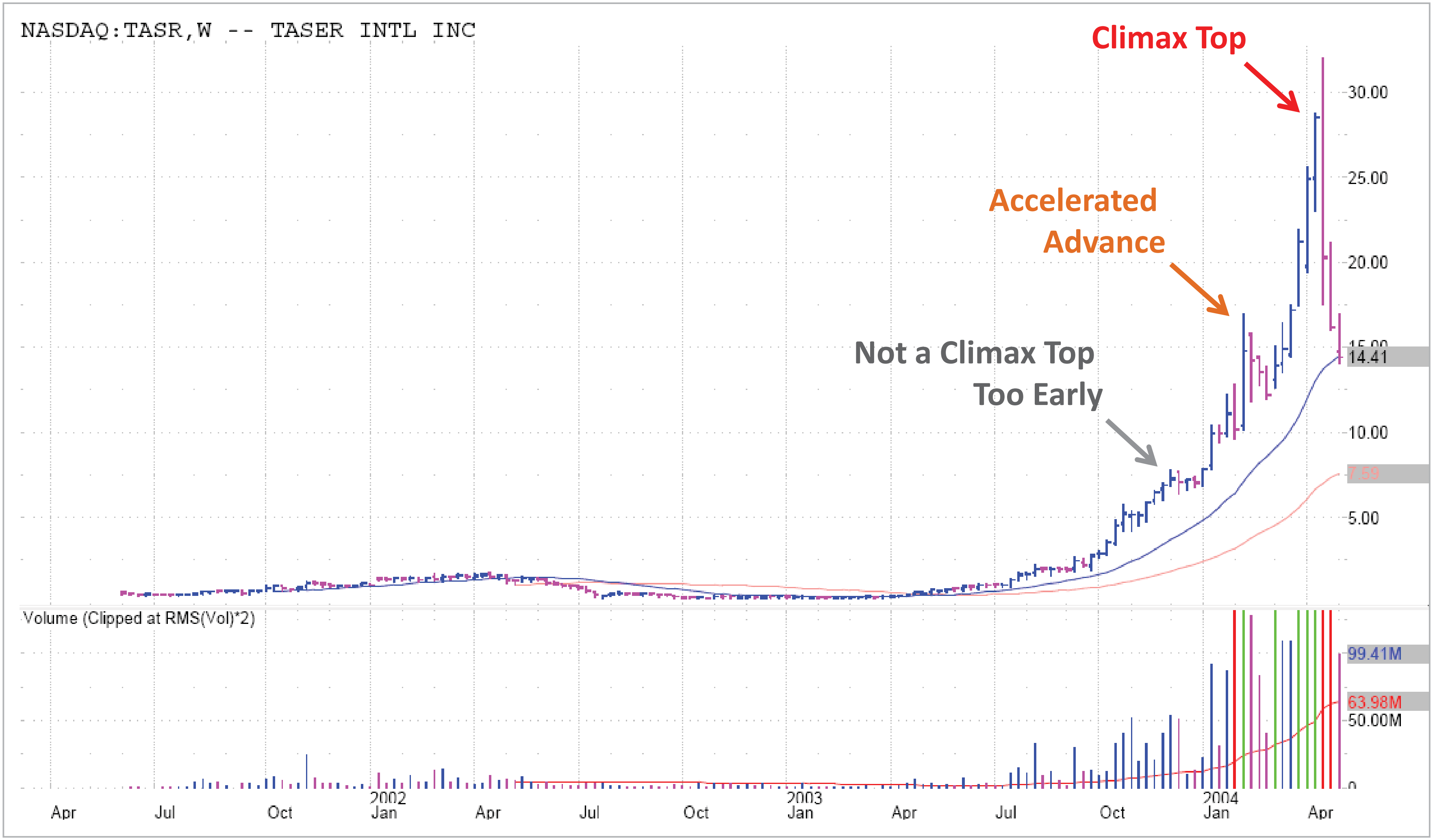
Home Depot 1988 – 2008

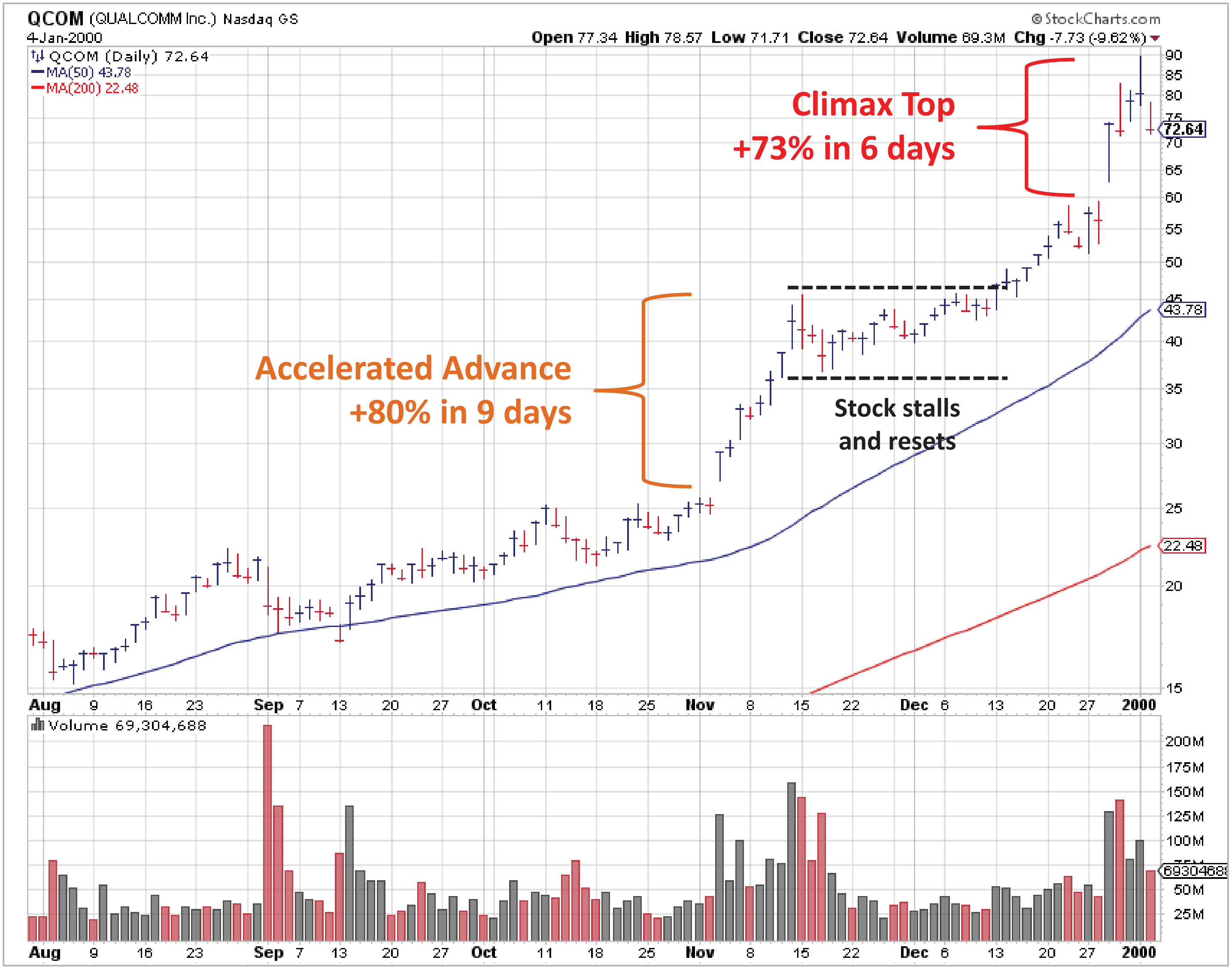
The Climax Run

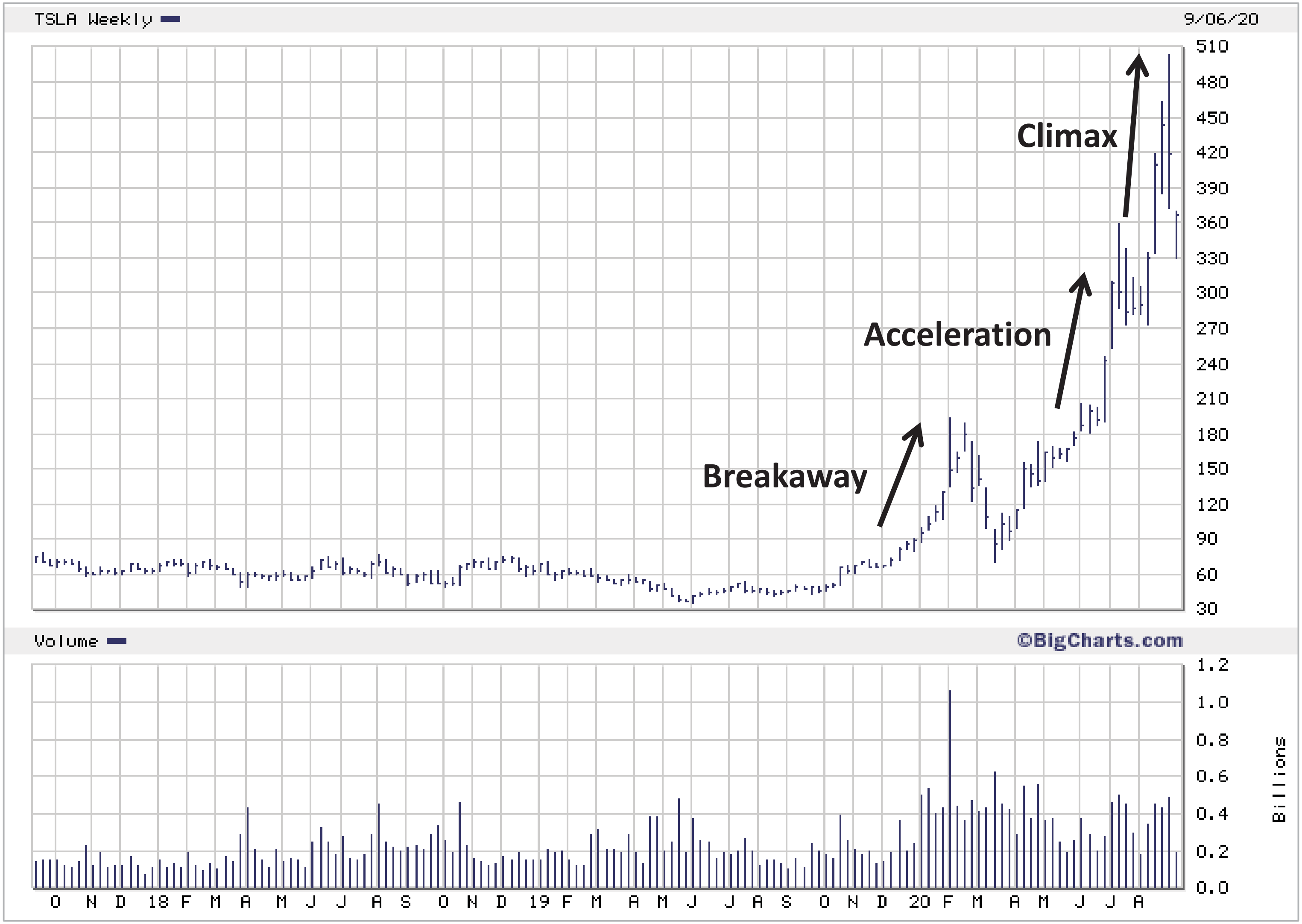


Southwest Airlines Co. +127% in 11 months



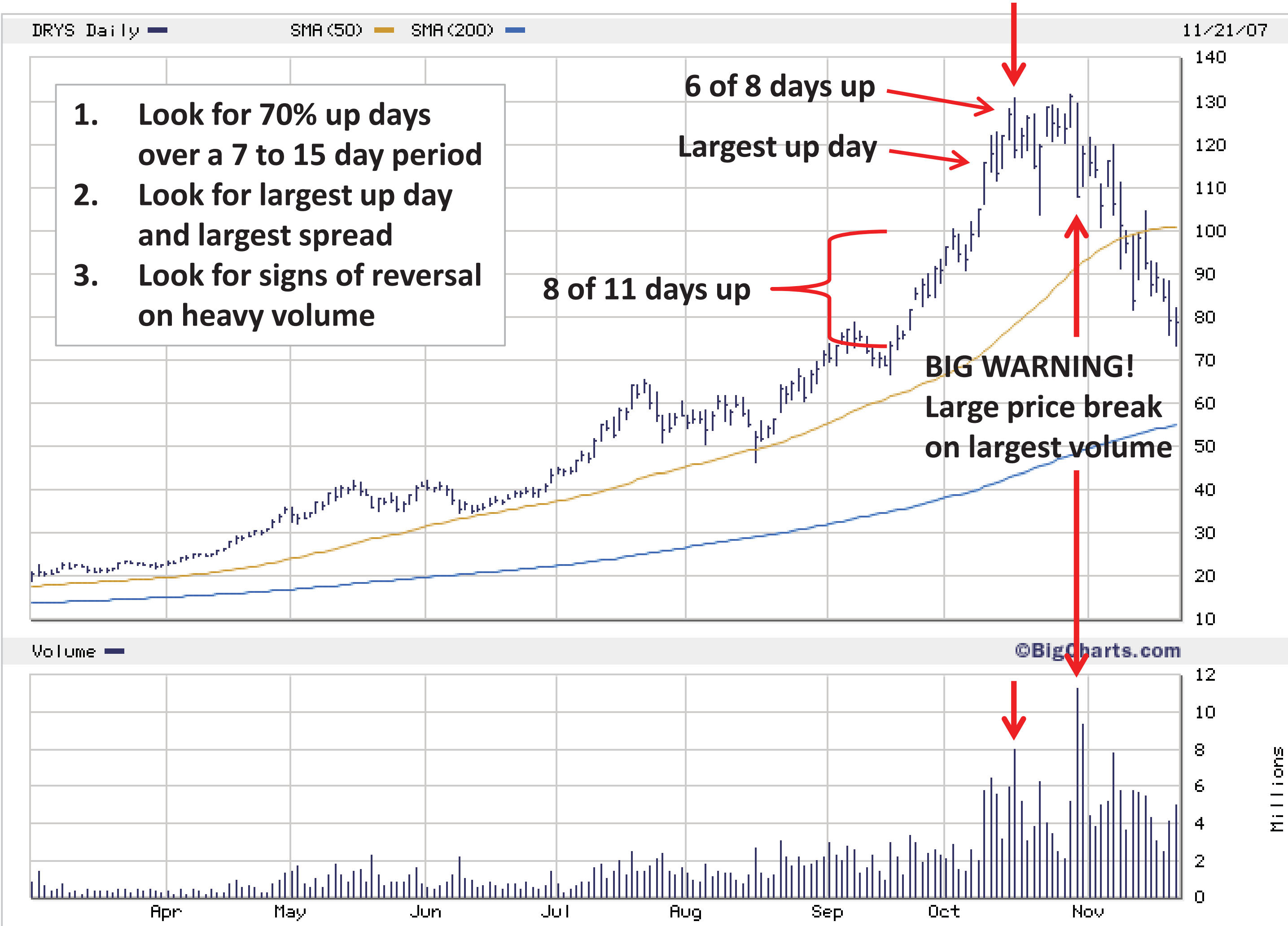

NASDAQ:TASR,W -- TASER INTL INC
Climax Top
Accelerated Advance
Not a Climax Top Too Early
30.00
25.00
20.00
14.41
10.00
7.59
5.00
Volume (Clipped at RMS(Vol)*2)
99.41M
63.98M
50.00M
0
Apr
Jul
Oct
2002 Jan
Apr
Jul
Oct
2003 Jan
Apr
Jul
Oct
2004 Jan
Apr

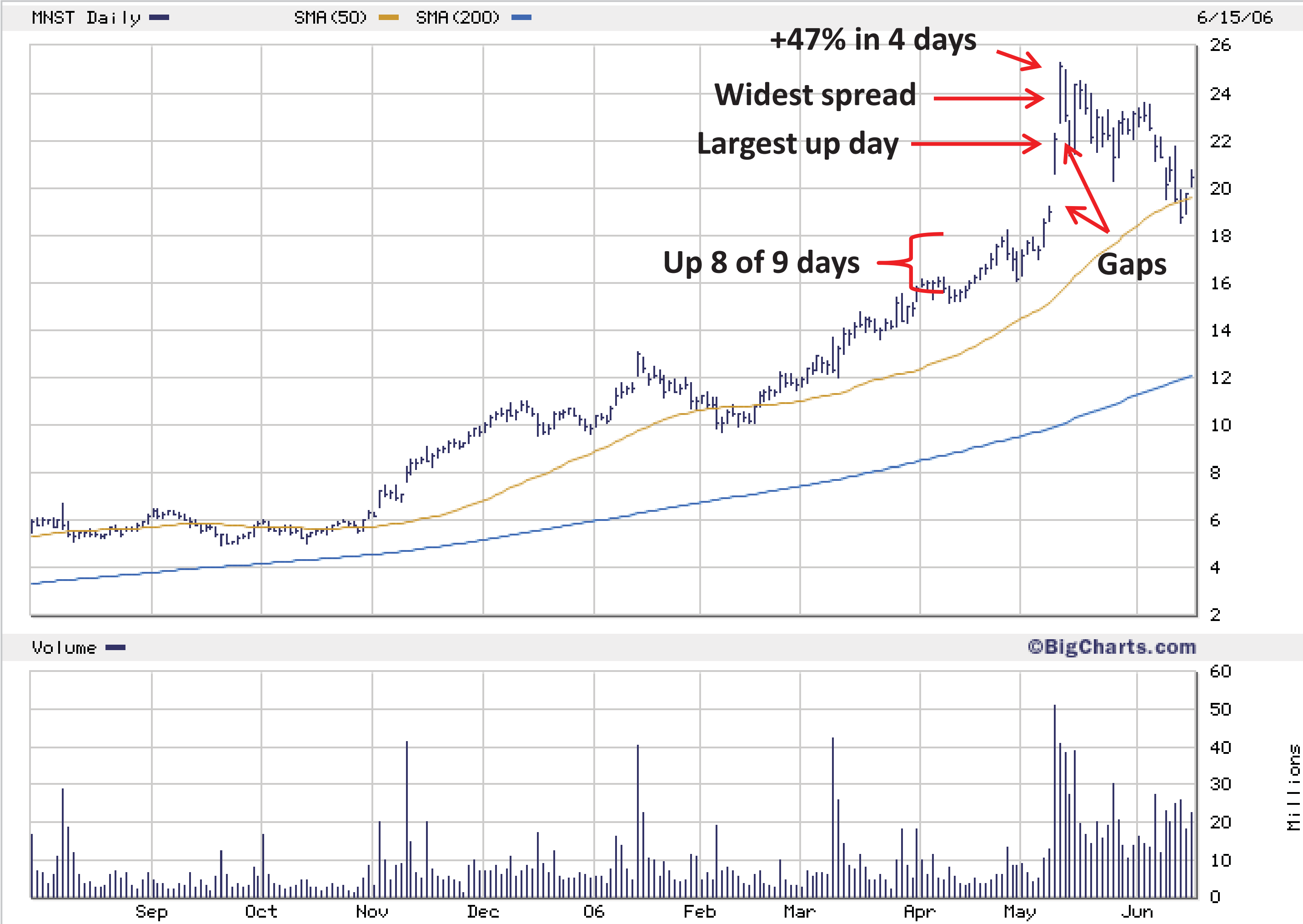

QCOM (QUALCOMM Inc.) Nasdaq GS
© StockCharts.com
4-Jan-2000
Open 77.34 High 78.57 Low 71.71 Close 72.64 Volume 69.3M Chg -7.73 (-9.62%)
QCOM (Daily) 72.64
MA(50) 43.78
MA(200) 22.48
Climax Top
+73% in 6 days
Accelerated Advance
+80% in 9 days
Stock stalls
and resets
Volume 69,304,688

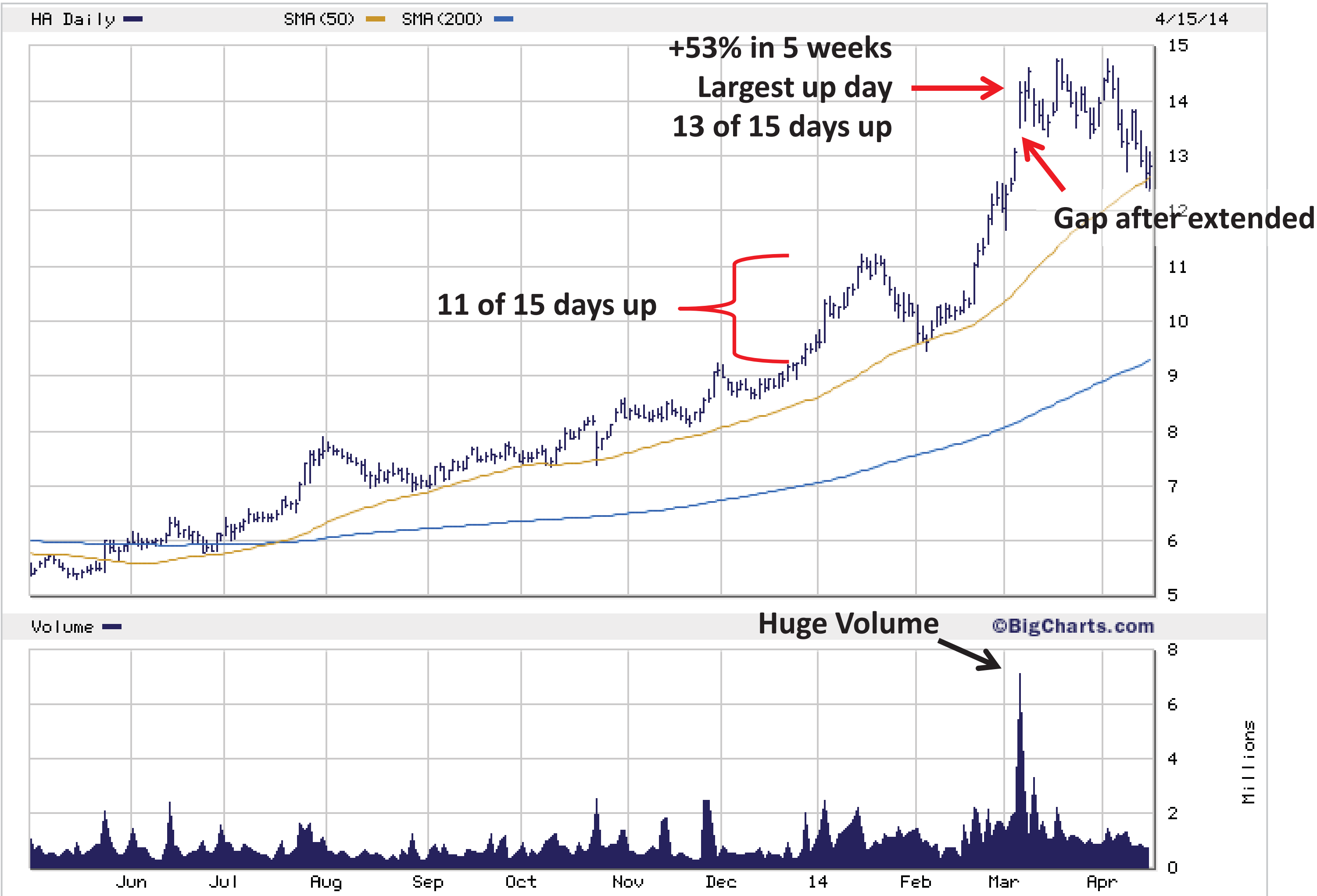

TSLA Weekly
9/06/20
Climax
Acceleration
Breakaway
510
480
450
420
390
360
330
300
270
240
210
180
150
120
90
60
30
Volume
©BigCharts.com
1.2
1.0
0.8
0.6
0.4
0.2
0.0
Billions
O N D 18 F M A M J J A S O N D 19 F M A M J J A S O N D 20 F M A M J J A

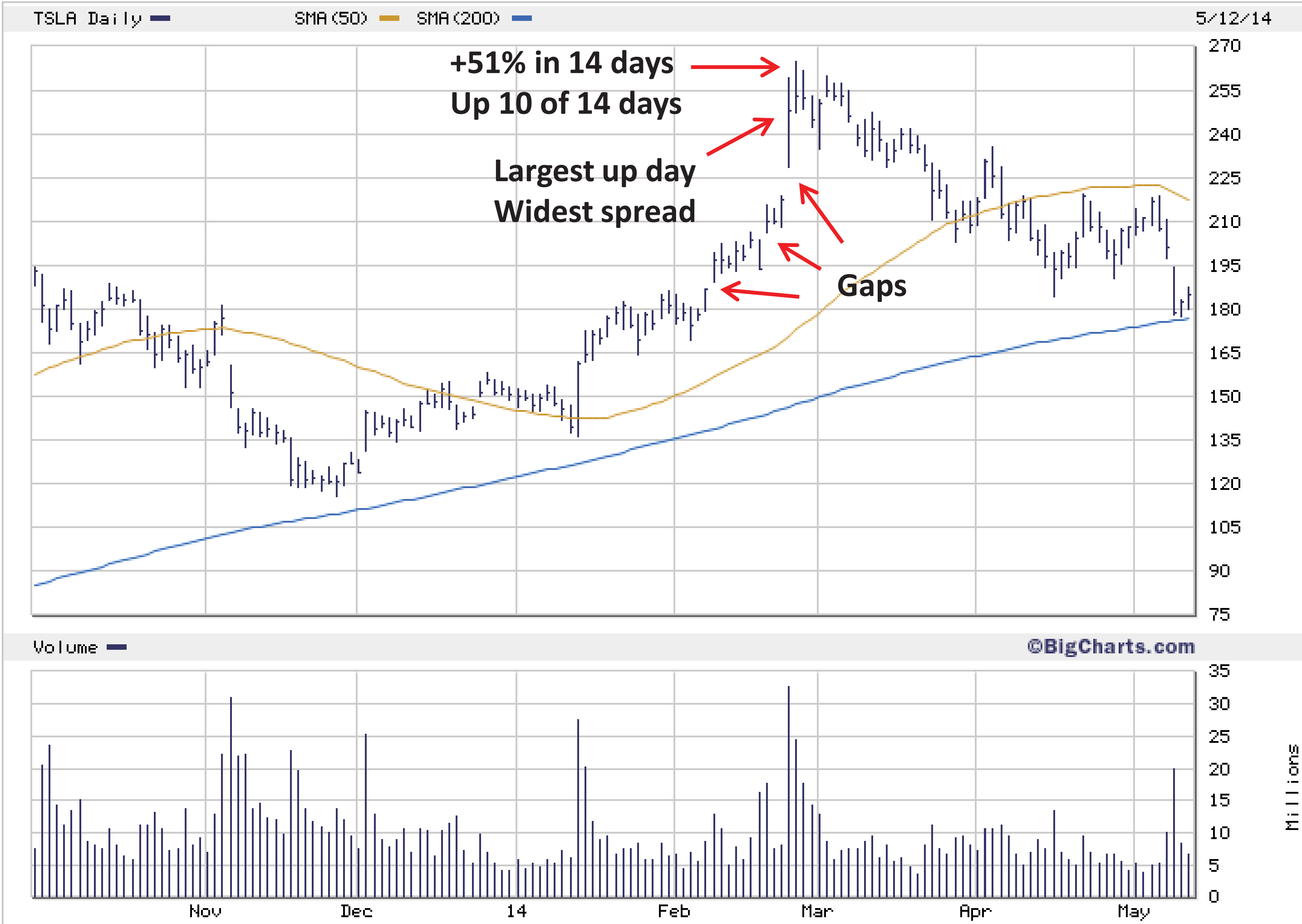
Day 55
+147%
Day 3
+40%
Day 2
+30%
Day 1
+20%
NYSE:GRA,D -- GRACE W R & CO DEL NEW
Stock price is adjusted for stock splits
14.95
14.00
11.99
8.00
6.62
6.00
5.72
4.00
LOG
Volume (Clipped at RMS(Vol)*2)
2.00M
1.78M
1.00M
0
Nov
Dec
Jan 2004
Feb
Mar
Apr
May
Jun
Jul
Aug
Sep
Oct
Nov

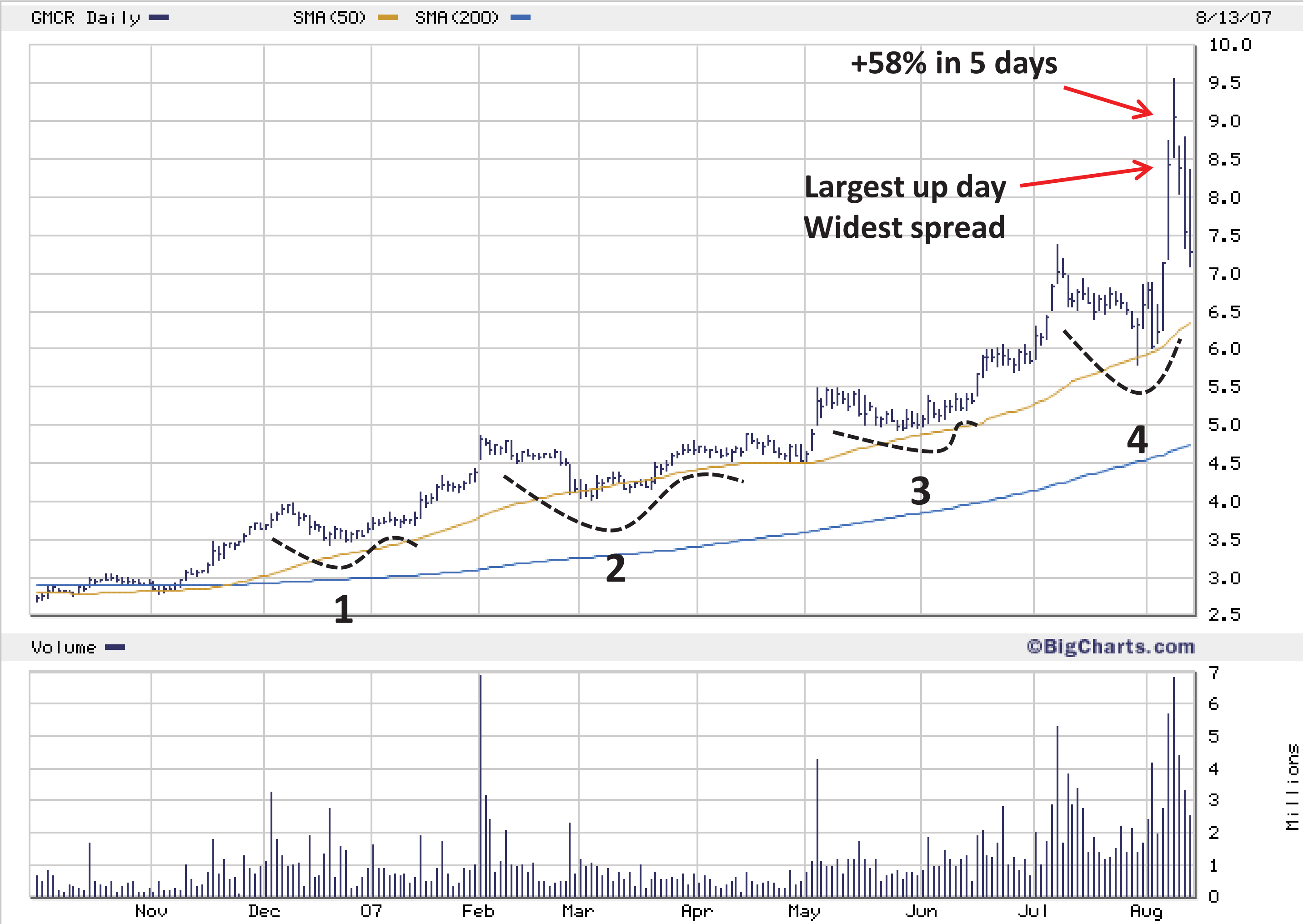
WARNING!
Reversal on heaviest volume

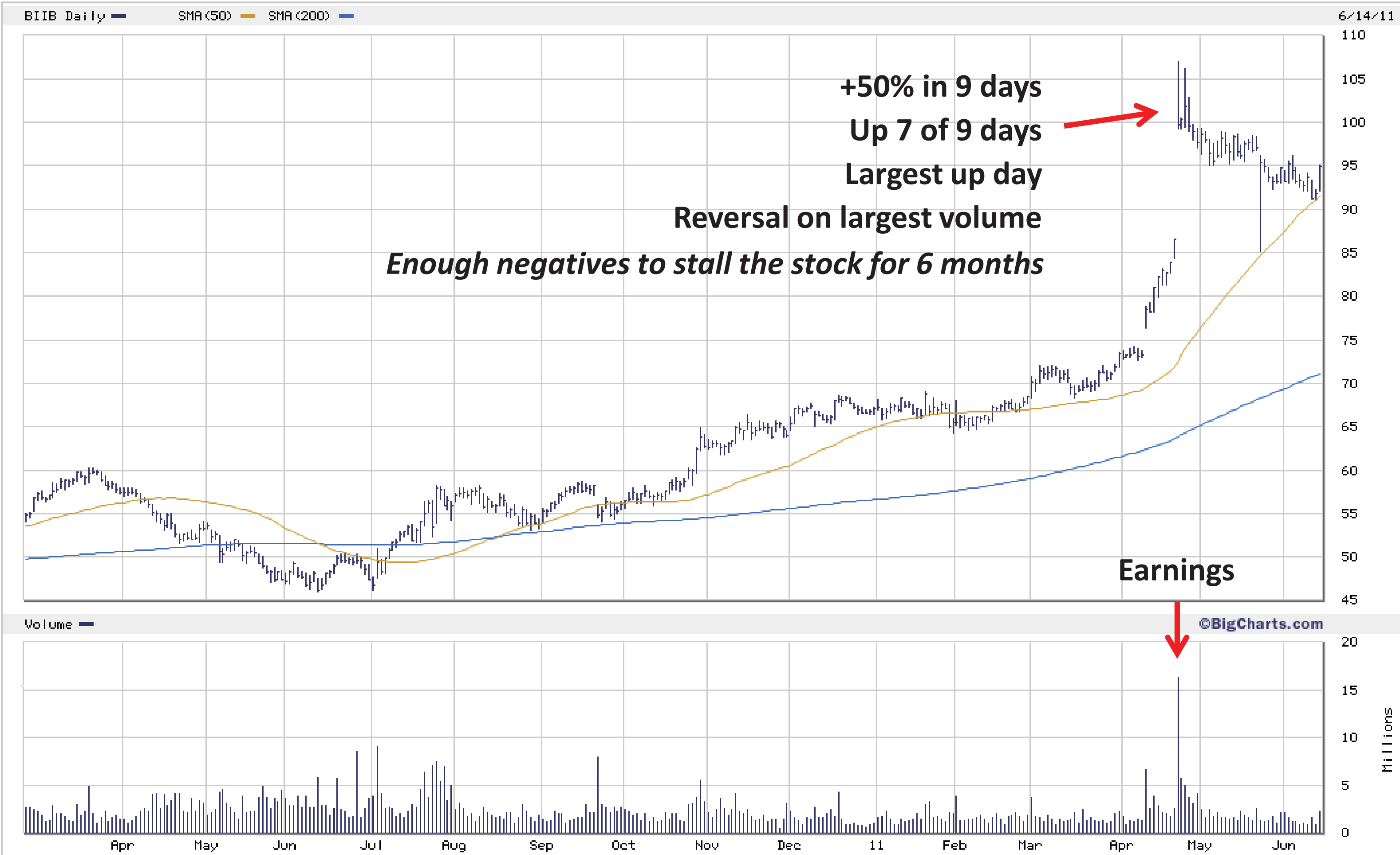


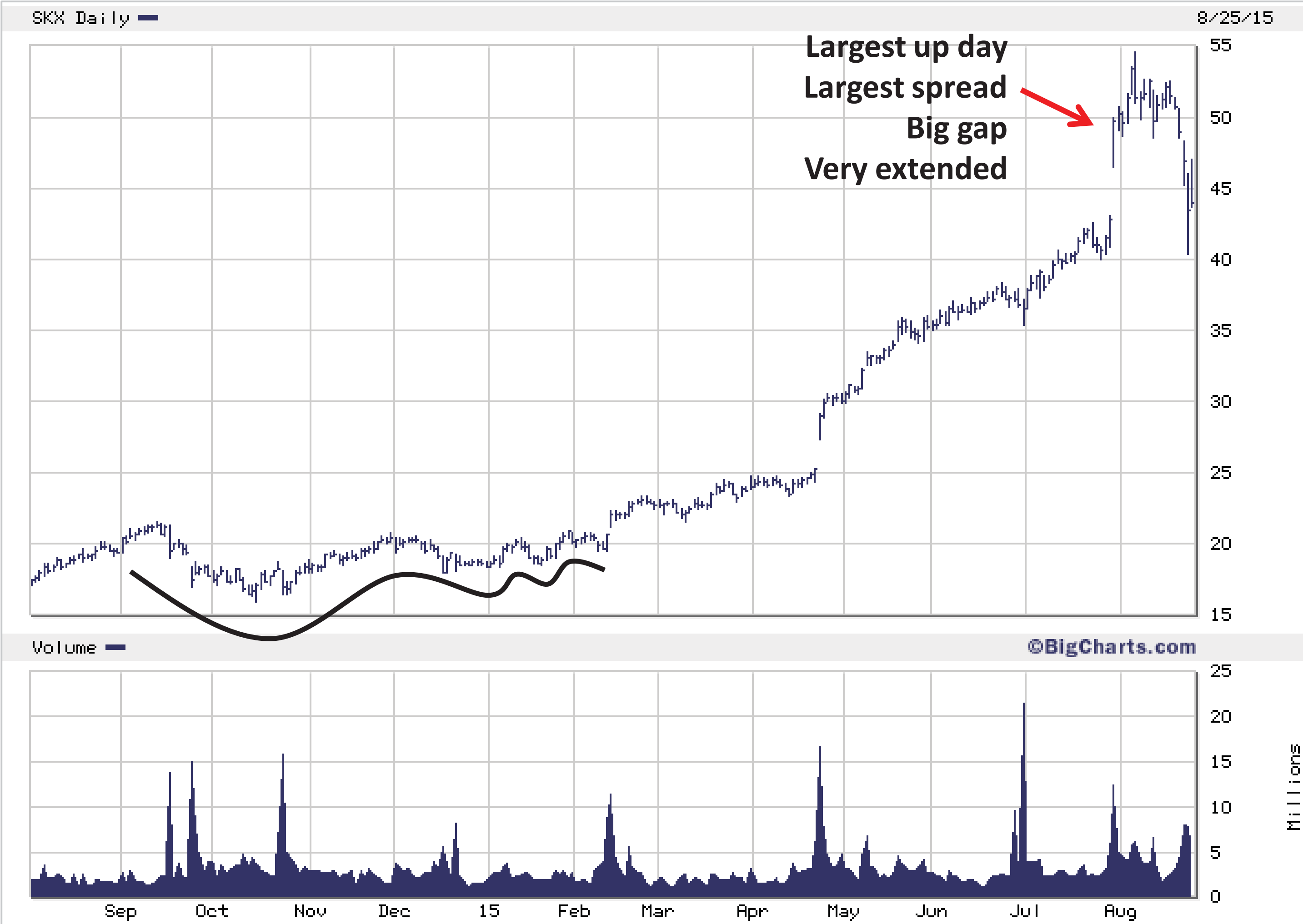

MNST Daily
SMA(50)
SMA(200)
6/15/06
+47% in 4 days
Widest spread
Largest up day
Up 8 of 9 days
Gaps
26
24
22
20
18
16
14
12
10
8
6
4
2
Volume
©BigCharts.com
60
50
40
30
20
10
0
Millions
Sep
Oct
Nov
Dec
06
Feb
Mar
Apr
May
Jun


HA Daily
SMA(50)
SMA(200)
4/15/14
+53% in 5 weeks
Largest up day
13 of 15 days up
Gap after extended
11 of 15 days up
15
14
13
12
11
10
9
8
7
6
5
Volume
Huge Volume
©BigCharts.com
8
6
4
2
0
Millions
Jun
Jul
Aug
Sep
Oct
Nov
Dec
14
Feb
Mar
Apr


TSLA Daily
SMA(50)
SMA(200)
5/12/14
+51% in 14 days
Up 10 of 14 days
Largest up day
Widest spread
Gaps
270
255
240
225
210
195
180
165
150
135
120
105
90
75
Volume
©BigCharts.com
35
30
25
20
15
10
5
0
Millions
Nov
Dec
14
Feb
Mar
Apr
May


GMCR Daily
SMA(50)
SMA(200)
8/13/07
+58% in 5 days
Largest up day
Widest spread
1
2
3
4
10.0
9.5
9.0
8.5
8.0
7.5
7.0
6.5
6.0
5.5
5.0
4.5
4.0
3.5
3.0
2.5
Volume
©BigCharts.com
7
6
5
4
3
2
1
0
Millions
Nov
Dec
07
Feb
Mar
Apr
May
Jun
Jul
Aug


BIIB Daily
SMA(50)
SMA(200)
6/14/11
+50% in 9 days
Up 7 of 9 days
Largest up day
Reversal on largest volume
Enough negatives to stall the stock for 6 months
Earnings
©BigCharts.com
Volume
Millions
110
105
100
95
90
85
80
75
70
65
60
55
50
45
20
15
10
5
0
Apr
May
Jun
Jul
Aug
Sep
Oct
Nov
Dec
11
Feb
Mar
Apr
May
Jun

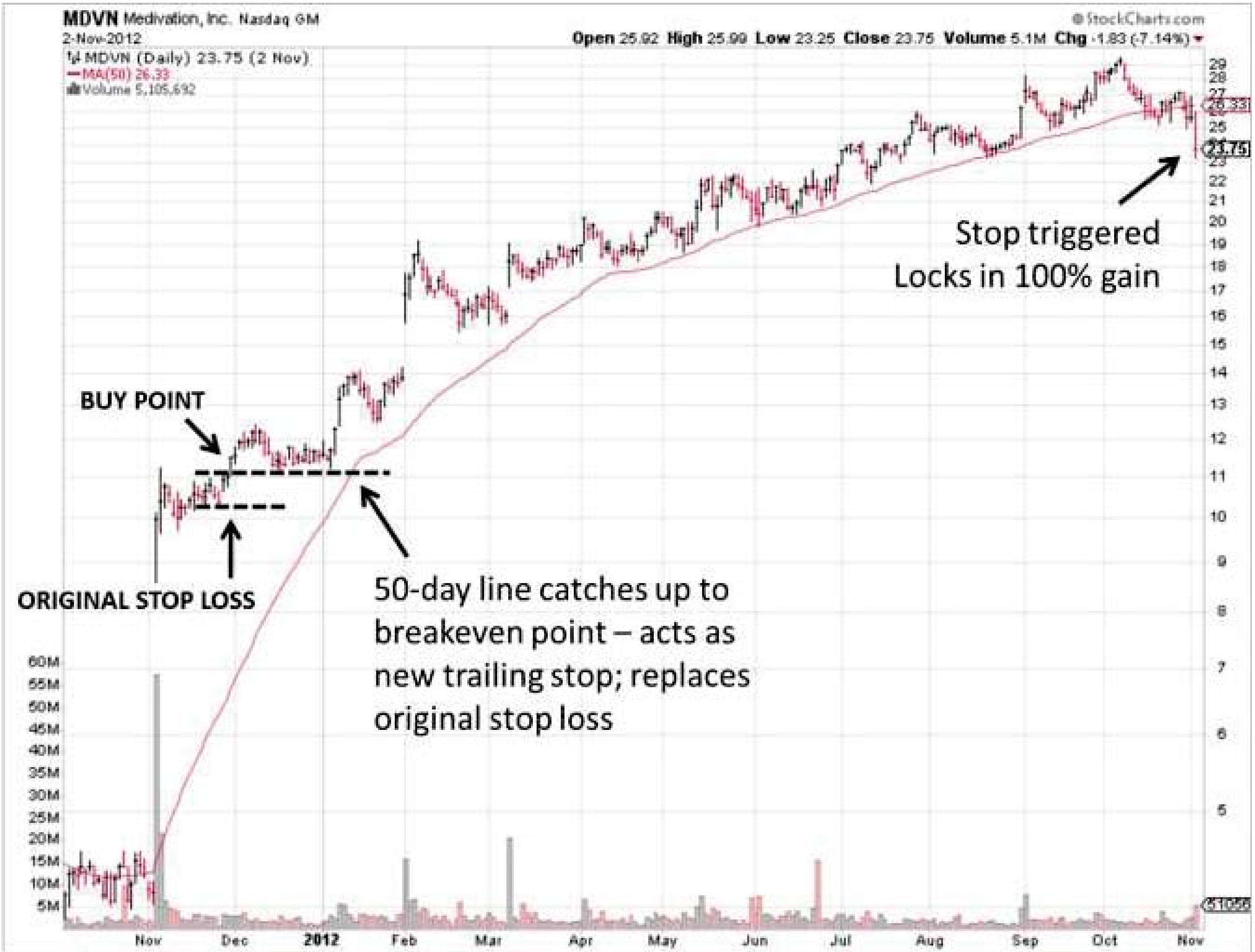

SKX Daily
8/25/15
Largest up day
Largest spread
Big gap
Very extended
55
50
45
40
35
30
25
20
15
Volume
©BigCharts.com
25
20
15
10
5
0
Millions
Sep
Oct
Nov
Dec
15
Feb
Mar
Apr
May
Jun
Jul
Aug

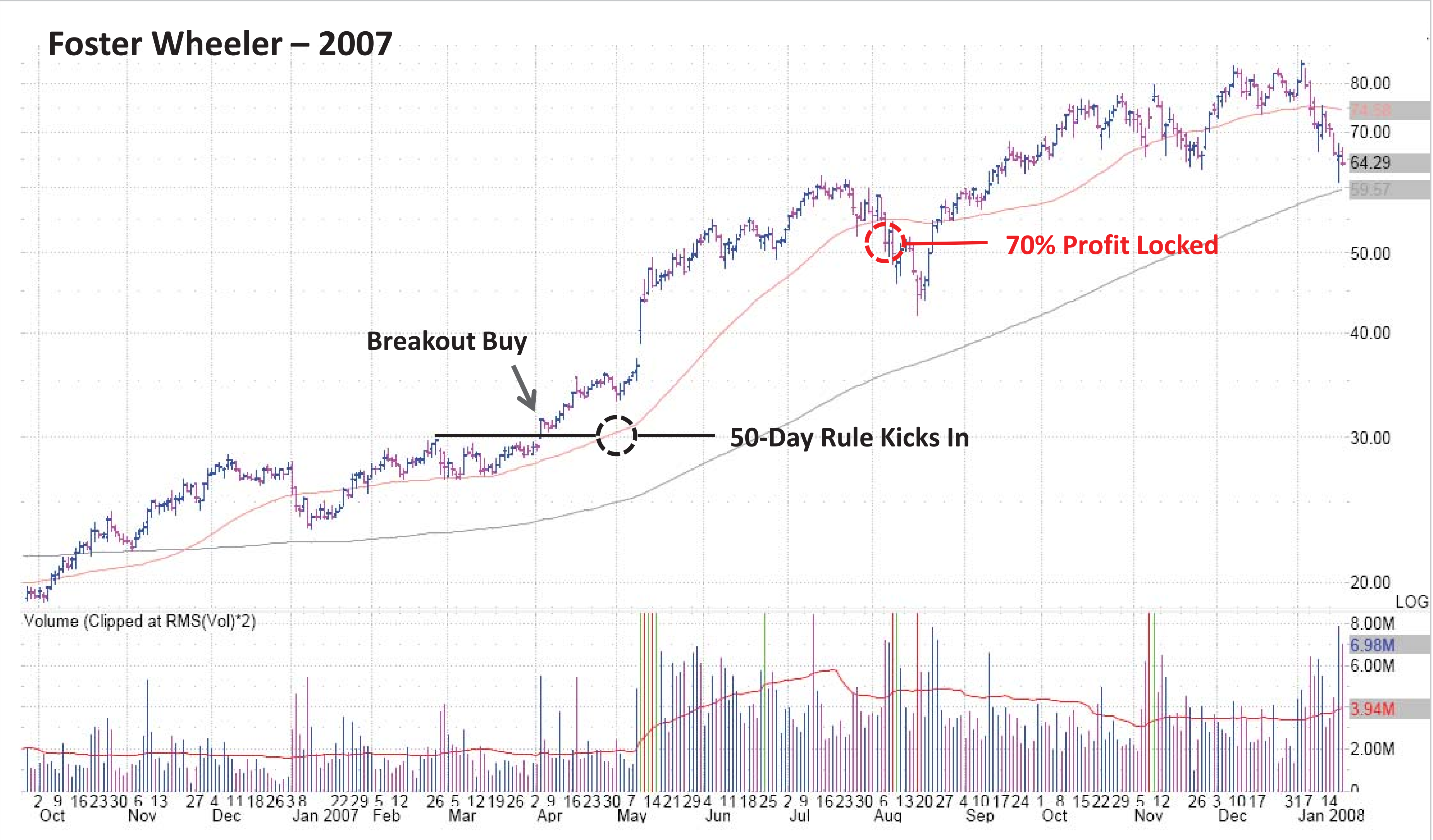

JACK Daily
SMA(50)
Largest up day
Largest spread
Big gap
Extended
Accelerated rate of advance
3/05/15
100
95
90
85
80
75
70
65
60
55
50
Volume
©BigCharts.com
3.5
3.0
2.5
2.0
1.5
1.0
0.5
0.0
Millions
Apr
May
Jun
Jul
Aug
Sep
Oct
Nov
Dec
15
Feb
Mar

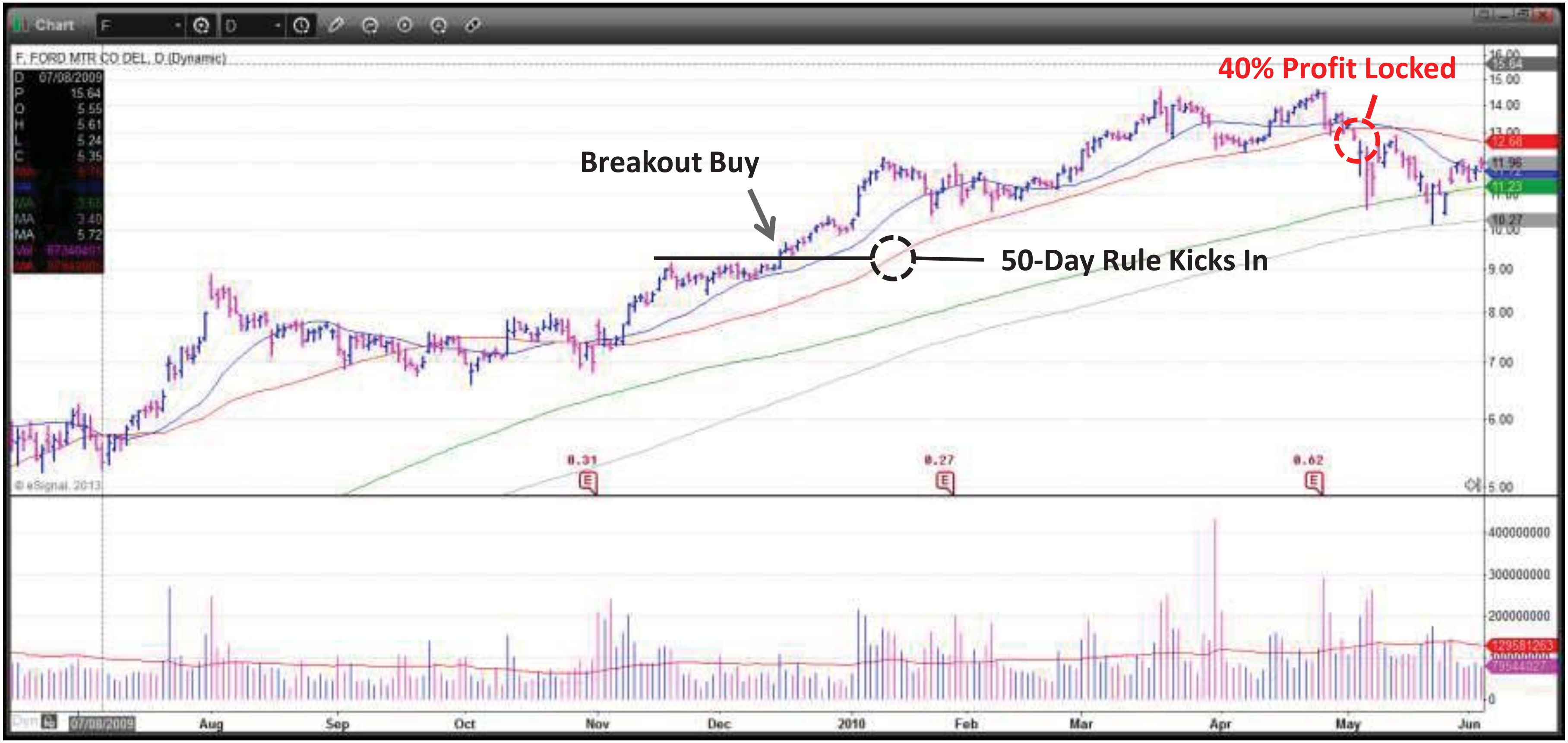
Chart
FICO
FICO, FAIR ISAAC CORP, D (Dynamic)
Up 7 days in a row
Up 7 of 10 days
Price break on
largest volume
Can't hold
50-day
Dec
2001
Feb
Mar
Apr
May
Jun
Jul
Aug
Sep
Oct


Reversal on heaviest volume
TIE, TITANIUM METALS CORP, D (Dynamic)
7 of 9 days up
Big volume reversal
9 of 10 days up
8 of 10 days up
Fourth split since
beginning of move

The 50-Day Breakeven or Better Rule

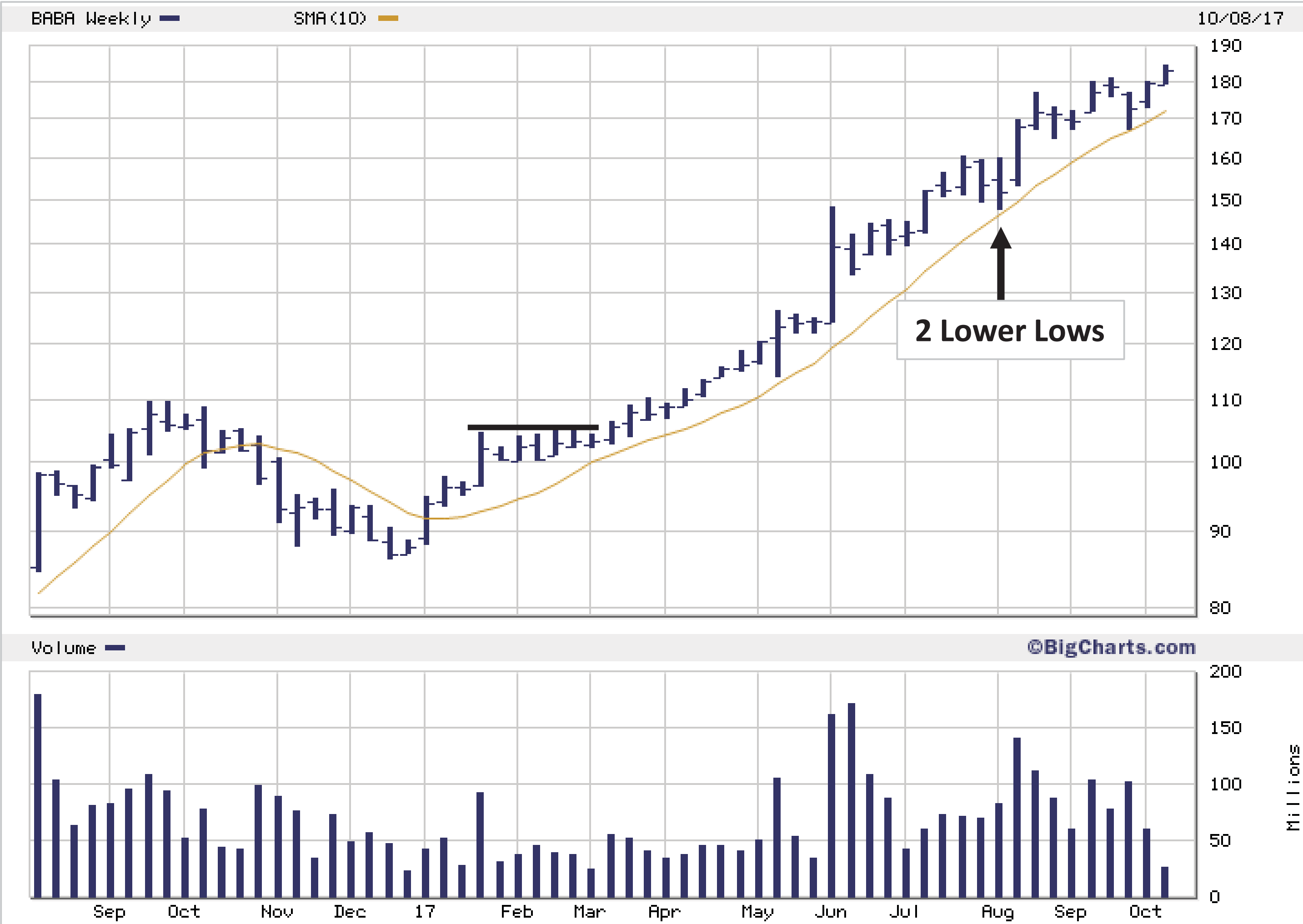

MDVN Medivation, Inc. Nasdaq GM
2-Nov-2012
Open 25.92 High 25.99 Low 23.25 Close 23.75 Volume 5.1M Chg -1.83 (-7.14%)
MDVN (Daily) 23.75 (2 Nov)
MA(50) 26.33
Volume 5,105,692
BUY POINT
ORIGINAL STOP LOSS
50-day line catches up to breakeven point – acts as new trailing stop; replaces original stop loss
Stop triggered
Locks in 100% gain
Nov
Dec
2012
Feb
Mar
Apr
May
Jun
Jul
Aug
Sep
Oct
Nov


Foster Wheeler – 2007
Breakout Buy
50-Day Rule Kicks In
70% Profit Locked
Volume (Clipped at RMS(Vol)*2)
80.00
70.00
64.29
50.00
40.00
30.00
20.00
LOG
8.00M
6.98M
6.00M
3.94M
2.00M
Oct
Nov
Dec
Jan 2007
Feb
Mar
Apr
May
Jun
Jul
Aug
Sep
Oct
Nov
Dec
Jan 2008


F, FORD MTR CO DEL, D (Dynamic)
40% Profit Locked
Breakout Buy
50-Day Rule Kicks In
© eSignal, 2013
Aug
Sep
Oct
Nov
Dec
2010
Feb
Mar
Apr
May
Jun

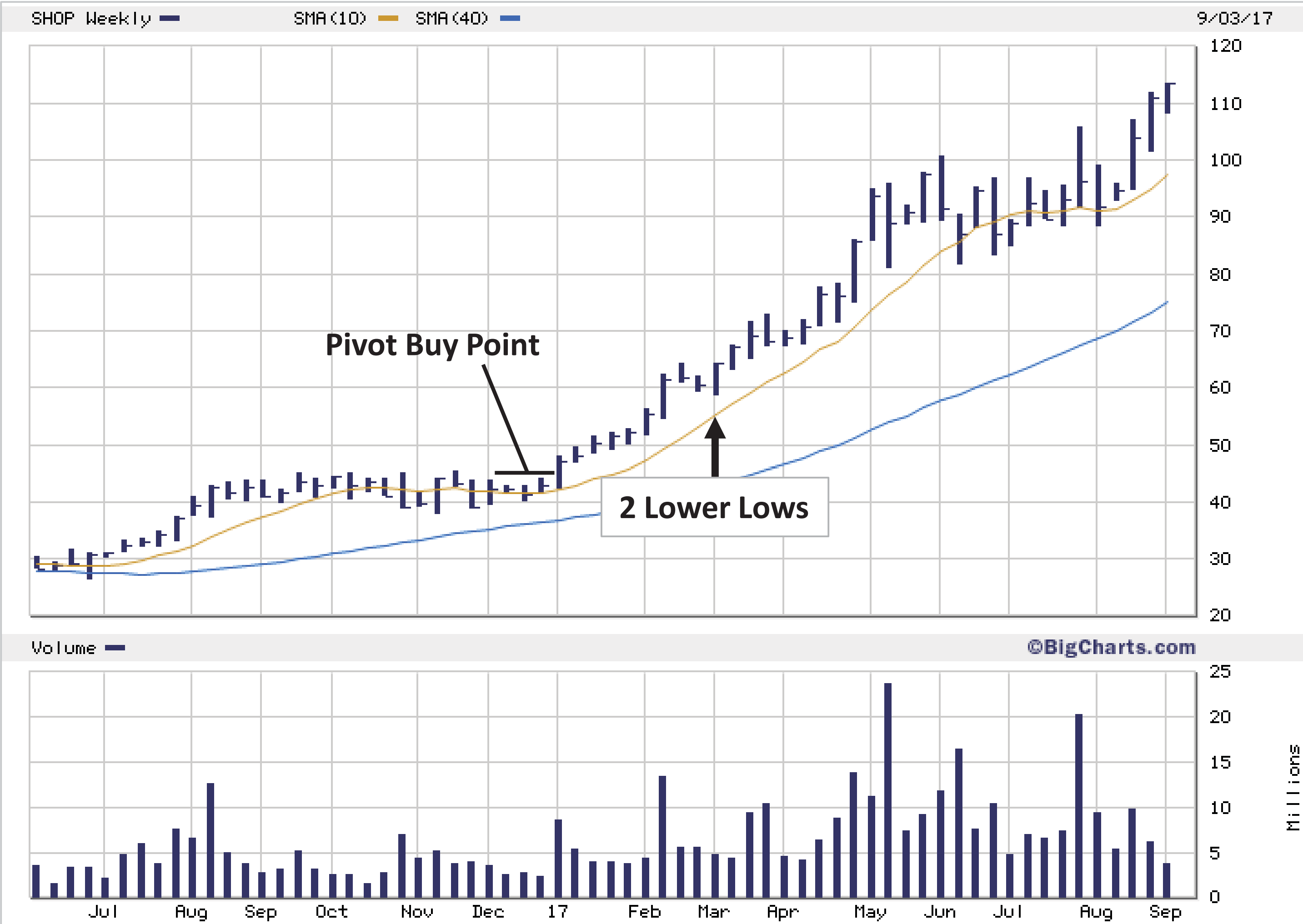

Burlington Stores Inc
Burlington Stores Inc (BURL) NYSE Retail-Apparel/Shoes/Acc
Options Yes
Short Interest 3.7 days +22%
Market Capitalization $3805.8 Million
Shares in Float 73.1 Million
Shares Outstanding 75.4 Million
Volume 11,015,400 $50.50 -0.97
50-Day Avg Volume 1,339,100
Off 52-Week High -18.5%
52-Week Hi-Lo $61.94-$37.15
HEADQUARTERS: Burlington, NJ PHONE: 609-387-7800
www.burlingtoncoatfactory.com
OPERATES 521 OFF-PRICE RETAIL STORES IN 44 STATES AND PUERTO RICO OFFERING HIGH QUALITY BRANDED APPAREL.
08/27/15 Raised FY15 adjusted earnings guidance to $2.27 to $2.32 per diluted share on revenue growth of 6.5% to 7%
IPO 10/02/2013
3 Lower Lows
Weekly Close Below 50-Day
2 Lower Lows
2 Lower Lows
S&P 500
RS Rating
81
Quotes delayed 20 minutes. Ownership and Estimate data provided by Thomson Reuters. reachus@marketsmith.com © 2015 MarketSmith, Incorporated. 10.02.2015

Alibaba Group Hldg Ads — Weekly



Control4 Corp. Weekly

Shopify Inc CL A **Weekly**



General rules for selling or reducing a swing trade

Selling into strength:

1. Multiple of risk achieved; consider selling half and moving stop on remaining position to breakeven or at least tighten up your stop to less than your original risk.
2. If your profit is more than your average gain and a multiple of your risk (generally 2-3x) consider trailing a stop or selling half and moving your stop up. You could also "back-stop" your average gain or an amount you want to lock in.
3. Stock is extended and opens up on a gap; consider selling at least half or trail a tight stop.

Selling into weakness:

1. Hits pre-determined stop-loss – OUT… NO QUESTIONS!
2. Closes below 20-day moving average, below your purchase price soon after a breakout from a proper base; reduce shares – 3-4 days of lower lows without supportive action on day 3-4 increases the odds of a failure.
3. Heavy selling with full retracement soon after low volume breakout SELL!
4. Key reversal on heavy volume when stock is extended – sell at least half.

Sell Alerts

Stocks will flash warning signals before a big decline. Here are some to watch for:

1. Accelerated rate of advance (parabolic "blow-off" price action)
2. AFTER extended move stock moves up 25-50% in 1-3 weeks (12 of 15 days up over 3 weeks)
3. Largest up day since beginning of move (look for reversal or churning over the next 1-4 trading days)
4. Largest daily price spread since advance started
5. Largest weekly price spread since beginning of advance
6. 6-10 days of accelerated advance with all but 2 or 3 days up
7. Exhaustion gaps (after stock is extended – usually 2^{nd} or 3^{rd} gap)
8. New high on low volume – new high from late stage (4^{th}, 5^{th} or 6^{th} stage) base
9. Heavy volume with little price progress (stalling action)
10. Drop below the 50-day moving average line on the heaviest daily volume since beginning of move
11. Largest one-day decline since beginning of move
12. Largest weekly decline on huge volume
13. Down on largest volume

DAILY ROUTINE

EVENING SCREENING

Sort stocks into 3 lists:

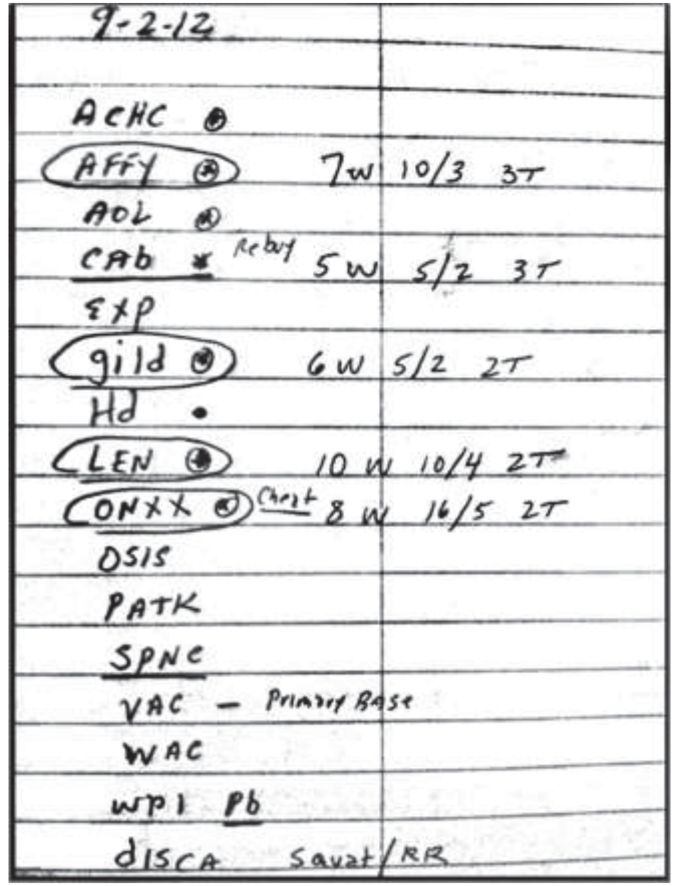
1. Immediately buyable (potential base BOs & PB buys)
2. On-deck (very close to buyable)
3. Watch list

Run separate screens:

a. Momentum – High RS
b. IPO's
c. New highs list
d. Utility screens
e. Earnings surprises, big movers

PRE-MARKET

- Check news, earnings, upgrades & downgrades
- Set pivot alerts on buyable names – I usually set a pre-alert
- Set stop alerts on current holdings
- Make notations and set stops for actionable ideas
- Mental rehearsal



9-2-12

ACHC
AFFY 7w 10/3 3T
AOL
CAB * Rebuy 5w 5/2 3T
EXP
gild 6w 5/2 2T
Hd •
LEN 10w 10/4 2T
CONXX Chart 8w 16/5 2T
OSIS
PATK
SPNC
VAC – Primary Base
WAC
WPI Pb
DISCA Savat/RB

AFFY


Chart
AFFY
AFFY, AFFYMAX INC, D (Dynamic)
Added to my list here
May
16
Jun
18
Jul
16
Aug
16
Sep
17
Oct
16

CAB


CAB, CABELAS INC, D (Dynamic)
Added to my list here
58.00
56.00
54.00
50.00
48.00
46.00
44.00
42.00
40.00
38.00
36.00
34.00
0.42
0.48
16
May
16
Jun
18
Jul
16
Aug
16
Sep
17
Oct
16

ONXX

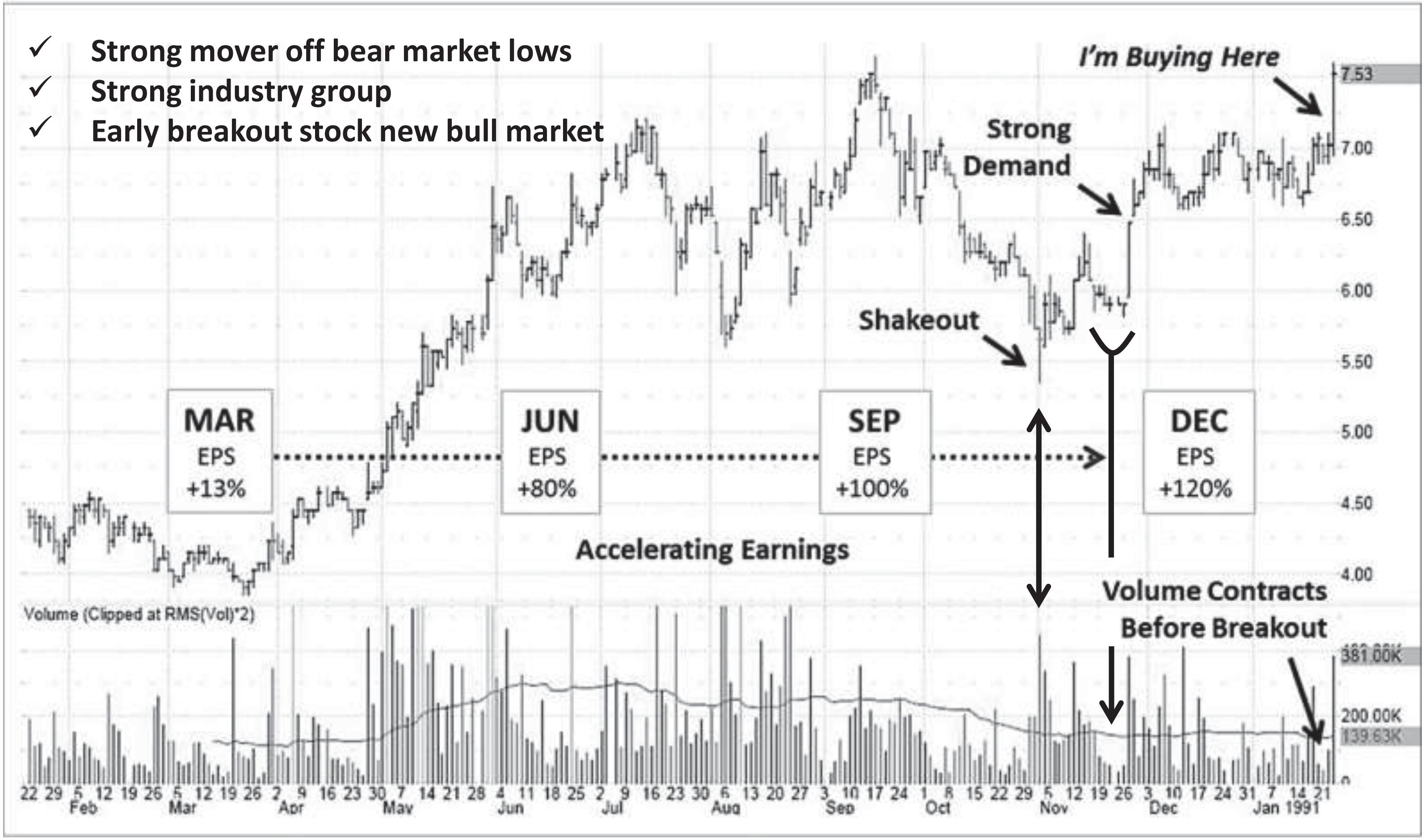
GILD

GILD, GILEAD SCIENCES INC, D (Dynamic)
Added to my list here
May
Jul
Sep
Nov
2013
Mar
May
Jul
Sep

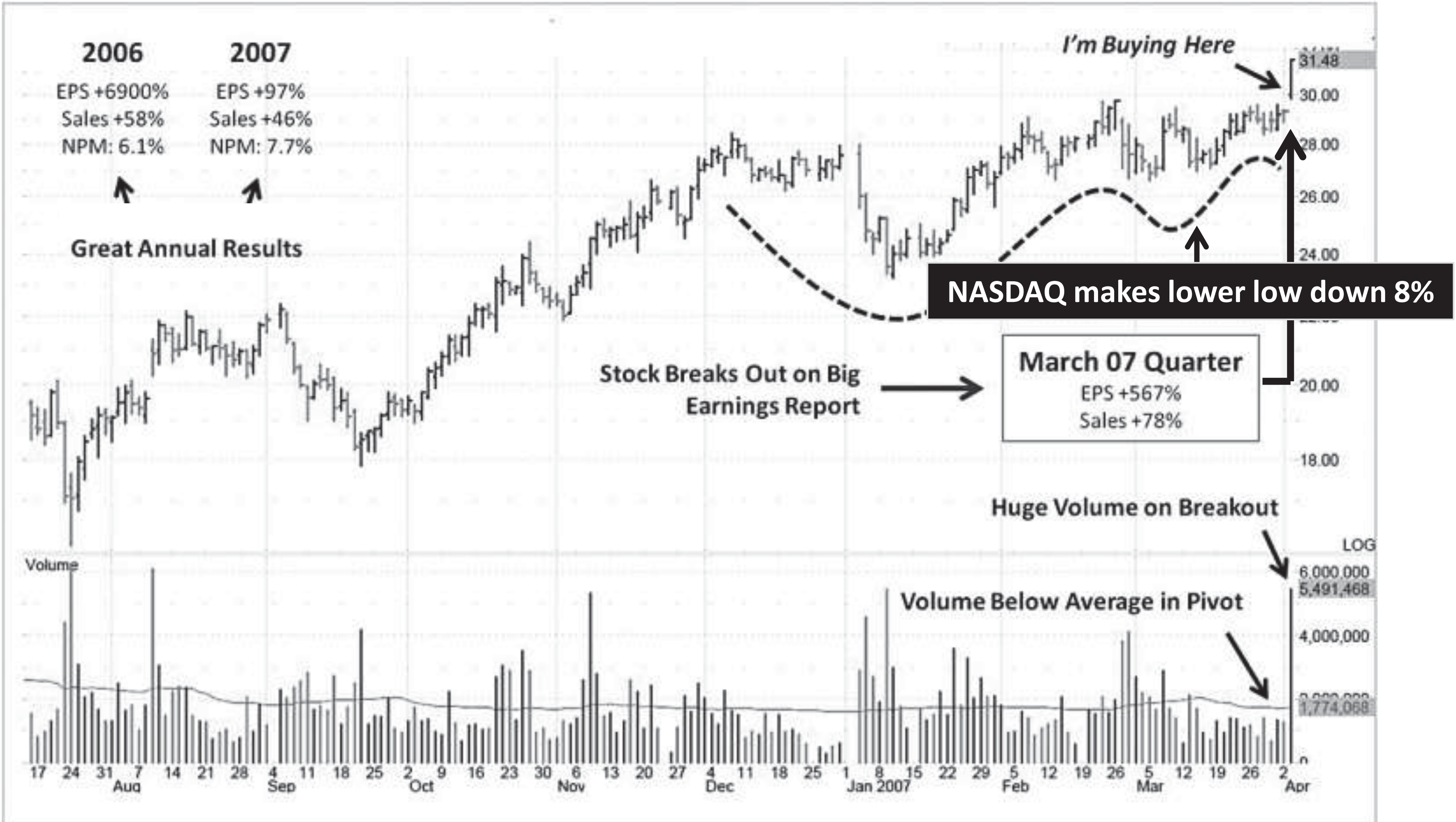

XYZC
Buy @ 33.40
Stop
½ @ 32.05
½ @ 30.70

Putting it All Together

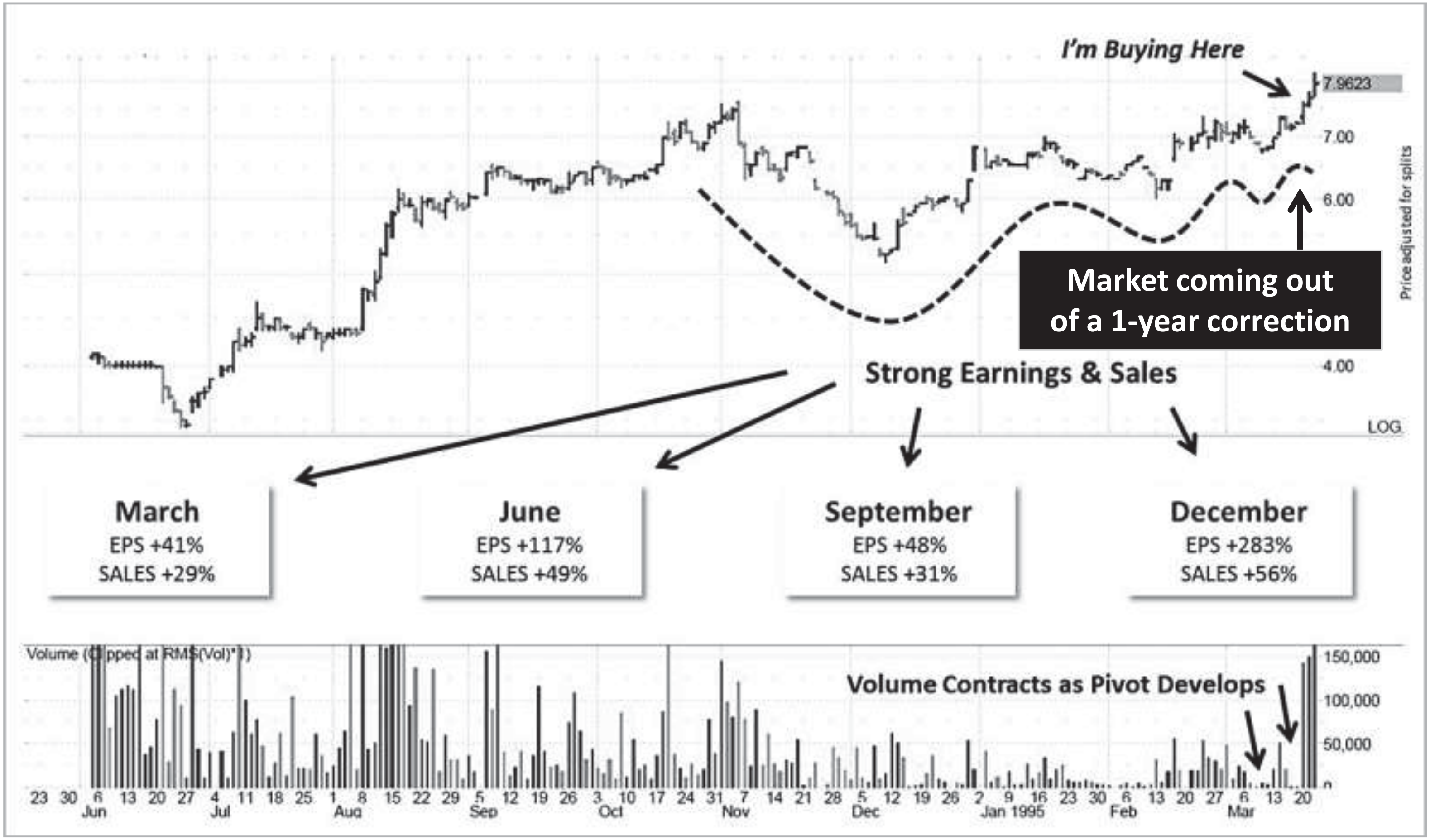
Elan Corp. (ELN) +152% in 12 months



Foster Wheeler (FWLT) +180% in 9 months

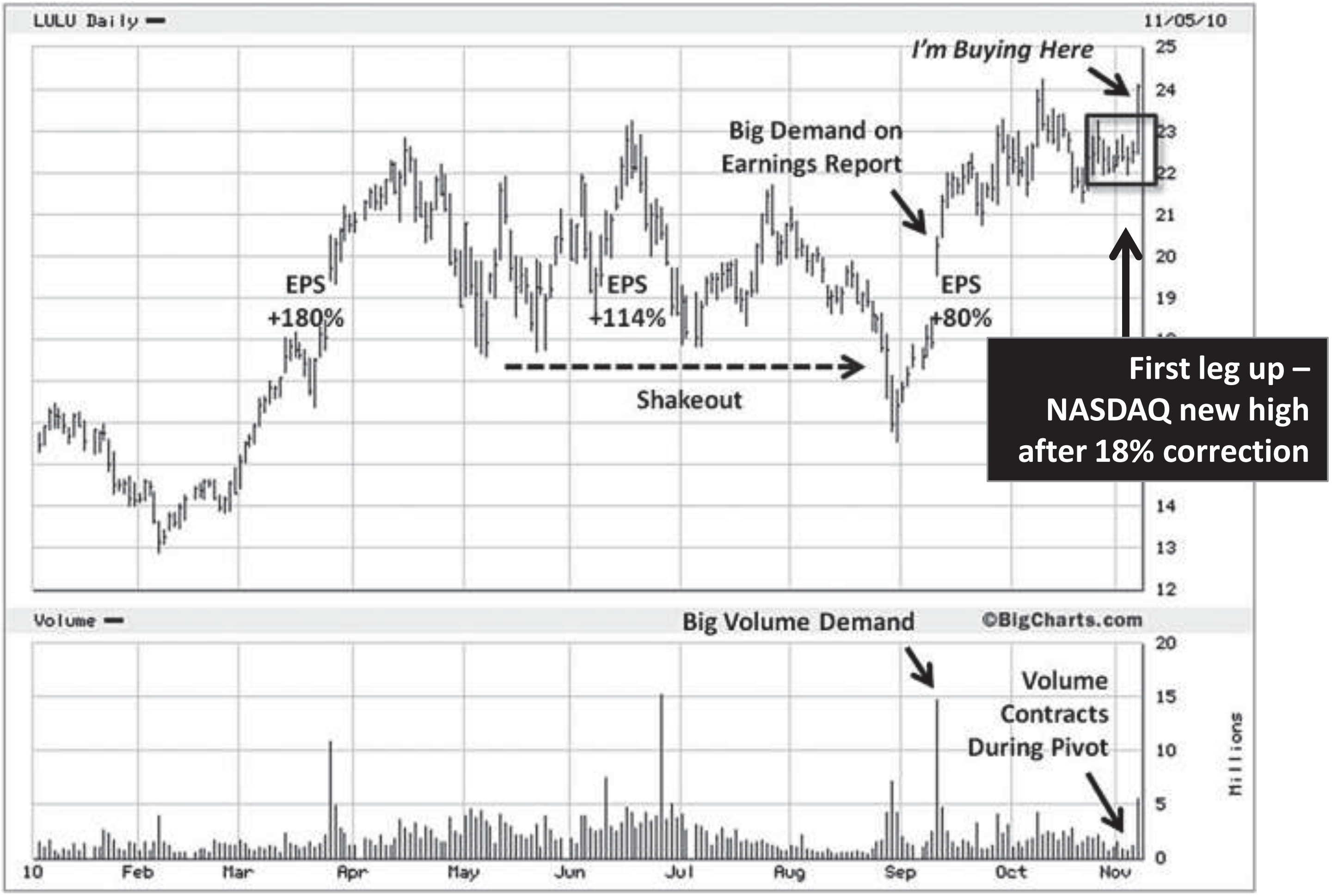


Kenneth Cole Productions (KCP) +102% in 8 months



Lululemon Athletica

+245% in 18 months



Risk Management

Stocks are not like mutual funds with a manager; you're the manager. All stocks are risky and risk must be managed.

-Mark Minervini

The Loss Adjustment Exercise

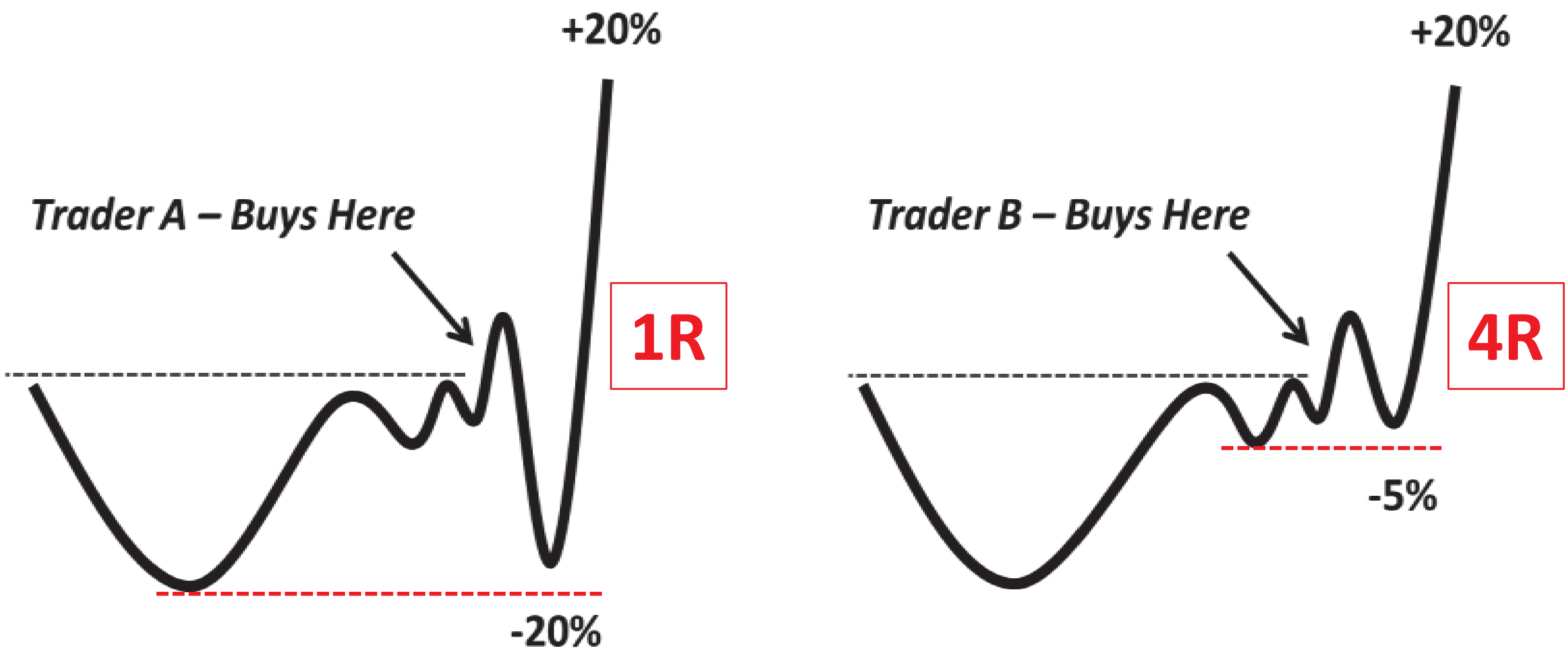
		Original Account Results				After Losses Adjusted		
Trade		% G/L	Cum. Bal.	Tot. Ret %		% G/L	Cum. Bal	Tot. Ret. %
			$ 100.00				$ 100.00	
1	Gains	6%	$ 106.00	6.00%	Gains	6%	$ 106.00	6.00%
2		8%	$ 114.48	14.48%		8%	$ 114.48	14.48%
3		10%	$ 125.93	25.93%		10%	$ 125.93	25.93%
4		12%	$ 141.04	41.04%		12%	$ 141.04	41.04%
5		15%	$ 162.20	62.20%		15%	$ 162.20	62.20%
6		17%	$ 189.77	89.77%		17%	$ 189.77	89.77%
7		18%	$ 223.93	123.93%		18%	$ 223.93	123.93%
8		20%	$ 268.71	168.71%		20%	$ 268.71	168.71%
9		28%	$ 343.95	243.95%		28%	$ 343.95	243.95%
10		50%	$ 515.93	415.93%		50%	$ 515.93	415.93%
11	Losses	-7%	$ 479.81	379.81%	Losses	-10%	$ 464.34	364.34%
12		-8%	$ 441.43	341.43%		-10%	$ 417.90	317.90%
13		-10%	$ 397.28	297.28%		-10%	$ 376.11	276.11%
14		-12%	$ 349.61	249.61%		-10%	$ 338.50	238.50%
15		-13%	$ 304.16	204.16%		-10%	$ 304.65	204.65%
16		-15%	$ 258.54	158.54%		-10%	$ 274.19	174.19%
17		-19%	$ 290.41	190.41%		-10%	$ 246.77	146.77%
18		-20%	$ 167.53	67.53%		-10%	$ 222.21	122.21%
19		-25%	$ 125.64	25.64%		-10%	$ 199.88	99.88%
20		-30%	$ 87.95	-12.05%		-10%	$ 179.89	79.89%
Bat. Avg. 50%		Average Gain: 18.40% Average Loss: -15.90%				Average Gain: 18.40% Average Loss: -10.00%		

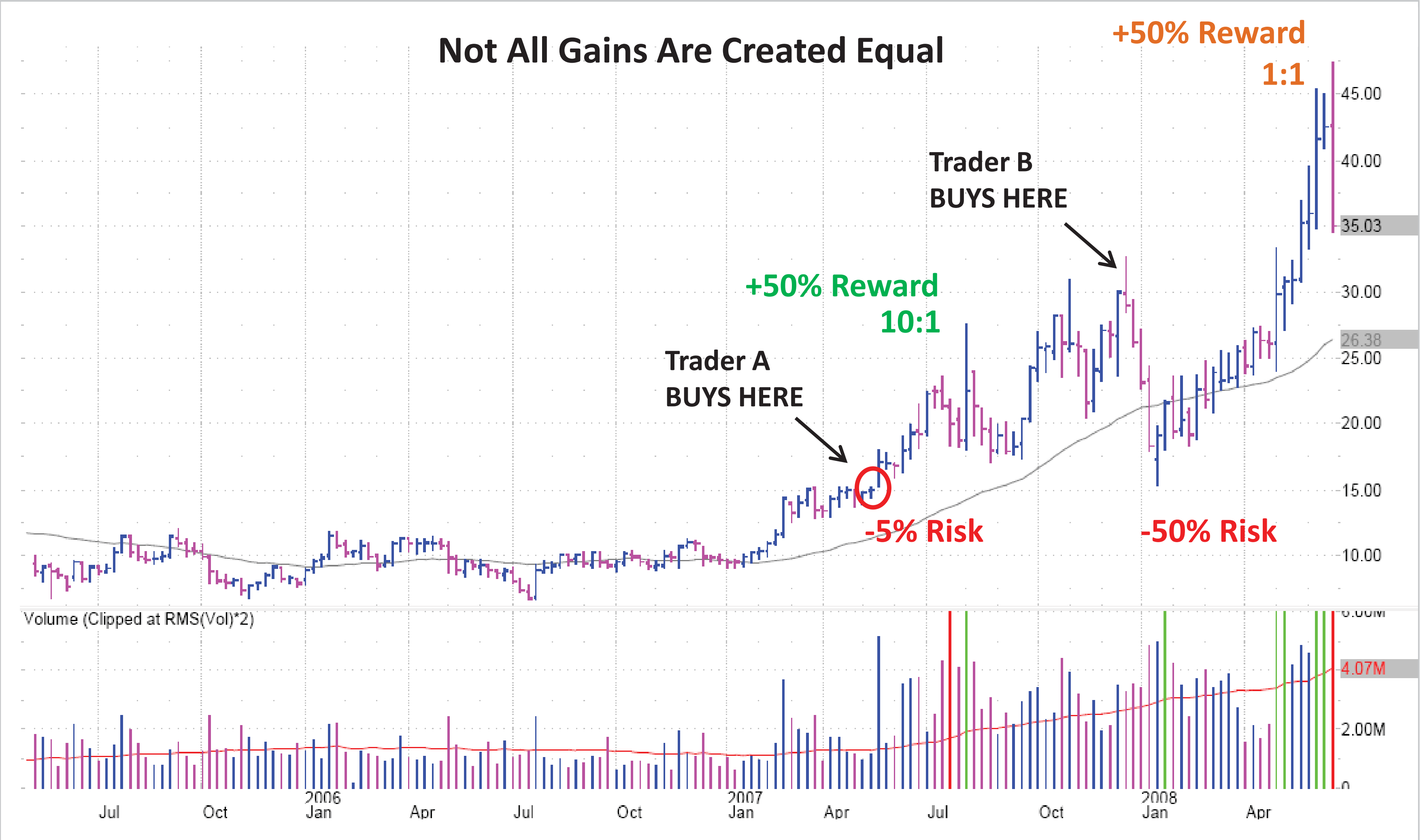
3 Key Facts About Losses

1. You are NOT going to be correct all the time – **YOU'RE GOING TO HAVE LOSSES**
2. Losses work geometrically against you – the bigger the harder to recoup
3. Keeping losses small is your ONLY real protection against large losses

LOSS	GAIN TO BREAK EVEN
5%	5.26%
10%	11%
20%	25%
30%	43%
40%	67%
50%	100%
60%	150%
70%	233%
80%	400%
90%	900%

Risk vs. Reward




Not All Gains Are Created Equal
+50% Reward
1:1
Trader B
BUYS HERE
+50% Reward
10:1
Trader A
BUYS HERE
-5% Risk
-50% Risk
45.00
40.00
35.03
30.00
26.38
25.00
20.00
15.00
10.00
Volume (Clipped at RMS(Vol)*2)
4.07M
2.00M
0
Jul
Oct
2006
Jan
Apr
Jul
Oct
2007
Jan
Apr
Jul
Oct
2008
Jan
Apr

Does the Result Justify the Means?

Two people cross the road; the first person looks carefully both ways, runs across the road and gets hit by a car. The other person covers their eyes and blindly runs right into heavy traffic but makes it to the other side safely.

What would happen if this scenario was repeated 100 times; who do you think would have a higher success rate of making it to the other side?

REMEMBER: You're not going to make just one trade

Risk	Reward	Win Rate % Breakeven
50	1	98%
10	1	91%
5	1	83%
3	1	75%
2	1	67%
1	1	50%
1	2	33%
1	3	25%
1	5	17%
1	10	9%
1	50	2%

Know What You Control

In trading we cannot direct the wind, we can only adjust our sails.

Direct Control

a. What you buy
b. When you buy
c. How much you buy
d. When you sell

No Control

e. How much a stock goes up (profitability)
f. Frequency of wins (batting average)

How do we get some control over the thing we don't have control of?

Building in "Failure"

1

Trader A	Trader B
Avg. Gain 15%	Avg. Gain 7.5%
Avg. Loss 5%	Avg. Loss 15%
Ratio 3:1	Ratio 0.50
Bat. Avg. 40%	**Bat. Avg. 80%**
AWLR 2:1	AWLR 2:1
10 trades +28%	**10 trades +28%**

Edge

Edge

Building in "Failure"

2

Edge cut in half →

Trader A	Trader B
Avg. Gain 7.5%	Avg. Gain 7.5%
Avg. Loss 5%	Avg. Loss 15%
Ratio 1.5:1	Ratio 0.50
Bat. Avg. 40%	**Bat. Avg. 40%**
AWLR 1:1	AWLR 0.33
10 trades (-2%)	**10 trades (-57%)**

← *Edge cut in half*

Building in "Failure"

3

W/L ratio ("edge") cut in half

Batting Average cut by one-quarter

Trader A	Trader B
Avg. Gain 7.5%	Avg. Gain 7.5%
Avg. Loss 5%	Avg. Loss 15%
Ratio 1.5:1	Ratio 0.50
Bat. Avg. 30%	**Bat. Avg. 60%**
AWLR 0.64	AWLR 0.75
10 trades (-13%)	**10 trades (-20%)**

Batting Average ONLY cut by one-quarter

Building in "Failure"

4

W/L ratio ("edge") cut in half

Batting Average cut by one-quarter

Trader A	Trader B
Avg. Gain 7.5%	**Avg. Gain 15%**
Avg. Loss 5%	Avg. Loss 15%
Ratio 1.5:1	Ratio 1.00
Bat. Avg. 30%	**Bat. Avg. 40%**
AWLR 0.64	AWLR 0.75
10 trades (-13%)	**10 trades (-42%)**

Avg. Gain doubled

Batting Average cut by one-half

Losses are a Function of Expected Gain

a. How much can you expect to gain on average?
b. How often can you expect to be profitable on average?

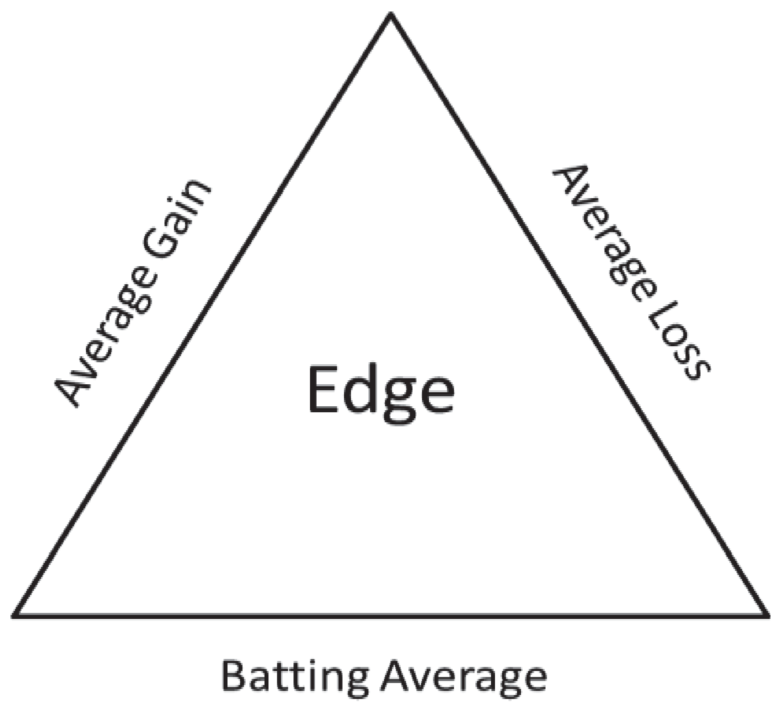
1. Average Gain (AG)
2. Average Loss (AL)
3. Percentage of Winning Trades (PWT)
4. Percentage of Losing Trades (PLT)

The "Holy Grail"

(AG x PWT) / (AL x PLT) = (AWLR)

Example 1. 10 x 50 / 5 x 50 = 2:1
Example 2. 15 x 40 / 5 x 60 = 2:1

The Trading Triangle

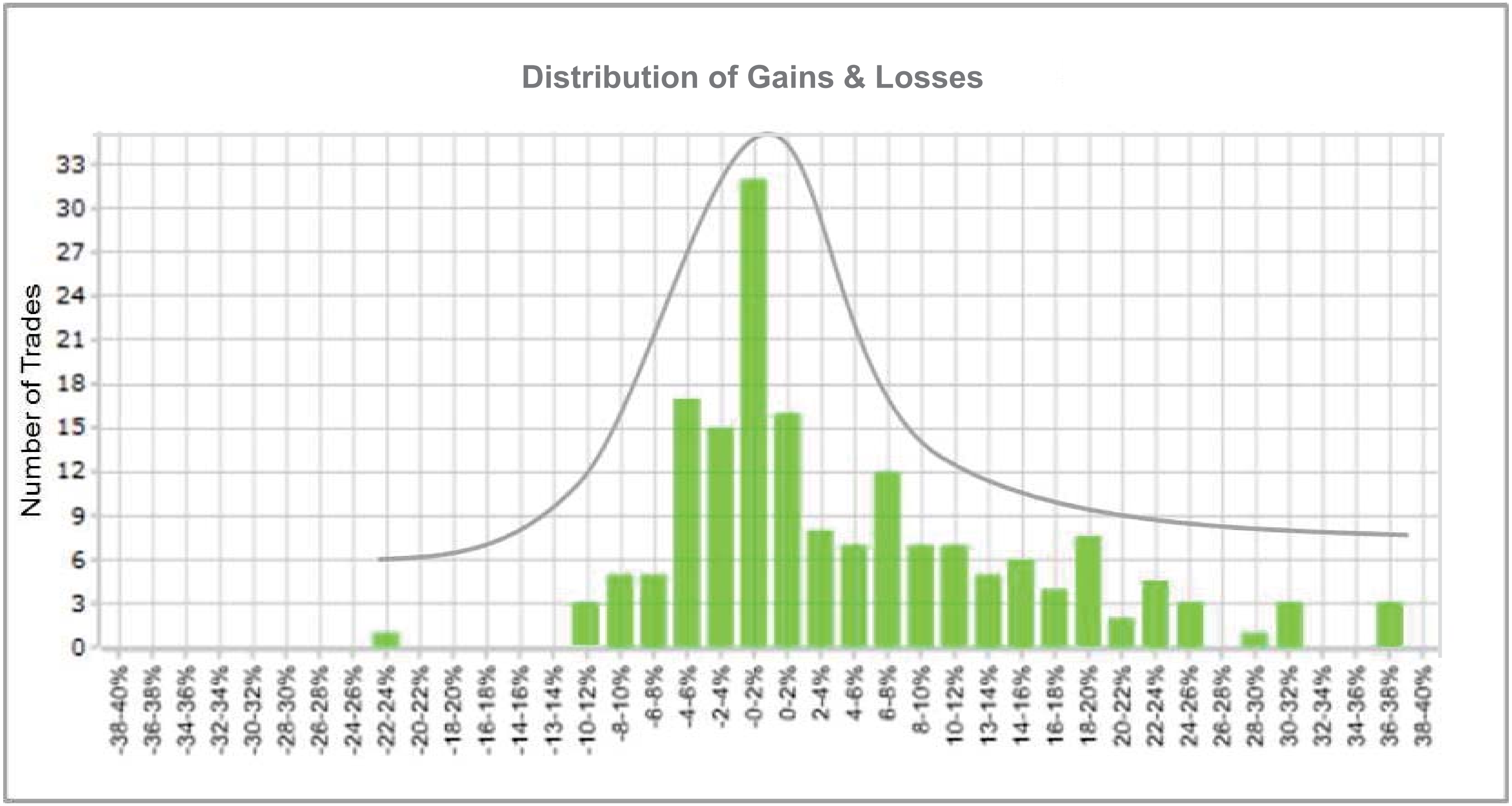


Monthly Tracker

	AVG GAIN	AVG LOSS	WIN %	TOTAL TRADES	LG GAIN	LG LOSS	AVG DAYS GAINS	AVG DAYS LOSS
JAN	7.78%	3.65%	20.00%	5	7.78%	5.53%	7	10
FEB	17.51%	5.35%	62.50%	8	21.34%	8.15%	24	9
MAR	17.20%	4.91%	55.56%	9	29.87%	7.22%	31	11
APR	9.98%	5.48%	40.00%	10	10.02%	8.23%	13	17
MAY	18.65%	5.50%	54.55%	11	24.79%	13.09%	40	19
JUN	8.32%	4.06%	50.00%	6	12.14%	7.29%	29	11
JUL	16.67%	6.33%	57.14%	14	30.04%	8.04%	44	13
AUG	8.43%	4.26%	33.33%	6	8.77%	7.50%	12	7
SEP	19.61%	6.09%	44.44%	9	26.01%	8.78%	36	12
OCT	-	5.19%	0.00%	4	-	7.47%	-	9
NOV	11.19%	8.00%	50.00%	6	13.43%	11.02%	31	8
DEC	14.21%	6.33%	42.86%	7	18.53%	8.07%	19	8
AVG.				95	18.43%	8.37%	26	11

Trading Summary	
Winning Percentage	46.32%
Average Gain	13.35%
Average Loss	5.85%
Win / Loss Ratio	2.28
Adjusted Win / Loss Ratio	2.08

What Does Your Personal Bell Curve Look Like?



Result Based Assumption Forecast (RBAF)

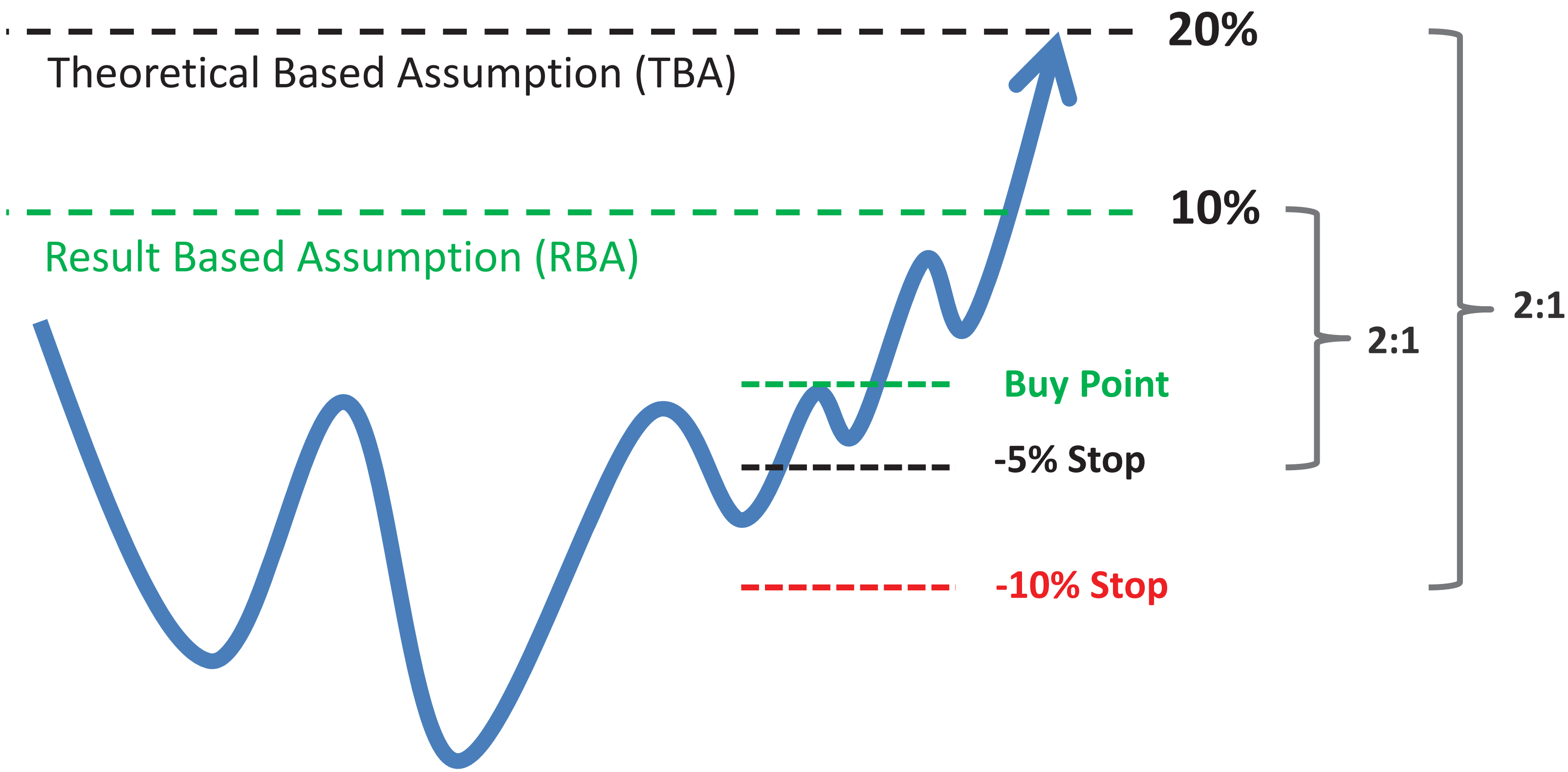
INPUTS

Portfolio Size $	$200,000
Position Size %	25%
Desired % Return	100%
Average % Gain	12%
Average % Loss	6%
% of Winning Trades	50%

RESULTS

Avg $ Gain on Winning Trades	$6,000
# of Winning Trades	67
Avg $ Loss on Losing Trades	$3,000
# of Losing Trades	67
Gain / Loss Ratio	2:1
$ Position Size	$50,000
Expected Net % Return per Trade	0.03
Expected Net $ Return per Trade	$1,500
$ Goal	$200,000
# of Trades Needed to Reach Goal	134
Adjusted Gain / Loss Ratio	2:1
Optimal f	25%

Expected Gain is Based on Assumption



2:1 Win/Loss Ratio Maintained
40% Batting Average
10 Trade Compounded Return

4% profit
2% loss
+3.63%

8% profit
4% loss
+6.49%

12% profit
6% loss
+8.55%

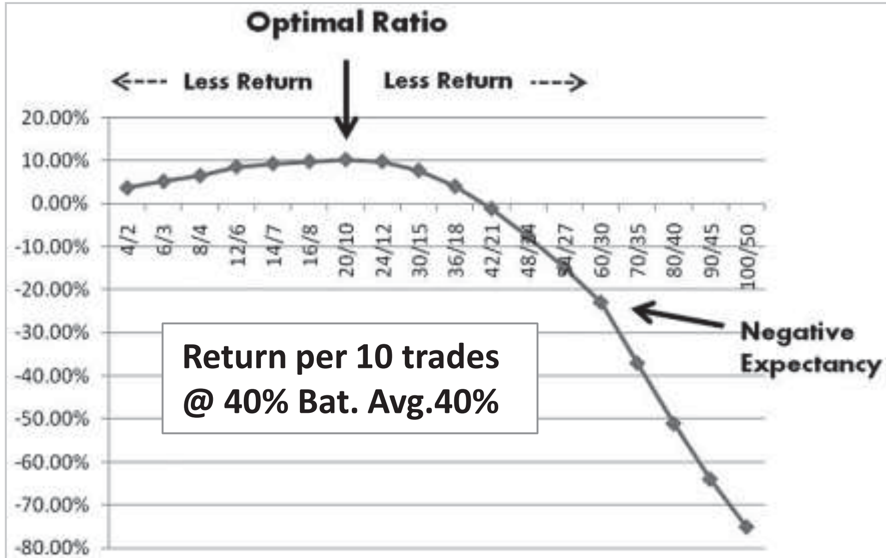
20% profit
10% loss
+10.20%

42% profit
21% loss
?

80% profit
40% loss
?

Not All Ratios Are Created Equal

% Gain	% Loss	G/L Ratio	@ 30% Bat. Avg.	@ 40% Bat. Avg.	@ 50% Bat. Avg.
4.00%	2.00%	2:1	-2.35%	3.63%	10.00%
6.00%	3.00%	2:1	-3.77%	5.16%	14.92%
8.00%	4.00%	2:1	-5.34%	6.49%	19.80%
12.00%	6.00%	2:1	-8.89%	8.55%	29.34%
14.00%	7.00%	2:1	-10.86%	9.27%	33.95%
16.00%	8.00%	2:1	-12.93%	9.79%	38.43%
20.00%	10.00%	2:1	-17.35%	10.20%	46.93%
24.00%	12.00%	2:1	-22.08%	9.80%	54.71%
30.00%	15.00%	2:1	-29.57%	7.71%	64.75%
36.00%	18.00%	2:1	-37.23%	4.00%	72.49%
42.00%	21.00%	2:1	-45.01%	-1.16%	77.66%
48.00%	24.00%	2:1	-52.52%	-7.55%	80.04%
54.00%	27.00%	2:1	-59.65%	-14.88%	79.56%
60.00%	30.00%	2:1	-66.27%	-22.90%	76.23%
70.00%	35.00%	2:1	-75.92%	-37.01%	64.75%
80.00%	40.00%	2:1	-83.67%	-51.02%	46.93%
90.00%	45.00%	2:1	-89.56%	-63.93%	24.62%
100.00%	50.00%	2:1	-93.75%	-75.00%	0.00%



The more your batting average (percentage of winning trades) falls below 50% the sooner you will hit negative expectancy

Reward Must Outweigh Risk

Year 1	Year 2	Year 3	3-Yr Tot. Ret.	Per Year
10%	10%	-10%	8.9%	2.9%
20%	20%	-20%	15.2%	4.9%
30%	30%	-30%	18.3%	5.8%
40%	40%	-40%	17.6%	5.6%
50%	50%	-50%	12.5%	4.0%
60%	60%	-60%	2.4%	0.8%
70%	70%	-70%	-13.3%	-4.7%
80%	80%	-80%	-35.2%	-13.5%
90%	90%	-90%	-63.9%	-28.8%

What Does This All Mean?

During difficult periods your gains will be smaller than normal and your percentage of profitable trades will be lower than usual. **You *must* cut your losses *shorter* to compensate. DO NOT WIDEN YOUR STOPS!**

1. If you're trading with the use of leverage, get off margin immediately.
2. Reduce your exposure; position sizing and overall capital commitment.
3. Be less forgiving – tighten up stop-losses. If you normally cut losses at 7-8%, cut them at 4-5%.
4. Be less greedy – settle for smaller profits. If you normally take profits of 15-20% on average, take profits at 10-12%.

How many times per year do you have a **“just this one time”** moment?

If you are having trouble trading:

1. *Your criteria is flawed*
2. *The general market is hostile*
3. *You’re not following your own rules*

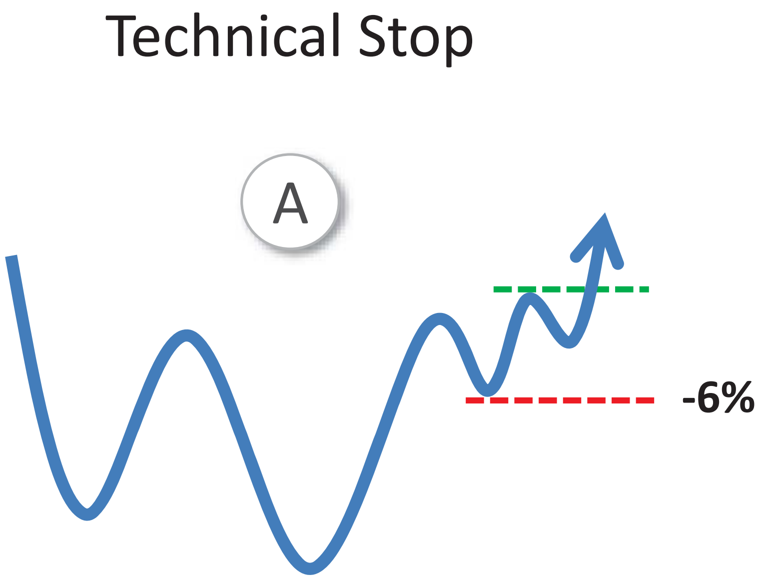
Trading failures stem from:

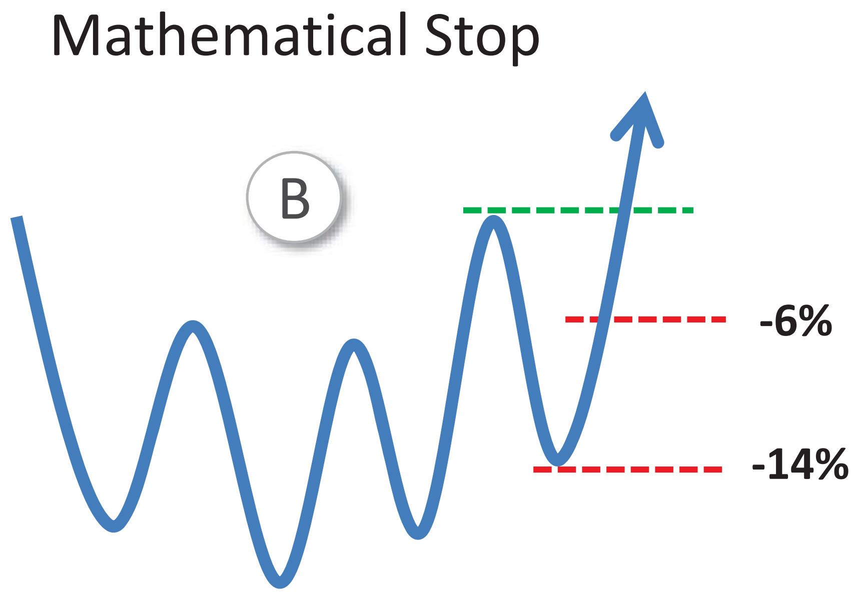
A. *Faulty Principles*
B. *Faulty Discipline*

The Benefits of Measuring Your Results

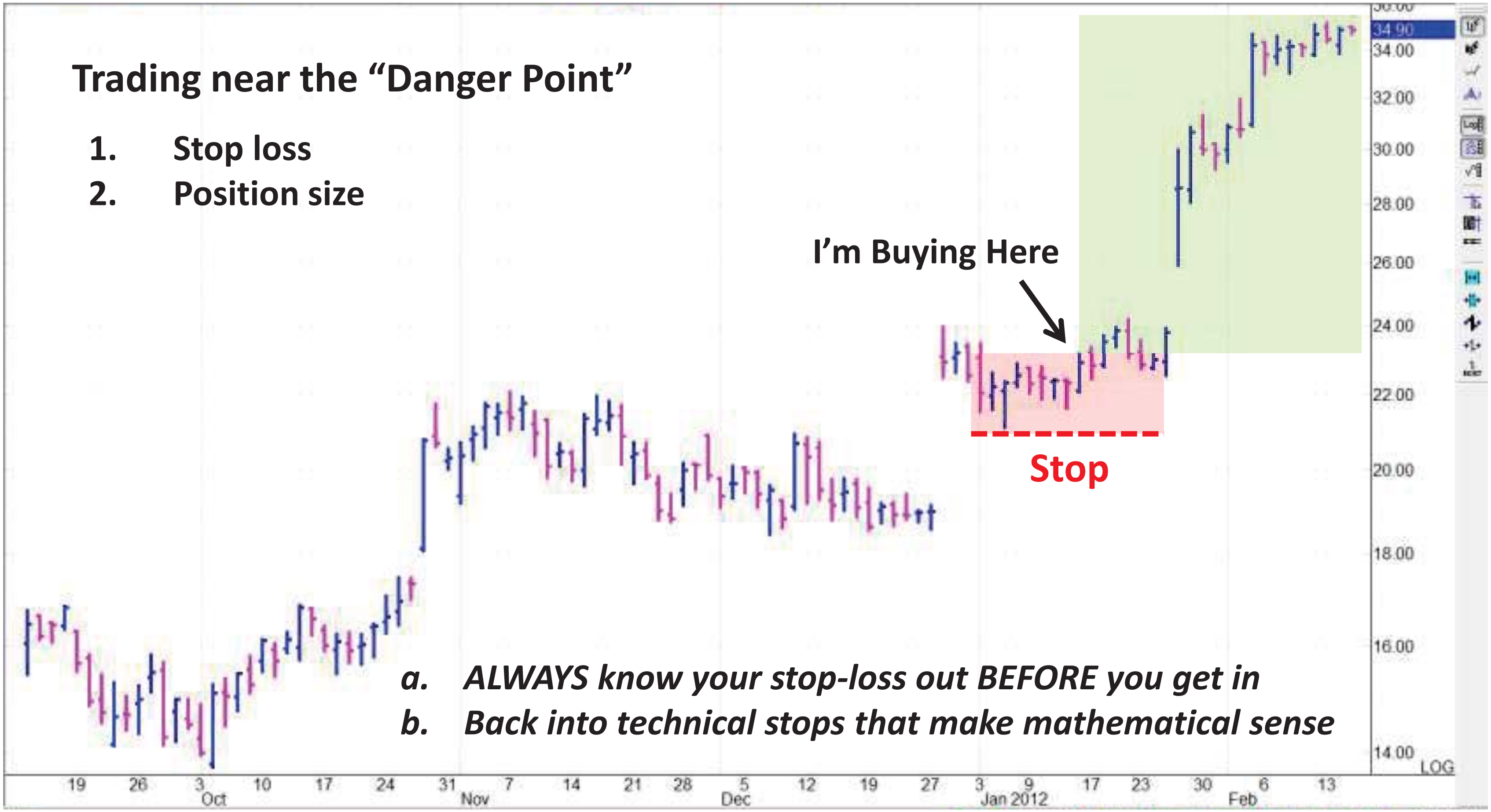
- ✓ Better and more accurate assumptions
- ✓ More optimal loss-cutting
- ✓ Better risk/reward management
- ✓ Improved decisiveness
- ✓ More consistent trading
- ✓ Greater strategic thinking

Next time you're thinking about to make a trading decision, ask yourself this question: *How is this going to look on my spreadsheet?*


Technical Stop
A
-6%


Mathematical Stop
B
-6%
-14%

Backing into Risk



Medivation – MDVN +120% in 9 months

Trading is not an on/off business

Build on success

- Small success leads to big success
- Let winning trades finance larger trades
- Scale up when trading well
- Scale back when trading poorly

@ 2:1 Reward/Risk – Every Win Finances Two Losses

1st TRADE	2nd TRADE	3rd TRADE
4% stop = $1000	4% stop = ($1000)	4% stop = ($1000)
2R profit = $2000	P/L +$1000	P/L Breakeven
WINNING TRADE	LOSING TRADE	LOSING TRADE

Progressive Exposure

Allow profits to finance risk

TRADE 1	TRADE 2	TRADE 3	TRADE 4
QUARTER POSITION	**HALF POSITION**	**FULL POSITION**	**HALF POSITION**
6.25% position	**12.5% position**	**25% position**	**12.5% position**
RISK = $500	**RISK = $1000**	**RISK = $2000**	**RISK = $1000**
2:1 profit = $1000	**2:1 profit = $2000**		
WINNING TRADE	**WINNING TRADE**	**LOSING TRADE**	**LOSING TRADE**
P/L +1000	**P/L +3000**	**P/L +1000**	**P/L $0**

Your goal is to trade your largest when you're trading your best… and trade smallest when you're trading your worst

1st TRADE
QUARTER POSITION

6.25% position
4% stop = $250
2:1 profit = $500
WINNING TRADE
P/L +500

2nd TRADE
HALF POSITION

12.5% position
4% stop = $500
2:1 profit = $1000
WINNING TRADE
P/L +1500

3rd TRADE
FULL POSITION

25% position
4% stop = ($1000)
2:1 profit = $2000
WINNING TRADE
P/L +3500

4TH TRADE
FULL POSITION

25% position
4% stop = $1000

5TH TRADE
FULL POSITION

25% position
4% stop = $1000

6TH TRADE
FULL POSITION

25% position
4% stop = $1000

7TH TRADE
HALF POSITION

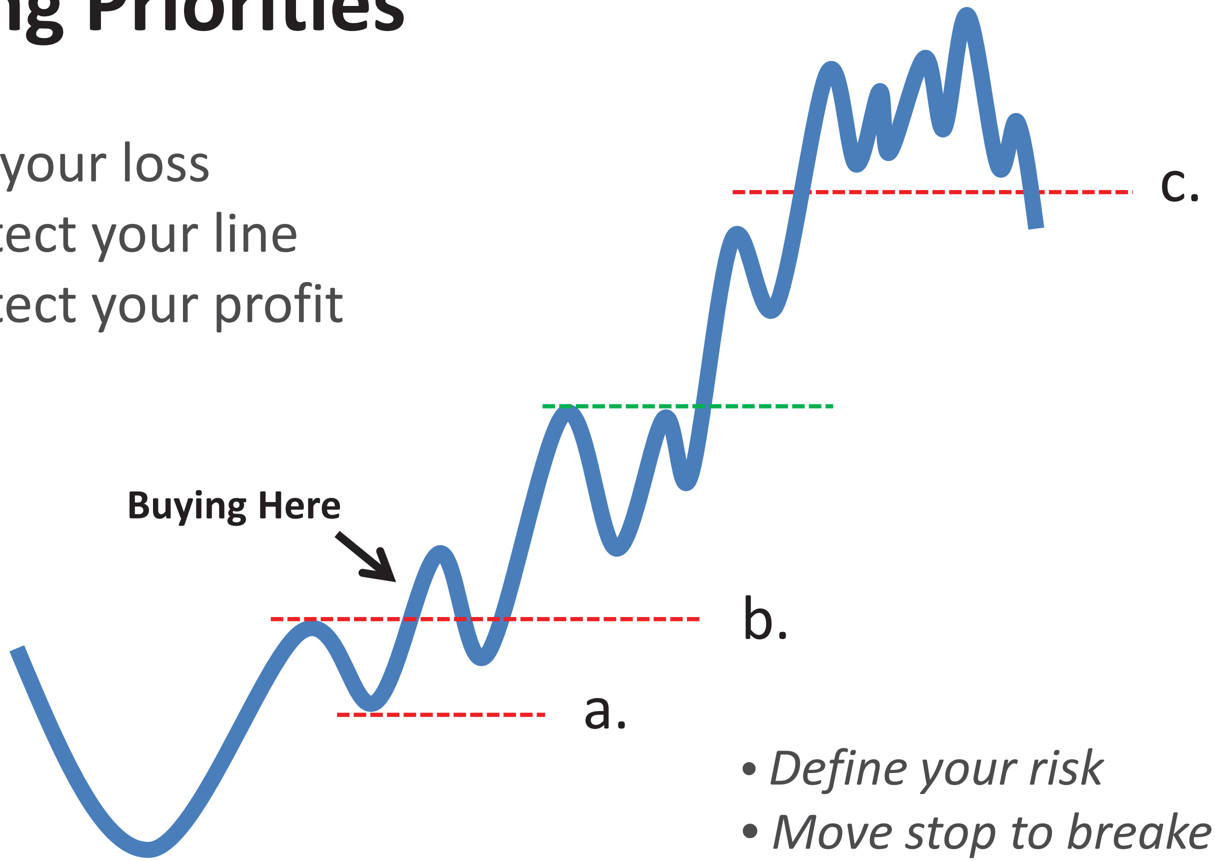
12.5% position
4% stop = $500

Let Profits Finance Your Risk

- ✓ Start with relatively small “Pilot Buys”
- ✓ DO NOT get aggressive until trades start working
- ✓ If you’re not trading well at 25% or 50% exposure, there is no reason to bump your exposure to 75%, 100% or on margin

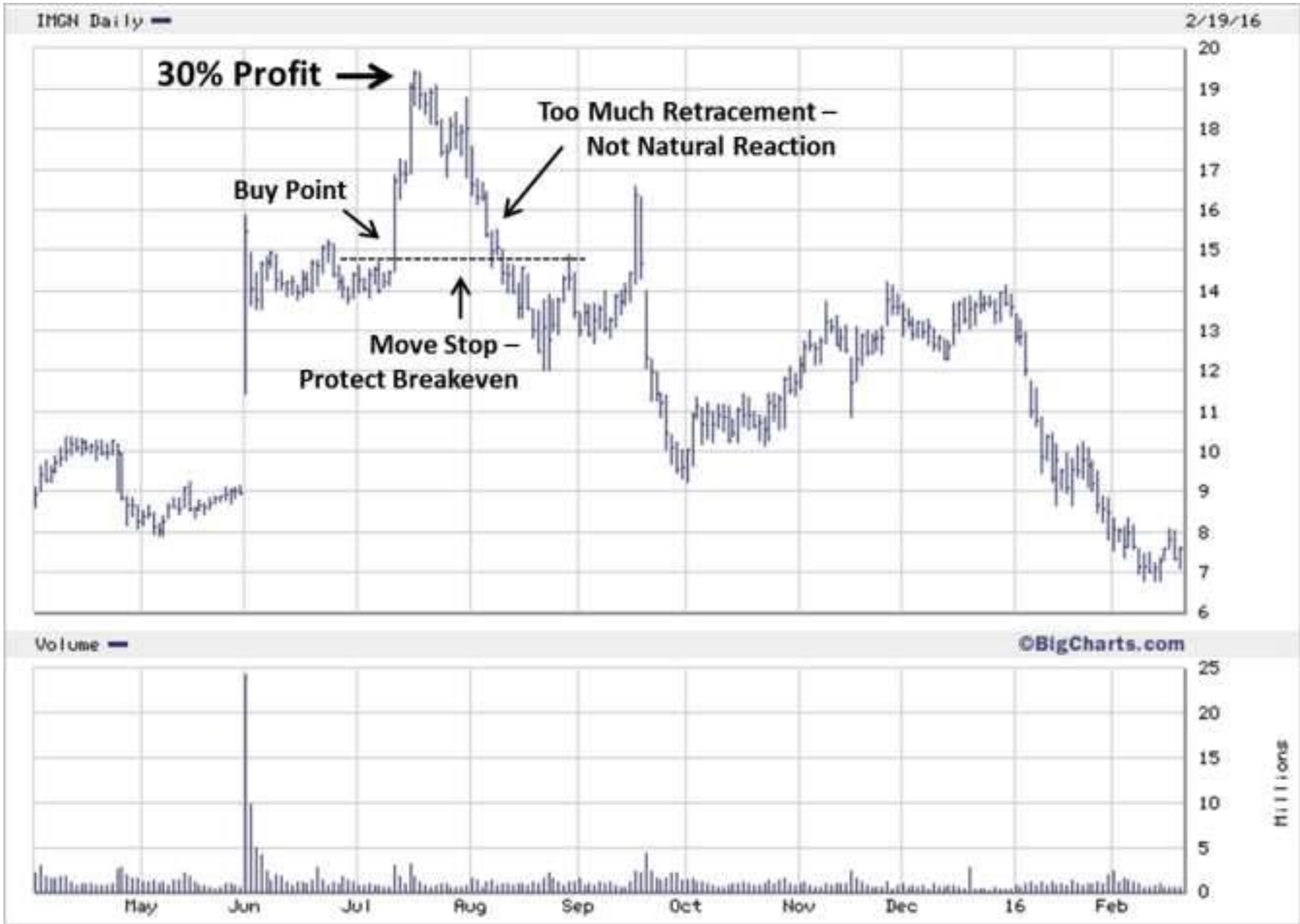
Trading Priorities

1. Cut your loss
2. Protect your line
3. Protect your profit



- *Define your risk*
- *Move stop to breakeven ASAP*
- *Protect decent gains*

Never Let a Good Size Gain Turn Into a Loss

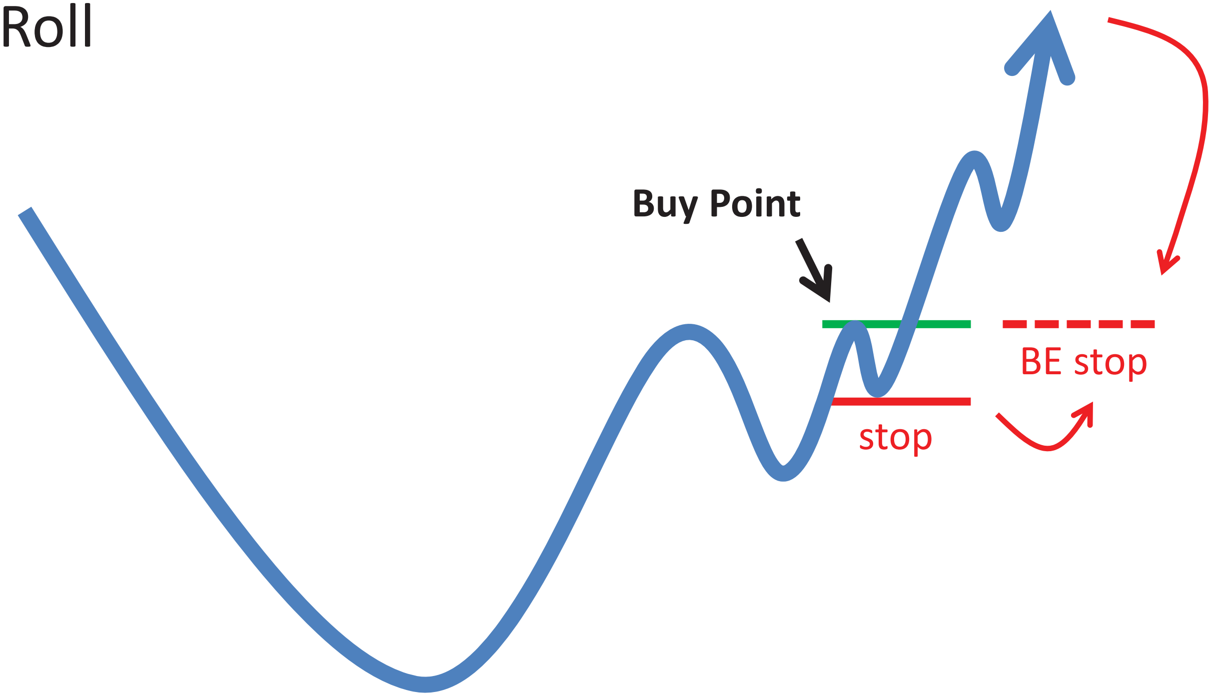


The Psychological Win/Win of Selling Half

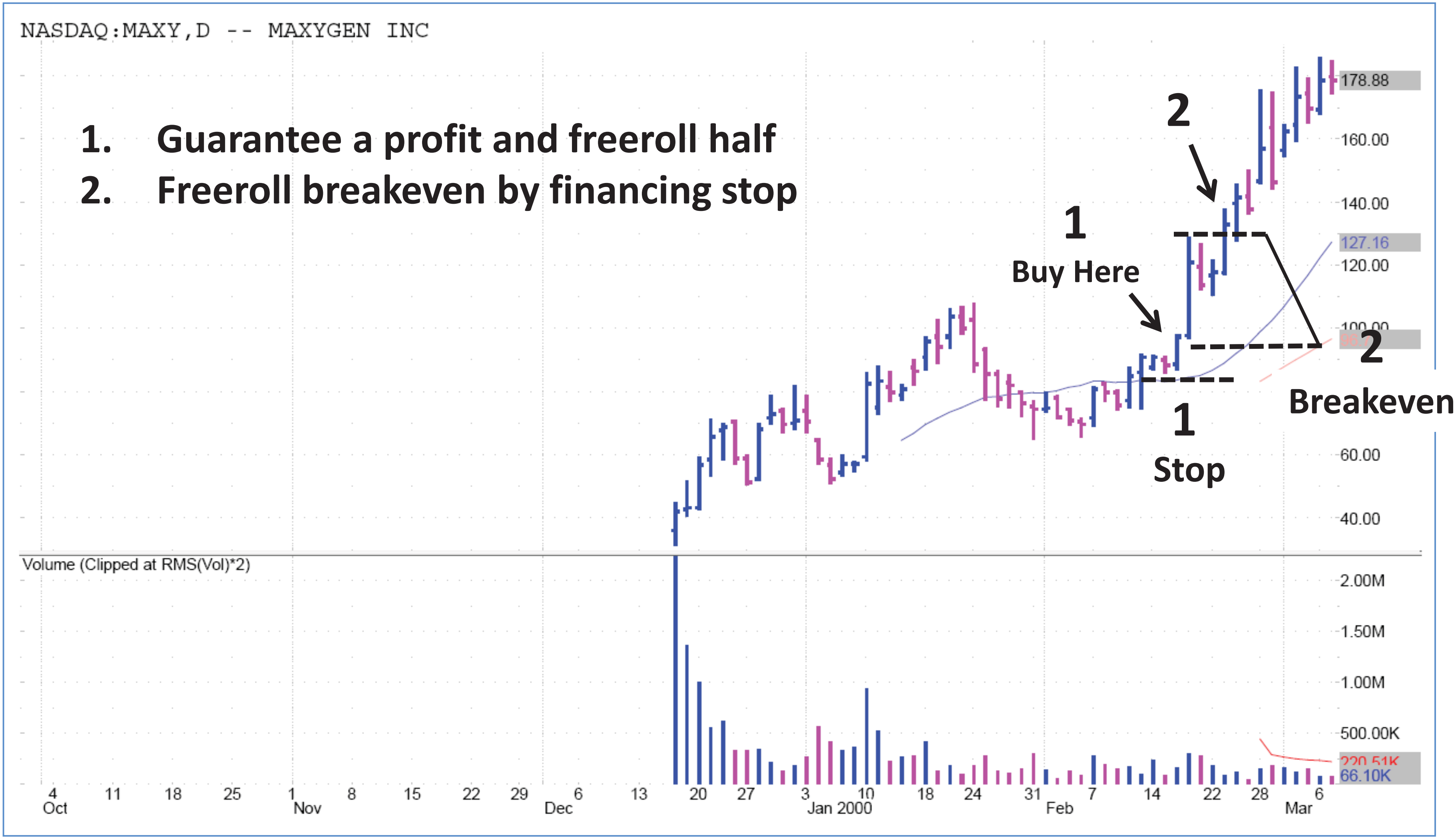
Reduce & Free-Roll

Two options:

1. **Freeroll your stop @ 2x risk**
2. **Freeroll breakeven**

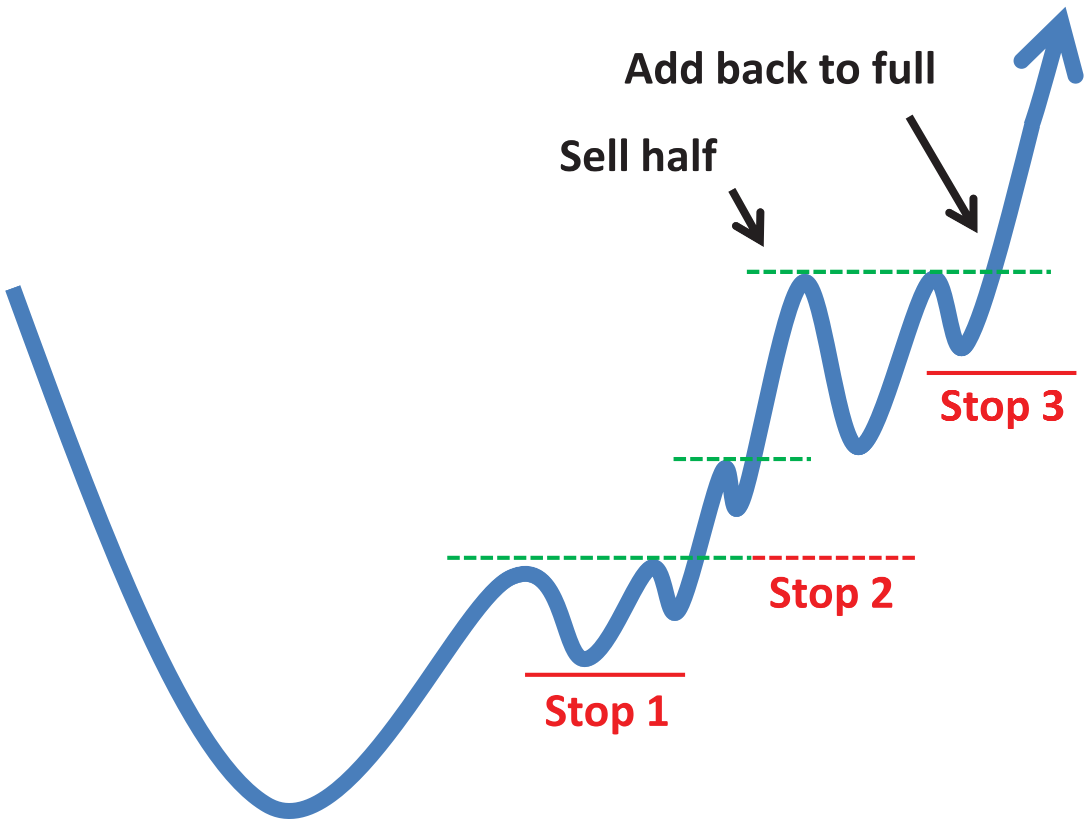


When at a multiple of risk and above average gain, consider selling half and raising stop to breakeven


NASDAQ:MAXY,D -- MAXYGEN INC
1. Guarantee a profit and freeroll half
2. Freeroll breakeven by financing stop
2
1
Buy Here
2
Breakeven
1
Stop
178.88
160.00
140.00
127.16
120.00
100.00
60.00
40.00
Volume (Clipped at RMS(Vol)*2)
2.00M
1.50M
1.00M
500.00K
220.51K
66.10K
4 Oct
11
18
25
1 Nov
8
15
22
29
6 Dec
13
20
27
3 Jan 2000
10
18
24
31 Feb
7
14
22
28
6 Mar

Reduce / Add Back

Trading around your position

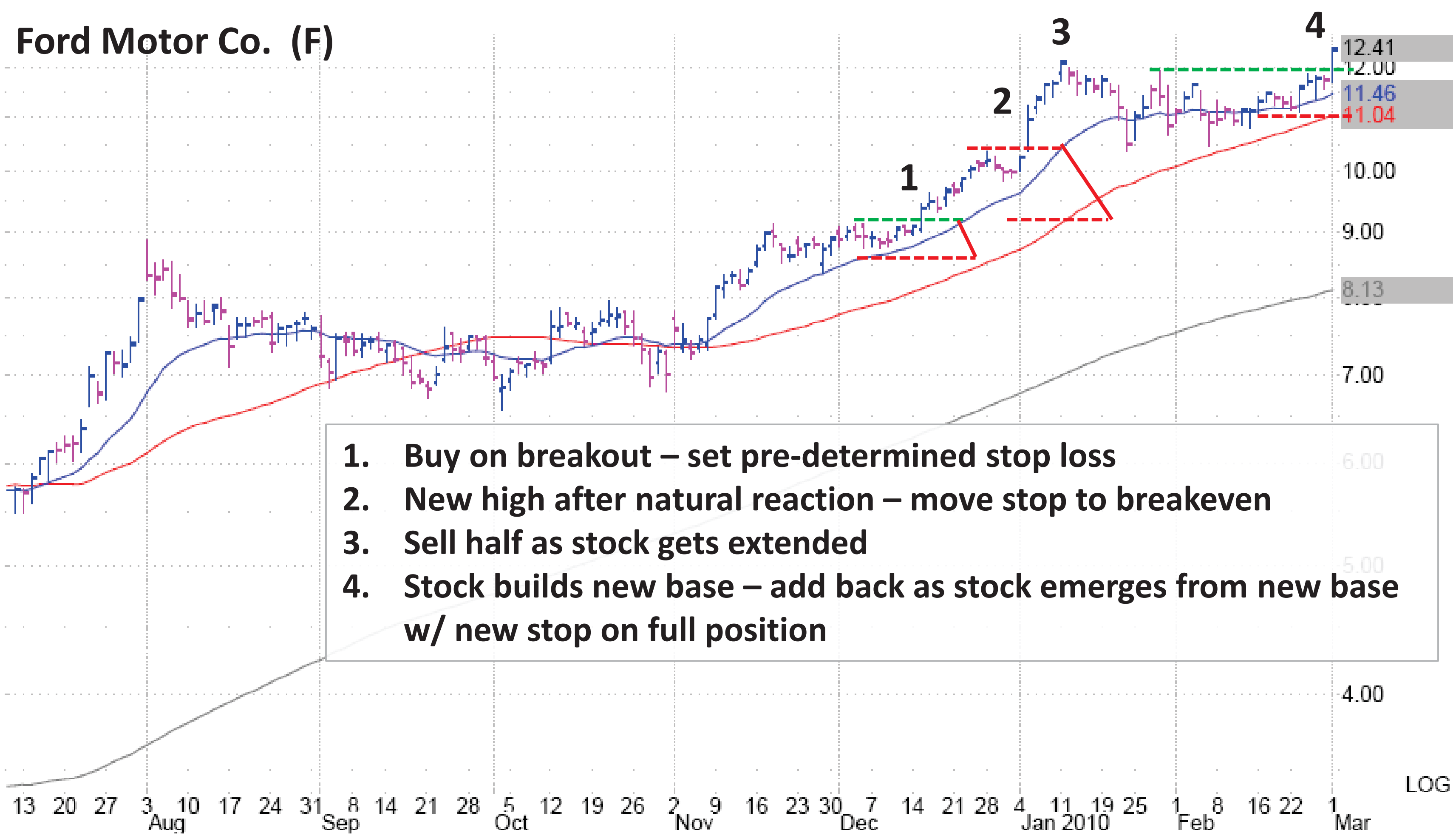


1. *Initiate position – set stop 1*

2. *Above average gain and multiple of risk reduce to half position – move stop on remaining shares to breakeven – stop 2*

3. *On new set-up, add back to full position – set stop 3 on all shares*

Trading Around Your Position

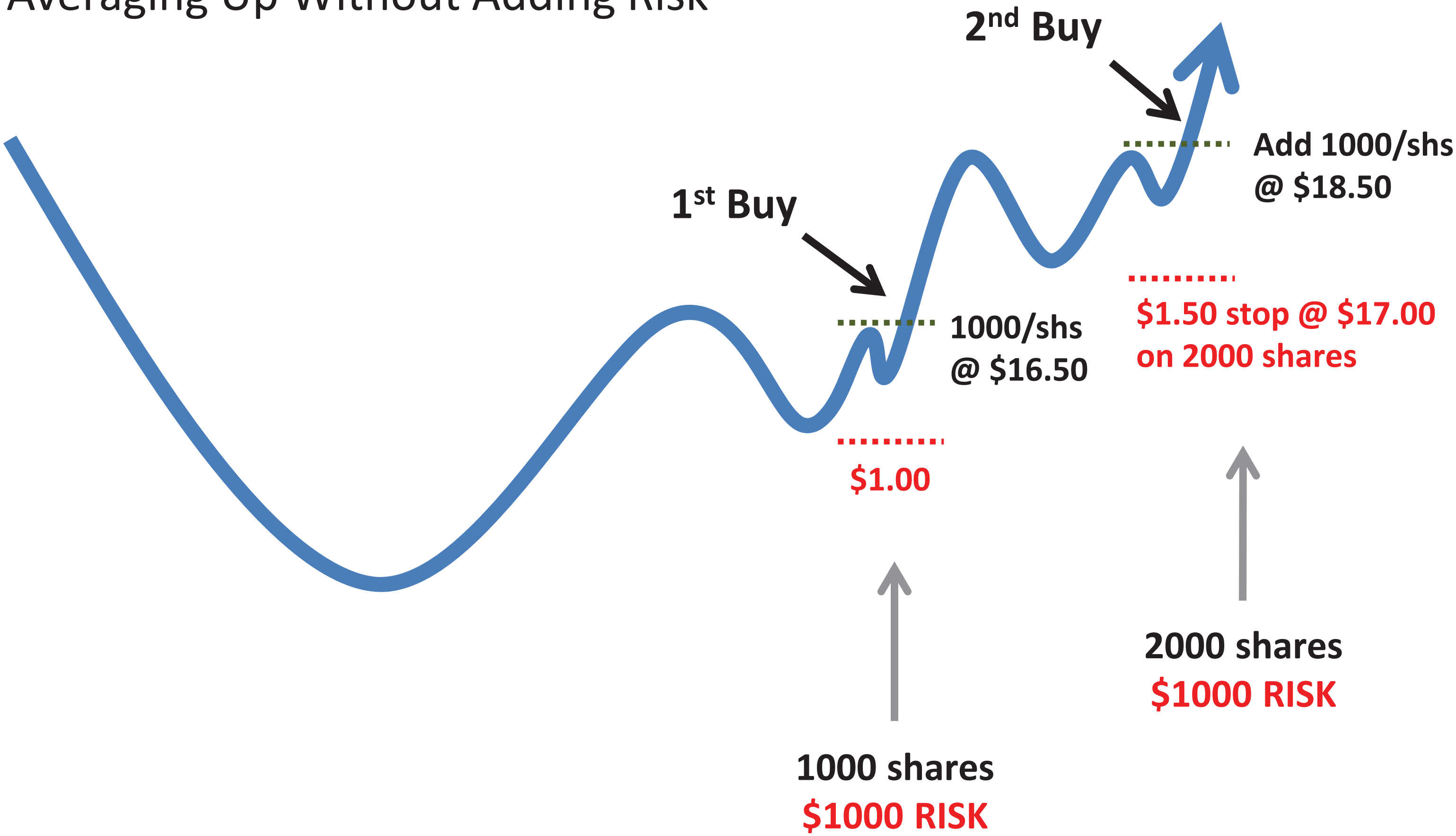


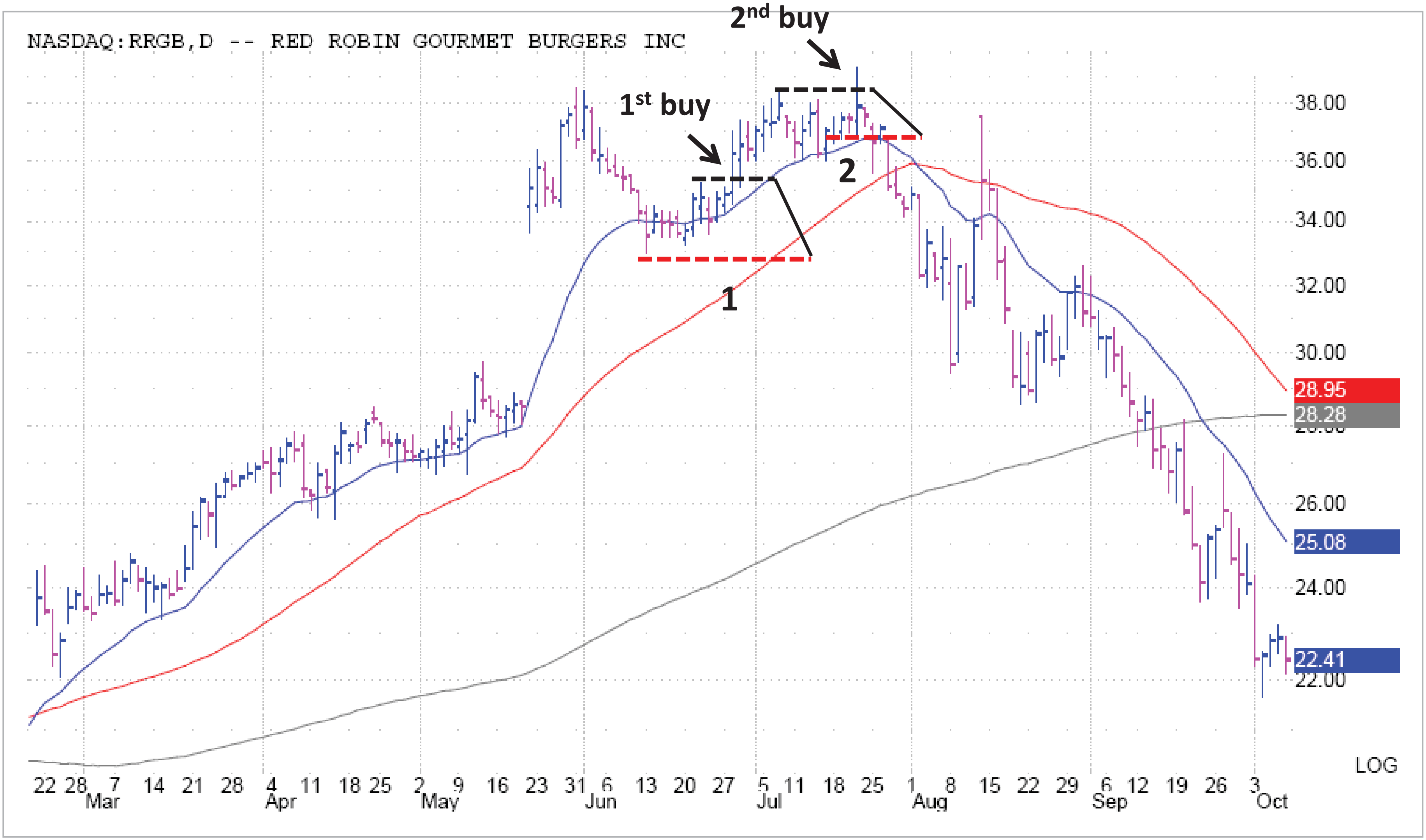
1. **Buy on breakout – set pre-determined stop loss**
2. **New high after natural reaction – move stop to breakeven**
3. **Sell half as stock gets extended**
4. **Stock builds new base – add back as stock emerges from new base w/ new stop on full position**

Rambus, Inc. +150% in 9 weeks / +1,450% percent in 37 months

The Add & Reduce

Averaging Up Without Adding Risk





NASDAQ:RRGB,D -- RED ROBIN GOURMET BURGERS INC
2nd buy
1st buy
2
1
38.00
36.00
34.00
32.00
30.00
28.95
28.28
26.00
25.08
24.00
22.41
22.00
LOG
22 28 7 14 21 28 4 11 18 25 2 9 16 23 31 6 13 20 27 5 11 18 25 1 8 15 22 29 6 12 19 26 3
Mar Apr May Jun Jul Aug Sep Oct

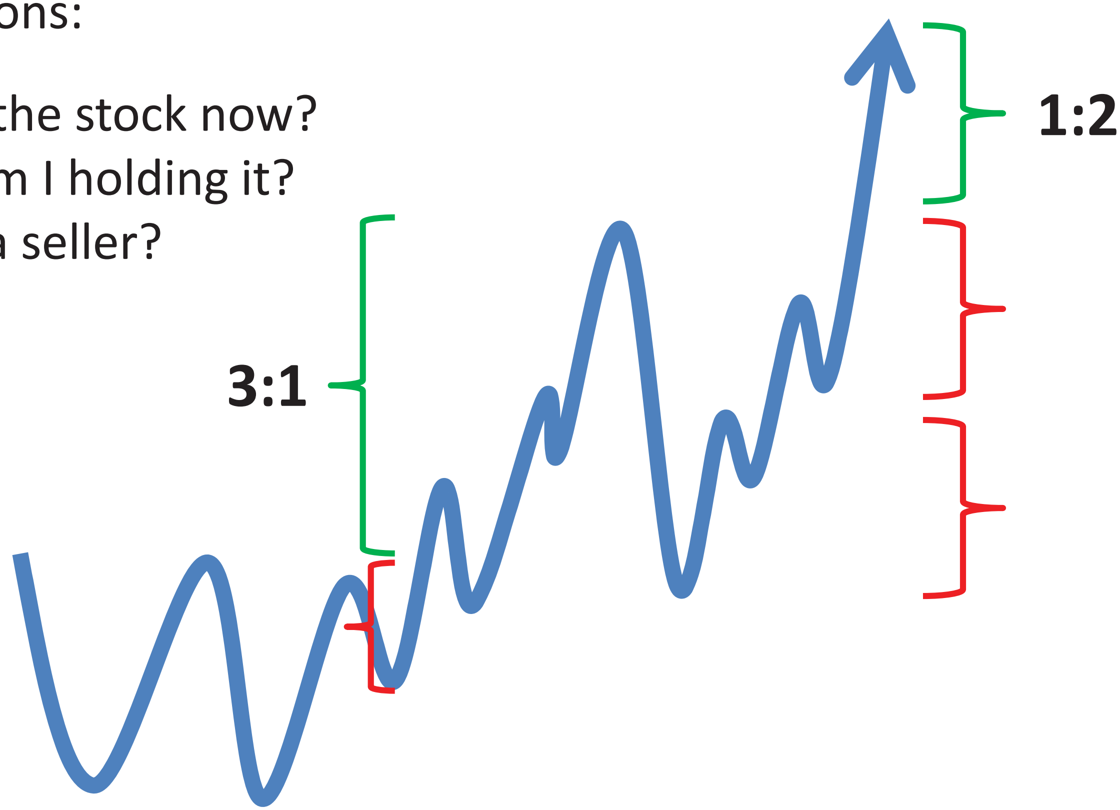
Is This a Good Trade?


+41%
+29%
+8%
Bought here
w/6% stop
-6%
-16%
24.00
23.00
22.40
22.00
21.00
20.00
19.00
18.00
17.00
16.00
15.00
14.00
13.00
11 18 25 1 8 15 22 29 6 12 19 26 3 10 17 24 31 7 14 21 28 5 12 19 27 3 9
Aug
Sep
Oct
Nov
Dec
Jan 2012

Always Think Risk vs. Reward

Evaluate your position everyday –
ask yourself 3 questions:

a. Would I buy the stock now?
b. If not, why am I holding it?
c. Where am I a seller?



NASDAQ:BODY,D -- BODY CENT CORP
+27%
+78%
+40%
Bought Here
Stop
-27%
26.00
24.00
21.89
20.00
18.00
16.00
14.00
12.00
Volume (Clipped at RMS(Vol)*2)
800.00K
600.00K
455.57K
400.00K
195.79K
0
13 20 27 4 11 18 25 1 8 15 22 29 6 13 20 27 3 10 18 24 31 7 14 22 28 7 14 21 28 4 11 18 25 2
Oct Nov Dec Jan 2011 Feb Mar Apr May

The Power of Numbers

TRD	% G/L	$ P/L	CUM BAL	CUM %	$ P/L	CUM BAL	CUM %
			$ 100,000			$ 100,000	
1	50%	$ 50,000	$ 150,000	50%	$ 50,000	$ 150,000	50.00%
2	-40%	$ (40,000)	$ 110,000	10%	$ (60,000)	$ 90,000	-10.00%
3	50%	$ 50,000	$ 160,000	60%	$ 45,000	$ 135,000	35.00%
4	-40%	$ (40,000)	$ 120,000	20%	$ (54,000)	$ 81,000	-19.00%
5	50%	$ 50,000	$ 170,000	70%	$ 40,500	$ 121,500	21.50%
6	-40%	$ (40,000)	$ 130,000	30%	$ (48,600)	$ 72,900	-27.10%
7	50%	$ 50,000	$ 180,000	80%	$ 36,450	$ 109,350	9.35%
8	-40%	$ (40,000)	$ 140,000	40%	$ (43,740)	$ 65,610	-34.39%
9	50%	$ 50,000	$ 190,000	90%	$ 32,805	$ 98,415	-1.59%
10	-40%	$ (40,000)	$ 150,000	50%	$ (39,366)	$ 59,049	-40.95%
11	50%	$ 50,000	$ 200,000	100%	$ 29,525	$ 88,574	-11.43%
12	-40%	$ (40,000)	$ 160,000	60%	$ (35,429)	$ 53,144	-46.86%
13	50%	$ 50,000	$ 210,000	110%	$ 26,572	$ 79,716	-20.28%
14	-40%	$ (40,000)	$ 170,000	70%	$ (31,886)	$ 47,830	-52.17%
15	50%	$ 50,000	$ 220,000	120%	$ 23,915	$ 71,745	-28.26%
16	-40%	$ (40,000)	$ 180,000	80%	$ (28,698)	$ 43,047	-56.95%
17	50%	$ 50,000	$ 230,000	130%	$ 21,524	$ 64,570	-35.43%
18	-40%	$ (40,000)	$ 190,000	90%	$ (25,828)	$ 38,742	-61.26%
19	50%	$ 50,000	$ 240,000	140%	$ 19,371	$ 58,113	-41.89%
20	-40%	$ (40,000)	$ 200,000	100%	$ (23,245)	$ 34,868	-65.13%
21	50%	$ 50,000	$ 250,000	150%	$ 17,434	$ 52,302	-47.70%
22	-40%	$ (40,000)	$ 210,000	110%	$ (20,920)	$ 31,381	-68.62%
23	50%	$ 50,000	$ 260,000	160%	$ 15,690	$ 47,072	-52.93%
24	-40%	$ (40,000)	**$ 220,000**	120%	$ (18,829)	**$ 28,243**	-71.76%

When to Hold Through Earnings?

6% Profit Cushion
Buy Point
Stop
Earnings
Reported
Chart
EA
D
01/28/2014
P 40.39
O 24.55
H 25.01
L 24.44
C 24.87
MA n/a
38.00
32.00
30.00
28.00
26.00
24.00
22.00
25000000
20000000
15000000
10000000
0
Mar
Apr
May
Jun
Jul
Aug

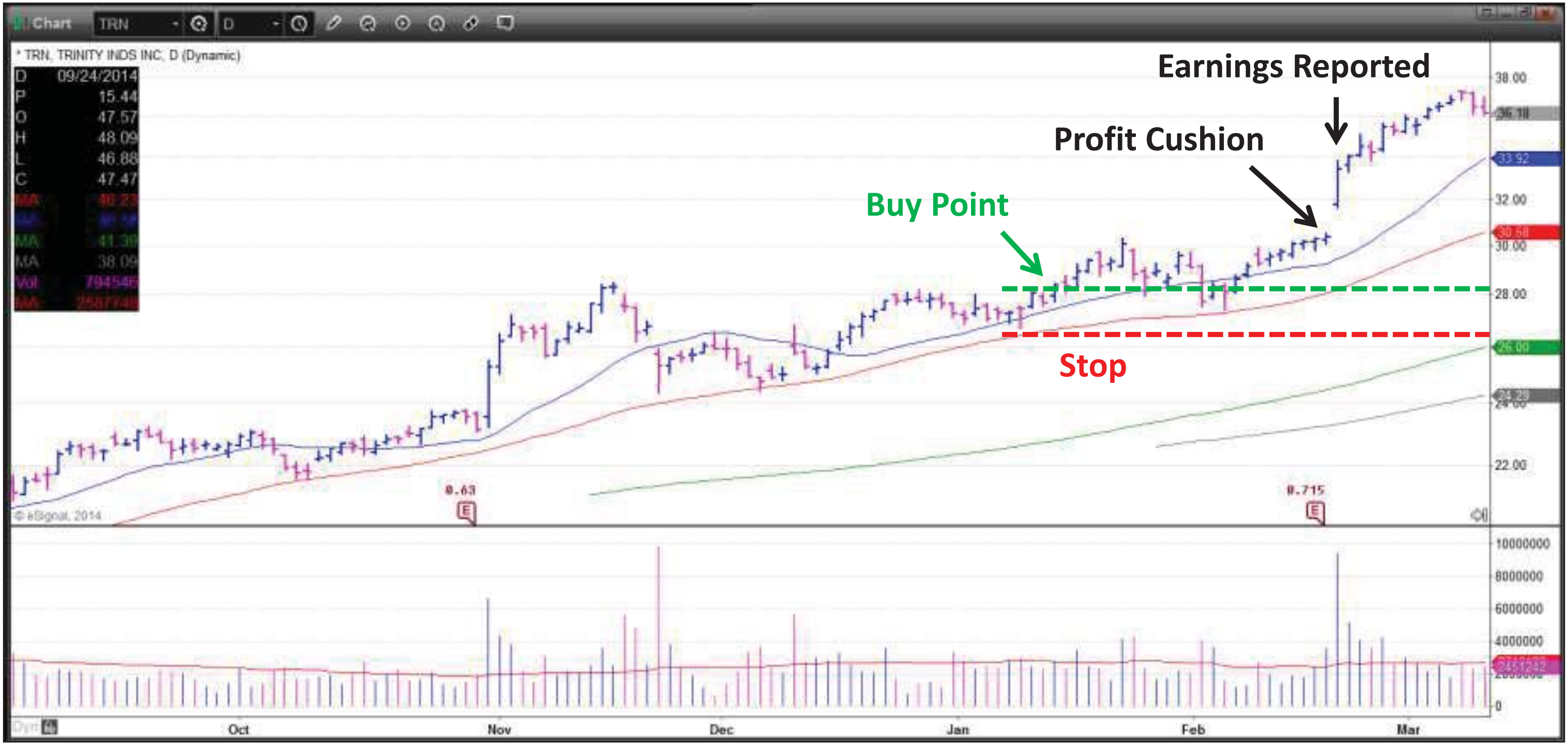


Chart
TRN
* TRN, TRINITY INDS INC, D (Dynamic)
Earnings Reported
Profit Cushion
Buy Point
Stop
38.00
32.00
30.00
28.00
22.00
0.63
0.715
© eSignal, 2014
10000000
8000000
6000000
4000000
0
Oct
Nov
Dec
Jan
Feb
Mar

Calculating Potential Volatility Using Options

CALLS			PUTS	
Bid	Ask	Strike	Bid	Ask
3.00	3.50	**160**	2.50	2.75

1. Find closest strike price
2. Add ask prices of calls + puts
3. Divide total by current stock price

- ➢ $162 stock price
- ➢ 6.25
- ➢ Divide 6.25 by 162 = 0.0386
- ➢ x100

Potential Price Move 3.86% in Either Direction

Stop Placement

Very tight: 3% or less
Average: 4-6%
Max: 7-8%
Uncle Point: 10%
(generally used with staggered stops)

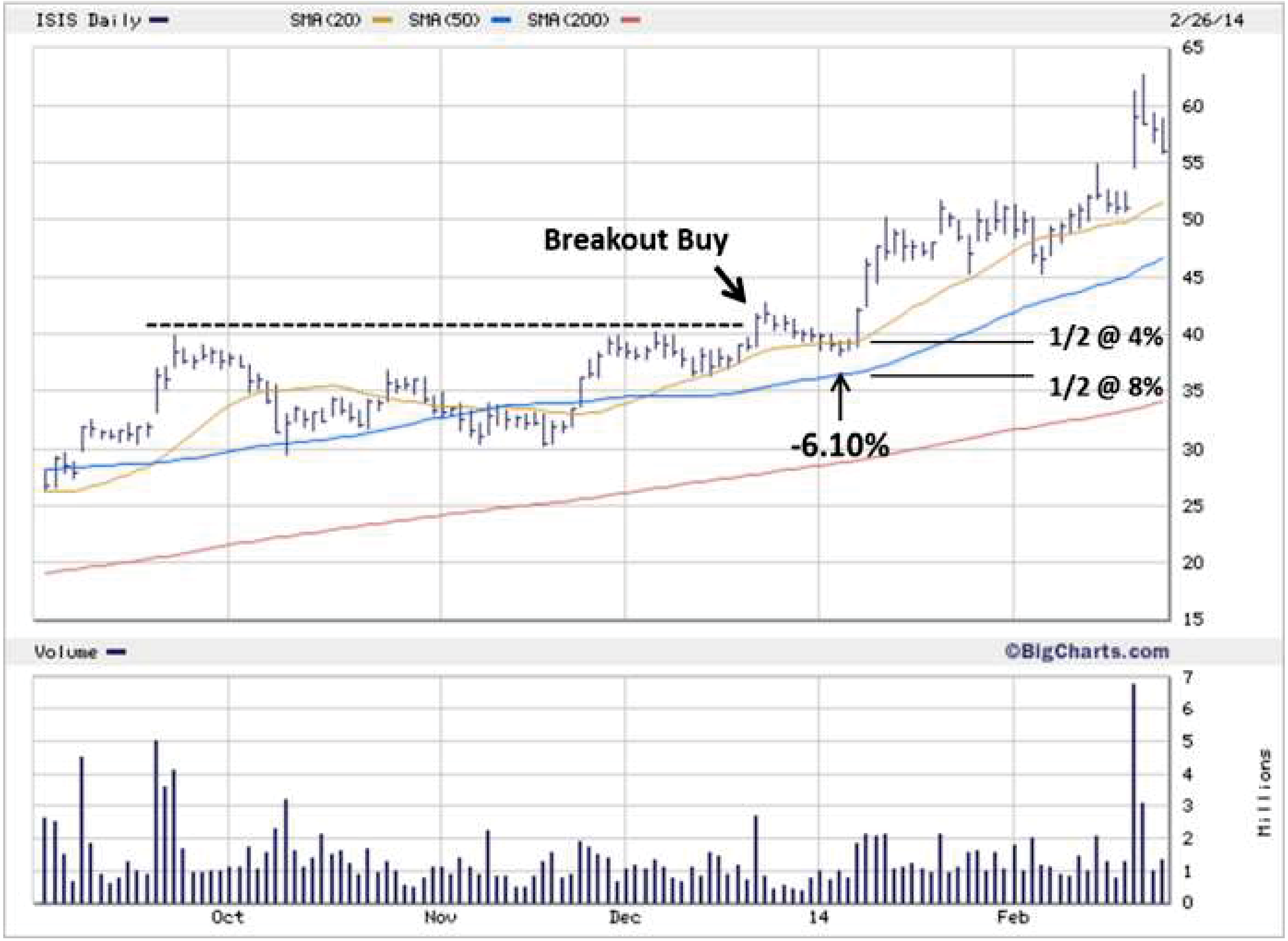
Staggered – Bracketed Stops

$\frac{6\%}{1/2}$ $\frac{10\%}{1/2}$ **= 8%**

$\frac{4\%}{1/2}$ $\frac{8\%}{1/2}$ **= 6%**

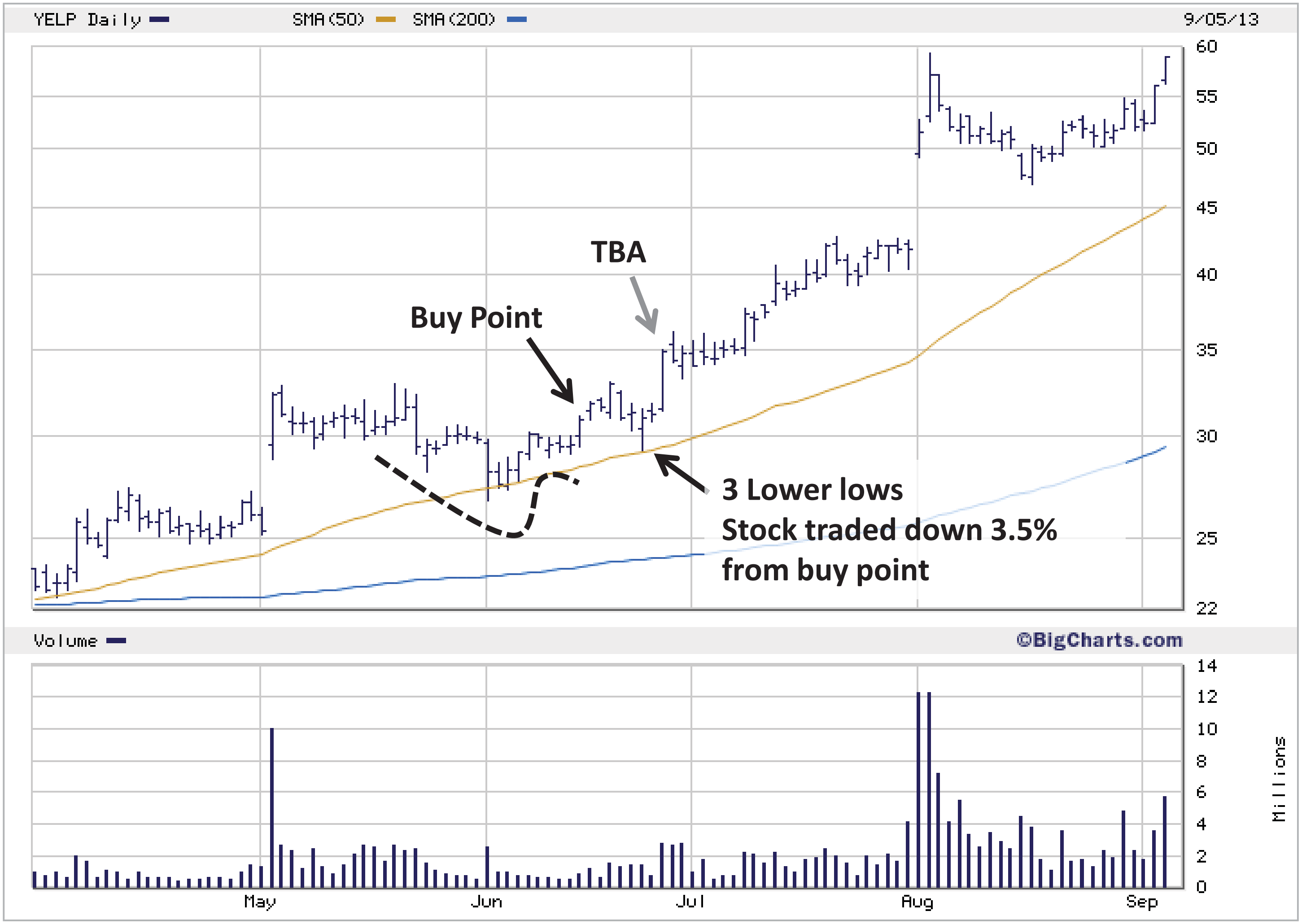
Isis Pharmaceuticals

+54% in 2 months



Try Not to Choke Off the Trade

Yelp Inc. – 2013



Position Sizing Guidelines

- 1.25% - 2.50% risk of total equity
- 8% - 10% absolute max stop per trade
- Average loss no more than 5-6% per trade
- Never take a position larger than 50%
- Shoot for optimal 20-25% positions
- 4-5 big positions – 8-16 stocks max.

Desired Return	40%
Position Size	**10%**
Average Gain	12%
Average Loss	6%
Batting Average	40%
Number of Trades Needed	**334**

Desired Return	40%	Desired Return	40%
Position Size	**10%**	**Position Size**	**25%**
Average Gain	12%	Average Gain	12%
Average Loss	6%	Average Loss	6%
Batting Average	40%	Batting Average	40%
Number of Trades Needed	**334**	**Number of Trades Needed**	**134**

Desired Return	40%	**Desired Return**	**100%**
Position Size	**25%**	Position Size	25%
Average Gain	12%	Average Gain	12%
Average Loss	6%	Average Loss	6%
Batting Average	40%	Batting Average	40%
Number of Trades Needed	**134**	**Number of Trades Needed**	**334**

How Much Risk is Too Much?

Risk of Total Equity (ROTE)

12.5% position
10% stop
1.25% ROTE

1.25% = $1,250
$100,000 x 12.5% =$12,500
$12,500 x 10% = **$1,250**

25% position
5% stop
1.25% ROTE

1.25% = $1,250
$100,000 x 25% = $25,000
$25,000 x 5% = **$1,250**

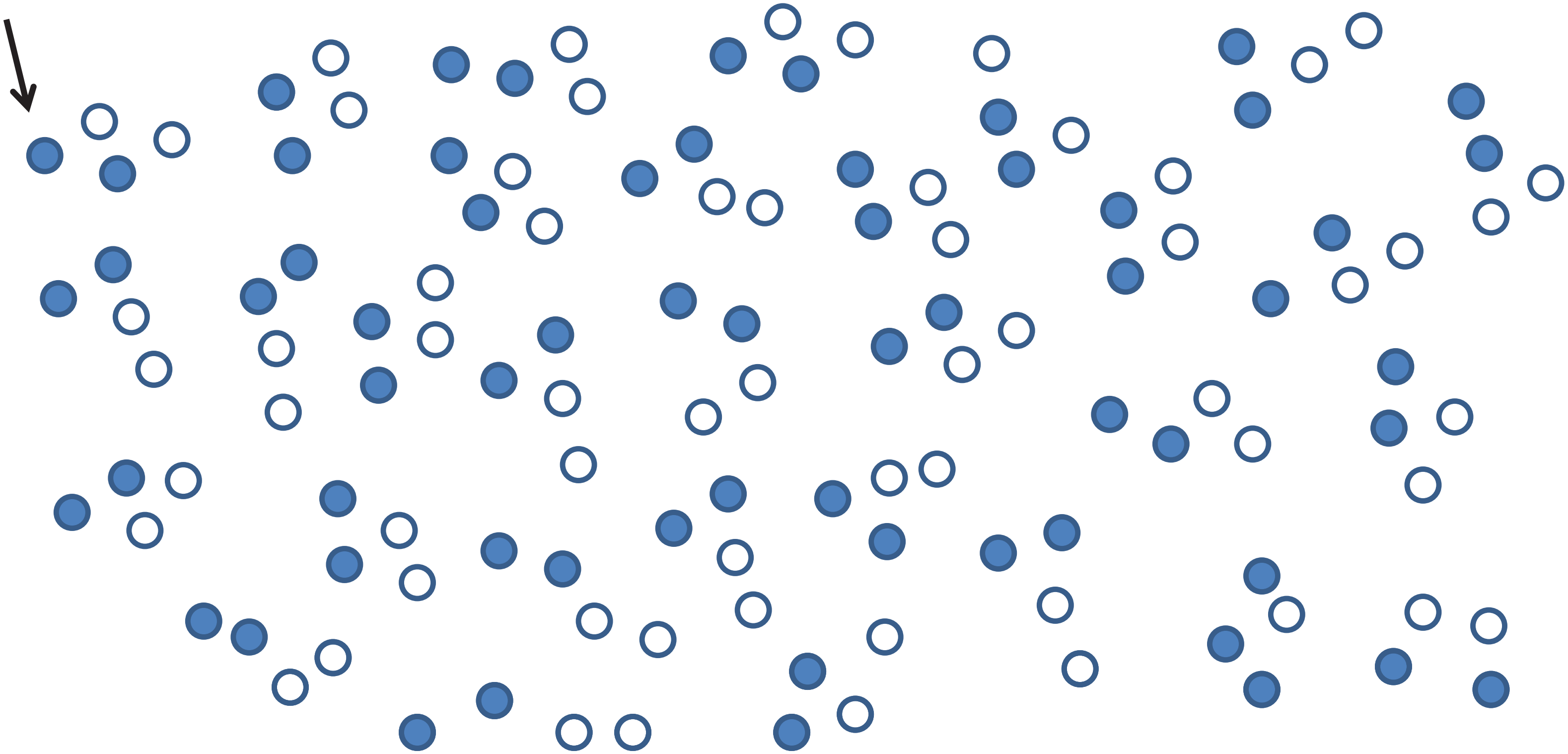
50% position
2.5% stop
1.25% ROTE

1.25% = $1,250
$100,000 x 50% = $50,000
$50,000 x 2.5% = **$1,250**

As a trader, which is the better deal?

A. $1,000 guaranteed?
B. $1 million dollars with a 1% chance of losing everything?

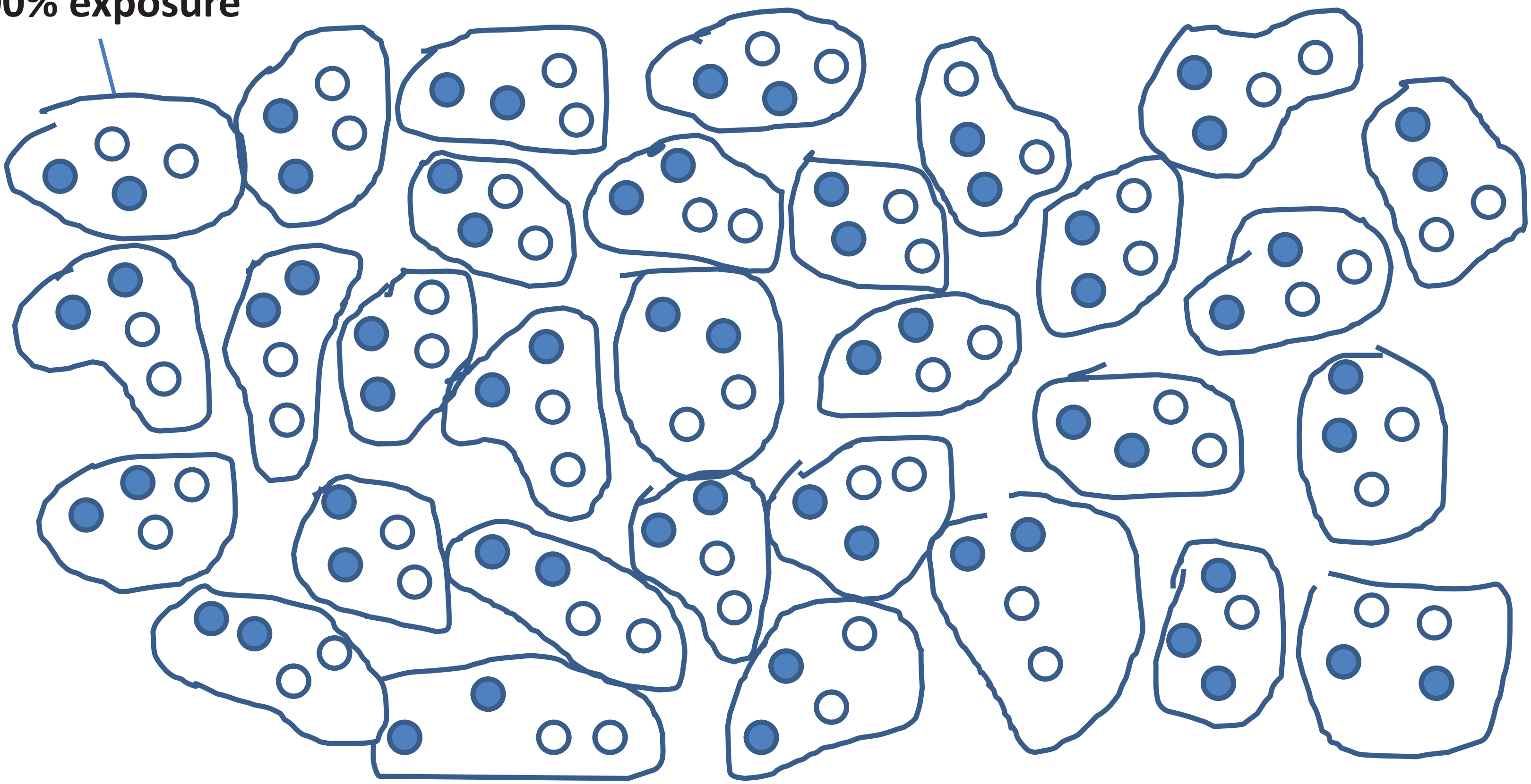
25% position
25% exposure



124 trades – 50% profitable

Average Gain 12.50% -- Average Loss 6.25% = TOTAL RETURN 96.5%

25% positions
100% exposure



124 trades – 50% profitable

Average Gain 12.50% -- Average Loss 6.25% **= TOTAL RETURN?**

Opportunity Cost

1 x 75%	***75%***
3 x 20%	***73%***
6 x 10%	***77%***
12 x 5%	***79%***

Major Topics Covered

- ✓ Categories
- ✓ Valuation
- ✓ The Trend
- ✓ Fundamentals
- ✓ Price & Volume
- ✓ Entry Points
- ✓ Risk Management
- ✓ Position Sizing

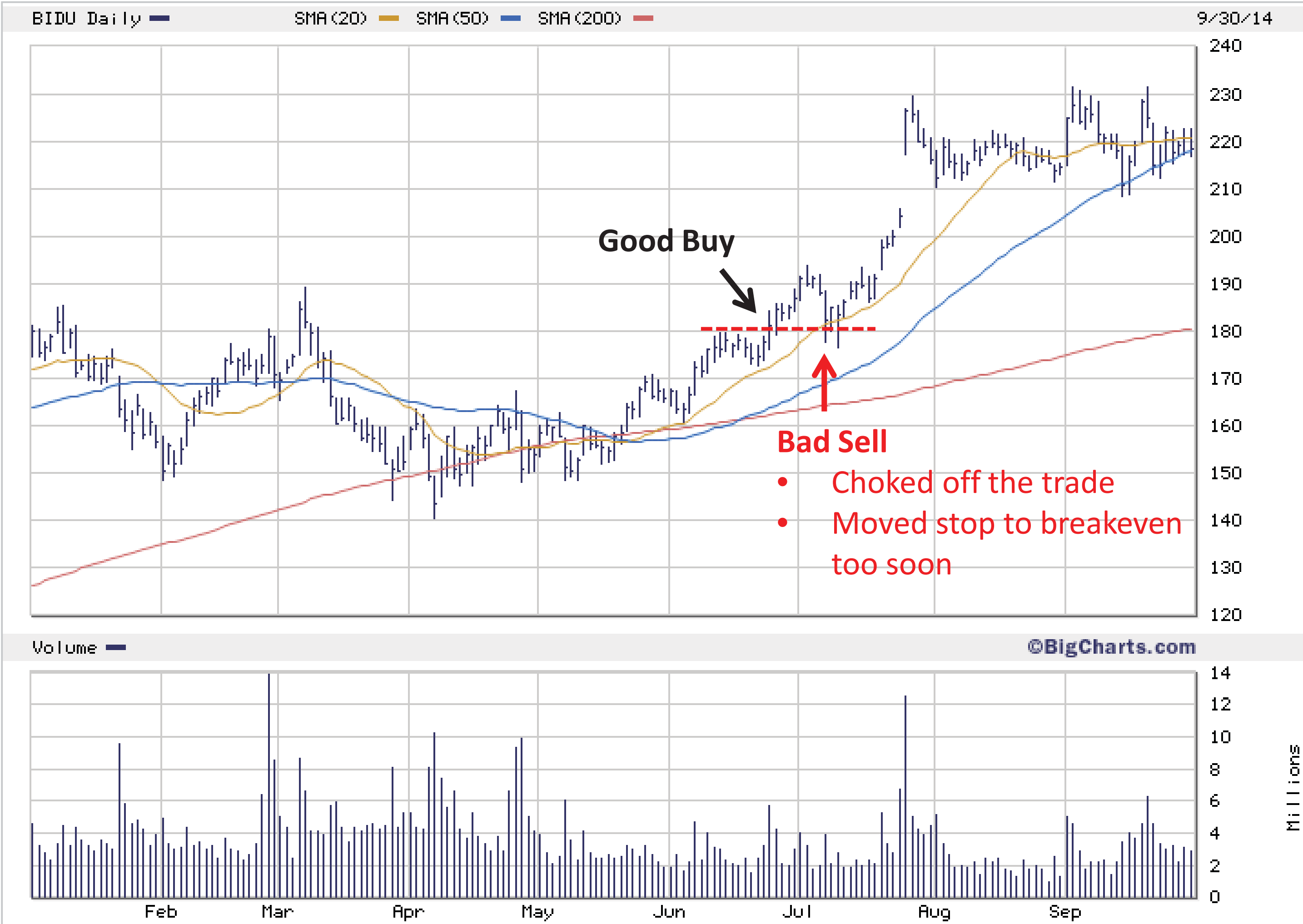
Post-Analysis

Grading the Trade

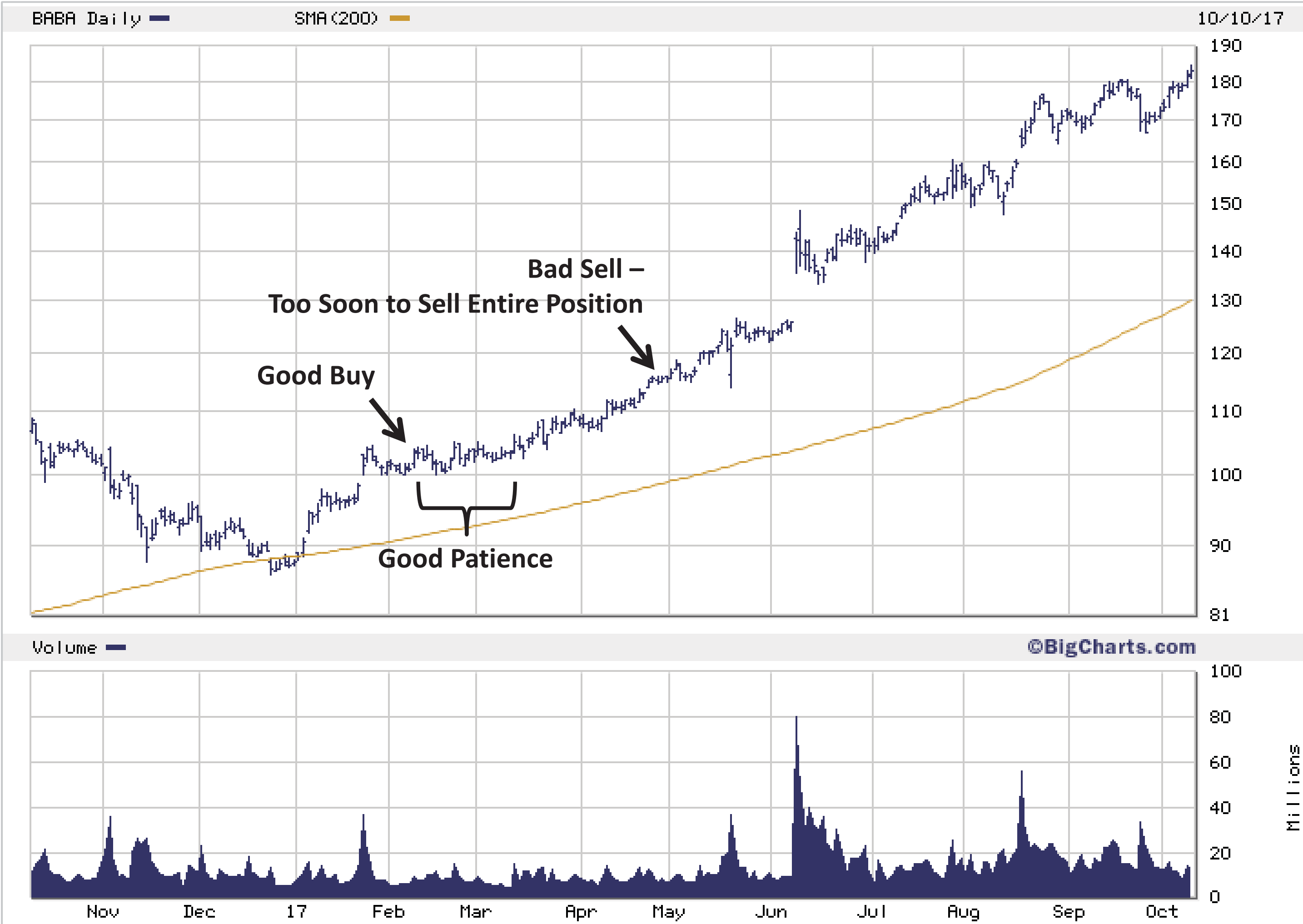

ALK, ALASKA AIR GROUP INC, D (Dynamic)
Extended PB Buy
10% Loss
Late Sell


CLSN, CELSION CORPORATION, D (Dynamic) [Not Entitled]
Good Buy
Good Sell
15.64% Loss
Sep
17
Oct
16
Nov
16
Dec
17
2013
16
Feb
19

Baidu Inc. Ads



Alibaba Group Hldg Ads



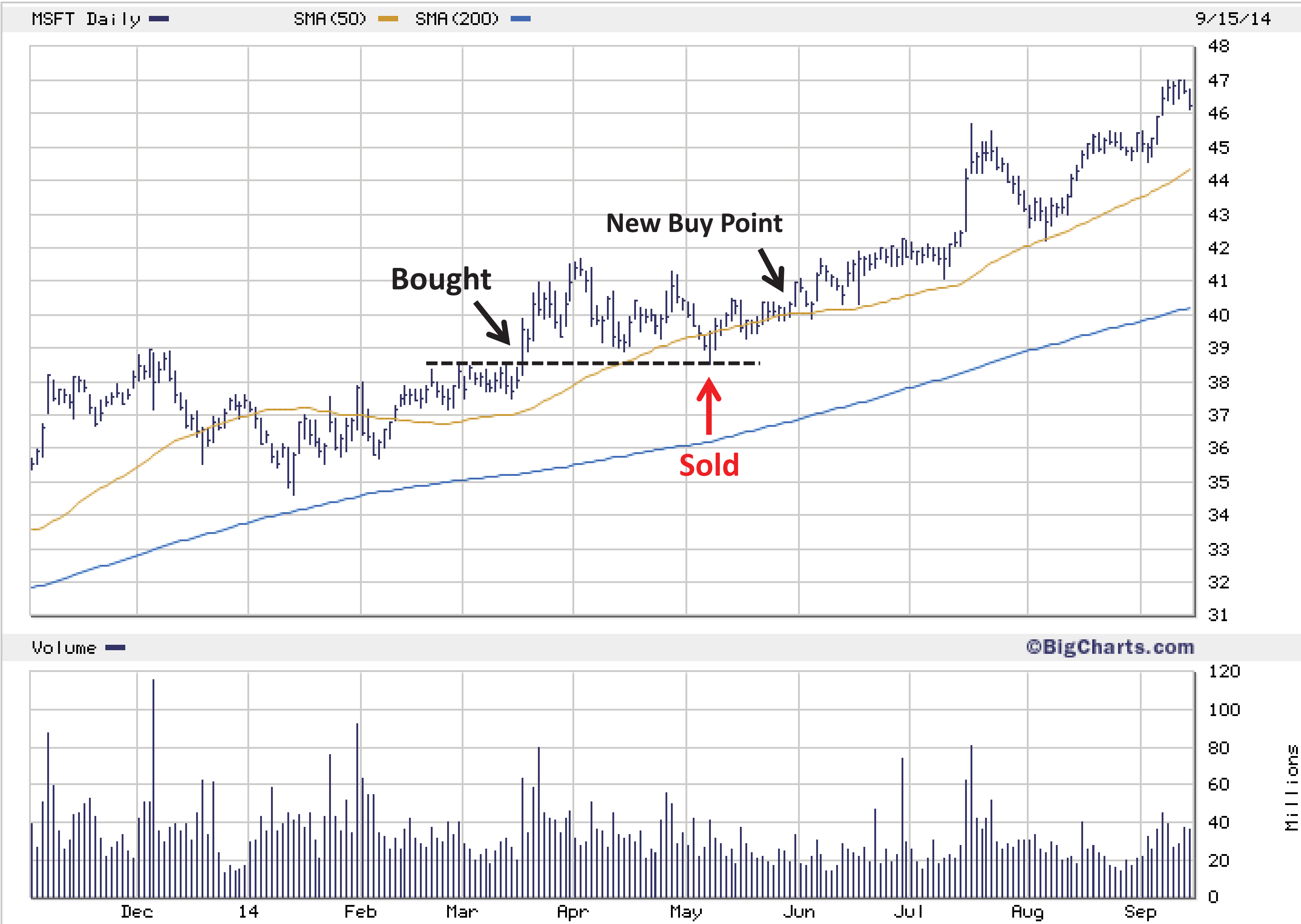
Alcoa Corp.

AA Daily
7/01/15
Bad Buy
Good Sell
18.0
17.5
17.0
16.5
16.0
15.5
15.0
14.5
14.0
13.5
13.0
12.5
12.0
11.5
11.0
10.5
Volume
©BigCharts.com
80
60
40
20
0
Millions
Aug
Sep
Oct
Nov
Dec
15
Feb
Mar
Apr
May
Jun

GENT, GENTIUM S P A, D (Dynamic)
Bad Sell – Too Soon to Sell Entire Position
Good Buy
+20% Profit


Chart
GPS
GPS, GAP INC DEL, D (Dynamic)
Sold
+20% Profit
Bought
37.00
35.00
33.00
32.00
31.00
30.00
28.00
27.00
26.00
25.00
20000000
16000000
12000000
0
Apr
16
May
16
Jun
18
Jul
16
Aug
16
Sep
17

Microsoft Corp.



The Report Card

ENTRY POINT

- Bought too soon 5%
- Bought too late 20%
- Bought perfect 60%
- Faulty set-up 15%

EXIT AT PROFIT

- Sold too soon 70%
- Sold too late 15%
- Sold perfect 15%

EXIT AT LOSS

- Cut loss perfect 65%
- Cut loss too late 20%
- Cut loss too soon 15%

Indecisiveness

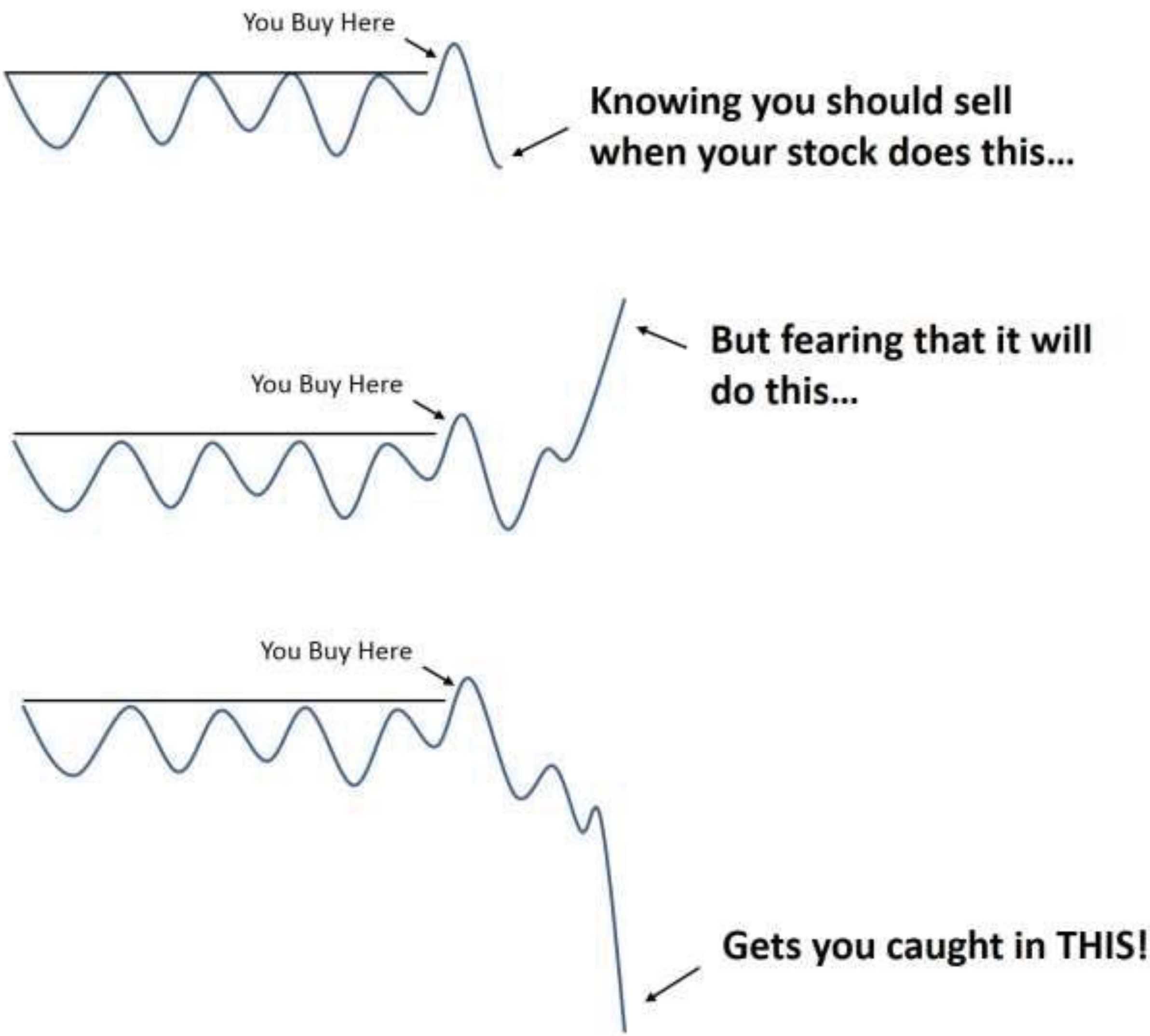
Should I buy?
Should I sell?
Should I hold?

Regret

I Should have bought!
I Should have sold!
I Should have held!

We fail to take a profit for fear that the stock will go higher and we will be wrong

We fail to cut our loss for fear that the stock will go higher and we will be wrong twice!


You Buy Here
Knowing you should sell when your stock does this...
You Buy Here
But fearing that it will do this...
You Buy Here
Gets you caught in THIS!


Knowing you should sell when your stock does this...
You Buy Here
But fearing that it will do this...
You Buy Here
You Buy Here
Gets you caught in THIS!

Trading is Not About Being Right or Wrong

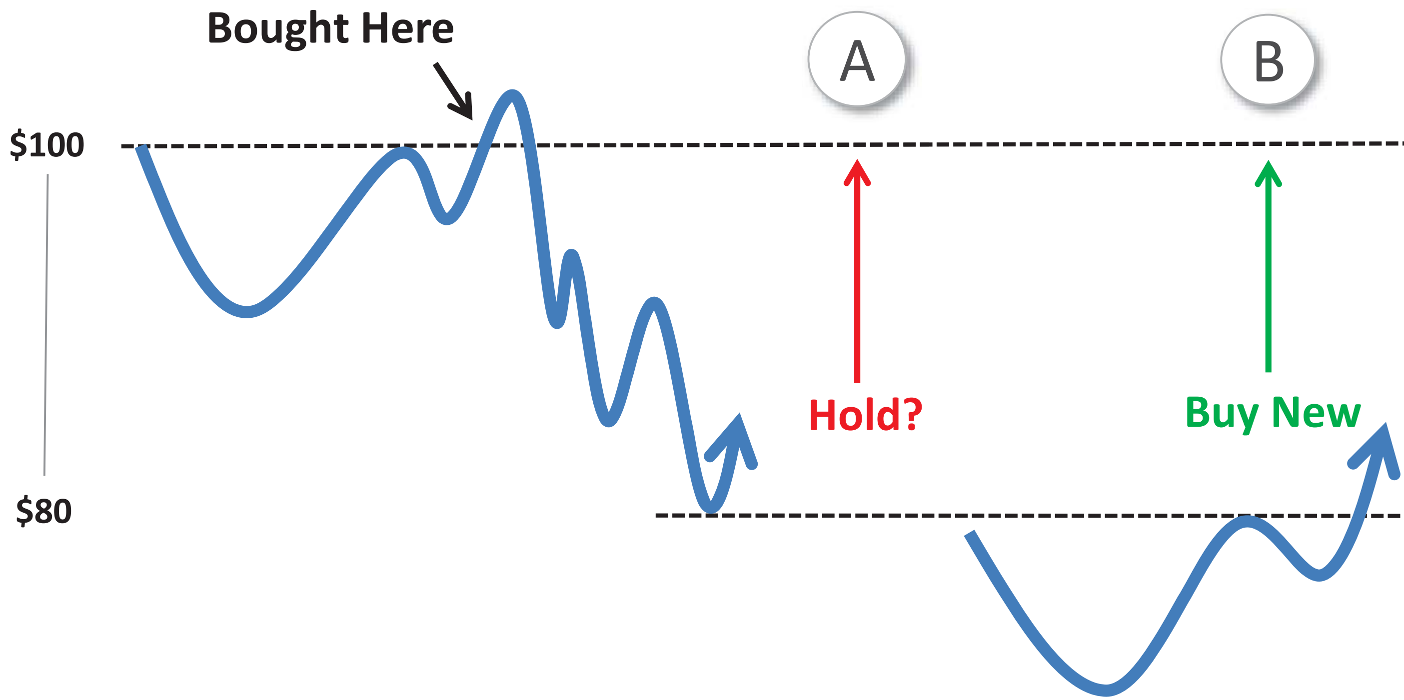
You bought a stock and soon after it sold off; you cut your loss and took a $5,000 loss.

A. The next day the stock soared and you would have made $25,000 on the trade if you didn't sell. **How do you feel now?**

B. The next day the stock plummeted and you would have lost $25,000 on the trade if you didn't sell. **How do you feel now?**

Nothing changed… you still have the same $5,000 loss

What's the Difference?



Go in With a Plan – Develop a Feedback Loop

1. Formulate a very specific plan before you enter each trade… WRITE IT DOWN!
2. Execute the plan… DON'T VACCILATE
3. AVOID THE AUDIBLE!
4. Once out of the trade, THEN evaluate
5. Formulate a new plan using what you've learned

- *Conduct periodic post-analysis*
- *Keep a journal and accurate records*
- *Know the truth about your trading*
- *Maintain the integrity of your personal bell curve*

Contingency Planning

1. Initial stop-loss
2. Selling at a profit
    a. Into strength
    b. Into weakness
3. Re-entry plan
4. Disaster plan

Two Important Questions to Ask *Before* Every Buy And Sell

The next time you're about to make a **BUY DECISION** ask yourself: ***If I could only make 10 trades per year, would this be one of them?***

The next time you're about to make a **SELL DECISION** ask yourself: ***How is this going to look on my spreadsheet?***

Important Trading Rules

1. Always trade with a stop-loss; know where you're getting out at a loss BEFORE you get in
2. Never risk more than you can expect to gain on average based on your own trading
3. NEVER add to a losing position ("AVERAGE DOWN") – Only losers average losers
4. Scale up when trading well, scale down when trading poorly
5. Only go overweight a position in the direction of the trade
6. Cut overweight portion if the trade moves against you ASAP
7. Consider trimming excess position if the stock fails to move as expected
8. Never hold a large position into a major report
9. Never let a good size gain turn into a loss
10. Move your stop up to breakeven ASAP
11. When there is a material change in behavior, SELL IMMEDIATELY!
12. Look for follow-up buying after a breakout
13. Do not have favorites; buy stocks in order of breakout
14. Evaluate your position everyday; ALWAYS THINK IN TERMS OF RISK VS. REWARD

Top Reasons Most Traders Fail to Achieve Big Performance

1. Poor selection criteria – penny stocks, tips, rumors, media hype
2. Don’t cut losses – #1 mistake
3. Add to losing positions – average down – #1 reason traders blow up
4. Fail to scale back exposure when trading poorly
5. Fail to scale up aggressively on the heels of successful trades
6. Don’t nail down profits when they have them
7. Let decent gains turn into losses
8. Overtrade – love action more than making money
9. Under trade – paralysis by analysis
10. Don’t know the truth about their trading – fail to conduct periodic post-analysis
11. Fail to manage risk/reward relationship (the Holy Grail)
12. Don’t commit to a strategy – style drift
13. Want too much too fast – unrealistic learning curve objectives
14. Trade too large – sell down to the sleeping point
15. Overly diversified – trade too small
16. Concentrate too much on reward and not enough on risk
17. Don’t follow their own rules – lack of discipline

8 Keys to Superperformance

4 Keys to Big Returns

1. Timing
2. Concentration
3. Turnover
4. Managing risk/reward relationship

4 Keys to Low Drawdowns

1. Sell into strength
2. Trade directionally
3. Progressive exposure
4. Protect breakeven


Congratulations!

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CERTIFICATE OF COMPLETION

This certifies that

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Has successfully completed the 2020 Master Trader Program Superperformance Workshop with Mark Minervini and David Ryan – 5-day/20-hour curriculum – and has demonstrated knowledge of the practical application of the proprietary stock trading strategy known as Specific Entry Point Analysis – SEPA.

Awarded November 23, 2020

Mark Minervini